

In the opinion of Modrall, Sperling, Roehl, Harris & Sisk, P.A., Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2023 Bonds (as defined below) is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the "Code"). In the further opinion of Bond Counsel, interest on the Series 2023 Bonds is not a specific preference item for purposes of the federal alternative minimum tax; however, for tax years beginning after December 31, 2022, interest on the 2023 Bonds is included in the "adjusted financial statement income" of certain corporations that are subject to the alternative minimum tax under Section 55 of the Code. Bond Counsel is also of the opinion based on existing laws of the State of New Mexico as enacted and construed that interest on the Series 2023 Bonds is exempt from all taxation by the State of New Mexico or any political subdivision thereof. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Series 2023 Bonds. See "TAX MATTERS" herein.

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12
Bernalillo and Sandoval Counties, New Mexico

\$70,000,000
General Obligation School Bonds
Series 2023A

\$42,885,000
General Obligation Refunding Bonds
Series 2023B

Dated: Date of Delivery

Due: August 1, as shown on inside cover

The Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico, General Obligation School Bonds, Series 2023A (the "Series 2023A Bonds") and General Obligation Refunding Bonds, Series 2023B (the "Series 2023B Bonds," and together with the Series 2023A Bonds, the "Series 2023 Bonds") are being issued as fully registered bonds to be sold in denominations of \$5,000 or any integral multiple thereof. The Depository Trust Company New York, New York ("DTC") will act as securities depository for the Series 2023 Bonds through its nominee, Cede & Co. One fully registered bond equal to the principal amount of each maturity of the Series 2023 Bonds will be registered in the name of Cede & Co. Individual purchases of Series 2023 Bonds will be made in book-entry form only and beneficial owners of the Series 2023 Bonds will not receive physical delivery of bond certificates, except as described herein. Upon receipt of payments of principal and interest, DTC will remit such payments to its participants for subsequent disbursement to the beneficial owners of the Series 2023 Bonds.

Principal of and interest on the Series 2023 Bonds will be payable to DTC, or its nominee, as owner of the Series 2023 Bonds, by BOKF, NA, as Paying Agent and Registrar for the Series 2023 Bonds. Interest on the Series 2023 Bonds will be payable semi-annually on each February 1 and August 1, commencing August 1, 2023 until maturity or prior redemption.

See Inside Cover Page for Maturity Dates, Principal Amounts, Interest Rates or Yields and CUSIPS.

The Series 2023A Bonds will be subject to optional redemption prior to maturity as described herein. The Series 2023B Bonds will not be subject to optional redemption prior to maturity.

As more specifically described herein, the Series 2023 Bonds are being issued for the purpose of financing the cost of (i) erecting, remodeling, making additions to, furnishing and purchasing school facilities (ii) refunding certain outstanding general obligation bonds of the District as set forth in Schedule I attached hereto and (iii) expenses related to the issuance of the Series 2023 Bonds.

The Series 2023 Bonds constitute general obligation indebtedness of the District, payable from property taxes levied against all taxable property in the District, without limitation of rate or amount, and the full faith and credit of the District is pledged for the payment of the Series 2023 Bonds.

In connection with the issuance of the Series 2023 Bonds, the District will commit to provide certain annual information and notice of certain events as described herein under the caption "CONTINUING DISCLOSURE UNDERTAKING."

This Cover Page, including the inside cover page, contains information for convenient and quick reference only. It is not a summary of this Official Statement. Investors must read this entire Official Statement to obtain information essential and material to the making of an informed investment decision.

Certain legal matters will be passed on by Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico, as Bond Counsel. Certain legal matters will also be passed on for the District by Sherman & Howard L.L.C., Albuquerque, New Mexico, as Disclosure Counsel to the District. Delivery of the Series 2023 Bonds is also subject to the delivery of an approving opinion of the Attorney General of the State of New Mexico. The Underwriters are being represented by McCall, Parkhurst & Horton L.L.P., Dallas, Texas. RBC Capital Markets, LLC, Albuquerque, New Mexico, serves as Municipal Advisor to the District. It is expected that the Series 2023 Bonds will be available for delivery through the facilities of DTC on or about May 17, 2023.

STIFEL

Jefferies

MATURITY SCHEDULE

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12 Bernalillo and Sandoval Counties, New Mexico

(CUSIP® 6-digit issuer number: 013595)

\$70,000,000 General Obligation School Bonds Series 2023A

<u>Maturity Date (August 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>CUSIP® Suffix</u>	<u>Maturity Date (August 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>CUSIP® Suffix</u>
2023	\$22,950,000	5.000%	3.250%	XW8	2031	\$3,135,000	5.000% ⁽¹⁾	2.670%	YE7
2024	3,135,000	5.000	3.170	XX6	2032	3,135,000	5.000 ⁽¹⁾	2.680	YF4
2025	3,135,000	5.000	2.840	XY4	2033	3,135,000	5.000 ⁽¹⁾	2.720	YG2
2026	3,135,000	5.000	2.710	XZ1	2034	3,135,000	5.000 ⁽¹⁾	2.790	YH0
2027	3,135,000	5.000	2.660	YA5	2035	3,135,000	5.000 ⁽¹⁾	2.920	YJ6
2028	3,135,000	5.000	2.630	YB3	2036	3,135,000	5.000 ⁽¹⁾	3.110	YK3
2029	3,135,000	5.000	2.600	YC1	2037	3,135,000	5.000 ⁽¹⁾	3.270	YL1
2030	3,135,000	5.000	2.610	YD9	2038	3,160,000	5.000 ⁽¹⁾	3.380	YM9

\$42,885,000 General Obligation Refunding Bonds Series 2023B

<u>Maturity Date (August 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>CUSIP® Suffix</u>
2023	\$405,000	5.000%	3.250%	YN7
2024	6,365,000	5.000	3.170	YP2
2025	6,400,000	5.000	2.840	YQ0
2026	6,440,000	5.000	2.710	YR8
2027	7,485,000	5.000	2.660	YS6
2028	7,865,000	5.000	2.630	YT4
2029	7,925,000	5.000	2.600	YU1

⁽¹⁾ Yield to the first optional call date of August 1, 2030.

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ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12
Bernalillo and Sandoval Counties, New Mexico

BOARD OF EDUCATION

Yolanda Montoya-Cordova, President	District 1
Peggy Muller-Aragon, Vice President	District 2
Courtney I. Jackson, Secretary	District 7
Danielle Gonzales	District 3
Josefina E. Dominguez	District 6
Crystal Tapia-Romero	District 5
Barbara Petersen	District 4

ADMINISTRATION

Scott Elder, Superintendent
Rennette Apodaca, MPA, CPPO, Chief Financial Officer
Dr. Gabriella Blakey, Chief Operations Officer

BOND COUNSEL

Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico

DISCLOSURE COUNSEL

Sherman & Howard L.L.C., Albuquerque, New Mexico

PAYING AGENT/REGISTRAR AND ESCROW AGENT

BOKF, NA, Albuquerque, New Mexico

MUNICIPAL ADVISOR

RBC Capital Markets, LLC, Albuquerque, New Mexico

UNDERWRITERS

Stifel, Nicolaus & Company, Incorporated, Albuquerque, New Mexico
Jefferies LLC, San Antonio, Texas

No dealer, salesperson or other person has been authorized by Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico (the “District”) to give any information or to make any statements or representations, other than those contained in this Official Statement, and, if given or made, such other information, statements or representations must not be relied upon as having been authorized. This Official Statement does not constitute an offer to sell or solicitation of an offer to buy any of the Series 2023 Bonds in any jurisdiction in which such offer or solicitation is not authorized, or in which any person making such offer or solicitation is not qualified to do so, or to any person to whom it is unlawful to make such offer or solicitation in such jurisdiction. This Official Statement contains, in part, estimates and matters of opinion that are not intended as statements of fact, and no representation or warranty is made as to the correctness of such estimates and opinions or that they will be realized.

The information contained in this Official Statement has been obtained from the District and other sources which are deemed to be reliable. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information. The information in this Official Statement is subject to change without notice, and neither the delivery of this Official Statement nor any sale hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District or others since the date hereof.

This Official Statement contains statements relating to future results that are “forward-looking statements” as defined in the Private Securities Litigation Reform Act of 1995, as amended. When used in this Official Statement, the words “estimate,” “anticipate,” “forecast,” “project,” “intend,” “propose,” “plan,” “expect” and similar expressions identify forward-looking statements. Any forward-looking statement is subject to uncertainty and risks that could cause actual results to differ, possibly materially, from those contemplated in such forward-looking statements. Inevitably, some assumptions used to develop forward-looking statements will not be realized or unanticipated events and circumstances may occur. Therefore, investors should be aware that there are likely to be differences between forward-looking statements and actual results; those differences could be material.

The Series 2023 Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon exemptions contained in such Act, nor have the Series 2023 Bonds been registered or qualified in any state. Neither the United States Securities and Exchange Commission (the “SEC”) nor any other federal, state, municipal or other governmental entity, nor any agency or department thereof, has passed upon the merits of the Series 2023 Bonds or the accuracy or completeness of this Official Statement. Any representation to the contrary may be a criminal offense.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

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OFFICIAL STATEMENT

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12 Bernalillo and Sandoval Counties, New Mexico

\$70,000,000
General Obligation School Bonds
Series 2023A

\$42,885,000
General Obligation Refunding Bonds
Series 2023B

INTRODUCTION

Generally

This Official Statement, which includes the cover page, Schedule I and appendices hereto, provides certain information in connection with the offer and sale by the Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico (the “District”) of its General Obligation School Bonds, Series 2023A in the original aggregate principal amount of \$70,000,000 (the “Series 2023A Bonds”) and its General Obligation Refunding Bonds, Series 2023B in the original aggregate principal amount of \$42,885,000 (the “Series 2023B Bonds” and, together with the Series 2023A Bonds, the “Series 2023 Bonds”). On February 22, 2023, the District’s Board of Education (the “Board”) delegated, pursuant to a Delegation of Authority Resolution (the “Delegation Resolution”), permitted by Section 6-14-10.2, NMSA 1978, pricing of the Series 2023 Bonds and certain other matters to the District’s Superintendent and Chief Financial Officer, who will approve the final terms of the Series 2023 Bonds set forth in the Pricing Certificate (together with the Delegation Resolution, the “Bond Resolution”).

This introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, Schedule I and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of Series 2023 Bonds to potential investors is made only by means of the entire Official Statement.

The District

The District is a political subdivision of the State of New Mexico (the “State”) organized for the purpose of operating and maintaining an educational program for the school-age children residing within its boundaries. The District encompasses almost all of Bernalillo County and a portion of Sandoval County (the “Counties”). Both Counties are centrally located in New Mexico. The District’s boundaries encompass all of the City of Albuquerque and the Villages of Tijeras, Los Ranchos and Corrales. The District’s 2022 assessed valuation is \$19,625,338,891. The District had an enrollment of 70,946 students for the 2022-23 school year based on the 40 day count. There are 31 charter schools operating within the District’s boundaries with 9,247 students attending in the 2022-23 school year based on the 40 day count. There are also 23 New Mexico Public Education Commission chartered schools operating within the District’s boundaries with 9,085 students attending in the 2022-23 school year based on the 40 day count. The District’s powers are subject to regulations adopted by the New Mexico Public Education Department (“PED”). See “THE DISTRICT.” For financial and other information concerning the District, see Appendix B – “ECONOMIC, DEMOGRAPHIC AND FINANCIAL INFORMATION.” The District’s Fiscal Year ends June 30 and is referred to in this Official Statement as the “Fiscal Year.”

Purposes of the Series 2023 Bonds

Proceeds from the sale of the Series 2023A Bonds will be used to finance the cost of (i) erecting, remodeling, making additions to and furnishing school buildings; purchasing or improving school grounds; purchasing computer software and hardware for students in the District; providing matching funds for capital outlay projects funded pursuant to the Public School Capital Outlay Act; or any combination of those purposes (collectively, the “Improvement Projects”) and (ii) paying expenses related to issuance of the Series 2023A Bonds. See “PLAN OF FINANCING – The Improvement Projects.” The Series 2023A Bonds represent \$70 million of \$200 million in bonds authorized by voters at an election held on November 2, 2021 (the “2021 Bond Election”). After the issuance of the Series 2023A Bonds, there will be \$130 million of remaining authorization under the 2021 Bond Election.

Proceeds from the sale of the Series 2023B Bonds will be used to finance the cost of (i) refunding, refinancing and defeasing the District’s General Obligation School Building Bonds, Series 2014A (the “Series 2014A Bonds”) maturing on and after August 1, 2024 (the “Refunding Project”) on the date of issuance of the Series 2023B Bonds, and (ii) paying expenses related to issuance of the Series 2023B Bonds. At the time of issuance of the Series 2023B Bonds, the District will deposit a portion of the proceeds of the Series 2023B Bonds to an escrow fund held with BOKF, N.A. (the “Escrow Agent”) pursuant to an Escrow Agreement (the “Escrow Agreement”) by and between the District and the Escrow Agent, resulting in the defeasance of a portion of the Series 2014A Bonds. See “PLAN OF FINANCING – The Refunding Project” and “SCHEDULE I – REFUNDED BONDS.”

Authority for Issuance

The Series 2023 Bonds are being issued under the authority of and pursuant to the Constitution and laws of the State, including Sections 22-18-1 through 22-18-13 NMSA 1978, Sections 6-14-9 and 6-14-10.2 NMSA 1978 and Sections 6-15-3 through 6-15-13 NMSA 1978, as amended, and all enactments of the District Board relating to the issuance of the Series 2023 Bonds, including the Bond Resolution. The New Mexico Attorney General will provide an approval as to the form and legality with respect to the Series 2023 Bonds as required under Section 22-18-9 NMSA. The Series 2023 Bonds are also being issued pursuant to authorization received at the 2021 Bond Election.

Sources of Payment for the Series 2023 Bonds

The Series 2023 Bonds are general obligations of the District and payable from ad valorem taxes that are levied against all taxable property within the District without limitation as to rate or amount. Neither the State nor the Counties have any responsibility to pay the debt service on the Series 2023 Bonds. See “SECURITY AND SOURCES OF PAYMENT.”

The Series 2023 Bonds are additionally secured by the New Mexico School District Enhancement Program as discussed in more detail under “SECURITY AND SOURCES OF PAYMENT – New Mexico School District Enhancement Program” herein.

Terms of the Series 2023 Bonds

Payments

The Series 2023 Bonds will be dated their date of initial delivery to the Underwriters. Interest on the Series 2023 Bonds is payable on February 1 and August 1, commencing August 1, 2023 until maturity or prior redemption. The Series 2023 Bonds will be issued in the aggregate principal amounts and will mature on the dates and in the amounts shown on the inside cover page of this Official Statement.

Payments on the Series 2023 Bonds will be made by BOKF, NA, as the initial Paying Agent and Registrar for the Series 2023 Bonds (the “Paying Agent/Registrar”).

Denominations

The Series 2023 Bonds are issuable in denominations of \$5,000 or integral multiples thereof.

Book-Entry System

Individual purchases will be made in book-entry form only and purchasers of the Series 2023 Bonds will not receive physical delivery of bond certificates except as more fully described herein. Payments of principal of and interest on the Series 2023 Bonds will be made directly to The Depository Trust Company, New York, New York (“DTC”) or its nominee, Cede & Co., by the Paying Agent/Registrar, so long as DTC or Cede & Co. is the sole registered owner. Upon receipt of such payments, DTC is to remit such payments to DTC participants for subsequent disbursement to the beneficial owners of the Series 2023 Bonds, all as more fully described in Appendix E – “BOOK-ENTRY ONLY SYSTEM.”

In reading this Official Statement, it should be understood that while the Series 2023 Bonds are in book-entry only form, references in other sections of this Official Statement to owners of the Series 2023 Bonds should be read to include the person for whom the Participant (as hereinafter defined) and indirect participants acquire an interest in the Series 2023 Bonds, but (i) all rights of ownership must be exercised through DTC and the book-entry only system as described more fully herein, and (ii) notices that are to be given to owners by the District or the Paying Agent/Registrar will be given only to DTC.

Redemption

The Series 2023A Bonds are subject to optional redemption prior to maturity as provided herein. See “THE SERIES 2023 BONDS – Optional Redemption Prior to Maturity.” The Series 2023B Bonds are not subject to optional redemption prior to maturity.

Commitment to Provide Continuing Disclosure

The District will agree for the benefit of the owners of the Series 2023 Bonds that, so long as the Series 2023 Bonds remain outstanding, the District will provide when available its annual audited financial statements and certain other financial information and operating data with the Municipal Securities Rulemaking Board (“MSRB”) using its Electronic Municipal Market Access System (“EMMA”) in conformity with Rule 15c2-12 of the United States Securities and Exchange Commission (the “Rule”), and will file notice of certain specific events with the MSRB, or as otherwise requested by the MSRB, as described in “CONTINUING DISCLOSURE UNDERTAKING” and Appendix D hereto.

Impact of COVID-19

Coronavirus Disease 2019 (“COVID-19”) is a highly contagious respiratory disease caused by a particular strain of coronavirus that spread to many parts of the world, including the State and elsewhere in the United States. On March 11, 2020, COVID-19 was declared a pandemic by the World Health Organization. To slow the spread of COVID-19 in the United States, the federal government and state and local governments, including the State government, as well as many private entities, imposed numerous restrictions on gatherings, assemblies and other interpersonal contact, non-essential travel and various other commercial, social and cultural activities and have strongly encouraged or mandated COVID-19 vaccines and booster shots (collectively, “Responsive Measures”). The State government’s Responsive

Measures consisted primarily of a series of Executive Orders issued by the Governor and Public Health Orders issued by the Cabinet Secretary of the State Department of Health intended to reduce the spread of COVID-19 across the State, particularly in light of the enhanced viral risk caused in part by highly-transmissible COVID-19 variants and vaccine hesitancy among the general population. On September 27, 2022, the Governor rescinded six (6) of the Executive Orders due to widespread availability of COVID-19 vaccines, testing and treatments, as cited in Executive Order 2022-142. According to the Governor's office, the statewide public health emergency proclaimed by the Governor due to COVID-19 remained in place because it gave the State access to assistance from the federal government, including funding for public health programs and food assistance. The Governor's final extension of the emergency Executive Orders expired on March 31, 2023.

Additional information regarding Public Health Orders issued by the Acting Secretary of the New Mexico Department of Health is accessible on the New Mexico Department of Health's website at <https://cv.nmhealth.org/public-health-orders-and-executive-orders/>. *Neither the information on (nor accessed through) such website of the New Mexico Department of Health is incorporated herein by reference, either expressly or by implication, and the District does not assume any responsibility for the accuracy of the information on such website.*

The District is committed to in-person learning without interruption caused by the COVID-19 pandemic, while protecting the health of the students and employees. For more information with respect to the impact of COVID-19 on District finances, see "FINANCIAL INFORMATION – Management Comments Regarding District Finances."

The District does not believe that the impacts of the spread of COVID-19 will have a material adverse effect on its ability to pay debt service on the Series 2023 Bonds.

Forward-Looking Statements

This Official Statement contains statements relating to future results that are "forward-looking statements" as defined in the Private Securities Litigation Reform Act of 1995, as amended. When used in this Official Statement, the words "estimate," "anticipate," "forecast," "project," "intend," "propose," "plan," "expect" and similar expressions identify forward-looking statements. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

Professionals Involved in the Offering

At the time of the issuance and sale of the Series 2023 Bonds, Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico, as Bond Counsel, will deliver two bond opinions, the forms of which are included in Appendix C hereto. Certain legal matters will be passed upon for the District by the New Mexico Attorney General and by Sherman & Howard L.L.C., Denver, Colorado, as Disclosure Counsel. The Underwriters (defined below) are being represented in connection with their purchase of the Series 2023 Bonds by McCall, Parkhurst & Horton L.L.P., Dallas, Texas. See "LEGAL MATTERS."

RBC Capital Markets, LLC, Albuquerque, New Mexico ("RBC") is employed as Municipal Advisor to the District in connection with the issuance of the Series 2023 Bonds. The Municipal Advisor's fee for services rendered with respect to the sale of the Series 2023 Bonds is contingent upon the issuance and delivery of the Series 2023 Bonds. RBC, in its capacity as Municipal Advisor, has not

verified and does not assume any responsibility for the possible impact of any present, pending or future actions taken by any legislative or judicial bodies. The Municipal Advisor is not obligated to undertake, and has not undertaken to make, an independent verification of, or assume responsibility for, the accuracy, completeness, or fairness of the information in this Official Statement.

Offering and Delivery of the Series 2023 Bonds

The Series 2023 Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel and the satisfaction of certain other conditions. The Series 2023 Bonds will be distributed in the initial offering by Stifel, Nicolaus & Company, Incorporated and Jefferies LLC (collectively, the “Underwriters”), for which Stifel, Nicolaus & Company, Incorporated is acting as the senior managing underwriter and representative of the Underwriters. See “UNDERWRITING.” It is anticipated that a single certificate for each maturity of the Series 2023 Bonds will be available for delivery through the facilities of DTC on or about May 17, 2023.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change.

The quotations from, and summaries and explanations of, the statutes, regulations and documents contained herein do not purport to be complete and reference is made to said laws, regulations and documents for full and complete statements of their provisions. Copies, in reasonable quantity, of such laws, regulations and documents may be obtained during the offering period, upon request to the District and upon payment to the District of a charge for copying, mailing and handling, at P.O. Box 25704 (87125), 6400 Uptown Boulevard NE, Suite 305E, Albuquerque, New Mexico 87110, Attention: Chief Financial Officer.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or owners of any of the Series 2023 Bonds.

PLAN OF FINANCING

Sources and Uses of Funds

The sources and uses of funds to be available in connection with the sale of the Series 2023 Bonds are set forth below.

SOURCES OF FUNDS:

	<u>Series 2023A Bonds</u>	<u>Series 2023B Bonds</u>	<u>Total</u>
Par Amount	\$70,000,000.00	\$42,885,000.00	\$112,885,000.00
Reoffering Premium.....	<u>5,410,107.15</u>	<u>3,556,969.25</u>	<u>8,967,076.40</u>
TOTAL SOURCES OF FUNDS	<u>\$75,410,107.15</u>	<u>\$46,441,969.25</u>	<u>\$121,852,076.40</u>

USES OF FUNDS:

The Improvement Projects	\$70,000,000.00	--	\$70,000,000.00
The Refunding Project	--	\$46,078,844.80	46,078,844.80
Deposit to Debt Service Fund	4,895,059.64	3,411.66	4,898,471.30
Underwriters' Discount ⁽¹⁾	214,238.50	124,521.80	338,760.30
Costs of Issuance ⁽²⁾	<u>300,809.01</u>	<u>235,190.99</u>	<u>536,000.00</u>
TOTAL USES OF FUNDS.....	<u>\$75,410,107.15</u>	<u>\$46,441,969.25</u>	<u>\$121,852,076.40</u>

(1) See "UNDERWRITING."

(2) The costs of issuance of the Series 2023 Bonds include legal and accounting fees, printing, rating fees and other miscellaneous costs.

The Improvement Projects

A portion of the proceeds from the sale of the Series 2023A Bonds will be used to finance the cost of the Improvement Projects and to pay the costs of issuance of the Series 2023A Bonds. See "INTRODUCTION – Purposes of the Series 2023 Bonds."

The Refunding Project

Proceeds from the sale of the Series 2023B Bonds will be used to finance the Refunding Project described in Schedule I and under "INTRODUCTION – Purpose of the Series 2023 Bonds" and to pay costs of issuance for the Series 2023B Bonds.

The specific principal amount, if any, of each maturity of the Series 2014A Bonds to be refunded (the "Refunded Series 2014A Bonds") will be determined by the District, at the time the District and the Underwriters execute the Bond Purchase Agreement (as defined herein under "UNDERWRITING"). The refunding of the Refunded Series 2014A Bonds is subject to market conditions, and such bonds will only be refunded if such refunding results in acceptable debt service savings to the District.

The Bond Resolution provides that from a portion of the proceeds of Series 2023B Bonds and other available moneys, the District will deposit on the closing date, pursuant to an Escrow Agreement with the Escrow Agent, the amount necessary to accomplish the discharge and final payment of the Refunded Series 2014A Bonds on August 1, 2023 (the "Series 2014A Bonds Redemption Date"). Such funds will be held by the Escrow Agent in the special escrow fund (the "Escrow Fund") and used to purchase direct obligations of the United States of America (the "Federal Securities"). Under the Escrow Agreement, the Escrow Fund is irrevocably pledged to the payment of the principal with respect to the

Refunded Series 2014A Bonds plus interest accrued with respect thereto due on the Series 2014A Bonds Redemption Date.

Causey, Demgen & Moore, P.C., Certified Public Accountants, Denver, Colorado (the “Verification Agent”), will verify at the time of delivery of the Series 2023B Bonds to the Underwriters, the mathematical accuracy of the schedules and demonstrate that the Federal Securities will mature and bear interest in such amounts which, together with uninvested funds, if any, in the Escrow Fund, will be sufficient to pay when due, the principal with respect to the Refunded Series 2014A Bonds plus interest accrued with respect thereto due on the Series 2014A Bonds Redemption Date. Such maturing principal of and interest on the Federal Securities will not be available to pay the Series 2023 Bonds. See “VERIFICATION OF CERTAIN MATHEMATICAL COMPUTATIONS.”

By the deposit of the Federal Securities and cash, if necessary, with the Escrow Agent pursuant to the Escrow Agreement, the District will have effected the defeasance of the Refunded Series 2014A Bonds in accordance with the requirements of the resolution authorizing issuance of the Series 2014A Bonds and applicable law, and such Refunded Series 2014A Bonds will no longer be outstanding. The District has covenanted in the Escrow Agreement to make timely deposits to the Escrow Fund of any additional amounts required to pay the principal of and interest on the Refunded Series 2014A Bonds if, for any reason, the cash balance on deposit or scheduled to be on deposit in the Escrow Fund is insufficient to make such payments.

ANNUAL DEBT SERVICE REQUIREMENTS

Series 2023A Bonds

Calendar Year	Principal	Interest	Total Debt Service
2023	\$22,950,000.00	\$719,444.44	\$23,669,444.44
2024	3,135,000.00	2,352,500.00	5,487,500.00
2025	3,135,000.00	2,195,750.00	5,330,750.00
2026	3,135,000.00	2,039,000.00	5,174,000.00
2027	3,135,000.00	1,882,250.00	5,017,250.00
2028	3,135,000.00	1,725,500.00	4,860,500.00
2029	3,135,000.00	1,568,750.00	4,703,750.00
2030	3,135,000.00	1,412,000.00	4,547,000.00
2031	3,135,000.00	1,255,250.00	4,390,250.00
2032	3,135,000.00	1,098,500.00	4,233,500.00
2033	3,135,000.00	941,750.00	4,076,750.00
2034	3,135,000.00	785,000.00	3,920,000.00
2035	3,135,000.00	628,250.00	3,763,250.00
2036	3,135,000.00	471,500.00	3,606,500.00
2037	3,135,000.00	314,750.00	3,449,750.00
2038	3,160,000.00	158,000.00	3,318,000.00
TOTAL	\$70,000,000.00	\$19,548,194.44	\$89,548,194.44

Source: Municipal Advisor.

Series 2023B Bonds

Calendar Year	Principal	Interest	Total Debt Service
2023	\$405,000.00	\$440,762.50	\$845,762.50
2024	6,365,000.00	2,124,000.00	8,489,000.00
2025	6,400,000.00	1,805,750.00	8,205,750.00
2026	6,440,000.00	1,485,750.00	7,925,750.00
2027	7,485,000.00	1,163,750.00	8,648,750.00
2028	7,865,000.00	789,500.00	8,654,500.00
2029	7,925,000.00	396,250.00	8,321,250.00
TOTAL	\$42,885,000.00	\$8,205,762.50	\$51,090,762.50

Source: Municipal Advisor.

THE SERIES 2023 BONDS

Generally

The Series 2023 Bonds will bear interest at the rates and mature on the dates set forth on the inside cover page of this Official Statement. Interest will be calculated on the basis of a 360-day year consisting of twelve 30-day months. The Series 2023 Bonds will be dated their date of initial delivery to the Underwriters and will bear interest from that date payable semi-annually on February 1 and August 1 of each year, commencing August 1, 2023 (each an “Interest Payment Date”) until maturity or prior redemption. The Series 2023 Bonds will bear interest from the most recent date to which interest has been paid or provided, or if no interest has been paid or provided for, from their date until maturity.

The Series 2023 Bonds will be issued in denominations of \$5,000 or integral multiples thereof, will be issued in fully registered form and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee of DTC. DTC will act as securities depository for the Series 2023 Bonds. Individual purchases may be made in book-entry form only. Purchasers will not receive certificates representing their interest in the Series 2023 Bonds purchased. So long as Cede & Co., as nominee of DTC, is the registered owner of the Series 2023 Bonds, references herein to the bondholders, owners or registered owners shall mean Cede & Co. and shall not mean the beneficial owners of the Series 2023 Bonds.

So long as Cede & Co. is the registered owner of the Series 2023 Bonds, principal of and interest on the Series 2023 Bonds are payable by wire transfer by the Paying Agent/Registrar (defined below) to Cede & Co., as nominee for DTC, which is required, in turn, to remit such amounts to the DTC Participants. See Appendix E – “BOOK-ENTRY ONLY SYSTEM.”

Paying Agent/Registrar/Escrow Agent

BOKF, NA will serve as Paying Agent/Registrar and Escrow Agent for the Series 2023 Bonds. In the Bond Resolution the District covenants to provide a Paying Agent/Registrar at all times until the Series 2023 Bonds are paid, and any Paying Agent/Registrar selected by the District shall be a commercial bank, a trust company, a financial institution or any other entity, as provided by State law, duly qualified and legally authorized to serve and perform the duties of the Paying Agent/Registrar. The registration books for the Series 2023 Bonds will be maintained by the Paying Agent/Registrar containing the names and addresses of the registered owners of the Series 2023 Bonds. In the Bond Resolution, the District retains the right to replace the Paying Agent/Registrar. If the Paying Agent/Registrar is replaced by the District, such Paying Agent/Registrar, promptly upon the appointment of a successor, is required to

deliver the registration books to the successor paying agent/registrar. In the event there is a change in the Paying Agent/Registrar for the Series 2023 Bonds the District has agreed to notify each registered owner of the Series 2023 Bonds affected by the change by United States mail, first-class postage prepaid, at the address in the registration books, stating the effective date of the change and the mailing address of the successor Paying Agent/Registrar. See “PLAN OF FINANCING – The Refunding Project for information regarding the role of the Escrow Agent.

Record Dates

The Record Date for the Series 2023 Bonds with respect to any interest payment date is the fifteenth day of the month (whether or not a business day) immediately preceding the interest payment date. The person in whose name any Series 2023 Bond is registered on any Record Date with respect to any interest payment date shall be entitled to receive the interest payable hereon on such interest payment date notwithstanding any transfer or exchange thereof subsequent to such Record Date and prior to such interest payment date.

Optional Redemption Prior to Maturity

Optional Redemption – Series 2023A Bonds. The Series 2023A Bonds maturing on and after August 1, 2031 are subject to redemption prior to maturity at the option of the District, in whole or in part, at any time on or after August 1, 2030 at the redemption price of 100% of the principal amount of the Series 2023A Bonds to be redeemed, plus accrued interest, if any, to the date fixed for redemption.

No Optional Redemption – Series 2023B Bonds. The Series 2023B Bonds are not subject to optional redemption prior to maturity.

SECURITY AND SOURCES OF PAYMENT

General Obligation Pledge

The Series 2023 Bonds constitute general obligation debt of the District. The primary security for the general obligation debt of the District, including the Series 2023 Bonds, is the District’s levy, pursuant to constitutional and statutory requirements, of an ad valorem tax, unlimited as to rate or amount, on all real property in the District subject to ad valorem taxation. See “Tax Levies” under this caption. The tax levy is required to be in an amount sufficient to pay the principal of and interest on the Series 2023 Bonds when due, subject to the provisions of laws affecting creditors’ rights.

In addition to the basic ad valorem property tax security described above, the District is pledging the full faith and credit of the District for the payment of the principal of and interest on the Series 2023 Bonds when due. Included in such pledge are all funds of the District, except those specifically limited to another use or prohibited from use for such debt service by the State Constitution, state or federal law or District resolutions pledging funds for payment of revenue bonds.

Tax Levies

Pursuant to the Bond Resolution, in order to pay the principal of and interest on the Series 2023 Bonds when due and, at the option of the District, to reimburse the General Fund or other funds advanced for the payment of principal of or interest on the Series 2023 Bonds for which property taxes were not available, there is to be an annual assessment and levy upon all of the taxable property of the District subject to taxation which provides an amount sufficient to pay the principal of and the interest on the Series 2023 Bonds when due.

The taxes are assessed, levied and collected annually. The District Board is required by the Bond Resolution to take all reasonable action to ensure the levy and collection of taxes in amounts sufficient at the time to pay the principal of and interest on the Series 2023 Bonds. The money produced by the levy of taxes provided in the Bond Resolution to pay the principal of and interest on the Series 2023 Bonds is to be appropriated for that purpose and included in the annual budget and the appropriation bills adopted and passed by the District Board each year. The taxes collected are to be applied only to the payment of the principal of and interest on the Series 2023 Bonds when due and as otherwise required by law. To the extent property taxes are not available for the purpose, the principal of and interest accruing on the Series 2023 Bonds are to be paid from the District's General Fund or from any other fund lawfully available for that purpose.

Additional General Obligation Indebtedness

The State Constitution limits the aggregate amount of general obligation indebtedness of the District to 6% of the assessed value of taxable property within the District as shown by the last preceding general assessment. For a description of the indebtedness of the District currently outstanding, see "DEBT AND OTHER FINANCIAL OBLIGATIONS."

New Mexico School District Enhancement Program

The New Mexico legislature amended NMSA 1978, Section 22-18-1 et. seq. in the first session of 2003 by adding Section 22-18-13 which became effective July 1, 2003. Section 22-18-13 was further amended in 2007 and provides that, if a school district indicates that it will not make the payment by the date on which it is due, the New Mexico Department of Finance and Administration ("DFA") shall forward the amount in immediately available funds necessary to make the payment due on the bonds to the paying agent from the current fiscal year's undistributed State Equalization Guarantee ("SEG") distribution to that school district and, if not otherwise repaid by the school district from other legally available funds, withhold the distributions from the school district until the amount has been recouped by the DFA, provided that, if the amount of the undistributed SEG distribution in the current fiscal year is less than the payment due on the bond, the DFA shall:

(1) forward in immediately available funds to the paying agent an amount equal to the total amount of the school district's undistributed SEG distribution and, if not otherwise repaid by the school district from other legally available funds, withhold all distributions to the school district for the remainder of the fiscal year; and

(2) on July 1 of the following fiscal year, forward in immediately available funds an amount equal to the remaining amount due to the paying agent from that year's SEG distribution and, if not otherwise repaid by the school district from other legally available funds, withhold an equal amount from the distribution to the school district until the amount paid has been recouped in full.

This provision applies to all New Mexico school districts.

Withholding of the SEG distribution may affect the District's ability to continue to operate.

The New Mexico School District Enhancement Program was initially put on watch list for possible downgrade on May 15, 2007 after the state adopted new legislation that altered the mechanics of the program. After a review of the law and policies regarding the implementation of the law, program ratings were bifurcated, with one rating applying to bonds issued prior to the March 30, 2007 effective date of the legislation and a second rating applying to bonds issued on or after the March 30, 2007 effective date. Under the new law, the State cannot immediately advance more than the remaining

undistributed SEG payments for the fiscal year of default. As a result, those districts with principal and interest payments that fall in the latter part of the fiscal year or that are significant in amount relative to the district's total annual SEG distribution may not have sufficient undistributed SEG payments to cover debt service payments in the event of a default.

Moody's downgraded the New Mexico School District Enhancement Program (Pre- and Post-Default) to Aa2 from Aa1 and assigned a negative outlook on November 1, 2016. On June 19, 2018, Moody's further downgraded the enhancement rating from Aa2 to Aa3 and assigned a stable outlook.

Section 22-18-13 requires filing the bond resolution, bond offering documents and contact information for the relevant paying agent with the DFA. Failure to file such information will not invalidate the obligation of the State Treasurer to pay the bond payment and withhold the State Equalization Guaranteed distribution.

The District has qualified the Series 2023 Bonds under the New Mexico School District Enhancement Program, however, the District did not seek a rating from Moody's in connection therewith.

PROPERTY TAXES

Analysis of Assessed Valuation

Assessed Valuation of property within the District is calculated as follows: Of the total estimated actual valuation of all taxable property in the District, 33-1/3% is legally subject to ad valorem taxes. After deduction of certain personal exemptions, the 2022 assessed valuation is \$19,625,338,891. The actual value of personal property within the District (see “Assessments” below) is determined by the County Assessor. The actual value of certain property within the District (see “Centrally Assessed” below) is determined by the State of New Mexico, Taxation and Revenue Department, Property Tax Division. The analysis of Assessed Valuation follows.

Table 1
Analysis of Assessed Valuation

	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>
Assessments					
Value of Land	\$6,300,139,479	\$6,366,617,739	\$6,421,798,054	\$6,534,046,339	\$6,638,993,820
Improvements	13,272,444,536	13,726,332,741	14,206,548,231	14,876,317,528	15,664,291,676
Personal Property	494,335,192	498,933,179	526,355,037	523,730,371	658,490,368
Mobile Homes	45,481,734	42,257,242	44,579,888	45,478,745	46,020,962
Livestock	1,241,589	1,135,903	1,132,983	1,064,825	757,935
Assessor's Total Valuation	<u>\$20,113,642,530</u>	<u>\$20,635,276,804</u>	<u>\$21,200,414,193</u>	<u>\$21,980,637,808</u>	<u>\$23,008,554,760</u>
Less Exemptions					
Head of Family	\$199,824,725	\$200,005,244	\$199,350,527	\$197,074,629	\$194,424,222
Veteran	105,218,239	102,509,769	101,140,326	98,076,670	94,535,459
Disabled Veterans	223,002,164	235,531,258	257,340,487	279,238,626	301,324,876
Waiver					
Other	3,170,917,652	3,159,587,236	3,192,224,424	3,245,991,434	3,355,491,485
Total Exemptions	<u>\$3,698,962,780</u>	<u>\$3,697,633,507</u>	<u>\$3,750,055,764</u>	<u>\$3,820,381,359</u>	<u>\$3,945,776,042</u>
Assessor's Net Valuation	<u>\$16,414,679,750</u>	<u>\$16,937,643,297</u>	<u>\$17,450,358,429</u>	<u>\$18,160,256,449</u>	<u>\$19,062,778,718</u>
Centrally Assessed	475,352,283	538,871,530	535,314,633	569,882,691	562,560,173
Total Assessed Valuation	<u>\$16,890,032,033</u>	<u>\$17,476,514,827</u>	<u>\$17,985,673,062</u>	<u>\$18,730,139,140</u>	<u>\$19,625,338,891</u>
	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>
Residential	\$13,060,392,537	\$13,569,738,615	\$14,029,902,966	\$14,732,198,707	\$15,542,058,310
Non-Residential	3,829,639,496	3,906,776,212	3,955,770,096	3,997,940,433	4,083,280,581
Total	<u>\$16,890,032,033</u>	<u>\$17,476,514,827</u>	<u>\$17,985,673,062</u>	<u>\$18,730,139,140</u>	<u>\$19,625,338,891</u>
Cross-County Assessed Valuation					
	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>
Bernalillo County	\$16,498,474,326	\$17,066,088,770	\$17,555,714,462	\$18,273,148,503	\$19,133,822,216
Sandoval County ⁽¹⁾	391,557,707	410,426,057	429,958,600	456,990,637	491,516,675
Total	<u>\$16,890,032,033</u>	<u>\$17,476,514,827</u>	<u>\$17,985,673,062</u>	<u>\$18,730,139,140</u>	<u>\$19,625,338,891</u>

(1) Portion of Corrales located in Sandoval County (2A-In Corrales & 2AC – Albuquerque/Corrales).

Sources: Bernalillo and Sandoval County Assessor's Office.

History of Assessed Valuation

Listed below is a 5-year history of assessed valuation for the District compared with Bernalillo County and Sandoval County. The tax base of the District has increased 16.19% since 2018 compared with a 16.00% increase for Bernalillo County and a 27.76% increase for Sandoval County.

Table 2
History of Assessed Valuation

Year	Albuquerque School District	Bernalillo County	Sandoval County
2022	\$19,625,338,891	\$19,256,970,469	\$4,599,312,298
2021	18,730,139,140	18,390,395,538	4,122,515,350
2020	17,985,673,062	17,666,252,107	3,897,811,663
2019	17,476,514,827	17,172,340,660	3,732,770,115
2018	16,890,032,033	16,601,184,746	3,599,893,245

Source: Bernalillo and Sandoval County Assessor's Office

Major Taxpayers

As highlighted in the table below, the ten largest taxpayers in the District for tax year 2022 have a combined assessed valuation of \$500,546,198 which represents 2.51% of the District's total 2022 assessed valuation.

Table 3
Major Taxpayers (Centrally Assessed)

Taxpayer	Type of Business	2022 Assessed Valuation	% of Total Assessed Value
Public Service Co. of NM	Electric Utility	\$266,656,984	1.36%
New Mexico Gas Company	Gas Utility	54,674,560	0.28
Comcast	Cable Provider	39,548,403	0.20
Presbyterian Healthcare	Healthcare	25,370,224	0.13
Qwest Corp.	Telecommunications	24,878,983	0.13
Markets Wholly Owned by Cellco PTN	Markets	18,806,889	0.10
MCI Metro Access Trnsn -SVCS LLC	Property Management	18,338,118	0.09
Coronado Center LLC	Shopping Mall	17,773,678	0.09
Winrock Partners LLC	Shopping Mall	17,334,733	0.09
Fluent Health	Healthcare	<u>17,163,626</u>	<u>0.09</u>
Total		\$500,546,198	2.51%

Source: Bernalillo County Treasurer's Office

School Tax Rates

The following table summarizes the historical school tax levies on residential and non-residential property within the District since the 2018 tax year (2018-19 fiscal year). On November 5, 2019 voters authorized the Public School Capital Improvements Tax Levy (the “Two Mill Levy”) for property tax years 2019 through 2024 and on November 2, 2021 voters reauthorized the Public School Buildings Act levy (the “HB33 levy”) for property tax years 2022 through 2028.

Table 4
District Tax Rates

Year	Operational		Two Mill Levy		HB 33 Levy		Debt Service ⁽¹⁾		Combined	Total	
	Res.	Non-Res.	Res.	Non-Res.	Res.	Non-Res.	GOB	ETN		Res.	Non-Res.
2022	\$0.271	\$0.500	\$2.000	\$2.000	\$3.838	\$4.344	\$4.480	\$0.000	\$4.480	\$10.589	\$11.324
2021	0.264	0.500	2.000	2.000	3.761	4.344	4.480	0.000	4.480	10.505	11.324
2020	0.270	0.500	2.000	2.000	3.838	4.344	4.284	0.196	4.480	10.588	11.324
2019	0.269	0.500	2.000	2.000	3.835	4.344	4.262	0.222	4.484	10.588	11.328
2018	0.267	0.500	1.921	2.000	3.800	4.344	4.118	0.367	4.485	10.473	11.329

(1) The debt service tax rate is the scope for residential and non-residential property.

Source: New Mexico Department of Finance and Administration.

Tax Rates

Article VIII, Section 2, of the New Mexico Constitution limits the total ad valorem taxes for operational purposes levied by all overlapping governmental units within the District to \$20.00 per \$1,000 of assessed value. This limitation does not apply to levies for public debt and levies for additional taxes if authorized at an election by a majority of the qualified voters of the jurisdiction voting on the question. The following table summarizes the tax status on residential property in Bernalillo County for tax year 2022 and the previous four years. A high level of taxation may impact the District's ability to repay the Series 2023 Bonds.

Table 5
All Tax Rates
Bernalillo County

Within 20 Mill Limit for General Purposes					
	2018	2019	2020	2021	2022
State of New Mexico	\$0.000	\$0.000	\$0.000	\$0.000	\$0.000
Bernalillo County	7.022	7.105	7.114	6.972	7.210
City of Albuquerque	6.253	6.313	6.317	6.180	6.232
AMAFCA ⁽¹⁾	0.172	0.174	0.174	0.171	0.173
Albuquerque MSD #12	0.2667	0.269	0.270	0.264	0.271
Central NM Community College	2.799	2.823	2.822	2.763	2.775
Total	\$16.513	\$16.684	\$16.697	\$16.350	\$16,661
Over 20 Mill Limit – Interest, Principal, Judgment, etc.					
State of New Mexico	\$1.360	\$1.360	\$1.360	\$1.360	\$1.360
Bernalillo County	1.468	1.469	1.468	1.464	1.264
City of Albuquerque	4.976	4.976	4.976	4.976	4.976
AMAFCA ⁽¹⁾	0.675	0.675	0.675	0.675	0.675
Albuquerque MSD #12	10.206	10.319	10.318	10.241	10.318
Central NM Community College	1.000	1.000	1.000	1.000	1.000
Total	\$19.685	\$19.799	\$19.797	\$19.716	\$19.593
Total Levy					
State of New Mexico	\$1.360	\$1.360	\$1.360	\$1.360	\$1.360
Bernalillo County	8.490	8.574	8.582	8.436	8.474
City of Albuquerque	11.229	11.289	11.293	11.156	11.208
AMAFCA ⁽¹⁾	0.847	0.849	0.849	0.846	0.848
Albuquerque MSD #12	10.473	10.588	10.588	10.505	10.589
UNM Hospital	6.400	6.400	6.400	6.272	6.279
Central NM Community College	3.799	3.823	3.822	3.763	3.775
Total Residential in Albuquerque	\$42.598	\$42.883	\$42.894	\$42.338	\$42.533
Total Non-Residential in Albuquerque ⁽²⁾	\$47.985	\$47.983	\$47.978	\$47.978	\$47.976
Village of Los Ranchos					
Residential	\$31.522	\$31.745	\$31.752	\$31.336	\$31.477
Non-Residential	\$36.313	\$36.311	\$36.304	\$36.306	\$36.304
Village of Tijeras					
Residential	\$31.396	\$31.638	\$31.633	\$31.170	\$31.363
Non-Residential	\$37.538	\$37.536	\$37.531	\$37.531	\$37.529
Village of Corrales (Sandoval County)					
Residential	\$29.051	\$29.301	\$31.168	\$30.852	\$30.518
Non-Residential	\$36.898	\$36.970	\$37.973	\$38.620	\$38.810

(1) Albuquerque Metropolitan Arroyo Flood Control Authority ("AMAFCA").

(2) Includes non-residential operating and debt service tax rate for AMAFCA.

Source: New Mexico Department of Finance & Administration.

Yield Control Limitation

State law limits property tax rate increases from the prior property tax year. Specifically, no taxing entity may set a rate or impose a tax (excluding oil and gas production ad valorem and oil and gas production equipment ad valorem taxes) or assessment which will produce revenues which exceed the prior year's tax revenues from residential and non-residential property multiplied by a "growth control factor." The growth control factor is the percentage equal to the sum of (a) "percent change I" plus (b) the prior property tax year's total taxable property value plus "net new value", as defined by Statute, divided by such prior property tax year's total taxable property value, but if that percentage is less than 100%, then the growth control factor is (a) "percent change I" plus (b) 100%. "Percent change I" is based upon the annual implicit price deflator index for state and local government purchases of goods and services (as published in the United States Department of Commerce monthly publication entitled "Survey of Current Business," or any successor publication) and is a percent (not to exceed 5%) that is derived by dividing the increase in the prior calendar year (unless there was a decrease, in which case zero is used) by the index for such calendar year next preceding the prior calendar year. *The growth control factor applies to authorized operating levies and to any capital improvements levies but does not apply to levies for paying principal and interest on public general obligation debt, including the Series 2023 Bonds.*

Developments Limiting Residential Property Tax Increases

Section 7-36-21.2 NMSA 1978 annual residential property valuation increases are limited to 3% over the prior year's valuation or 6.1% over the valuation from two years prior. Subject to certain exceptions, these limitations do not apply:

1. To property that is being valued for the first time;
2. To physical improvements made to the property in the preceding year;
3. When the property is transferred to a person other than a spouse, or a child who occupies the property as his principal residence and who qualifies for the head of household exemption on the property under the Property Tax Code;
4. When a change occurs in the zoning or use of the property; and
5. To property that is subject to the valuation limitations under Section 7-36-21.3 NMSA 1978.

Section 7-36-21.3 NMSA 1978 places a limitation on the increase in value for property taxation purposes for single-family dwellings occupied by low-income owners who are 65 years of age or older or who are disabled. The statute fixes the valuation of the property to the valuation in the year that the owner turned 65 or became disabled. The Section 7-36-21.3 limitation does not apply:

1. To property that is being valued for the first time;
2. To a change in valuation resulting from physical improvements made to the property in the preceding year; and
3. To a change in valuation resulting from a change in the zoning or permitted use of the property in the preceding year.

Amendments to State laws affecting residential property taxes are proposed from time to time and may be proposed in the future by the Legislature. Such amendments, if enacted, could result in an increase to the tax rate imposed on residential property tax within the District in order to pay the principal of and interest on general obligation bonds issued by the District, including the Series 2023 Bonds.

The constitutionality of the property tax limitation has been challenged in a number of venues. On March 28, 2012, the New Mexico Court of Appeals upheld the statutory valuation cap and its application under Section 7-36-21.2 NMSA 1978, which ruling was affirmed by the New Mexico Supreme Court in June 2014. The Legislature has brought up the issue of the disparity in valuations in the past several years but has not enacted any of the bills into law. To the extent this legislative action is taken or a future constitutional amendment is passed amending the valuation provisions, such actions could have a material impact on the valuation of residential property in the District.

Tax Collections

General (ad valorem) taxes for all units of government are collected by the county treasurer and distributed monthly to the various political subdivisions to which they are due.

Property taxes are due in two installments. The first half installment is due on November 10 and becomes delinquent on December 10. The second half installment is due on April 10 and becomes delinquent on May 10.

Collection statistics for all political subdivisions for which each county treasurer collects taxes are presented below:

Table 6
Bernalillo County Tax Collections

<u>Tax Year</u>	<u>Fiscal Year</u>	<u>Net Taxes Charged to Treasurer</u>	<u>Tax Collections⁽¹⁾</u>	<u>Collections as a % of Net Levied⁽¹⁾</u>	<u>Current/Delinquent Tax Collections⁽²⁾</u>	<u>Current/Delinquent Collections as a % of Net Levied⁽²⁾</u>
2022	2023	\$817,768,144	\$477,183,352	58.4%	\$477,183,352	58.4%
2021	2022	777,855,255	754,731,268	97.0	765,293,196	98.4
2020	2021	757,081,454	734,177,887	97.0	751,211,898	99.2
2019	2020	735,765,136	712,208,595	96.8	732,968,388	99.6
2018	2019	711,562,686	689,522,595	96.9	709,281,012	99.7

(1) As of June 30 of each fiscal year.

(2) As of February 28, 2023.

Source: Bernalillo County Treasurer's Office.

Table 7
Sandoval County Tax Collections

Tax Year	Fiscal Year	Net Taxes Charged to Treasurer	Tax Collections ⁽¹⁾	Collections as a % of Net Levied ⁽¹⁾	Current/Delinquent Tax Collections ⁽²⁾	Current/Delinquent Collections as a % of Net Levied ⁽²⁾
2022	2023	\$157,446,903	\$92,430,039	58.7%	\$92,430,039	57.6%
2021	2022	144,364,587	139,859,626	96.9	142,011,602	98.4
2020	2021	134,870,473	129,969,551	96.4	133,752,429	99.2
2019	2020	131,750,891	127,693,224	96.9	131,056,504	99.5
2018	2019	119,826,086	116,428,185	97.2	119,324,620	99.6

(1) As of June 30 of each fiscal year.

(2) As of January 31, 2023.

Source: Sandoval County Treasurer's Office.

Interest on Delinquent Taxes

Pursuant to Section 7-38-49 NMSA 1978, if property taxes are not paid for any reason within thirty (30) days after the date they are due, interest on the unpaid taxes shall accrue from the thirtieth (30th) day after they are due until the date they are paid. Interest accrues at the rate of one percent (1%) per month or any fraction of a month.

Penalty for Delinquent Taxes

Pursuant to Section 7-38-50 NMSA 1978, if property taxes become delinquent, a penalty of one percent (1%) of the delinquent tax for each month, or any portion of a month, they remain unpaid shall be imposed, but the total penalty shall not exceed five percent (5%) of the delinquent taxes. The minimum penalty imposed is \$5.00. A county can suspend application of the minimum penalty requirement for any tax year.

If property taxes become delinquent because of an intent to defraud by the property owner, fifty percent (50%) of the property tax due or fifty dollars (\$50.00), whichever is greater, shall be added as a penalty.

Remedies Available for Non-Payment of Taxes

Pursuant to Section 7-38-47 NMSA 1978, property taxes are the personal obligation of the person owning the property on the date on which the property was subject to valuation for property taxation purposes. A personal judgment may be rendered against the taxpayer for payment of taxes that are delinquent, together with any penalty and interest on the delinquent taxes.

Taxes on real property are a lien against the real property. Pursuant to Section 7-38-65 NMSA 1978, delinquent taxes on real property may be collected by selling the real property on which taxes are delinquent.

Pursuant to Section 7-38-53 NMSA 1978, delinquent property taxes on personal property may be collected by asserting a claim against the owner(s) of the personal property for which taxes are delinquent.

THE DISTRICT

The District is a political subdivision of the State organized for the purpose of operating and maintaining an educational program for the school-age children residing within its boundaries.

Currently the District operates and maintains a variety of facilities in meeting its obligation to provide an educational program within its boundaries that cover 1,200 square miles with an estimated population of 562,599.

The District is the 34th largest school district in the country and the largest school district in the State with over 80,000 students in the Albuquerque metropolitan area, including over 71,000 students attending District schools, and over 8,900 students attending charter schools within the District's boundaries. The District operates 142 school sites - 88 elementary schools, 27 middle schools, 2 K-8 schools, 13 high schools and 12 schools of choice. In addition, there are 31 District authorized charter schools and 23 State authorized charter schools for a total of 54 charter schools within the District. The District's educational program also includes vocational, technical and occupational training. In addition, the District is responsible for the educational instruction of students in the following institutions: Bernalillo County Detention Center; Bernalillo County Juvenile Detention Center; Family School and Hogares Youth Home. The District employs approximately 11,500 full-time-equivalent employees and is one of the largest employers in the Albuquerque MSA.

See sections "INTRODUCTORY SECTION – Letter of Transmittal" (page iii – 1) and "FINANCIAL SECTION – Management's Discussion and Analysis" (page vii – 1) of the District's June 30, 2022 Audited Financial Statements in Appendix A hereto for additional information regarding the District.

School District Powers

The District's powers are subject to regulations adopted by the New Mexico Public Education Department ("PED"). Pursuant to an amendment to Article XII, Section 6 of the New Mexico Constitution, adopted at a special election held September 23, 2003, the Secretary of Education (the "Secretary") is the governing authority and has control, management, and direction of all public schools pursuant to power provided by law. The Secretary further exercises supervision and authority over the PED. Generally, the powers of the Secretary and the PED include determining policy regarding operations of all public schools, designating courses of instruction, adopting regulations, determining qualifications for teachers, counselors and their assistants, and prescribing minimum educational standards. The Secretary may order the creation or consolidation of school districts.

Management

The District Board, subject to regulations of PED, develops educational policies for the District. The District Board employs a superintendent of schools, delegates administrative and supervisory functions to the superintendent, fixes the superintendent's salary, has the capacity to sue and be sued, contracts, leases, purchases and sells property for the District, acquires and disposes of all property, provides for the repair and maintenance of the District's property, and adopts regulations pertaining to the administration of all powers or duties of the District Board. Members serve without compensation for four-year terms of office and are elected in non-partisan elections held every two years in November in odd-numbered years. The current District Board members are:

Yolanda Montoya-Cordova, President
Term expires December 31, 2023

Peggy Muller- Aragón, Vice President
Term expires December 31, 2023

Courtney I. Jackson, Secretary
Term expires December 31, 2025

Danielle Gonzales, Member
Term expires December 31, 2025

Josefina E. Dominguez, Member
Term expires December 31, 2025

Crystal Tapia-Romero, Member
Term expires December 31, 2025

Barbara Petersen, Member
Term expires December 31, 2023

The Superintendent of Schools is selected by and serves at the discretion of the District Board. All other staff members are selected by the Superintendent. The current administrative staff is:

Scott Elder, Superintendent. The Superintendent is the Chief Executive Officer of the District. The duties of the Superintendent are defined in statute and the New Mexico Regulatory Code. Scott Elder was appointed Superintendent after the Board conducted a national search in 2020. Mr. Elder previously has worked for the District as its Interim Superintendent, the Chief Operations Officer and in other capacities since 1991. He began his career teaching English as a Second Language at Highland High School and as principal at McKinley Middle School, the Career Enrichment Center and Early College Academy, Highland High School and Sandia High School prior to serving as Chief Operations Officer for five years. As Superintendent, Mr. Elder's primary responsibilities include: academic standards, professional development, school accountability and assessment, instructional and District technology, extended learning, quality assurance, higher education partnership and state department statewide partnership. Other responsibilities include development of District-wide processes and measures to accomplish District goals and oversight responsibilities for all elementary schools, secondary education, school improvement, student career pathways, educational options including charter and privately managed schools, student equity, the improvement of student graduation and student dropout rates, special populations, health/mental health, and character education. Mr. Elder holds Bachelor of Arts in Political Science and Spanish as well as a Master of Arts in Secondary Education. He has completed a Masters of Business Administration at the Anderson School of Management at the University of New Mexico in 2017.

Rennette Apodaca, MPA, CPPO, Chief Financial Officer. Rennette Apodaca, Chief Financial Officer since August 2022, began with the District in 2015 and has extensive public administration experience with a focus in procurement which includes Executive Director of Procurement and Accounts Payable and Business Systems for APS, Director of Purchasing, Risk Management and Materials Management at New Mexico State University, Purchasing Manager at Dona Ana County, and Purchasing Supervisor for a Federal NASA Contractor. She teaches public sector related courses for New Mexico Edge that includes Public Sector Procurement, Contract Administration, Public Sector Budgeting, Public

Finance and Procurement Administration. She has also served as president of New Mexico Public Procurement Association (NMPPA) and is current Membership Chair. Ms. Apodaca has a Bachelor of Accountancy and Master of Public Administration from New Mexico State University. She is a Certified Public Procurement Officer (CPPO) and State of New Mexico Certified Chief Procurement Officer (CPO). As the chief financial officer, she is a member of the Superintendent's Cabinet and Leadership teams. The chief financial officer manages the finances of the District and oversees the business units which handle the financial activity of the school District.

Dr. Gabriella Blakey, Chief Operations Officer. Dr. Gabriella Blakey has served school districts for many years in several roles, including as teacher, activities director, assistant principal, principal and associate superintendent, and as a charter co-founder/executive director. As Chief Operations Officer, she is a member of the Superintendent's Cabinet and Leadership teams. The Chief Operations Officer oversees the planning, development, assessment and improvement of operational services and administrative programs, including non-instructional projects of the District. Dr. Blakey holds a New Mexico Level III-B PreK-12 Administrative License and a New Mexico Level III-A Instructional Leader 7-12 Secondary License with an endorsement in Social Studies and TESOL. Dr. Blakey is a graduate of the District's Highland High School and holds a Bachelor of Science in Secondary Education from New Mexico State University. She holds a Master of Arts in Educational Leadership and a Doctor of Education from the University of New Mexico.

Intergovernmental Agreements

The District has entered into various joint powers agreements with other governmental entities in the State which permit all the governmental entities to jointly provide certain equipment purchases and other services cooperatively.

School Property

Currently, the District operates and maintains a variety of facilities in meeting its obligations to provide an educational program for the school-aged children residing within its boundaries. The District operates 88 elementary schools, 27 middle schools, 13 high schools, 2 K-8 schools and 12 schools of choice. Thirty-one charter schools and 23 New Mexico Public Education Commission chartered schools also operate within the District. The District owns vacant land held for future school sites.

Student Enrollment

The District's student enrollment, based on the 40th day count for the current and previous four years, is detailed below. During the COVID-19 pandemic, the District saw an enrollment decline of 1,234 students for the 2021-22 school year and saw an additional decline of 2,136 for the 2022-23 school year. Many of these families chose to homeschool their children. Others went to smaller private schools or charter schools.

Table 8
Student Enrollment

	<u>2018-19</u>	<u>2019-20</u>	<u>2020-21</u>	<u>2021-22</u>	<u>2022-23</u>
Elementary School	42,680	41,344	36,541	35,929	35,414
Middle School	20,279	20,325	19,172	18,111	16,975
High School	<u>27,674</u>	<u>27,884</u>	<u>27,850</u>	<u>28,289</u>	<u>27,804</u>
Total	90,633	89,553	83,563	82,329	80,193

Source: New Mexico Public Education Department, 40th day enrollment.

Accreditation

The District, as a whole, is accredited by PED. The District is subject to periodic monitoring by the PED to ensure continued compliance with accreditation standards.

FINANCIAL INFORMATION

General

The basic format for the financial operation of the District is provided by the PED through the School Budget Planning Division which is directed by State law to supervise and control the preparation of all budgets of all school districts. The District receives revenue from a variety of local, State, and federal sources, the most important of which are described below. New Mexico's public school finance laws are subject to review and examination through the judicial process and are subject to legislative changes as well. As a result, the District cannot anticipate with certainty all of the factors which may influence the financing of its future activities. There is no assurance that there will not be any change in, interpretation of, or addition to the applicable laws, provisions, and regulations which would have a material effect, directly or indirectly, on the affairs of the District.

District Budget Process

Each year, the school district budget process begins with the educational appropriations passed by the Legislature and signed into law by the Governor. The actual budget process follows specific steps set by the PED.

- Pursuant to instruction by the PED, the District must submit an operating budget for the next school year to the PED. If the District fails to submit a budget, the PED must prepare a District budget for the ensuing year. Upon written approval of the state superintendent, the date for the submission of the operating budget may be extended to a later date fixed by the state superintendent (Section 22-8-6).
- Before May 31 of each year, the District Board must hold a public hearing to fix the estimated budget for the next school year.
- Before June 20 of each year, the District must submit a balanced budget to the PED.
- On or before July 1 of each year, the PED must approve and certify an approved operating budget for use by the District Board.

No school board, officer or employee of a school district may make an expenditure or incur any obligation for the expenditure of public funds unless that expenditure is made in accordance with an operating budget approved by the PED. This requirement, however, does not prohibit the transfer of funds between line items within a series of a budget. Final budgets may not be altered or amended after approval by the PED except upon the District's request to the PED. An instance in which such requests will be approved include a change within the budget that does not increase the total amount of the budget. Additional budget items may also be approved if the District is to receive unanticipated revenues. Finally, if it becomes necessary to increase the District's budget by more than \$1,000 for any reason other than those listed above, the PED may order a special public hearing to consider the requested increase.

Formal budgetary integration is employed as a management control device during the year for the General Fund, Special Revenue Funds, and Debt Service Fund with appropriations lapsing at year end. Total expenditures of any function category may not exceed categorical appropriations.

To conform to PED's requirements, budgets for all funds of the District are adopted on the cash basis of accounting except for state instructional material credit. State instructional material funds

provide for free textbooks from the PED. As a result, budgets are not prepared in conformity with generally accepted accounting principles (GAAP), and budgetary comparisons are presented on the cash basis of accounting.

Pursuant to the District's internal policy, it has historically budgeted a 5% cash balance reserve.

Sources of Revenue for General Fund

The General Fund is the primary operating fund of the District and accounts for all financial resources, except those required to be accounted for in other funds. The sources of revenue for the District's General Fund are:

Local Revenues - Local revenues are a minor source of revenue to the District composed, in part, by a property tax annually levied on and against all of the taxable property within the District for operational purposes. The levy is limited by State law to a rate of 50 cents for each \$1,000 of net taxable value of taxable property. Other sources of local revenues include interest income earned on the District's investments, rentals and sale of property. In fiscal year 2022, the District received \$12,834,268 from local sources.

Federal Revenues - Another minor source of annual revenue for the District's General Fund is derived from federal grant funds related to vocational, special education, and various other programs and P.L. 874 federal impact moneys paid to the District in lieu of taxes on federal land located in the District. In fiscal year 2022, the District received \$246,181 in federal revenues for its General Fund.

State Revenues - The District's largest source of annual revenue is derived from the SEG payments described below. During fiscal year 2022, the District received \$729,322,827 from state sources. Such payments represented approximately 98.2% of actual fiscal year 2022 General Fund revenues.

State Equalization Guarantee

The State Legislature enacted New Mexico's current public school funding formula in 1974. Designed to distribute operational funds to local school districts in an objective manner, the funding formula is based upon the educational needs of individual students and costs of the programs designed to meet those needs. Program cost differentials are based upon nationwide data regarding the relative costs of various school programs, as well as data specific to New Mexico. The objectives of the formula are (1) to equalize educational opportunity statewide (by crediting certain local and federal support and then distributing state support in an objective manner) and (2) to retain local autonomy in actual use of funds by allowing funds to be used in local districts at the discretion of local policy making bodies. The formula is divided into three basic parts:

1. Educational program units that reflect the different costs of identified programs;
2. Training and experience units that attempt to provide additional funds so that districts may hire and retain better educated and more experienced instructional staff; and
3. Size adjustment units that recognize local school and community needs, economies of scale, types of students, marginal costs increases for growth in enrollment from one year to the next, and adjustments for the creation of new districts.

SEG payments are made monthly and prior to June 30 each fiscal year. The calculation of the distribution is also based on the local and federal revenues received from June 1 of the previous fiscal year through May 31 of the fiscal year for which the SEG payment is being computed. In the event that a district receives more SEG funds than its entitlement, the district must make a refund to the State's general fund.

Even though the current public school funding formula has been in place for more than three decades, some districts have indicated a concern about the fact that some districts receive less revenue per pupil compared to others. In response to these concerns, the Legislature, the Governor, and the State Board of Education authorized an independent, comprehensive study of the formula, which was conducted in 1996. In its principal finding the independent consultant concluded, ". . . When evaluated on the basis of generally accepted standards of equity, the New Mexico public school funding formula is a highly equitable formula. . . . [S]pending disparities are less than in other states and statistically insignificant."

Despite the acknowledged equity of the formula, the independent consultant pointed out a strong perception of unfairness in the so-called "density" factor and in the training and experience computations of some districts. As a result, the Legislature enacted the following changes to the funding formula:

- Required that special education students be counted with regular students with "add-on" weights assigned depending upon the severity of the disability;
- Changed weights for special education ancillary services and included diagnosticians in ancillary services computations; and
- Repealed the so-called "density" factor and replaced it with an at-risk factor that is available to all school districts.

State Equalization Guarantee budgeted amount to the District for the current and previous four fiscal years are as follows:

Table 9
State Equalization Guarantee Distribution⁽¹⁾

School Year	Program Unit Value	Number of Program Units	Amount Received
2022-2023	\$5,552.50	164,828	\$910,262,460
2021-2022	4,863.00	175,624	813,837,570
2020-2021	4,536.75	176,716	797,594,558
2019-2020	4,602.27	177,255	743,209,280
2018-2019	4,159.23	183,882	768,731,669

(1) Includes District charter school distributions.

Source: New Mexico Public Education Department.

The District is also reimbursed by the State for the costs of transporting pupils to and from school. These payments are based upon a formula consisting of the number of students per square mile that are transported. In fiscal year 2021-2022, the District received \$20,676,782 for transportation purposes.

Statement of Revenues, Expenditures and Changes in Fund Balances – General Fund

Below is a five-year history of the Statement of Revenues, Expenditures and Changes in Fund Balances (General Fund only) for the District. The complete independent audit report for the fiscal year ending June 30, 2022 and the last four fiscal years can be downloaded from the District's website using the following link: <http://www.aps.edu/departments/accounting>.

Table 10
General Fund Statement of Revenues, Expenditures and Changes in Fund Balances

	Fiscal Year <u>2018</u>	Fiscal Year <u>2019</u>	Fiscal Year <u>2020</u>	Fiscal Year <u>2021</u>	Fiscal Year <u>2022</u>
Revenues:					
Property taxes	\$5,250,807	\$5,448,042	\$5,594,452	\$5,780,165	\$5,886,625
State grants	627,270,218	638,271,621	718,022,132	706,995,565	729,322,827
Federal grants	149,409	214,637	107,680	363,392	246,181
Miscellaneous	10,405,767	12,755,795	7,959,080	3,820,612	6,837,364
Interest	917,111	2,100,664	1,693,517	55,713	110,279
Total revenues	\$643,993,312	\$658,790,759	\$733,376,861	\$717,015,447	\$742,403,276
Expenditures:					
Instruction	\$410,344,816	\$423,604,032	\$485,010,295	\$473,758,592	\$489,373,542
Student support services	60,209,526	66,165,000	72,541,249	71,645,133	78,850,236
Instruction support services	18,552,792	20,170,160	21,753,195	20,808,236	20,612,912
General administration	3,939,760	3,615,113	1,402,969	627,381	313,772
School administration	36,029,344	37,694,477	42,802,341	42,755,240	42,945,095
Central services	19,333,326	20,535,064	23,133,426	19,130,056	18,528,985
Operation & Maintenance of plant	83,547,259	83,288,544	82,435,221	85,483,552	88,563,811
Student transportation	4,019,438	3,208,321	2,941,438	250,851	--
Other support services	130,173	67,836	56,369	134,119	92,741
Community services	19,330	--	46,581	--	--
Capital Outlay	176,896	113,766	168,056	136,656	155,687
Total expenditures	\$636,302,660	\$658,462,313	\$732,291,140	\$714,729,816	\$730,436,781
Other Financing Sources					
Transfers	3,901	--	(1,343,270)	--	(112,136)
Total other financing sources (uses)	3,901	--	(1,343,270)	--	(112,136)
Excess Revenues over Expenditures	\$7,690,652	\$328,446	\$1,085,721	\$2,285,631	\$2,854,350
Fund balances-beginning of year	\$50,859,887	\$58,554,440	\$58,882,886	\$58,625,337	\$60,910,968
Fund balances-end of year	\$58,554,440	\$58,882,886	\$58,625,337	\$60,910,968	\$63,765,327

Sources: The figures have been extracted from the District's audited financial statements. Such figures are excerpts only and do not purport to be complete. The audited financial statements for the fiscal year ending June 30, 2022 are attached as Appendix A.

Management Comments Regarding District Finances

Over the last ten years, the Albuquerque area has seen a considerable drop in its general population. The impact to the District has been a loss of over 1,600 students per year on average. Due to

the impact of COVID-19, enrollment dropped by 1,234 students from the 2020-21 school year to the 2021-22 school year and experienced an additional 2,136 student drop from the 2021-22 school year to the 2022-23 school year. Student enrollment determines funding for the next school year. During the 2021 and 2022 fiscal years, the District was able to cover the reduced funding using Elementary and Secondary School Emergency Relief (“ESSER”) funds, as well as reducing expenditures. However, the rebound in student enrollment the District was hoping for from the prior year’s COVID-19 student losses, did not occur as expected in fiscal year 2023. Student enrollment continues to decline which will continue to adversely impact fiscal year 2024 SEG funding.

Enrollment is the primary generator in the state’s SEG funding. The District’s declining enrollment trend has led to annual decreases in SEG funding. The District entered the 2022-23 school year with approximately a \$10 million dollar budget deficit. During this school year, the state’s final SEG funding formula was increased, resulting in additional funding for the District, which decreased the current deficit to approximately \$6 million. Any remaining deficit at fiscal year-end will be shifted to ESSER III funds, allowing the District to maintain an ending cash balance in the operating fund of at least \$50 million.

The District anticipates a budget shortfall for fiscal year 2024, but planning and preparation are well underway to resolve this shortfall and the District expects to achieve a balanced budget for fiscal year 2024. To address the anticipated shortfall, the District has eliminated some open vacant positions and reallocated school staff based on enrollment. A reduction in staff may be necessary in the event measures taken to address the shortfall are unsuccessful. The District was awarded approximately \$242 million in American Rescue Plan Act (“ARPA”) funding, a large portion of which will carry over to fiscal year 2024. However, there are restrictions on how this federal funding can be used, and for the most part, shifting salary and benefit expenses of current employees to ARPA funds is not allowed. The funds must be used to address learning loss through the implementation of evidence-based interventions and ensure those interventions respond to students’ social, emotional, and academic needs and address the disproportionate impact of COVID-19 on underrepresented students. ARPA funding is a one-time award to help stabilize school budgets in the short-term. With that in mind, and with the steps outlined above, leadership has already begun the process of looking into longer-term expenditure adjustments to reflect and adapt to the declining enrollment environment, fine-tuning the budget on a broader scale and establishing long-standing budgetary balance.

Debt Service Funds

The Bernalillo and Sandoval County treasurers collect debt service funds sufficient to retire bonded debt as it becomes due and payable. Such funds are distributed to the District and accounted for separately from operating funds. The District is allowed to borrow all District funds if the collections are insufficient, but such borrowings must be repaid from tax collections. Debt service funds may not be used for general operating purposes.

Capital Projects Funds

The Capital Projects Funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities. Property sales are recorded when the parties are bound by the terms of the contract, all consideration (including adequate cash) has been exchanged and all conditions precedent to closing have been performed. Until a sale has been recorded, revenues are deferred and payments received are reflected as escrow deposits.

Under the requirements of GASB 54, the District is required to present certain of its governmental funds as major funds based upon certain criteria. The major funds presented in the fund

financial statements include the following (in addition to the District's General Fund operations), which include funds that were not required to be presented as major, but were presented at the discretion of management.

1. Debt Service Fund – This fund accounts for the servicing of general long-term debt not being financed by proprietary or nonexpendable trust funds.
2. Bond Building Capital Projects Fund – This fund is used to account for bond proceeds and any income earned thereon. The proceeds are restricted for the purpose of making additions to and furnishing of school buildings, or purchasing or improving school grounds or any combination thereof, as approved by the voters of the District.
3. Special Revenue Funds – This fund is used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specified purposes.
4. Capital Projects Funds – This fund accounts for the acquisition of fixed assets or construction of major capital projects not being financed by proprietary or nonexpendable trust funds.
5. Pupil Transportation Fund – This fund is used to account for the SEG payment, received from PED, which is used to pay for the costs associated with transporting school age children.
6. Food Service Fund – This fund is to account for the cost of operating a student breakfast, lunch, snack bar and summer lunch program and is financed with federal grants and fees paid by program users.
7. IASA Title I Fund – This fund is to provide compensatory education services to educationally deprived school children (including private school pupils) in low-income areas. (P.L. 103-382)
8. IDEA-B Entitlement Fund – This fund is used to account for federal resources administered by the PED to provide for special educational needs of handicap 6-21-year-olds. (PL 94-142 & PL 99-457)
9. Capital Improvements HB33 Fund – This fund is to account for the costs relating to erecting, remodeling, making additions to, providing equipment for, or furnishing public school buildings and purchasing or improving public school grounds. Financing is provided through property taxes as authorized by the Public School Buildings Act (22-26-1 to 22-26-9, NMSA 1978).
10. Capital Improvements SB9 Fund – This fund is to account for erecting, remodeling, making additions to, providing equipment for, or furnishing public school buildings and purchasing or improving public school grounds or any combination thereof as identified by the local school board. Pursuant to the formula set forth in NMSA 1978 Section 22-25-9, the PED may pay additional sums to the District. Payment to the District by the PED is subject to the availability of funds.

Student Activity Funds

School sites, as fiscal agents, maintain and monitor special funds on behalf of various school activity groups. The funds are maintained by the schools and are intended to benefit specific activity or interest and are generally raised by students for student use. These funds were previously reported as agency funds in the financial statements. During the 2021 fiscal year, the District implemented GASB Statement No. 84, Fiduciary Activities. As a result, these funds are no longer considered agency funds, but are now classified as governmental funds. While these funds are under the supervision of the District and enhance the District's educational programs, they are funds of the individual schools and/or their student bodies and are not available for use by the District.

Investments

See Note 2 of the District's June 30, 2022 Audited Financial Statements attached hereto as Appendix A for information regarding the District's investments and depository accounts. The District only invests in securities permitted under NMSA 1978 Section 6-10-10.

The District implemented an investment program during the 2017 fiscal year. The program focuses on the District's need for cash liquidity, while enhancing the return on the use of the District's idle cash. The investment strategy uses a dual approach, with long-term investments made in U.S. Treasuries with staggered maturity dates of 1 to 3 years from the date of purchase. The second part invests cash on a short-term basis with the State Treasurer's Office, Local Government Investment Pool (LGIP), and with a government-only money market fund. The District's total cash balance, as of June 30, 2022, was distributed between U.S. Treasuries at 24%, LGIP at 20%, and 56% on-demand collateralized bank and money market deposits.

Employee Retirement Plan and Other Post-Employment Benefits

The District employs approximately 11,302 permanent employees as of June 30, 2022, of which 7,572 (67%) are certified educational staff (teachers/counselors/librarians/nurses) and 1,660 (14.7%) are classroom educational assistants, for a total of 9,232 (80.8%) certified direct classroom employees.

In addition to the following discussion, Notes 13 and 14 of the District's June 30, 2022 Audited Financial Statements attached hereto as Appendix A provides additional information regarding the District's pension and other post-employment benefit plans.

ERB Pension Plan Description:

Substantially all of the District's full-time employees participate in a public employee retirement system authorized under the Educational Retirement Act (Chapter 22, Article 11, NMSA 1978). The Educational Retirement Board ("ERB") is the administrator of the plan, which is a cost-sharing, multiple-employer defined benefit retirement plan. The plan provides for retirement benefits, disability benefits, survivor benefits and cost-of-living adjustments to plan members (certified teachers and other employees of State public school districts, colleges and universities) and beneficiaries. ERB issues a separate, publicly available financial report that includes financial statements and required supplementary information for the plan. The report may be obtained by writing to ERB, P.O. Box 26129, Santa Fe, New Mexico 87502. The report is also available on ERB's website at www.nmerb.org.

Contributions:

The contribution requirements of defined benefit plan members and the District are established in state statute under Chapter 10, Article 11, NMSA 1978. The requirements may be amended by acts of the legislature. For the fiscal years ended June 30, 2022, employers contributed 15.15% of employees' gross annual salary to the Plan. Employees earning \$24,000 or less contributed 7.90% and employees earning more than \$24,000 contributed 10.70% of their gross annual salary. For the fiscal year ending June 30, 2021, employers contributed 14.15% and in fiscal years ending June 30, 2020, 2019 and 2018 employers contributed 13.90%. For the fiscal year ending June 30, 2021, employers contributed 15.15% of employees' gross annual salary to the Plan. For the fiscal years ended June 30, 2022, employees earning \$24,000 or less contributed 7.90% and employees earning more than \$24,000 contributed 10.70% of their gross annual salary. For fiscal years ending June 30, 2020, 2019 and 2018, employees earning \$20,000 or less continued to contribute 7.90% and employees earning more than \$20,000 contributed an increased amount of 10.70% of their gross annual salary. Contributions to the pension plan from the District were

\$134,027,233 for the year ended June 30, 2021, which equals the amount of the required contribution for such fiscal year.

Pension Liabilities:

The total ERB pension liability, net pension liability, and sensitivity information were based on an annual actuarial valuation performed as of June 30, 2019. The total ERB pension liability was rolled forward from the valuation date to the Plan year ending June 30, 2020, using generally accepted actuarial principles. Therefore, the employer's portion was established as of the measurement date June 30, 2020. At June 30, 2022, the District reported a liability of \$1,208,673,186 for its proportionate share of the net pension liability. The District's proportion of the net pension liability is based on the employer contributing entity's percentage of total employer contributions for the fiscal year ended June 30, 2022. The contribution amounts were defined by Section 22-11-21, NMSA 1978. At June 30, 2021 and June 30, 2020, the District's proportion was 17.05367 and 17.44943%, respectively.

On June 25, 2012, the Governmental Accounting Standards Board approved Statement No. 68 which addresses accounting and financial reporting for pensions that are provided to employees of state and local government employers through pension plans that are administered through trusts and also establishes standards for measuring and recognizing liabilities, deferred outflows of resources, deferred inflows of resources, and expenses. According to Statement No. 68, the School District, as a contributor to ERB, is required to recognize its proportionate share of the collective net pension liability, pension expense, and deferred inflows or outflows of resources of the cost-sharing, multi-employer plan with ERB.

In July 2012, the ERB adopted goals of achieving 95%, plus or minus 5% funded ratio by the year 2042. To achieve this goal, the New Mexico Legislature amended the Educational Retirement Act in the 2013 legislative session (Senate Bill 115; Chapter 61, Laws 2013). The legislation kept in place scheduled increases in employer contribution rates, created a new tier membership for persons who become members of the ERB Fund on or after July 1, 2013, created certain actuarial limitations on benefits of new tier members, placed limitations on future cost of living adjustments ("COLA") for current and future retirees which are tied to the future funded ratios of the Fund, and made certain other clarifying and technical changes.

In December 2013, the New Mexico Supreme Court in *Barlett v. Cameron*, 316 P.3d 889 (N.M. 2013), rejected the claims of certain retired teachers, professors and other public education employees challenging the state constitutionality of Senate Bill 115 to the extent that it reduces the future amounts that all education retirees might receive as annual COLA. The Court held that Article XX, Section 22 of the New Mexico Constitution did not grant the retirees a right to an annual COLA based on the formula in effect on the date of their retirement for the entirety of their retirement. The Court held that in the absence of any contrary indication from the New Mexico Legislature, any future COLA to a retirement benefit is merely a year-to-year expectation that, until paid, does not create a property right under the New Mexico Constitution. Once paid, the COLA, by statute, becomes part of the retirement benefit, and a property right subject to those constitutional protections.

Pension Plan Statistics

Following is a 5-year history of employer and employee contributions statewide, and average asset balance of the fund:

Fiscal Year Ending June 30	Employer Contributions	Employee Contributions	Net Assets Held in Trust
2018	\$388,723,983	\$287,323,804	\$12,970,300,855
2019	406,549,056	300,652,249	13,544,691,114
2020	451,556,144	328,080,239	13,019,196,862
2021	452,872,287	327,477,585	16,361,524,358
2022	511,943,988	347,917,165	15,550,701,708

Source: New Mexico Educational Retirement Board, Financial Reports

Post-Employment Benefits:

The Retiree Health Care Act (Section 10-7C-13 NMSA 1978) (the “RHCA”) issues a publicly available stand-alone financial report that includes financial statements and required supplementary information for the post-employment healthcare plan. That report and further information can be obtained by writing to the Retiree Health Care Authority at 4308 Carlisle NE, Suite 104, Albuquerque, NM 87107.

Funding Policy:

The RHCA authorizes the RHCA Board to establish the monthly premium contributions that retirees are required to pay for healthcare benefits. Each participating retiree pays a monthly premium according to a service-based subsidy rate schedule for the medical plus basic life plan plus an additional participation fee of five dollars if the eligible participant retired prior to the employer’s RHCA effective date or is a former legislator or former governing authority member. Former legislators and governing authority members are required to pay 100% of the insurance premium to cover their claims and the administrative expenses of the plan. The monthly premium rate schedule can be obtained from the RHCA or viewed on their website at www.nmrhca.state.nm.us.

The employer, employee and retiree contributions are required to be remitted to the RHCA on a monthly basis. The statutory requirements for the employer and employee contributions can be changed by the New Mexico State Legislature. Employers that choose to become participating employers after January 1, 1998 are required to make contributions to the RHCA fund in the amount determined to be appropriate by the board.

The RHCA establishes the required contributions of participating employers and their employees. For employees that were members of an enhanced retirement plan (state police and adult correctional officer member coverage plan 1; municipal police member coverage plan 3, 4 or 5; municipal fire member coverage plan 3, 4 or 5; municipal detention officer member coverage plan 1; and members pursuant to the Judicial Retirement Act) during the fiscal year ended June 30, 2013, the statute required each participating employer to contribute 2.5% of each participating employee’s annual salary; and each participating employee was required to contribute 1.25% of their salary. For employees that were not members of an enhanced retirement plan during the fiscal year ended June 30, 2013, the statute required each participating employer to contribute 2.0% of each participating employee’s annual salary; each participating employee was required to contribute 1.0% of their salary. In addition, pursuant to Section 10-7C-15(G) NMSA 1978, at the first session of the Legislature following July 1, 2013, the legislature shall review and adjust the distributions pursuant to Section 7-1-6.1 NMSA 1978 and the employer and

employee contributions to the authority in order to ensure the actuarial soundness of the benefits provided under the Retiree Health Care Act.

The District's contribution to the RHCA for the year ended June 30, 2022 was \$11,591,149, which equals the required contribution for the year.

The District believes it does not have any liability should the plan be underfunded. In the future, the District's on-going contribution percentage may be increased.

Cybersecurity

The District operates a large and complex information technology infrastructure to support internal and external operations. As is the case with any such environment, the threat of cybersecurity incidents is a constant one. These incidents may arise from multiple sources, including unintentional events or actions, intentional insider threat, and deliberate malicious attacks or actions from outside entities. The effect of these threats may include unauthorized access to District systems, data or resources, inappropriate exposure or use of District information, disruption of District services, and damage to District systems.

The District continuously assesses its vulnerability to intentional and unintentional data and cybersecurity breaches. Specifically, the District has adopted a four-pronged approach consisting of (1) Education, (2) Protection, (3) Prevention and Mitigation and (4) Vigilance. Education measures include annual employee training and testing on cybersecurity topics and implementing data collection and retention reviews to ensure District staff obtain and store only data that provides value. Protection measures include data and communication encryption, regular access reviews for sensitive data and processes and use of sensitive data change reports. Prevention and mitigation measures include heightened intrusion prevention and detection strategies coupled with increased URL screening and filtering. Finally, vigilance measures include the development of up-to-date internal processes for suspicious activities and events, annual external review of cybersecurity posture, monthly external penetration tests, collaboration with federal enforcement entities and annual review of industry, local, state and federal cybersecurity requirements. The District also maintains a cyber-security insurance policy.

DEBT AND OTHER FINANCIAL OBLIGATIONS

Article IX, Section 11 of the New Mexico Constitution limits the powers of a district to incur general obligation debt extending beyond the fiscal year. A district can incur such debt for the purpose of erecting, remodeling, making additions to and furnishing school buildings or purchasing or improving school grounds, to purchase computer software and hardware for student use in public schools, to provide matching funds for capital outlay projects funded pursuant to the Public School Capital Outlay Act, or any combination of these purposes but only after the proposition to create any such debt has been submitted to a vote of the qualified electors of such district, and a majority of those voting on the question vote in favor of creating the debt. The total indebtedness of the district may not exceed 6% of the assessed valuation of the taxable property within the district as shown by the last preceding general assessment. The district also may create a debt by entering into a lease-purchase arrangement to acquire education technology equipment without submitting the proposition to a vote of the qualified electors of the district, but any such debt is subject to the 6% debt limitation. The issuance of refunding bonds is not subject to the 6% debt limitation and is not subject to a vote of the qualified electors of the district.

The assessed valuation of taxable property within the District is \$19,625,338,891 for tax year 2022, as approved by the State of New Mexico Taxation and Revenue Department, Property Tax

Division. Generally, the maximum general obligation indebtedness of the District may not exceed 6% of the assessed valuation or \$1,177,520,333.

After the Series 2023 Bonds are issued, the ratio of total net outstanding general obligation debt of the District to the 2022 assessed valuation is summarized below:

Table 11
Debt Ratios

2022 Assessed Valuation	\$19,625,338,891
2022 Estimated Actual Valuation ⁽¹⁾	70,713,344,799
 NET BONDED DEBT	 \$484,450,000
 Ratio of Net Debt to 2022 Assessed Valuation:	 2.47%
Ratio of Net Debt to 2022 Estimated Actual Valuation:	0.69%
Per Capita Net Bonded Debt	\$715.92
Estimated Population	676,685

(1) Actual valuation is computed by adding the total exemptions to the assessed valuation and multiplying by three.

Source: Bernalillo and Sandoval County Assessors' Offices and the District.

Outstanding Debt

The District has issued debt ("Outstanding Debt") in the past for various capital improvements and has never defaulted in the payment of any of its debt or other obligations. Listed below is the District's total general obligation debt outstanding, including the Series 2023 Bonds.

Table 12
Outstanding Debt

	Original Amount Issued	Final Maturity	Principal Outstanding
2009C QSCBs	\$14,300,000	8/1/2024	\$14,300,000
2010B QSCBs	32,690,000	8/1/2027	32,690,000
2014A ⁽¹⁾	75,000,000	8/1/2023	52,800,000
2014B	94,305,000	8/1/2023	10,870,000
2015	70,000,000	8/1/2030	62,100,000
2017	100,000,000	8/1/2033	83,900,000
2018	110,000,000	8/1/2037	96,500,000
2021A	43,000,000	8/1/2036	36,400,000
2021B	29,100,000	8/1/2024	20,225,000
2021C	28,525,000	8/1/2029	27,665,000
2022A	57,000,000	8/1/2037	47,000,000
2023A	70,000,000	8/1/2038	70,000,000
2023B	42,885,000	8/1/2029	42,885,000

(1) The Series 2014A Bonds maturing on and after August 1, 2024 are being refunded with a portion of the proceeds of the Series 2023B Bonds. See "PLAN OF FINANCING – The Refunding Project" and "SCHEDULE I – REFUNDED BONDS."

Source: The District.

Debt Service Requirements by Maturity

The District schedules principal and interest payments at the time of the bond sales with constraints being general obligation debt capacity and expected property tax revenues. Below is a summary of the currently scheduled principal and interest on the District's outstanding general obligation bond debt as well as the proposed principal and interest payments on the Series 2023 Bonds.

Table 13
Debt Service Requirements by Maturity

Calendar Year	Current GO Bonds Requirements ⁽¹⁾			Series 2023 GO Bonds			Total GO Bonds Requirements		
	Principal	Interest	Total	Principal	Interest	Total	Principal	Interest	Total
2023	\$55,665,000	\$20,286,100	\$75,951,100	\$23,355,000	\$1,160,206	\$24,515,206	\$79,020,000	\$21,446,307	\$100,466,307
2024	45,655,000	17,001,859	62,656,859	9,500,000	4,476,500	13,976,500	55,155,000	21,478,359	76,633,359
2025	39,255,000	15,111,279	54,366,279	9,535,000	4,001,500	13,536,500	48,790,000	19,112,779	67,902,779
2026	41,680,000	13,294,423	54,974,423	9,575,000	3,524,750	13,099,750	51,255,000	16,819,173	68,074,173
2027	41,735,000	11,441,715	53,176,715	10,620,000	3,046,000	13,666,000	52,355,000	14,487,715	66,842,715
2028	38,920,000	9,560,114	48,480,114	11,000,000	2,515,000	13,515,000	49,920,000	12,075,114	61,995,114
2029	38,705,000	7,949,472	46,654,472	11,060,000	1,965,000	13,025,000	49,765,000	9,914,472	59,679,472
2030	32,945,000	6,326,750	39,271,750	3,135,000	1,412,000	4,547,000	36,080,000	7,738,750	43,818,750
2031	19,845,000	4,830,500	24,675,500	3,135,000	1,255,250	4,390,250	22,980,000	6,085,750	29,065,750
2032	19,845,000	3,864,250	23,709,250	3,135,000	1,098,500	4,233,500	22,980,000	4,962,750	27,942,750
2033	19,745,000	2,898,000	22,643,000	3,135,000	941,750	4,076,750	22,880,000	3,839,750	26,719,750
2034	11,835,000	2,041,750	13,876,750	3,135,000	785,000	3,920,000	14,970,000	2,826,750	17,796,750
2035	11,835,000	1,502,000	13,337,000	3,135,000	628,250	3,763,250	14,970,000	2,130,250	17,100,250
2036	11,835,000	936,250	12,771,250	3,135,000	471,500	3,606,500	14,970,000	1,407,750	16,377,750
2037	9,300,000	370,500	9,670,500	3,135,000	314,750	3,449,750	12,435,000	685,250	13,120,250
2038	--	--	--	3,160,000	158,000	3,318,000	3,160,000	158,000	3,318,000
TOTAL	\$438,800,000	\$117,414,962	\$556,214,962	\$112,885,000	\$27,753,956	\$140,638,956	\$551,685,000	\$145,168,919	\$696,853,919

(1) Excludes the Refunded Series 2014A Bonds. See "PLAN OF FINANCING – The Refunding Project" and "SCHEDULE I – REFUNDED BONDS."

Authorized but Unissued Bonds

After this issuance, the District will have \$130 million of authorized but unissued general obligation bonds remaining from the 2021 Bond Election. See "INTRODUCTION – Purposes of the Series 2023 Bonds." The District expects to issue additional bonds under the 2021 Bond Election over the next two years.

Statement of Estimated Direct and Overlapping Debt

The following is a calculation of the debt load and per capita debt of the District payable from property taxes. In addition to outstanding debt of the District, the calculation takes into account debt attributable to overlapping taxing entities which is the responsibility of taxpayers within the boundaries of the District. Revenue bonds are not included and are payable from sources other than property taxes.

Table 14
Estimated Direct and Overlapping Debt

Equity	2022 Assessed Value	G/O Debt Outstanding ⁽¹⁾	Percent Applicable	Amount
State of New Mexico	\$70,390,642,337	\$414,365,000	27.88%	\$115,527,480
City of Albuquerque	15,655,758,735	394,391,000	100.00	394,391,000
Bernalillo County	19,256,970,464	107,325,000	98.12	105,310,505
Sandoval County	4,599,312,293 ⁽¹⁾	13,215,000	10.69	1,412,253
Central New Mexico Community College	22,617,818,050	83,040,000	86.77	72,053,287
Village of Los Ranchos	313,811,341	1,585,000	100.00	1,585,000
Albuquerque Metropolitan Arroyo Flood Control Authority	17,636,661,843	42,515,000	100.00	42,515,000
S. Sandoval County Arroyo Flood Control Authority	3,526,237,137 ⁽¹⁾	18,840,000	13.81	2,601,471
Albuquerque Municipal School District No. 12	19,625,338,891	484,450,000	100.00	484,450,000
Total Direct & Overlapping Debt				\$1,219,845,997
Ratio of Estimated Direct & Overlapping Debt to 2022 Assessed Valuation:				6.22%
Ratio of Estimated Direct & Overlapping Debt to 2022 Estimated Actual Valuation:				1.73%
Per Capita Direct & Overlapping Debt:				\$1,802.68
Estimated Population:				676,685

(1) Reflects portion applicable to Albuquerque Municipal School District NO. 12.

Source: Bernalillo and Sandoval County Assessor's Office, State Assessed Property Tax Division and individual entities.

VERIFICATION OF CERTAIN MATHEMATICAL COMPUTATIONS

The mathematical accuracy of the computations of the adequacy of the principal amounts and the interest thereon of the Federal Securities and other funds to be deposited in the Escrow Fund, to provide for the payment, of the principal of and interest on the Refunded Series 2014A Bonds upon early redemption thereof will be verified by the Verification Agent. Such verification will be based, in part, upon information supplied by the Municipal Advisor.

LITIGATION

There is no action, suit, proceeding, inquiry, investigation or controversy of any nature pending, or to the District's knowledge threatened, involving the District (i) in any way questioning (A) the authority of any officer of the District to exercise the duties and responsibilities of his or her office or (B) the existence, powers or authority of the District material to the Series 2023 Bonds or the security for the Series 2023 Bonds; (ii) seeking to restrain or enjoin the issuance, sale, execution or delivery of, or the performance by the District of its obligations under, the Series 2023 Bonds; (iii) in any way contesting or

affecting (A) the issuance, sale, execution or delivery of the Series 2023 Bonds or (B) the validity or enforceability of the Series 2023 Bonds, any of the documents relating to the Series 2023 Bonds or any action contemplated by or pursuant to any of the foregoing; (iv) which, except as and to the extent disclosed below may result, either individually or in the aggregate, in final judgments against the District materially adversely affecting its financial condition; or (v) asserting that the Preliminary Official Statement or the Official Statement contained or contains any untrue statement of a material fact or omitted or omits to state any material fact necessary to make the statements therein, in light of the circumstances under which they were made, not misleading. On the Closing Date, the District will deliver a no-litigation certificate as to the foregoing.

Litigation Relating to State Education System

The State's process to fund public education on a uniform and adequate basis has been challenged in various courts, including the First and Eleventh Judicial District Courts. In 2014, two different plaintiff groups filed lawsuits in the First Judicial District Court for the State of New Mexico in Santa Fe County, each of which challenged the sufficiency of school funding and the school funding formula, specifically as applied and related to the needs of at-risk students. The two lawsuits were consolidated (*Martinez, et al. v. the State of New Mexico* consolidated with *Yazzie, et al. v. the State of New Mexico*, No. D-101-CV-2014-00793) and proceeded to a bench trial in the summer of 2017. On February 14, 2019, the Court entered a Final Judgment and Order. The Court concluded that the State violated the Education Clause, the Equal Protection Clause, and the Due Process Clause of the New Mexico Constitution. The Court required the State to take necessary steps to ensure schools have resources, including funding and accountability measures, to give at-risk students an opportunity to obtain a sufficient education. In response, during the 2019 Regular Session, the Legislature increased public school funding by approximately \$400 million. The court has not indicated whether this will be sufficient to satisfy the requirements of the Judgment. The Decision is expected to continue to affect future funding for all school age students. It is premature to assess what ongoing effect these lawsuits may have on the State's school financing system, or the District. The legislature has responded to the lawsuit by increasing funding for education in each fiscal year since the decision was rendered.

In 1998, the Zuni Public School District filed a lawsuit in the Eleventh Judicial District Court for the State of New Mexico in McKinley County (*Zuni Public School District, et al., v. the State of New Mexico, et al.*, No. D-1113-CV-9800014) seeking a declaratory judgment that the State's method of funding of capital improvements for public schools violated the State Constitution's requirement to provide for a uniform and adequate system of funding capital improvements, specifically as applied and related to the needs of the students of Gallup-McKinley. On December 29, 2020, the trial court filed a Decision and Order ruling in favor of the Plaintiffs. On June 18, 2021, the State filed a Notice of Appeal with the New Mexico Court of Appeals. The appeal operates as an automatic stay of the District Court's judgment.

As these educational funding litigation cases go through potential appeals, post-trial procedures and any remedial measures, the outcomes of such litigation may impact the State's education funding processes for all school age students and could impact the State's school financing system and the District; however, the extent of such impact is currently unknown.

New Mexico Tort Claims Act Limitations

The New Mexico Tort Claims Act limits liability to (i) \$200,000 for damage to or destruction of property arising out of a single occurrence, (ii) \$300,000 for all past and future medical and medically-related expenses arising out of a single occurrence, (iii) \$400,000 to any person for any number of claims arising out of a single occurrence for all damages other than property damage and medical and medically-

related expenses, as permitted under the New Mexico Tort Claims Act, and (iv) \$750,000 for all claims other than medical or medically-related expenses arising out of a single occurrence. Both the Tort Claims Act and associated District Ordinance make provision for pro-rata payment of claims in the event the Fund would be exhausted by payment of all claims allowed during a particular fiscal year. (See §2-8-2-9.) The statutory cap on damages recoverable under the Tort Claims Act has not been adjusted for many years, and it is reasonable to expect that the legislature may amend the statute to increase the cap on damages at some point in the coming years.

Risk Management

The District is exposed to various risks of loss related to theft of, damage to and destruction of assets; errors and omissions; and injuries to employees. The District is registered with the State of New Mexico Insurance Commission (the “Commission”) as a self-insured entity for workers’ compensation, property and liability coverage. However, the District has purchased excess coverage policies that cover losses over \$650,000, \$250,000 and \$350,000 for workers’ compensation, property and liability, respectively. In order to self-insure, the Commission requires that the District restrict its cash balance in an amount equal to the estimated workers’ compensation claim liability, excluding incurred but not reported claims. The District is self-insured for group health and offers other employee related benefits through several providers. The District is not responsible for charter school liability.

TAX MATTERS

In the opinion of Modrall, Sperling, Roehl, Harris & Sisk, P.A., Bond Counsel, to be delivered at the time of original issuance of the Series 2023 Bonds, under existing laws, regulations rulings and judicial decisions, and assuming compliance with covenants described herein, interest on Series 2023 Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference under Section 57 of the Code (as defined below) for purposes of the federal alternative minimum tax imposed for the owners thereof. However, for tax years beginning after December 31, 2022, interest on the 2023 Bonds is included in the “adjusted financial statement income” of certain corporations that are subject to the alternative minimum tax under Section 55 of the Code. Bond Counsel is also of the opinion, based on existing laws of the State of New Mexico as enacted and construed, that interest on the Series 2023 Bonds is exempt from all taxation by the State of New Mexico or any political subdivision thereof.

The Internal Revenue Code of 1986, as amended (the “Code”), imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal tax purposes of interest on obligations such as the Series 2023 Bonds. The District has made various representations and warranties with respect to, and has covenanted in the resolution authorizing issuance of the Series 2023 Bonds and other documents, instruments and certificates to comply with the applicable provisions of the Code to assure that interest on the Series 2023 Bonds will not become includible in gross income, although the interest may be includible for alternative minimum tax purposes. Failure to comply with these covenants or the inaccuracy of these representations and warranties may result in interest on the Series 2023 Bonds being included in gross income from the date of issue of the Series 2023 Bonds. The opinion of Bond Counsel assumes compliance with the covenants and the accuracy of such representations and warranties.

Although Bond Counsel has rendered an opinion that interest on the Series 2023 Bonds is excludable from gross income for federal income tax purposes, the accrual or receipt of interest on the Series 2023 Bonds may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend upon the recipient’s particular tax status or other items of income or deduction. Bond Counsel expresses no opinion regarding any such consequences. Before

purchasing any of the Series 2023 Bonds, potential purchasers should consult their tax advisors as to the tax consequences of purchasing or owning the Series 2023 Bonds.

The opinions expressed by Bond Counsel are based upon existing law as of the date of issuance and delivery of the Series 2023 Bonds, and Bond Counsel expresses no opinion as of any date subsequent thereto or with respect to any pending legislation.

From time to time, there are legislative proposals in Congress that, if enacted, could alter or amend the federal tax matters referred to above or adversely affect the market value of the Series 2023 Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted, it would apply to Series 2023 Bonds issued prior to enactment. Each purchaser of the Series 2023 Bonds should consult his or her own tax advisor regarding any pending or proposed federal tax legislation. Bond Counsel expresses no opinion regarding any pending or proposed federal tax legislation.

Internal Revenue Service Audit Program

The Internal Revenue Service (the “Service”) has an ongoing program auditing tax-exempt obligations to determine whether, in the view of the Service, interest on such tax-exempt obligations is includable in the gross income of the owners thereof for federal income tax purposes. No assurances can be given as to whether the Service will commence an audit of the Series 2023 Bonds. If an audit is commenced, under current procedures the Service will treat the District as the taxpayer and the Bond owners may have no right to participate in such procedure. Neither the initial purchasers of the Series 2023 Bonds nor Bond Counsel is obligated to defend the tax-exempt status of the Series 2023 Bonds. The District has covenanted in the Bond Resolution not to take any action that would cause the interest on the Series 2023 Bonds to become includable in gross income except to the extent described above for the owners thereof for federal income tax purposes. None of the District, the initial purchasers of the Series 2023 Bonds, or Bond Counsel is responsible to pay or reimburse the costs of any Bond owner with respect to any audit or litigation relating to the Series 2023 Bonds.

Original Issue Premium

The Series 2023 Bonds were offered at a premium (“original issue premium”) over their principal amount. For federal income tax purposes, original issue premium is amortizable periodically over the term of a bond through reductions in the holders’ tax basis in the bond for determining taxable gain or loss from sale or from redemption prior to maturity. Amortizable premium is accounted for as reducing the tax-exempt interest on the bond rather than creating a deductible expense or loss. Holders of Series 2023 Bonds offered at an original issue premium should consult their tax advisors for an explanation of the amortization rules.

Post-Issuance Tax Compliance Procedures

The District has previously adopted post-issuance tax compliance procedures which will be utilized in connection with investment and expenditure of the proceeds of the Series 2023 Bonds and the use of projects funded with such proceeds.

CONTINUING DISCLOSURE UNDERTAKING

In connection with its issuance of the Series 2023 Bonds, the District will execute a separate Continuing Disclosure Undertaking for each series of Series 2023 Bonds, forms of which are attached as Appendix D hereto, under which it will agree for the benefit of the owners of Series 2023 Bonds (i) to

provide audited annual financial statements of the District when available after the end of each Fiscal Year, commencing Fiscal Year 2023, and to provide certain annual financial information and operating data relating to the District by March 31st of the following Fiscal Year, and (ii) to provide timely notice of certain enumerated events in accordance with the requirements of the Rule .

In prior years, certain continuing disclosure filings were not properly attributed to all applicable CUSIP numbers for the District's bonds, however, such filings have since been properly associated with all related CUSIP numbers. For the past five years, the District has complied in all material respects with its existing continuing disclosure undertakings in accordance with the Rule.

LEGAL MATTERS

In connection with the issuance and sale of the Series 2023 Bonds, Modrall, Sperling, Roehl, Harris & Sisk, P.A., Albuquerque, New Mexico, as Bond Counsel, expect to deliver the two opinions attached in Appendix C hereto. Certain legal matters relating to the Series 2023 Bonds will be passed upon for the District by Disclosure Counsel, Sherman & Howard L.L.C., Albuquerque, New Mexico. Delivery of the Series 2023 Bonds is also subject to the delivery of an approving opinion of the Attorney General of the State of New Mexico. Neither Disclosure Counsel nor Bond Counsel have participated in any independent verification of the information concerning the financial condition of the District contained in this Official Statement.

The District will furnish to the Underwriters a complete transcript of proceedings incident to the authorization and issuance of the Series 2023 Bonds. Although it may represent the Municipal Advisor and the Underwriters from time to time in matters unrelated to the issuance of the Series 2023 Bonds, Bond Counsel has been engaged by and only represents the District in the issuance of the Series 2023 Bonds. Such firm has reviewed the information appearing in this Official Statement and Bond Counsel is of the opinion that the information relating to the Series 2023 Bonds and legal matters contained herein is an accurate and fair description of the laws and legal issues addressed therein and, with respect to the Series 2023 Bonds, such information conforms to the Bond Resolution. The legal fees to be paid to Bond Counsel and Disclosure Counsel for services rendered in connection with the issuance of the Series 2023 Bonds are contingent upon the sale and delivery of the Series 2023 Bonds. Certain legal matters will be passed upon for the Underwriters by their counsel, McCall, Parkhurst & Horton L.L.P., Dallas, Texas whose fee is contingent upon the sale and delivery of the Series 2023 Bonds.

The various legal opinions to be delivered concurrently with the delivery of the Series 2023 Bonds express the professional judgment of the attorneys rendering the opinion as to the legal issues explicitly addressed therein. In rendering a legal opinion, the attorney does not become an insurer or guarantor of that expression of professional judgment, of the transaction opined upon or of the future performance of the parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

INDEPENDENT ACCOUNTANTS

Moss-Adams LLP audited the financial statements of the District as of and for the year ended June 30, 2022 and delivered their report to the New Mexico State Auditor and the District. The complete Comprehensive Annual Financial Report of the District – Audited General Purpose Financial Statements – as of and for the Fiscal Year ended June 30, 2022, as well as for previous fiscal years, are public documents and are available from the New Mexico State Auditor and on the District website at <http://www.aps.edu>. An excerpt from the 2022 audit is included in Appendix A to this Official Statement. Moss-Adams LLP has not been engaged to review this Official Statement or any information contained herein.

UNDERWRITING

The Underwriters have agreed to purchase the Series 2023 Bonds from the District pursuant to Bond Purchase Agreements dated April 26, 2023 (the “Bond Purchase Agreements”). The Underwriters agreed to purchase the Series 2023A Bonds for a price of \$75,195,868.65 (being the par amount of the Series 2023A Bonds, plus an original issue premium of \$5,410,107.15 and less an Underwriters’ discount of \$214,238.50). The Underwriters agreed to purchase the Series 2023B Bonds for a price of \$46,317,447.45 (being the par amount of the Series 2023B Bonds, plus an original issue premium of \$3,556,969.25 and less an Underwriters’ discount of \$124,521.80).

The Bond Purchase Agreements provide that the Underwriters will purchase all of the Series 2023 Bonds if any are purchased. The obligation to make such purchase is subject to certain terms and conditions set forth in the Bond Purchase Agreements, including the approval of certain legal matters by counsel and certain other conditions. The prices at which the Series 2023 Bonds are offered to the public (and the yields resulting therefrom) may vary from the initial public offering prices appearing on the inside cover page of this Official Statement. In addition, the Underwriters may allow commissions or discounts from such initial offering prices to dealers and others.

The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

RATING

S&P Global Ratings (“S&P”) has assigned the Series 2023 Bonds a rating of “AA” without regard to any enhancement program. Such rating reflects only the views of S&P, and the District makes no representation as to the appropriateness of such rating. An explanation of the significance of the rating may only be obtained from S&P. The District has furnished to S&P certain information and materials relating to the Series 2023 Bonds and the District, some of which may not have been included in this Official Statement. Generally, rating agencies base their ratings on such information and materials and on investigation, studies and assumptions by the rating agencies. The rating is not a recommendation to buy, sell or hold the Series 2023 Bonds, and there can be no assurance that a rating when assigned will continue for any given period of time or that it will not be lowered or withdrawn entirely by the rating agency if, in its judgment, circumstances so warrant. Any downward change in or withdrawal of the rating may have an adverse effect on the marketability and/or market price of the Series 2023 Bonds.

ADDITIONAL INFORMATION

All quotations from, and summaries and explanations of, the statutes, regulations and documents contained herein do not purport to be complete and reference is made to said laws, regulations and documents for full and complete statements of their provisions. Copies, in reasonable quantity, of such laws, regulations and documents may be obtained during the offering period upon request directly to the District at P.O. Box 25704, 6400 Uptown Boulevard, NE, Suite 305E, Albuquerque, New Mexico 87125-0704, Attention: Chief Financial Officer.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or owners of any of the Series 2023 Bonds.

APPROVAL BY THE DISTRICT

This Official Statement has been duly authorized and approved by the District and has been executed and delivered by the President of the District Board on behalf of the District.

ALBUQUERQUE MUNICIPAL SCHOOL
DISTRICT NO. 12 BERNALILLO AND
SANDOVAL COUNTIES, NEW MEXICO

By: /s/ Yolanda Montoya-Cordova
President, Board of Education

SCHEDULE I

REFUNDED BONDS

District's General Obligation Bonds, Series 2014A

Maturities Being Redeemed	CUSIP	Principal Amount Outstanding	Interest Rate	Principal Amount Being Refunded	Call Date
8/1/2024	013595SX2	\$7,000,000	4.000%	\$7,000,000	8/1/2023
8/1/2025	013595SY0	7,000,000	4.000	7,000,000	8/1/2023
8/1/2026	013595SZ7	7,000,000	4.000	7,000,000	8/1/2023
8/1/2027	013595TA1	8,000,000	4.000	8,000,000	8/1/2023
8/1/2028	013595TB9	8,325,000	4.000	8,325,000	8/1/2023
8/1/2029	013595TC7	8,325,000	4.000	8,325,000	8/1/2023

APPENDIX A
AUDITED FINANCIAL STATEMENTS FOR FISCAL YEAR 2022

Report of Independent Auditors

The State of New Mexico
Albuquerque Public School District No. 12
The Board of Education
and
Mr. Brian S. Colón, Esq.
New Mexico State Auditor

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information and the budgetary comparisons for the general fund and major special revenue funds of Albuquerque Municipal School District No. 12 (the District) as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents. We have also audited each major fund, the aggregate remaining fund information and the respective budgetary comparisons for the general fund and major special revenue funds of each of the following discretely presented component units: ACE Leadership High School and Foundation, Albuquerque Charter Academy, Christine Duncan Heritage Academy, Cien Aguas International School, Coral Community Charter School, Corrales International Charter School, Digital Arts & Technology Academy, Gilbert L. Sena Charter High School and Foundation, Gordon Bernell Charter School, Health Leadership High School, International School of Mesa Del Sol, La Academia De Esperanza and Foundation, Los Puentes Charter School and Foundation, Native American Community Academy and Foundation, New Mexico International School, Public Academy for Performing Arts, Robert F. Kennedy High School, Siembra Leadership High School and Foundation, South Valley Academy, Technology Leadership High School, The New America School, Voz Collegiate Preparatory School and Foundation, and William W. and Josephine Dorn Community School, presented as supplementary information, as defined by the Governmental Accounting Standards Board, in accompanying combining and individual fund financial statements as listed in the table of contents as of and for the year ended June 30, 2022.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the Albuquerque Municipal School District No. 12 as of June 30, 2022, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparisons for the general fund and major special revenue funds for the year then ended in accordance with accounting principles generally accepted in the United States of America.

In addition, in our opinion, the financial statements referred to above present fairly in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of each of the following discretely presented component units: ACE Leadership High School and Foundation, Albuquerque Charter Academy, Christine Duncan Heritage Academy, Cien Aguas International School, Coral Community Charter School, Corrales International Charter School, Digital Arts & Technology Academy, Gilbert L. Sena Charter High School and Foundation, Gordon Bernell Charter School, Health Leadership High School, International School of Mesa Del Sol, La Academia De Esperanza and Foundation, Los Puentes Charter School and Foundation, Native American Community Academy and Foundation, New Mexico International School, Public Academy for Performing Arts, Robert F. Kennedy High School, Siembra Leadership High School and Foundation, South Valley Academy, Technology Leadership High School, The New America School, Voz Collegiate Preparatory School and Foundation, and William W. and Josephine Dorn Community School, as of June 30, 2022, and the respective changes in financial position thereof and the respective budgetary comparisons for the general fund and major special revenue funds for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards (Government Auditing Standards)*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matters

Substantial Doubt About the Entity's Ability to Continue as a Going Concern

The accompanying financial statements for the following discretely presented component units, Corrales International Charter School and Gilbert L. Sena Foundation, have been prepared assuming that the school and foundation will continue as a going concern. As discussed in Note 22, Section P, to the financial statements, the current charter for Corrales International Charter School is only through June 30, 2023 leaving uncertainty regarding the longevity of this school and as of July 31, 2022, the Gilbert L. Sena Foundation closed and transferred all remaining cash to Gilbert L. Sena School. Management's evaluation of the events and conditions and management's plans regarding these matters are also described in Note 22, Section P. The financial statements do not include any adjustments that might result from the outcome of these uncertainties. Our opinions are not modified with respect to these matters.

Implementation of GASB No. 87

During the year ended June 30, 2022, the District and the discretely presented component units adopted the provisions of Governmental Accounting Standards Board (GASB) No. 87, *Leases*. Our opinions are not modified with respect to this matter.

Restatement – Coral Community Charter School and Los Puentes Charter School and Foundation

As discussed in Note 22, Section N, to the financial statements, management discovered errors resulting in a misstatement of previously reported balances for the discretely presented component units, Coral Community Charter School and Los Puentes Charter School and Foundation. Accordingly, adjustments have been made to correct these errors. Our opinions are not modified with respect to these matters.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on page vii-1 through vii-21, the schedule of proportionate share of net pension liability and contributions on page 169, the schedule of proportionate share of net other post-employment benefits liability and contributions on page 170 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The combining and individual fund financial statements and schedules, budgetary comparisons for non-major funds, and the schedule of expenditures of federal awards, as required by *Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, schedule of collateral pledged by depository for public funds, schedule of cash and temporary investment accounts, cash report, and State of New Mexico legislative capital outlay appropriations each required by 2.2.2 NMAC are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual fund financial statements and schedules, budgetary comparisons for non-major funds, and the schedule of expenditures of federal awards, schedule of collateral pledged by depository for public funds, schedule of cash and temporary investment accounts, cash report, and State of New Mexico legislative capital outlay appropriations each required by 2.2.2 NMAC are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 15, 2022 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

A handwritten signature in cursive script that reads "Mess Adams LLP".

Albuquerque, New Mexico
November 15, 2022

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

The following management's discussion and analysis provides an overview of the financial activities of the Albuquerque Municipal School District No. 12 (hereinafter referred to as "Albuquerque Public Schools", or "APS", or "District") for the fiscal year ended June 30, 2022. The document is designed to (a) assist the reader in focusing on significant financial issues, (b) provide an overview of the District's financial activity, (c) identify changes in the District's financial position, (d) identify any material deviations from the financial plan (approved budget), and (e) identify financial issues or concerns. Please read it in conjunction with the District's financial statements, which begin following this analysis.

Management's discussion and analysis is a required part of the District's and the discretely presented component units' financial reporting and is an objective and easily readable discussion of the District's financial activities. The reader will see two statements; a Statement of Net Position and a Statement of Activities. These statements provide the overall view of the financial activities of the District. This discussion and analysis will provide a review of the District's overall financial activities, using the full accrual basis of accounting, for the year ending June 30, 2022. Fund financial statements are reported on a modified accrual basis of accounting. Rather than looking at specific areas of performance, this discussion and analysis focuses on the financial performance of the District as a whole. Whenever possible, this discussion and analysis will provide the reader multi-year pictures of financial performance and other pertinent information through the use of tables and other graphic information.

This annual report consists of a series of detailed, audited financial statements, supplementary information, and the notes to those statements. The District's finance department staff prepared these statements and the accompanying supplementary information. Also included is the Report of Independent Auditors, Report of Independent Auditors on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*, Report of Independent Auditors on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance Required by the Uniform Guidance, and the Schedule of Findings and Questioned Costs.

Financial Highlights

The District is responsible for elementary and secondary education within its geographical borders. The voters elect the members of the District's governing board which is financially accountable for the District by approving the District's budget, levying taxes, if necessary, and approving any debt issuances.

District-authorized charter schools are responsible for providing elementary and secondary education within the District. Each charter school is managed independently by its own governing board. The charter schools are presented as discretely presented component units in the District's Financial Statements.

All charter school operating revenues are passed through the District to the charter schools located within the District's boundaries. Two percent of the charter school revenues are retained by the District for administration purposes. One of the primary considerations for deciding whether an entity is a component unit is financial accountability. Because the District and charter schools share certain financial benefits, in the case of the revenues being passed through the District, to possible financial burdens, such as possibly being liable for operating deficits, the charter schools are treated as component units and included within the scope of the District's Independent Audit and financial statements. Additionally, the New Mexico Administrative Code requires charter schools to be included as component units.

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

The New Mexico State Legislature met in its 2022 regular session in January. Salary increases of 7% were approved by legislation for all teachers and school personnel, effective in school year 2022-2023. According to the Legislative Education Study Committee's 2022 Post-Session Review (April 2022), "Much of the education legislation considered during the 2022 legislative session centered on addressing the challenges of recruiting and retaining a quality educator workforce, with lawmakers considering, and in some cases adopting, supports for teachers and other school personnel. Research consistently shows teacher quality is the most important in-school factor contributing to a student's academic performance. Specific to New Mexico, the court in Martinez and Yazzie lawsuit noted access to a quality teacher directly impacts student achievement and can improve the performance of students from economically disadvantaged backgrounds, Indigenous students, and English learners." The Legislature also addressed measures to meet the needs of New Mexico's culturally and linguistically diverse student body as identified in the Martinez and Yazzie consolidated education sufficiency lawsuit. These measures included tripling its fiscal year 2022 appropriations to the Indian Education Fund.

The *Statement of Net Position* shows the District's total assets as of June 30, 2022, totaled \$2,108,907,064, including cash and investment assets of \$572,049,577. High levels of cash and investment assets are in place to fund ongoing and planned school facility construction projects and to support the District's self-insured components of Risk Management.

Overview of the Basic Financial Statements

The discussion and analysis is intended to serve as an introduction to the District's basic financial statements. The District's basic financial statements comprise three components: 1) government-wide financial statements, 2) governmental funds financial statements, and 3) notes to the basic financial statements. This report also contains other supplementary information in addition to the basic financial statements themselves.

Government-Wide Financial Statements. The government-wide financial statements are designed to provide readers with a broad overview of the District's finances, in a manner similar to a private-sector business.

The statement of net position presents information on all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the remaining difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the District is improving or deteriorating.

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

The statement of activities presents information showing how the District's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).

Each of the government-wide financial statements relates to functions of the District that are principally supported by taxes and intergovernmental revenues (governmental activities). The governmental activities of the District are all related to public education.

The government-wide financial statements can be found on pages 1 and 3 of this report.

Governmental Fund Financial Statements. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The District, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the District are divided into two categories: governmental funds and internal service funds.

Governmental Funds. Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the District's near-term financing decisions. The Governmental Funds Reconciliation of the Balance Sheet to the Statement of Net Position (Exhibit B-1) and the Reconciliation of the Statement of Revenues/Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities (Exhibit B-2) provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The District maintains eight individual major governmental funds and numerous non-major governmental funds. In the governmental fund balance sheet and in the governmental fund statements of revenues, expenditures and changes in fund balances, separate columns are presented for the major governmental funds while the non-major funds are combined and presented in a single column. Individual account data for each of the District's bonds is presented in Note 10 of the Notes to the Financial Statements. The non-major governmental funds are provided in the form of combining statements elsewhere in this report.

The District adopts an annual budget for its governmental and internal service funds. Budgetary comparison statements have been provided for the governmental funds to demonstrate compliance with the budget. The governmental fund financial statements for the major funds can be found on pages 5-9 of this report.

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

Internal Service Fund. The District created an internal service fund in fiscal year 2007 for the purpose of providing increased visibility, recording, and tracking of transactions related to medical and dental health plans, workers' compensation, property, and liability insurances and claims. In prior years, these transactions were reported within the Operational Fund. The Insurance Fund was created at June 30, 2007, with the transfer of related cash balances and liability reserves. The activity for the 2021-2022 fiscal year is recorded in the Internal Service Fund and can be seen in the statements on pages 15-17.

Notes to Basic Financial Statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found starting on page 18 of this report.

Combining and Individual Fund Schedules and Statements. The combining schedules and statements showing the individual capital accounts and other non-major governmental funds are presented immediately following the notes to the financial statements. Combining and individual fund schedules and statements can be found starting on page 232 of this report.

Government-Wide Financial Statements

Statement of Net Position (Excluding Component Units)

This statement shows that as of June 30, 2022, the District (excluding charter schools and the Albuquerque Public Schools Foundation) has total net position of \$(1,060,028,162) as compared to net position deficit of \$(1,104,380,320) as of June 30, 2021. The District had \$581,929,289 in cash, investments, and other current assets on hand as of June 30, 2022, and accounts payable/current liabilities and current long-term debt of \$220,777,046. Cash and investment assets increased by \$30,489,911 (5.63%) while Other Current Assets increased by \$1,556,314 (18.7%). The increase is mostly due to the inflow of pandemic relief funding. The \$14,242,682 decrease in Capital Assets net of depreciation is mostly due to depreciation expenses in excess of new capital investments. Long Term Liabilities decreased \$2,446,325,161, mainly due to a decrease in the District's share of the net pension and OPEB liability related to actuarial adjustments. Restricted net position increased from \$367,591,674 to \$402,190,489. Unrestricted net position deficit decreased from \$(2,351,145,768) to \$(2,333,383,043), mostly as a result of the aforementioned decrease in the District's share of the net pension liability and net OPEB liability.

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

Statement of Net Position	June 30, 2022	June 30, 2021
Assets		
Cash Assets	\$ 419,816,143	\$ 380,637,070
Investments	152,233,434	160,922,596
Other Current Assets	9,879,712	8,323,398
Restricted Receivables	113,221,988	88,523,740
Capital Assets	2,890,301,202	2,797,340,260
Depreciation	(1,476,545,415)	(1,369,341,791)
Total Assets	<u>2,108,907,064</u>	<u>2,066,405,273</u>
Deferred Outflows of Resources	<u>1,110,238,126</u>	<u>1,793,003,364</u>
Liabilities		
Accounts Payable	7,887,565	4,998,663
Other Current Liabilities	105,102,330	98,128,229
Insurance Reserves	15,773,274	15,973,583
Current Portion/Long Term Debt	70,888,394	65,326,286
Liabilities Payable from Restricted Assets	21,125,483	12,148,464
Long Term Liabilities	<u>2,128,604,303</u>	<u>4,574,929,464</u>
Total Liabilities	<u>2,349,381,349</u>	<u>4,771,504,689</u>
Deferred Inflows of Resources	<u>1,929,792,003</u>	<u>192,284,268</u>
Net Position		
Net Investment in Capital Assets	871,164,392	879,173,774
Restricted for:		
Transportation	-	4,439,427
Food Service	31,905,555	21,846,786
Restricted by Grantor	37,364,792	27,808,659
Athletic Program	1,337,584	1,540,319
Debt Service	106,799,372	96,607,581
Capital Projects	224,783,186	215,348,902
Unrestricted	<u>(2,333,383,043)</u>	<u>(2,351,145,768)</u>
Total Net Position	<u>\$ (1,060,028,162)</u>	<u>\$ (1,104,380,320)</u>

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The Statement of Activities is prepared using the full accrual method of accounting. This report complements the Statement of Net Position by showing the overall change in the District's net position for the fiscal year ended June 30, 2022. In the fiscal year ended June 30, 2022, net position increased by \$44,352,158, mainly due to a decrease in net pension expense of \$769,534,979. Total revenue has increased \$86,545,335 due to increased capital funding and increased pandemic relief funding.

Revenues	2022	2021
Program Revenue		
Charges for Services	\$ 67,537,219	\$ 56,959,159
Operating Grants and Contributions	219,663,709	164,936,531
Capital Grants and Contributions	30,878,724	12,451,604
Total Program Revenue	318,079,652	234,347,294
General Revenue		
Taxes-General, Debt Service, Capital Projects	179,639,776	176,594,918
State Aid not Restricted to Specific Purposes	719,352,452	706,995,565
Interest and Earnings in Investments	(1,959,319)	402,281
Gain/Loss on Disposal of Capital Assets	147,757	152,015
Reversions to NMPED	(11,790,919)	-
Miscellaneous	3,738,544	2,170,535
Total General Revenue	889,128,291	886,315,314
Total Revenue	1,207,207,943	1,120,662,608
Program Expenses		
Instruction	529,400,370	1,035,347,092
Support services:		
Students	94,105,007	179,228,954
Instruction	20,346,474	39,780,252
General Administration	7,204,570	9,751,044
School Administration	46,804,297	97,878,238
Central Services	140,569,356	150,924,843
Operation & Maintenance of Plant	79,488,255	118,089,404
Student Transportation	19,554,508	23,931,336
Other Support Services	92,741	134,119
Food Services Operation	36,025,260	40,770,498
Facilities, Supplies & Materials	59,939,178	50,508,444
Interest on Long-term Debt	22,307,930	23,918,272
Depreciation - unallocated	107,017,839	98,685,843
Total Program Expenses	1,162,855,785	1,868,948,339
Changes in Net Position	44,352,158	(748,285,731)
Net Position Beginning - as previously stated	(1,104,380,320)	(363,351,651)
Net Position Restated - GASB 84	-	7,257,062
Net Position Ending	\$ (1,060,028,162)	\$ (1,104,380,320)

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Fund Financial Statements

Statement of Revenues and Expenditures and Changes in Fund Balances

Fund financial statements are based on a modified accrual basis of accounting. The Statement of Revenues and Expenditures and Changes in Fund Balances guides the reader to a meaningful overall view of the District's revenues, expenditures, and fund balance and changes to the fund balance. This report also shows the revenue and expenditure activities of each major fund and the total of all "other" Governmental Funds. Total revenues from State, Local, and Federal sources were \$1,181,560,755. With the unrealized, non-cash deficit of \$1,252,455 in Interest Income due to fair market value adjustments, total revenues decreased to \$1,180,308,300. Total expenditures for the School District were \$1,189,589,462. The total ending Fund Balance, \$520,818,581, is an increase of \$42,536,976 from the prior year, mostly due to the sale of general obligation bonds.

Multi-Year District Revenues and Expenditures

Current resources increased mainly as a result of the sale of general obligation bonds.

Year	Total Revenues ¹	% Increase (Decrease)	Total Expenditures ¹	% Increase (Decrease)
2021/2022	\$ 1,232,126,438	5.70%	\$ 1,189,589,462	5.92%
2020/2021	1,165,693,462	4.91%	1,123,154,738	1.73%
2019/2020	1,111,089,699	10.38%	1,104,069,631	5.97%
2018/2019	1,006,566,783	-7.18%	1,041,888,811	0.75%
2017/2018	1,084,409,202	0.82%	1,034,159,049	1.55%

¹Revenues include proceeds from general obligation bonds sales in each respective year. Cash carryovers are excluded and expenditures include capital outlay.

The Budget

The State of New Mexico school budget process is defined under New Mexico State Statutes (Section 22-8, *Public School Finance*) and the New Mexico Administrative Code (Section 6.20.2 *Governing Budgeting and Accounting for New Mexico Public Schools and School Districts*). Schools are provided funding based on a formula that is driven by student enrollment. Schools are also provided with additional "discretionary" funding based on their level of at risk factors (free lunch participation, mobility, English language learners). School principals then work with their staff and site councils to develop a detailed site budget.

GASB Statement No. 34 does not require a combining statement presenting the overall District result of the budget for each year; however, all major budgetary funds are required by the New Mexico State Auditor to be reported as separate statements.

State of New Mexico

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Management's Discussion and Analysis

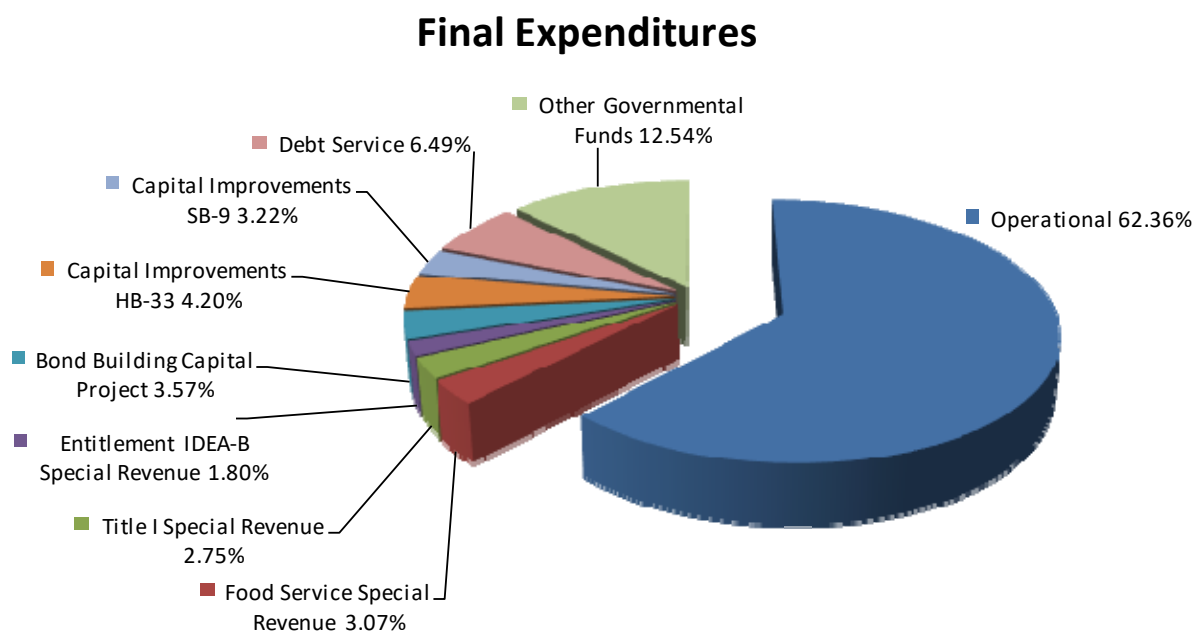
June 30, 2022

The District had 89 active major and non-major funds at June 30, 2022. The 8 major budgetary funds in these reports are:

11000	Operational Fund	31100	Bond Building
21000	Food Service	31600	Capital Improvements HB-33
24101	Title I - IASA	31701	Capital Improvements SB-9
24106	IDEA-B	41000	Debt Service

In addition, 74 active, non-major Special Revenue Funds, 5 non-major Capital Projects funds, and 1 non-major Educational Technology Debt Service fund are also reported for their budgetary performance.

The following graphic shows the fiscal relationship of the major funds and the combined non-major funds presented on a budgetary basis.



The Operational Fund Final Expenditures represent 62.36% of the total expended dollar amount. This fund provides the salary and benefits for the significant majority of the Instructional, Instructional Support, School Support, and Maintenance and Administrative staff as well as classroom materials, special education consulting staff, and fixed utility costs. Revenue from this fund is substantially derived through the statewide funding formula in the form of State Equalization Guarantee, which is appropriated for education by the State Legislature. The Operational Fund is discussed later in the *Management's Discussion and Analysis*.

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Major Funds-Analysis of Budgetary Fund Balances

	Fund Description	Fund Balance June 30, 2022	Fund Balance June 30, 2021	Variance
11000	Operational	\$ 58,715,690	\$ 57,314,485	\$ 1,401,205
21000	Food Service Special Revenue	22,413,173	20,646,941	1,766,232
31100	Bond Building Capital Project	71,835,098	57,310,414	14,524,684
31600	Capital Improvements HB-33	141,622,930	131,802,129	9,820,801
31701	Capital Improvements SB-9	48,167,486	56,093,097	(7,925,611)
41000	Debt Service	100,201,458	85,433,936	14,767,522
	Total	\$ 442,955,835	\$ 408,601,002	\$ 34,354,833

The overall budgetary fund balances of these major funds have increased by \$34.4 million. The increase in the Bond and Capital funds is mainly due to the effects of COVID-19, and the increase in the debt service fund due to premiums received on the sale of bonds and an increased tax base. The increase in the Food Service fund is mostly due to student meal charges resuming after free meals were provided to all students during the pandemic.

The Operational Fund

The Operational Fund is the School District's largest fund. The Operational Fund budget for the period ending June 30, 2022, was \$797,010,398, and the significant impact of this fund on School District Operations must be kept in context.

The Operational Fund is predominately funded by revenues from the State Equalization Guarantee (SEG) formula. This fund pays for teaching staff, teaching support staff, special education support staff, maintenance staff, and administrative staff. The Operational Fund also provides the predominant funding for athletics. State public school support funding for school district operations increased by 3.4% for the year ended June 30, 2022. As shown in the *Operational Fund Statement of Revenues, Expenditures and Changes in Fund Balances – Budget*, the Operational Fund began the year with an initial expenditure budget of \$810,919,189 and had a final budget of \$797,010,398.

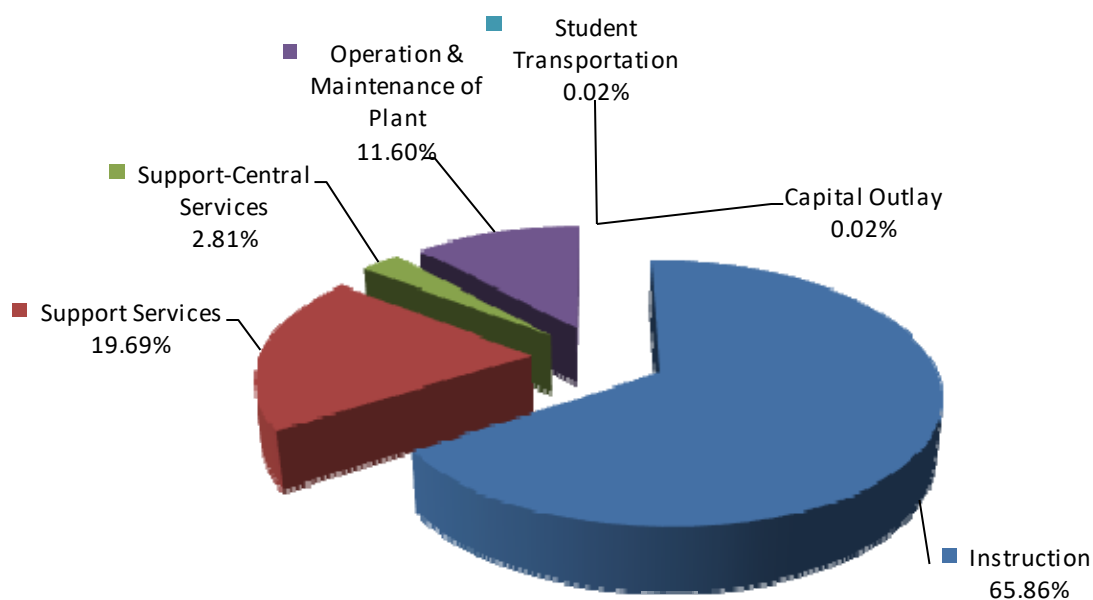
Year	Revenues	% Change
2021/2022	\$ 744,878,090	3.40%
2020/2021	720,077,366	-2.60%
2019/2020	739,133,725	12.30%
2018/2019	658,427,852	2.10%
2017/2018	644,940,174	3.00%

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Because the Operational Fund is the main fund whose expenditures are significantly related to the educational process, \$743,364,749 was expended in the year ending June 30, 2022. The most significant expenditure was for the function noted as "Instruction". This expenditure was \$489,635,151 or 66% of all Operational Fund expenditures. Expenditures included in this function are Regular Education teachers, Special Education teachers, Early Childhood Education teachers and educational assistants, staff benefits, payroll taxes, school supplies, training, and miscellaneous instructional related contract services. In addition, \$99,352,495 or 13.37% was expended from the "Support Services-Students" and "Support Services-Instruction." The expenditures in these two functions are directly in support of classroom and school activities. Charges to these functions include the related expenditures for librarians, nurses, social workers, counselors and special education support staff. Less than 1% of the Operational budget was used for general administration, 5.78% was used for school administration, and 2.81% was used for Central Services which includes Business Support, Warehouse Support, and Informational Technology.

The following discussion on the Operational Fund budget relates to functional expenditures for the year ending June 30, 2022, for the Operational Fund. Instruction for APS represents 66% of all Operational Fund expenditures.

Operating Fund Expenditures by Function



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FY 2022 Operational Fund Revenues and Expenditures

	Original vs. Final Budget				Actual vs. Final Budget				% Expenditure ¹
	Original Budget	Final Budget	Variance	V%	Actual	Variance	V%		
Revenues	\$ 757,728,285	\$ 744,286,358	\$ 13,441,927	1.8%	\$ 744,878,090	\$ 591,732	0.1%		
Expenditures by function									
1000-Instruction	544,517,851	532,966,791	11,551,060	2.1%	489,635,151	43,331,640	8.1%	65.87%	
2100-Support – Students	81,387,710	81,754,838	(367,128)	-0.5%	78,738,988	3,015,850	3.7%	10.59%	
2200-Support – Instruction	23,800,142	23,759,776	40,366	0.2%	20,613,507	3,146,269	13.2%	2.77%	
2300-Support – Admin-General	4,610,546	4,610,546	-	0.0%	3,960,354	650,192	14.1%	0.53%	
2400-Support – Admin-School	47,297,032	44,251,309	3,045,723	6.4%	42,946,083	1,305,226	2.9%	5.78%	
2500-Support – Central Services	23,423,754	23,415,490	8,264	0.0%	20,894,214	2,521,276	10.8%	2.81%	
2600 – Operation & Maintenance	84,386,249	84,755,743	(369,494)	-0.4%	86,201,150	(1,445,407)	-1.7%	11.60%	
2700 – Pupil Transportation ²	565	565	-	0.0%	126,075	(125,510)	-22214.2%	0.02%	
2900 – Non Operating ³	1,326,184	1,326,184	-	0.0%	93,540	1,232,644	92.9%	0.01%	
3140 – Capital Outlay	169,156	169,156	-	0.0%	155,687	13,469	8.0%	0.02%	
Total	\$ 810,919,189	\$ 797,010,398	\$ 13,908,791	1.7%	\$ 743,364,749	\$ 53,645,649	7.0%	100%	

¹ Percentage of expenditures to total expenditures.

² Operational fund expenditure for pupil transportation only

³ Non-Operating includes emergency reserve and legal settlement budgets. Expenditures are generally not incurred

Variance between Original and Final Budget

The original approved budget included an estimate of what the cash balance would be at the end of the prior fiscal year. When the actual cash balance was determined, the budget was adjusted for the difference. In the fiscal year ending 2022, the decrease to the Operational Fund final budget of \$13.9 million is due to declining enrollment.

Variance between Final Budget and Actual Expenditures

The variances between the District's Operational Fund final budget and actual expenditures in fiscal year 2022 is due to the District's cash balance policy to maintain a minimum 5% cash balance in the operating fund at year-end to meet the District's obligations in the following month.

Support services for students and instruction represents 13.4% of Operational Fund expenditures and accounts for expenditures for program coordinators, counselors, school nursing staff, librarians, special education ancillary staff, and significant support to special education programs through contract ancillary support staff and contract programs. General Administration and Central Services represents the overhead support for the entire operations of the District; these programs combined represent 3.34% of the total Operational Fund. Central Services includes Business support, Technology, and Warehousing Services. Maintenance and Operations account for 11.6% of the Operational Fund expenditures. Included in the Maintenance and Operations expenditures are salaries and benefits for maintenance staff, school custodians, fixed utility costs, maintenance and repairs, maintenance supplies, and school custodial supplies. Additional support for maintenance projects comes from the voter approved Two-Mill Levy Fund (SB-9). The SB-9 fund is a critical and integral fiscal component of the District's Maintenance program. The Operational Fund also supports expenditures for school athletics and summer school in the Instruction function.

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Self-Insurance Benefits and Reserve Funds

Sections 22-29-1 thru 10, NMSA 1978, mandate that school districts and charter schools are to be included in the New Mexico Public Schools Insurance Authority (NMPSIA). The statutory language also allows school districts in excess of 60,000 students to be "waived" from participation in Insurance Authority programs. As a result, the District funds and administers its own employee benefit and risk management programs as a self-insured program. However, the charter schools are included in the NMPSIA program.

As part of the self-insurance program, the District maintains reserve funds for Medical, Dental, and Vision Benefits, and Risk and Workers Compensation based upon annual actuarial studies. The District considers these funds to be "restricted", and the funds are accounted for within an Internal Service Fund. At year-end, the balances for the self-insurance reserves were as follows:

Fund	Reserve	Confidence Level
Health, Dental & Vision Benefits	\$ 9,674,000	90%+
Workers Compensation	13,534,162	90%
Property/Liability	12,530,011	90%

As of June 30, 2022, the District's self-insurance reserve fund (which pertains to estimated liabilities) totaled \$35,738,173. Liabilities at June 30, 2022, for health, dental, and vision are stated at 90% confidence level plus 15% to provide for claims fluctuation margin in the event of catastrophic claims. Liability balances for worker's compensation and property and liability are stated at 90% confidence level.

A confidence level is the statistical certainty that an actuary believes funding will be sufficient. For example, a 70% confidence level means that the actuary believes funding will be sufficient in seven years out of ten.

These reserves were carried forward into the 2021/2022 fiscal year and are deemed sufficient to meet requirements. The 2023 medical plans project an estimated average 5.7% increase in overall premiums will be needed to maintain current levels of coverage.

The District's medical plan will continue offering employees value-based medical and prescription drug plan options through in- and out-of-network plans from Cigna Healthcare Open Access Plus PPO and BlueCross BlueShield PPO, and in-network plans from Presbyterian Health Plan EPO.

The District's prescription drug plan utilizes the SaveOn program to capture manufacturer assistance funds for select specialty medications. The District's dental and vision plans will not change for the plan year 2022.

Capital Assets

GASB Statement No. 34 requires public entities to depreciate capital assets. Utilization of depreciation concepts by public entities allows the reader to know if the entity is replacing its assets at a rate in which they are being used. The District utilizes a "straight line" depreciation method in all cases and standardized lifetime tables in calculating this depreciation.

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In accordance with prior State Statute, State Regulations, and School Board Policy, all assets with a value in excess of \$5,000 are capitalized.

As of June 30, 2022, the District's capital assets had a book value of \$ 1,413,755,787 after depreciation, which includes total accumulated depreciation of \$1,476,545,415. Note 9 in the Notes to the Financial Statements gives more detail of the changes in capital assets for the year ended June 30, 2022.

Due to fluctuations in student enrollment and certain aging facilities, the District has taken a planned and focused approach towards investing in equipment and building new facilities as well as adding to and maintaining existing facilities. These efforts are evidenced by the substantial and continuous investment in the Capital Master Plan.

The following table displays a two-year history of year-end balances for the District's investment in all capital assets:

Capital Asset Type	June 30, 2022	June 30, 2021
Land and Land Improvements	\$ 307,996,443	\$ 295,770,694
Buildings & Building Improvements	2,430,860,475	2,362,677,500
Furniture, Fixtures and Equipment	38,329,506	37,683,622
Buses	24,027,060	21,627,367
Vehicles/Heavy Equipment	20,947,873	20,776,093
Construction in Progress	68,139,845	58,804,984
Total Capital Assets	2,890,301,202	2,797,340,260
Less Accumulated Depreciation	(1,476,545,415)	(1,369,341,791)
Capital Assets – Net	<u>\$ 1,413,755,787</u>	<u>\$ 1,427,998,469</u>

In the fiscal year ending June 30, 2022, the *Statement of Revenues, Expenditures and Changes in Fund Balances* included capital outlay additions of \$89,889,730. This amount included expenditures of \$42,869,081 from the proceeds of the Bond Building Fund; \$30,910,056 was expended from the HB-33 fund for capital improvements, and \$5,206,535 was expended from SB-9 Local funds. All three of these funds are authorized by local election. Also, \$10,748,371 was expended from non-major funds. The Operational Fund had capital outlay expenditures of \$155,687. Total capital outlay includes the following:

Capital Outlay	\$ 92,495,122
Assets Charged to Other Functions	3,334,934
Total Capital Asset Additions	<u>\$ 95,830,056</u>

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General Long Term Debt

Article IX, Section 11 of the New Mexico Constitution limits the powers of a school district to incur general obligation debt beyond a school year. The school district can incur such debt for "the purpose of erecting, remodeling, making additions, and furnishing buildings or purchasing or improving school grounds or purchasing computer software or hardware for student use in public classrooms or any combination of these purposes." The approval of the debt is subject to a vote of the local electors and may not exceed 6% of the assessed valuation of the taxable property within the school district. In accordance with the assessed valuation limitation calculation, the District's long term debt may not exceed \$1,123,806,764.

To this point, the District has not maintained a level of indebtedness to the maximum extent allowed. However, due to the need to add additional facilities to address fluctuations of the District's student population, upgrade and expand existing facilities, provide for the growing demand for technology in education and the shift to digital curricula, and to leverage additional funds available from Public School Capital Outlay, on November 5, 2019, the voters approved a \$100 million General Obligation bond. The District sold \$57 million of these bonds in April 2022.

The District maintains a strong rating of AA with S&P. In January 2021, Moody's Investors Service downgraded the District's issuer rating from Aa3 to A1, due to participation in a poorly-funded statewide cost-sharing pension plan. The downgrade only effects the previously issued bonds rated by Moody's. The current bond issue and refunding bonds was assigned an Aa3 enhanced rating based on the State of New Mexico's bond rating. Effective July 1, 2003, school district bonds are also permitted to carry the enhanced State of New Mexico bond rating of Aa2. This action was authorized in Senate Bill 847. The effect of this bill will be to reduce the risk to bond holders and, as a consequence, reduce the interest costs to the taxpayer.

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The District has never defaulted on any of its debt or other obligations. Listed below is the District's total general obligation debt as of June 30, 2022.

Series	Original Amount Issued	Maturity	Principal Outstanding
2009-C QSCB	\$ 14,300,000	8/1/2024	\$ 14,300,000
2010-B QSCB	32,690,000	8/1/2027	32,690,000
2013-A GOB	43,400,000	8/1/2022	400,000
2014-A GOB	75,000,000	8/1/2029	55,000,000
2014-B GOB Refunding	94,305,000	8/1/2023	25,930,000
2015 GOB	70,000,000	8/1/2030	63,900,000
2017 GOB	100,000,000	8/1/2033	86,900,000
2017-A GOB Refunding	48,135,000	8/1/2022	18,925,000
2018 GOB	110,000,000	8/1/2037	97,500,000
2021-A GOB	43,000,000	8/1/2036	39,000,000
2021-B GOB Refunding	29,100,000	8/1/2024	29,100,000
2021-C GOB Refunding	28,525,000	8/1/2029	28,150,000
2022A GOB	57,000,000	8/1/2037	57,000,000
Total	<u>\$ 745,455,000</u>		<u>\$ 548,795,000</u>

For additional information on long term debt, please see Note 10.

The District recommends the *Official Statement* dated April 7, 2022, to a reader wishing to know more about the District's long term debt and district demographics. This Official Statement may be obtained on our website at <http://www.aps.edu/finance/accounting/official-bond-statements> or by contacting the District's Financial Advisor:

RBC Capital Markets
6301 Uptown Blvd. NE, Suite 110
Albuquerque, NM 87110

In addition to the sale of General Obligation Bonds, the District is eligible to receive awards from the Public Schools Capital Outlay Council (PSCOC) in accordance with Senate Bill 513, Chapter 147 Section 10(b) NMSA. The impact of these various awards is discussed throughout this *Management's Discussion and Analysis*.

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Charter Schools

Because the operations of the charter schools are not material to the overall financial performance of the District, charter schools are only included in this section of the analysis. Charter school organization and management is set forth under Sections 22-8B-1 through 15, NMSA 1978. This section of the law allows for charter schools to be formed and funded within an existing school district under specific criteria. The District's Board of Education is responsible for the review and approval of charter school applications; however, a denial of an application allows for an appeal process to the Public Education Department. Each charter school is governed by a governing body identified in the charter. The charter school governing body is responsible for the operation of the charter school, including "preparation of a budget, contracting for services, and personnel matters."

Because of the complexity of the rules and accounting requirements of Public Education Department, many charter schools encounter varying degrees of difficulty and challenges. The Albuquerque Public Schools, the New Mexico Coalition of Charter Schools, and the New Mexico Association of School Business Officials are all working to provide support and training for these schools.

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The following table lists all Charter Schools active during the fiscal year ending June 30, 2022, and the summary of their fiscal performance. This information is summarized for each school on the *Combined Statement of Revenues, Expenditures and Changes in Fund Balances Governmental Funds* (GAAP). The stated fund balance is the final, adjusted, fund balance for all governmental funds as of June 30, 2022. The statement shows the performance of each individual school's combined governmental funds on a GAAP basis.

Charter School Name	Year Chartered	Grades	FY 21-22 End-of-Year Student Count	FY 21-22 Total Revenue	FY 21-22 Total Expenditures	Total Final EOY Fund Balance
ACE Leadership High School	2010	9-12	211	\$ 3,984,699	\$ 3,759,130	\$ 3,177,911
Albuquerque Charter Academy	2004	9-12	389	\$ 4,958,280	\$ 4,409,413	\$ 1,838,730
Albuquerque Talent Development Academy	2007	9-12	113	\$ 2,622,478	\$ 2,398,100	\$ 1,316,110
Alice King Community School	2006	K-8	424	\$ 6,222,583	\$ 5,472,585	\$ 2,209,463
Christine Duncan's Heritage Academy	2005	K-8	403	\$ 6,064,692	\$ 6,187,564	\$ 2,961,167
Cien Aguas International School	2008	K-8	416	\$ 5,708,904	\$ 5,745,697	\$ 1,231,588
Coral Community Charter School	2013	K-6	230	\$ 3,237,640	\$ 3,169,384	\$ 658,419
Corrales International Charter School	2014	K-12	229	\$ 3,660,506	\$ 3,106,248	\$ 2,725,663
Cottonwood Classical Preparatory Schools	2007	6-12	750	\$ 9,996,258	\$ 10,236,041	\$ 2,107,923
Digital Arts & Technology Academy	2002	9-12	327	\$ 4,488,154	\$ 4,553,617	\$ 741,038
East Mountain High School	1999	9-12	364	\$ 5,068,707	\$ 4,923,524	\$ 1,924,084
El Camino Real Academy	2002	K-12	310	\$ 5,040,567	\$ 5,000,853	\$ 366,222
Gilbert L. Sena Charter High School	2009	9-12	128	\$ 2,669,524	\$ 2,860,857	\$ 1,164,401
Gordon Bernell Charter School	2008	9-12	175	\$ 3,509,357	\$ 3,381,620	\$ 2,646,489
Health Leadership High School	2013	9-12	244	\$ 3,365,859	\$ 2,752,416	\$ 3,873,725
International School at Mesa del Sol	2009	K-12	314	\$ 4,536,996	\$ 4,077,361	\$ 1,423,964
La Academia de Esperanza	2003	6-12	234	\$ 4,214,815	\$ 6,533,354	\$ 2,576,462
Los Puentes Charter School	2002	7-12	146	\$ 3,076,070	\$ 3,092,861	\$ 869,551
Mark Armijo Academy	2001	9-12	200	\$ 3,737,117	\$ 3,234,665	\$ 1,043,149
Montessori of the Rio Grande	2004	K-6	214	\$ 3,356,766	\$ 3,129,794	\$ 515,695
Mountain Mahogany Community School	2005	K-8	198	\$ 3,096,220	\$ 3,566,244	\$ 279,510
Native American Community Academy	2006	K-12	477	\$ 8,125,419	\$ 7,730,817	\$ 3,561,353
New America School	2010	9-12	185	\$ 3,239,789	\$ 2,903,868	\$ 2,484,647
New Mexico International School	2011	K-6	390	\$ 5,420,445	\$ 5,168,856	\$ 1,439,925
Public Academy for Performing Arts	2001	6-12	432	\$ 5,120,735	\$ 4,723,516	\$ 1,314,768
Robert F. Kennedy Charter School	2001	6-12	341	\$ 6,153,680	\$ 5,813,380	\$ 638,787
Siembra Leadership High School	2016	9-12	232	\$ 3,411,210	\$ 3,463,924	\$ 972,662
South Valley Academy	2000	6-12	600	\$ 8,861,550	\$ 8,579,170	\$ 2,538,717
Technology Leadership High School	2014	9-12	297	\$ 4,727,820	\$ 2,873,214	\$ 5,230,107
Voz Collegiate Preparatory Charter School	2021	6-8	40	\$ 1,348,920	\$ 1,247,367	\$ 144,977
William W. and Josephine Dorn Charter Community School	2012	K-5	55	\$ 1,016,761	\$ 982,110	\$ 283,472

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

One of the more significant challenges facing charter schools is the quality of the existing charter school facilities. The State of New Mexico has mandated that charter schools occupy public facilities by the 2015 school year. Policy discussions are ongoing with regard to how that mandate will be funded and implemented. The deadline has been extended at least once from its original deadline. Included in the options for charter schools is the lease purchase financing of school facilities. The constitutional prohibition on lease purchase financing was removed by the voters as a result of the general election on November 7, 2006. It is anticipated that further legislative definition of this capital project financing tool will take place during future legislative sessions. All of the District's authorized charter schools are included in the district's comprehensive Capital Master Plan. The District has invested more dollars for capital outlay for its district authorized charter schools than any other authorizer in the state. The current capital strategy allocates more than \$98 million toward providing permanent facilities for both District and State-approved charters.

APS Education Foundation

The Albuquerque Public Schools Education Foundation is a 501(c)(3) charitable organization established in 1995 that raises private support for academic programs within the district. In addition to providing help to the approximately 82,000 schoolchildren and 11,500 staff members of the district, the Foundation serves as a fiscal agent for a variety of programs. The Horizon Campaign is a fundraising effort aimed at providing financial supplements to Fine Arts, Literacy, Science/Technology/Engineering/Math (STEM) and Middle School/High School Activities programs operated by the district. Through this campaign and various other activities over the past 27 years, the Foundation has raised more than \$9,500,000 in cash, in-kind donations, and pledges. The Foundation's financial statements are included with the District's financial statements as a discretely presented component unit.

Student Activity Funds

School sites, as fiscal agents, maintain and monitor special funds on behalf of the school activity groups. The funds are maintained by the schools and are intended to benefit a specific activity or interest and are generally raised by students for student use. The total of the funds district-wide is \$7,734,691. These funds were previously reported as agency funds in the financial statements. However, in the 2021 fiscal year, the District implemented GASB Statement No. 84, Fiduciary Activities. As a result, these funds are no longer considered agency funds, but are now classified as governmental funds.

While each school site is the fiscal agent and responsible for the administration of these funds, the use of these funds is in accordance with District Policy and Public Education Department Regulations. The management of these funds is directed by the school principal, and the funds are also subject to annual review by the District's Activity Fund Support Department.

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

State Equalization Guarantee Funding History

The following table indicates the statewide funding of SEG along with the amount allocated to the District for the past five years.

Fiscal Year	Statewide¹	APS District¹
2021/2022	\$ 3,124,025,923	\$ 719,352,452
2020/2021	3,022,050,489	706,995,565
2019/2020	2,935,530,736	718,022,132
2018/2019	2,415,807,755	638,271,621
2017/2018	2,338,952,097	627,270,218

¹ Amounts shown in dollars.

Operational funding of public schools is as stable as the current conditions allow. Some of the difference in the annual rates of growth is attributable to formula factors applied in deriving the allocation to each district. For example, if a school district's student population grows at a rate that is different than the anticipated statewide growth, then that district's SEG would reflect the difference caused by the underlying change in student population ratio. Additional formula factors address the additional cost of providing for students with disabilities, bilingual education, and programs to address students at risk of dropping out. Another significant formula factor is the Training and Experience index, which recognizes the education and experience level of instructional staff and the costs associated with attracting and retaining a qualified instructional workforce.

Teacher Salaries

The State mandates beginning teacher salaries using a three-tiered system: Level I, Level II, and Level III. Beginning in fiscal year 2019-20, the beginning salaries for all tiers was increased: Level I increased from \$36,000 to \$41,000; Level II increased from \$44,000 to \$50,000; and Level III increased from \$54,000 to \$60,000. It is anticipated that these increases in salaries will attract and retain high-quality teaching staff. The fiscal year 2021-22 budget provided for 12,817 FTE. In this total, 6,312 FTE teachers were budgeted. The following is a five-year summary of average returning teacher salaries.

Year	Average Salary	Experience
2021/2022 [^]	\$ 56,430	12.1 years
2020/2021 [^]	55,043	12.2 years
2019/2020 [^]	54,498	11.9 years
2018/2019 [*]	48,929	9 years
2017/2018 [*]	47,489	10.8 years
2016/2017 [*]	47,087	10.3 years

Source*: PED Online Stat Books

Source[^]: APS Budget Schedules 925B-2/925B-3

State of New Mexico
Albuquerque Municipal School District No. 12
Management's Discussion and Analysis
June 30, 2022

Local Assessments

General Obligation Bonds. Local property taxes serve as the revenue source for the repayment of general obligation bonds. Because of the growth of both residential and commercial assessed valuation for properties in the Albuquerque School District, the District has undertaken an aggressive expansion program to add additional classroom space in the District. The following table illustrates the growth of the assessed valuation for the District.

Valuation Table

Tax Year	Albuquerque Public Schools
2021	\$ 18,730,112,731
2020	17,985,673,062
2019	17,476,514,827
2018	16,890,032,033
2017	16,388,834,729
2016	15,849,486,540

Source: Bernalillo and Sandoval County Assessor's Office

Because of continued development in both the residential and commercial properties in the District, it is expected that future assessed valuations will continue to increase. It is also expected that voter support for the District will continue to be strong, and revenues from General Obligation Bond proceeds will continue to be an integral part of the District's Capital Master Plan.

Economic Conditions and Outlook

During the prior school year (2020-2021), the District operated mostly under the Red model due to the pandemic and health guidelines from the New Mexico Department of Health and Public Education Department. District teams made up of administrators, teachers, staff, and partners were tasked with addressing such issues as safety, hygiene, sanitation and meals; logistics of social distancing; emotional recovery and wellbeing; essential learning; and community partnerships. APS began checking out technology devices to all students in early August 2020. Most students received Chromebooks, though some of the District's youngest students, special education students, and English language learners received iPads. The devices were distributed through schools, and schools worked with families to make sure they had internet connectivity. The District also offered an online option during the COVID-19 pandemic.

Students were allowed to return to the classroom for in-person learning in early April 2021, and the district continued to realign its practices with CDC Guidance on masks, quarantines, and vaccines over the 2022 school year. While early data is beginning to develop, the full impact related to COVID-19 is unknown at this time.

State of New Mexico
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Many recent policy changes, such as creation of the state child tax credit, increases in tax credits for low-earning parents, and expansion of childcare assistance, the economic conditions and outlook in New Mexico are improving. Many other metrics of child well-being have improved over the last decade; the number of children living in poverty has reduced by 7%, children living without health insurance has reduced by half and lags only one percentage point behind the national average, teen birth rates have also cut in half, and the number of high school students failing to graduate on time has improved from 37% to 25%. Characteristics unique to New Mexico, such as the diverse and resilient population, continue to strengthen the outlook, which can be further supported by continued policymaking and voter support. Constitutional Amendment 1, which will be presented for consideration to voters on the November 2022 ballot, proposes support from the permanent school fund to increase sustainable funding in support of early childhood care and education services, and services for at-risk students.

Contacting the Albuquerque Public Schools

This financial report is designed to provide our community, taxpayers, investors, and creditors with an overview of the District's financial condition and to provide accountability for the funds the School District receives. If you have questions about our report or about the operations of the District, please visit our web site at www.aps.edu, or contact:

Rennette Apodaca
Chief Financial Officer
Albuquerque Public Schools
PO Box 25704
6400 Uptown Blvd. NE, Suite 305E
Albuquerque, NM 87125-0704

Basic Financial Statements

State of New Mexico
Albuquerque Municipal School District No. 12
Statement of Net Position
June 30, 2022

Exhibit A-1

	Governmental Activities	Component Units
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES		
Current assets		
Cash and cash equivalents	\$ 135,560,279	\$ 54,187,093
Investments	152,233,434	-
Restricted cash and cash equivalents	128,778,242	821,443
Receivables (net of allowance for uncollectibles)	1,840,489	10,877,550
Restricted receivables	113,221,988	-
Prepays	50,000	835,366
Inventory	7,989,223	-
Total current assets	<u>539,673,655</u>	<u>66,721,452</u>
Noncurrent assets		
Restricted cash and cash equivalents	155,477,622	-
Capital assets (not being depreciated):		
Land	65,412,224	19,070,016
Construction in progress	68,139,845	2,344,718
Capital assets		
Land improvements	242,584,219	1,069,516
Buildings and building improvements	2,430,860,475	69,166,731
Furniture, fixtures and equipment	83,304,439	8,288,476
Vehicles	-	149,597
Right of use leased asset	-	41,320,378
Less: accumulated depreciation	<u>(1,476,545,415)</u>	<u>(25,570,548)</u>
Total capital assets	<u>1,413,755,787</u>	<u>115,838,884</u>
Total noncurrent assets	<u>1,569,233,409</u>	<u>115,838,884</u>
Total assets	<u>2,108,907,064</u>	<u>182,560,336</u>
DEFERRED OUTFLOWS OF RESOURCES		
Related to pensions	1,002,612,747	112,213,224
Related to OPEB	107,625,379	15,492,772
Unamortized loss on bond refunding	-	622,002
Total deferred outflows of resources	<u>1,110,238,126</u>	<u>128,327,998</u>
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	<u><u>\$ 3,219,145,190</u></u>	<u><u>\$ 310,888,334</u></u>
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION		
Current liabilities		
Accounts payable	\$ 1,787,782	\$ 1,216,383
Accrued expenses	94,479,620	5,332,444
Accrued interest	9,060,739	206,038
Insurance reserves, IBNR claims	15,773,274	-
Due to other governments	6,099,783	53,995
Current portion of compensated absences	1,561,971	236,219
Current portion of long-term debt	70,888,394	4,001,195
Liabilities payable from restricted assets	21,125,483	-
Total current liabilities	<u>220,777,046</u>	<u>11,046,274</u>
Noncurrent liabilities		
Compensated absences	3,124,412	-
Net OPEB liability	372,367,571	38,633,641
Net pension liability	1,208,673,186	125,847,185
Debt due in more than one year	524,474,235	63,728,572
Long-term portion of claims payable	19,964,899	-
Total noncurrent liabilities	<u>2,128,604,303</u>	<u>228,209,398</u>
Total liabilities	<u>2,349,381,349</u>	<u>239,255,672</u>
DEFERRED INFLOWS OF RESOURCES		
Related to pensions	1,711,829,382	179,534,715
Related to OPEB	217,725,102	24,584,439
Related to lease	-	29,203,942
Related to grant funding	237,519	740,954
Total deferred inflows of resources	<u>1,929,792,003</u>	<u>234,064,050</u>
NET POSITION (DEFICIT)		
Net investment in capital assets	871,164,392	18,978,882
Restricted for		
Transportation	-	-
Food service	31,905,555	-
Restricted by grantor	37,364,792	28,547,872
Athletic program	1,337,584	-
Debt service	106,799,372	-
Capital projects	224,783,186	-
Unrestricted (deficit)	<u>(2,333,383,043)</u>	<u>(209,958,142)</u>
Total net position (deficit)	<u>(1,060,028,162)</u>	<u>(162,431,388)</u>
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	<u><u>\$ 3,219,145,190</u></u>	<u><u>\$ 310,888,334</u></u>

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Albuquerque Public Schools Foundation
Statement of Financial Position
June 30, 2022

Exhibit A-2

ASSETS

CURRENT ASSETS

Cash and cash equivalents	\$ 4,133,154
Investments	3,103,018
Certificates of deposit	170,624
Prepaid expenses	270
Total current assets	<u>7,407,066</u>

NON-CURRENT ASSETS

Beneficial interest in remainder trust	<u>2,293,726</u>
--	------------------

TOTAL ASSETS

\$ 9,700,792

LIABILITIES AND NET ASSETS

CURRENT LIABILITIES

Accounts payable	\$ 639
Deferred revenue	86,700
Total current liabilities	<u>87,339</u>

NET ASSETS

Without donor restrictions	3,458,301
With donor restrictions	6,155,152
Total net assets	<u>9,613,453</u>

TOTAL LIABILITIES AND NET ASSETS

\$ 9,700,792

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Statement of Activities
For the Year Ended June 30, 2022

Exhibit A-3

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenues and Changes in Net Position	
		Charges for Service	Operating Grants and Contributions	Capital Grants and Contributions	Primary Government	Component Units
Primary government						
Governmental activities						
Instruction	\$ 529,400,370	\$ 7,764,934	\$ 67,116,054	\$ -	\$ (454,519,382)	\$ -
Support services						
Students	94,105,007	16,926,684	64,168,757	-	(13,009,566)	-
Instruction	20,346,474	-	-	-	(20,346,474)	-
General administration	7,204,570	-	-	-	(7,204,570)	-
School administration	46,804,297	495,928	21,986,551	-	(24,321,818)	-
Central services	140,569,356	37,881,867	1,024,107	-	(101,663,382)	-
Operation & maint. of plant	79,488,255	-	1,511,949	-	(77,976,306)	-
Student transportation	19,554,508	-	20,676,782	-	1,122,274	-
Other support services	92,741	-	-	-	(92,741)	-
Food services operation	36,025,260	4,467,806	43,179,509	-	11,622,055	-
Facilities, supplies & materials	59,939,178	-	-	30,190,310	(29,748,868)	-
Interest on long-term debt	22,307,930	-	-	688,414	(21,619,516)	-
Depreciation - unallocated (a)	107,017,839	-	-	-	(107,017,839)	-
Primary governmental activities	<u>\$1,162,855,785</u>	<u>\$ 67,537,219</u>	<u>\$ 219,663,709</u>	<u>\$ 30,878,724</u>	<u>(844,776,133)</u>	<u>-</u>
Component unit governmental activities	\$ 136,666,924	\$ 943,579	\$ 23,147,697	\$ 7,860,776	-	(104,714,872)
Total governmental activities	<u>\$1,299,522,709</u>	<u>\$ 68,480,798</u>	<u>\$ 242,811,406</u>	<u>\$ 38,739,500</u>	<u>(844,776,133)</u>	<u>(104,714,872)</u>
General revenues						
Property taxes						
Levied for general purposes					5,871,615	-
Levied for debt service					83,861,234	-
Levied for capital projects					89,906,927	10,781,702
State equalization guarantee					719,352,452	94,695,280
Interest & investment earnings					(1,959,319)	-
Gain on disposal of capital assets					147,757	-
Reversions to NMPED					(11,790,919)	-
Miscellaneous					3,738,544	7,880,279
Total general revenues					<u>889,128,291</u>	<u>113,357,261</u>
Change in net position					44,352,158	8,642,389
Net position - beginning as previously stated					(1,104,380,320)	(171,115,112)
Inclusion of component units					-	36,194
Correction of an error					-	5,141
Net position - beginning restated					<u>(1,104,380,320)</u>	<u>(171,073,777)</u>
Net position - ending					<u><u>\$(1,060,028,162)</u></u>	<u><u>\$ (162,431,388)</u></u>

(a) Excludes direct depreciation expense

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Albuquerque Public Schools Foundation
Statement of Activities and Changes in Net Assets
For the Year Ended June 30, 2022

Exhibit A-4

	Without Donor Restrictions	With Donor Restrictions	Total
REVENUES, GAINS, AND PUBLIC SUPPORT			
Contributions and pledges	\$ 1,018,951	\$ 852,585	\$ 1,871,536
In-kind contributions	537,674	-	537,674
Special events	234,900	-	234,900
Other	843,453	-	843,453
Total revenues, gains, and public support	2,634,978	852,585	3,487,563
Net assets released from restrictions			
Expiration of time and purpose restrictions	90,197	(90,197)	-
Total net assets released from restrictions	90,197	(90,197)	-
EXPENSES			
Program services	1,959,075	-	1,959,075
Fundraising	242,735	-	242,735
Management and general	327,240	-	327,240
Total expenses	2,529,050	-	2,529,050
NON-OPERATING REVENUE			
Investment income, net of \$32,625 in fees	(331,374)	(330,951)	(662,325)
Change in value of beneficial interest in remainder trust	(120,606)	-	(120,606)
CHANGES IN NET ASSETS	(255,855)	431,437	175,582
NET ASSETS, beginning of year	3,714,156	5,723,715	9,437,871
NET ASSETS, end of year	\$ 3,458,301	\$ 6,155,152	\$ 9,613,453

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal District No. 12
Balance Sheets
Governmental Funds
June 30, 2022

Exhibit B-1
Page 1 of 3

	General Fund	Special Revenue Funds		
	Operational 11000	Food Service 21000	Title I IASA 24101	IDEA-B Entitlement 24106
ASSETS				
Cash and cash equivalents	\$ 76,163,398	\$ -	\$ -	\$ -
Investments - US Treasuries	-	-	-	-
Accounts receivable				
Taxes	493,499	-	-	-
Interfund receivables	82,989,437	-	-	-
Other	1,346,990	-	-	-
Prepays & other assets	50,000	-	-	-
Inventory	5,430,078	2,559,145	-	-
Restricted cash and cash equivalents	-	22,393,712	-	-
Restricted accounts receivable	-	9,683,684	18,331,807	12,275,732
TOTAL ASSETS	\$ 166,473,402	\$ 34,636,541	\$ 18,331,807	\$ 12,275,732
LIABILITIES				
Accounts payable	\$ 1,787,782	\$ -	\$ -	\$ -
Accrued expenses	94,479,620	-	-	-
Interfund payables	-	-	18,324,078	12,214,323
Due to other governments	6,099,783	-	-	-
Liabilities payable from restricted assets	-	171,841	7,729	61,409
Total liabilities	102,367,185	171,841	18,331,807	12,275,732
DEFERRED INFLOWS OF RESOURCES				
Property taxes	340,890	-	-	-
Grants	-	-	-	-
Total deferred inflows of resources	340,890	-	-	-
FUND BALANCES				
Non spendable for				
Inventory	5,430,078	2,559,145	-	-
Prepays	50,000	-	-	-
Restricted for				
Transportation	-	-	-	-
Instructional materials	-	-	-	-
Food service	-	31,905,555	-	-
Restricted by grantor	-	-	-	-
Athletic program	-	-	-	-
Capital projects	-	-	-	-
Debt service fund	-	-	-	-
Assigned for subsequent year	52,724,040	-	-	-
Unassigned	-	-	-	-
General fund	5,561,209	-	-	-
Total fund balances	63,765,327	34,464,700	-	-
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES	\$ 166,473,402	\$ 34,636,541	\$ 18,331,807	\$ 12,275,732

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal District No. 12
Balance Sheets
Governmental Funds
June 30, 2022

Exhibit B-1
Page 2 of 3

	Capital Projects					
	Bond Building 31100	Capital Improvements HB-33 31600	Capital Improvements SB-9 Local 31701	Debt Service 41000	Other Governmental Funds	Total Governmental Funds
ASSETS						
Cash and cash equivalents	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 76,163,398
Investments - US Treasuries	9,958,380	78,386,984	9,555,470	34,980,645	-	132,881,479
Accounts receivable						
Taxes	-	-	-	-	-	493,499
Interfund receivables	-	-	-	-	-	82,989,437
Other	-	-	-	-	-	1,346,990
Prepays & other assets	-	-	-	-	-	50,000
Inventory	-	-	-	-	-	7,989,223
Restricted cash and cash equivalents	61,831,973	61,818,285	38,322,173	65,266,432	72,639,741	322,272,316
Restricted accounts receivable	3,142	4,854,978	2,430,767	6,552,295	59,088,700	113,221,105
TOTAL ASSETS	\$ 71,793,495	\$ 145,060,247	\$ 50,308,410	\$ 106,799,372	\$ 131,728,441	\$ 737,407,447
LIABILITIES						
Accounts payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 1,787,782
Accrued expenses	-	-	-	-	-	94,479,620
Interfund payables	-	-	-	-	52,451,036	82,989,437
Due to other governments	-	-	-	-	-	6,099,783
Liabilities payable from restricted assets	5,744,056	4,012,705	1,576,408	-	9,551,335	21,125,483
Total liabilities	5,744,056	4,012,705	1,576,408	-	62,002,371	206,482,105
DEFERRED INFLOWS OF RESOURCES						
Property taxes	-	3,343,622	1,675,800	4,508,930	-	9,869,242
Grants	-	-	-	-	237,519	237,519
Total deferred inflows of resources	-	3,343,622	1,675,800	4,508,930	237,519	10,106,761
FUND BALANCES						
Non spendable for						
Inventory	-	-	-	-	-	\$ 7,989,223
Prepays	-	-	-	-	-	50,000
Restricted for						
Transportation	-	-	-	-	-	-
Instructional materials	-	-	-	-	-	-
Food service	-	-	-	-	-	31,905,555
Restricted by grantor	-	-	-	-	37,364,792	37,364,792
Athletic program	-	-	-	-	1,337,584	1,337,584
Capital projects	66,049,439	137,703,920	47,056,202	-	30,786,175	281,595,736
Debt service fund	-	-	-	102,290,442	-	102,290,442
Assigned for subsequent year	-	-	-	-	-	52,724,040
Unassigned						
General fund	-	-	-	-	-	5,561,209
Total fund balances	66,049,439	137,703,920	47,056,202	102,290,442	69,488,551	520,818,581
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND FUND BALANCES	\$ 71,793,495	\$ 145,060,247	\$ 50,308,410	\$ 106,799,372	\$ 131,728,441	\$ 737,407,447

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal District No. 12
Reconciliation of the Governmental Balance Sheet to the Statement of Net Position
June 30, 2022

Exhibit B-1
Page 3 of 3

	Governmental Funds
Fund balances - total governmental funds	\$ 520,818,581
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the governmental fund balances:	
Cost of capital assets less accumulated depreciation to date	1,413,755,787
Deferred inflows of resources not available to pay for current period expenditures and, therefore, are unavailable in governmental funds:	
Property taxes	9,869,242
Deferred inflows and outflows of resources related to the net pension and OPEB liability not reported in the funds.	
Deferred Inflows	(1,929,554,484)
Deferred Outflows	1,110,238,126
Internal Service Fund (Net of amounts related to net pension and OPEB liability)	4,995,094
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not reported in the governmental fund statements:	
Accrued Interest	(9,060,739)
Net Pension Liability	(1,208,673,186)
Net OPEB Liability	(372,367,571)
Accrued Compensated Absences	(4,686,383)
General Obligation Bonds and related Premiums and Discounts	(595,362,629)
Net position of government activities	\$ (1,060,028,162)

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2022

Exhibit B-2
Page 1 of 3

	General Fund	Special Revenue Funds		
	Operational 11000	Food Service 21000	Title I IASA 24101	IDEA B Entitlement 24106
REVENUES				
Property taxes	\$ 5,886,625	\$ -	\$ -	\$ -
State grants	729,322,827	-	-	-
Federal grants	246,181	45,448,767	32,741,521	21,401,958
Miscellaneous	6,837,364	1,275,494	-	-
Interest	110,279	9,417	-	-
Total revenues	<u>742,403,276</u>	<u>46,733,678</u>	<u>32,741,521</u>	<u>21,401,958</u>
EXPENDITURES				
Current				
Instruction	489,373,542	-	23,253,939	8,427,317
Support services				
Students	78,850,236	-	3,493,338	4,382,629
Instruction	20,612,912	-	638,662	-
General administration	313,772	-	964,759	607,272
School administration	42,945,095	-	288,377	5,971,492
Central services	18,528,985	-	4,102,446	2,013,248
Operation & maintenance of plant	88,563,811	-	-	-
Student transportation	-	-	-	-
Other support services	92,741	-	-	-
Food services operations	-	36,426,304	-	-
Facilities, supplies, and materials	-	-	-	-
Debt service				
Principal	-	-	-	-
Interest	-	-	-	-
Debt service costs	-	-	-	-
Capital outlay	155,687	-	-	-
Total expenditures	<u>739,436,781</u>	<u>36,426,304</u>	<u>32,741,521</u>	<u>21,401,958</u>
Excess (deficiency) of revenues over (under) expenditures	<u>2,966,495</u>	<u>10,307,374</u>	<u>-</u>	<u>-</u>
Other financing sources (uses)				
Transfers in	-	-	-	-
Transfers out	(112,136)	-	-	-
Reversions to NMPED	-	-	-	-
Bond issuance premiums	-	-	-	-
Debt issuance	-	-	-	-
Total other financing sources (uses)	<u>(112,136)</u>	<u>-</u>	<u>-</u>	<u>-</u>
Net changes in fund balances	<u>2,854,359</u>	<u>10,307,374</u>	<u>-</u>	<u>-</u>
Fund balances - beginning of year	<u>60,910,968</u>	<u>24,157,326</u>	<u>-</u>	<u>-</u>
Fund balances - end of year	<u>\$ 63,765,327</u>	<u>\$ 34,464,700</u>	<u>\$ -</u>	<u>\$ -</u>

The accompanying notes are an integral part of the financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2022

Exhibit B-2
Page 2 of 3

	Capital Projects					
	Bond Building 31100	Capital Improvements HB-33 31600	Capital Improvements SB-9 Local 31701	Debt Service 41000	Other Governmental Funds	Total Governmental Funds
REVENUES						
Property taxes	\$ -	\$ 59,677,578	\$ 30,435,128	\$ 83,901,507	\$ 50,012	\$ 179,950,850
State grants	-	-	-	-	55,051,138	784,373,965
Federal grants	-	-	-	-	94,811,608	194,650,035
Miscellaneous	-	-	-	688,414	13,784,633	22,585,905
Interest	8,442	(1,161,662)	(355,097)	66,377	69,789	(1,252,455)
Total revenues	8,442	58,515,916	30,080,031	84,656,298	163,767,180	1,180,308,300
EXPENDITURES						
Instruction	-	-	-	-	62,669,403	\$ 583,724,201
Support services						
Students	-	-	-	-	16,082,808	102,809,011
Instruction	-	-	-	-	1,411,326	22,662,900
General administration	-	597,945	304,856	838,870	2,204,918	5,832,392
School administration	-	-	-	-	3,361,132	52,566,096
Central services	-	-	-	-	13,193,088	37,837,767
Operation & maintenance of plant	-	-	-	-	5,212,458	93,776,269
Student transportation	-	-	-	-	22,247,425	22,247,425
Other support services	-	-	-	-	-	92,741
Food services operations	-	-	-	-	1,618,248	38,044,552
Facilities, supplies, and materials	1,620,167	20,662,628	31,856,487	-	5,773,993	59,913,275
Debt service						
Principal	-	-	-	54,225,000	3,600,000	57,825,000
Interest	-	-	-	22,087,112	90,000	22,177,112
Debt service costs	-	-	-	189,356	1,635	190,991
Capital outlay	42,869,081	30,910,056	5,206,535	-	10,748,371	89,889,730
Total expenditures	44,489,248	52,170,629	37,367,878	77,340,338	148,214,805	1,189,589,462
Excess (deficiency) of revenues over (under) expenditures	(44,480,806)	6,345,287	(7,287,847)	7,315,960	15,552,375	(9,281,162)
Other financing sources (uses)						
Transfers in	-	-	-	228,354	112,136	\$ 340,490
Transfers out	-	-	-	-	(228,354)	(340,490)
Reversions to NMPED	-	-	-	-	(11,790,919)	(11,790,919)
Bond issuance premiums	-	-	-	6,609,057	-	6,609,057
Debt issuance	57,000,000	-	-	-	-	57,000,000
Total other financing sources (uses)	57,000,000	-	-	6,837,411	(11,907,137)	51,818,138
Net changes in fund balances	12,519,194	6,345,287	(7,287,847)	14,153,371	3,645,238	42,536,976
Fund balances - beginning of year	53,530,245	131,358,633	54,344,049	88,137,071	65,843,313	478,281,605
Fund balances - end of year	\$ 66,049,439	\$ 137,703,920	\$ 47,056,202	\$ 102,290,442	\$ 69,488,551	\$ 520,818,581

The accompanying notes are an integral part of the financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12

Exhibit B-2
Page 3 of 3

**Reconciliation of the Statement of Revenues, Expenditures, and Changes
in Fund Balances of Government Funds to the Statement of Activities
For the Year Ended June 30, 2022**

	<u>Governmental Funds</u>
Net change in fund balances - total governmental funds	\$ 42,536,976
Amounts reported for governmental activities in the statement of activities are different because:	
Capital Outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, for governmental activities, those costs are shown in the statement of net position and allocated over their estimated useful lives as annual depreciation expenses in the statement of activities.	
Depreciation expense	(110,046,835)
Capital outlay additions	93,224,664
Capital contributions (donated capital assets)	2,605,392
Adjustments/Disposal of capital assets	(25,903)
Revenues in the statement of activities that do not provide current financial resources are not reported as revenue in the funds:	
Unavailable revenue related to the property taxes receivable	(311,074)
Internal Service Fund Change in net Position	(5,692,063)
Expenses in the statement of activities that do not consume the current financial resources	
Change in accrued compensated absences	(59,544)
Net OPEB income	51,005,023
Net Pension expense	(30,578,645)
The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of premiums, discounts and similar items when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities:	
Amortization of original issue premium	7,609,042
Decrease in accrued interest payable	(130,818)
Debt service principal payments	57,825,000
Original Issue Premium	(6,609,057)
Debt Proceeds	<u>(57,000,000)</u>
Change in Net Position - Total Governmental Activities	<u>\$ 44,352,158</u>

The accompanying notes are an integral part of the financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Operational Fund (11000)

Exhibit C-1
Fund 11000

Statement of Revenues, Expenditures, and Changes In Fund Balance
Budget (Non-GAAP Budgetary Basis) and Actual
For the Year Ended June 30, 2022

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance
REVENUES				
Property taxes	\$ 5,765,953	\$ 5,765,953	\$ 5,899,602	\$ 133,649
State grants	742,764,753	729,322,826	729,411,283	88,457
Federal grants	5,520,721	5,520,721	3,787,999	(1,732,722)
Miscellaneous	3,556,858	3,556,858	5,683,930	2,127,072
Interest	120,000	120,000	95,276	(24,724)
Total revenues	757,728,285	744,286,358	744,878,090	591,732
EXPENDITURES				
Instruction	544,517,851	532,966,791	489,635,151	43,331,640
Support services				
Students	81,387,710	81,754,838	78,738,988	3,015,850
Instruction	23,800,142	23,759,776	20,613,507	3,146,269
General administration	4,610,546	4,610,546	3,960,354	650,192
School administration	47,297,032	44,251,309	42,946,083	1,305,226
Central services	23,423,754	23,415,490	20,894,214	2,521,276
Operation & maintenance of plant	84,386,249	84,755,743	86,201,150	(1,445,407)
Student transportation	565	565	126,075	(125,510)
Other support services	1,326,184	1,326,184	93,540	1,232,644
Food services operations	-	-	-	-
Facilities, supplies & services	-	-	-	-
Debt service				
Principal	-	-	-	-
Interest	-	-	-	-
Capital outlay	169,156	169,156	155,687	13,469
Total expenditures	810,919,189	797,010,398	743,364,749	53,645,649
Excess (deficiency) of revenues over (under) expenditures	(53,190,904)	(52,724,040)	1,513,341	54,237,381
Designated cash	53,190,904	52,724,040	-	(52,724,040)
OTHER FINANCING SOURCES (USES)				
Transfers in	-	-	-	-
Transfers out	-	-	(112,136)	(112,136)
Revisions to NMPED	-	-	-	-
Bond issuance premiums	-	-	-	-
Debt issuance	-	-	-	-
Total other financing sources (uses)	-	-	(112,136)	(112,136)
Net changes in fund balances	-	-	1,401,205	1,401,205
Fund balances - beginning of year	-	-	57,314,485	57,314,485
Fund balances - end of year	\$ -	\$ -	58,715,690	\$ 58,715,690
RECONCILIATION TO GAAP BASIS				
Reversal of PY adjustments to revenues / expenditures			(1,596,602)	
Adjustments to revenues			(2,474,814)	
Adjustments to expenditures			3,927,968	
Inventory			5,193,085	
Other financing sources (uses)			-	
Fund balances (GAAP basis)			\$ 63,765,327	

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Food Services Fund (21000)

Exhibit C-2
Fund 21000

Statement of Revenues, Expenditures, and Changes In Fund Balance
Budget (Non-GAAP Budgetary Basis) and Actual
For the Year Ended June 30, 2022

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance
REVENUES				
Property taxes	\$ -	\$ -	\$ -	\$ -
State grants	-	-	-	-
Federal grants	35,147,073	35,147,073	36,205,256	1,058,183
Miscellaneous	4,934,253	4,934,253	2,124,662	(2,809,591)
Interest	18,709	18,709	9,417	(9,292)
Total revenues	40,100,035	40,100,035	38,339,335	(1,760,700)
EXPENDITURES				
Instruction	-	-	-	-
Support services				
Students	-	-	-	-
Instruction	-	-	-	-
General administration	2,504,559	2,504,559	-	2,504,559
School administration	-	-	-	-
Central services	-	-	-	-
Operation & maintenance of plant	-	-	-	-
Student transportation	-	-	-	-
Other support services	-	-	-	-
Food services operations	59,962,178	58,242,416	36,573,103	21,669,313
Facilities, supplies & services	-	-	-	-
Debt service				
Principal	-	-	-	-
Interest	-	-	-	-
Capital outlay	-	-	-	-
Total expenditures	62,466,737	60,746,975	36,573,103	24,173,872
Excess (deficiency) of revenues over (under) expenditures	(22,366,702)	(20,646,940)	1,766,232	22,413,172
Designated cash	22,366,702	20,646,940	-	(20,646,940)
OTHER FINANCING SOURCES (USES)				
Transfers in	-	-	-	-
Transfers out	-	-	-	-
Revisions to NMPED	-	-	-	-
Bond issuance premiums	-	-	-	-
Debt issuance	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net changes in fund balances	-	-	1,766,232	1,766,232
Fund balances - beginning of year	-	-	20,646,941	20,646,941
Fund balances - end of year	\$ -	\$ -	22,413,173	\$ 22,413,173
RECONCILIATION TO GAAP BASIS				
Reversal of PY adjustments to revenues / expenditures			1,199,845	
CY adjustments to revenues			8,394,343	
CY adjustments to expenditures			146,799	
Inventory			2,310,540	
Fund balances (GAAP basis)			\$ 34,464,700	

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12

Exhibit C-3
Fund 24101

Title I - IASA Fund (101-130)

Statement of Revenues, Expenditures, and Changes In Fund Balance
Budget (Non-GAAP Budgetary Basis) and Actual
For the Year Ended June 30, 2022

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance
REVENUES				
Property taxes	\$ -	\$ -	\$ -	\$ -
State grants	-	-	-	-
Federal grants	42,882,049	42,882,049	36,290,513	(6,591,536)
Miscellaneous	-	-	-	-
Interest	-	-	-	-
Total revenues	42,882,049	42,882,049	36,290,513	(6,591,536)
EXPENDITURES				
Instruction	32,826,084	30,531,751	23,262,155	7,269,596
Support services				
Students	4,497,795	4,400,308	3,491,228	909,080
Instruction	638,466	628,609	638,662	(10,053)
General administration	1,332,255	1,782,627	964,759	817,868
School administration	541,496	553,705	288,377	265,328
Central services	3,045,953	4,985,049	4,102,446	882,603
Operation & maintenance of plant	-	-	-	-
Student transportation	-	-	-	-
Other support services	-	-	-	-
Food services operations	-	-	-	-
Facilities, supplies & services	-	-	-	-
Debt service				
Principal	-	-	-	-
Interest	-	-	-	-
Capital outlay	-	-	-	-
Total expenditures	42,882,049	42,882,049	32,747,627	10,134,422
Excess (deficiency) of revenues over (under) expenditures	-	-	3,542,886	3,542,886
Designated cash	-	-	-	-
OTHER FINANCING SOURCES (USES)				
Transfers in	-	-	-	-
Transfers out	-	-	-	-
Revisions to NMPED	-	-	-	-
Bond issuance premiums	-	-	-	-
Debt issuance	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net changes in fund balances	-	-	3,542,886	3,542,886
Fund balances - beginning of year	-	-	(21,866,964)	(21,866,964)
Fund balances - end of year	\$ -	\$ -	(18,324,078)	\$ (18,324,078)
RECONCILIATION TO GAAP BASIS:				
Reversal of PY adjustments to revenues / expenditures			21,866,964	
CY adjustments to revenues			(3,548,992)	
CY adjustments to expenditures			6,106	
Inventory			-	
Fund balances (GAAP basis)			\$ -	

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
IDEA-B Entitlement Fund (321)

Exhibit C-4
Fund 24106

Statement of Revenues, Expenditures, and Changes In Fund Balance
Budget (Non-GAAP Budgetary Basis) and Actual
For the Year Ended June 30, 2022

	Budgeted Amounts			
	Original Budget	Final Budget	Actual	Variance
REVENUES				
Property taxes	\$ -	\$ -	\$ -	\$ -
State grants	-	-	-	-
Federal grants	24,160,768	29,024,225	19,611,394	(9,412,831)
Miscellaneous	-	-	-	-
Interest	-	-	-	-
Total revenues	24,160,768	29,024,225	19,611,394	(9,412,831)
EXPENDITURES				
Instruction	10,486,548	10,569,454	8,422,341	2,147,113
Support services				
Students	4,635,312	8,418,617	4,387,541	4,031,076
Instruction	-	-	-	-
General administration	757,843	757,843	607,272	150,571
School administration	6,004,787	7,002,033	5,984,640	1,017,393
Central services	2,276,278	2,276,278	2,013,248	263,030
Operation & maintenance of plant	-	-	-	-
Student transportation	-	-	-	-
Other support services	-	-	-	-
Food services operations	-	-	-	-
Facilities, supplies & services	-	-	-	-
Debt service				
Principal	-	-	-	-
Interest	-	-	-	-
Capital outlay	-	-	-	-
Total expenditures	24,160,768	29,024,225	21,415,042	7,609,183
Excess (deficiency) of revenues over (under) expenditures	-	-	(1,803,648)	(1,803,648)
Designated cash	-	-	-	-
OTHER FINANCING SOURCES (USES)				
Transfers in	-	-	-	-
Transfers out	-	-	-	-
Revisions to NMPED	-	-	-	-
Bond issuance premiums	-	-	-	-
Debt issuance	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net changes in fund balances	-	-	(1,803,648)	(1,803,648)
Fund balances - beginning of year	-	-	(10,410,675)	(10,410,675)
Fund balances - end of year	\$ -	\$ -	(12,214,323)	\$ (12,214,323)
RECONCILIATION TO GAAP BASIS				
Reversal of PY adjustments to revenues / expenditures			10,410,675	
CY adjustments to revenues			1,790,564	
CY adjustments to expenditures			13,084	
Inventory			-	
Fund balances (GAAP basis)			\$ -	

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Statement of Net Position
Internal Service Fund
June 30, 2022

Exhibit D-1

	Internal Service Fund
ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	
Current assets	
Cash and cash equivalents	\$ 21,380,429
Investments - US Treasuries	19,351,955
Interest receivable	883
Total current assets	<u>40,733,267</u>
Total assets	<u>40,733,267</u>
DEFERRED OUTFLOWS OF RESOURCES	
Related to pensions	1,430,320
Related to OPEB	138,555
Total deferred outflows of resources	<u>1,568,875</u>
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	<u><u>\$ 42,302,142</u></u>
LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	
Current liabilities	
Claims payable	\$ 15,773,274
Total current liabilities	<u>15,773,274</u>
Long-term liabilities	
Long-term portion of claims payable	19,964,899
Net OPEB liability - RHC	220,833
Net pension liability	2,344,663
Total long term liabilities	<u>22,530,395</u>
Total liabilities	<u>38,303,669</u>
DEFERRED INFLOWS OF RESOURCES	
Related to pensions	2,041,034
Related to OPEB	97,373
Total deferred inflows of resources	<u>2,138,407</u>
NET POSITION	
Unrestricted net position	<u>1,860,066</u>
Total net position	<u>1,860,066</u>
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES, AND NET POSITION	<u><u>\$ 42,302,142</u></u>

The accompanying notes are an integral part of these financial statements.

State of New Mexico

Exhibit D-2

Albuquerque Municipal School District No. 12
Statement of Revenues, Expenses, and Changes in Fund Net Position
Internal Service Fund
For the Year Ended June 30, 2022

	Internal Service Fund
OPERATING REVENUES	
Charges for services	\$ 109,016,770
Total operating revenues	<u>109,016,770</u>
Operating expenses	
Health and medical claims admin.	6,133,963
Health and medical claims	83,906,274
Dental claims admin	1,177,520
Dental claims	3,762,945
Vision claims admin	150,190
Vision claims	580,891
Worker's compensation claims admin.	345,384
Worker's compensation claims	3,531,450
Property/liability claims	4,567,404
Compensation and benefits	945,627
Other professional / technical services	8,900,321
Total operating expenses	<u>114,001,969</u>
Operating loss	<u>(4,985,199)</u>
Non-operating expense	
Interest expense	<u>(706,864)</u>
Total non-operating expenses	<u>(706,864)</u>
Change in net position	(5,692,063)
Net position - beginning of year	<u>7,552,129</u>
Total net position - end of year	<u>\$ 1,860,066</u>

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Statement of Cash Flows
Internal Service Fund
Year Ended June 30, 2022

Exhibit D-3

	<u>Internal Service Fund</u>	
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from interfund services provided		
Health insurance premiums	\$ 83,479,970	
Express scripts rebates	5,443,433	
Dental insurance premiums	6,654,913	
Vision insurance premiums	989,328	
Worker's compensation premiums	3,800,603	
Property / liability premiums	<u>8,648,523</u>	
Total cash received from interfund services provided		109,016,770
Cash paid to vendors		
Health and medical claims administration	6,133,963	
Health and medical claims	83,960,274	
Dental claims administration	1,177,520	
Dental claims	3,762,945	
Vision claims administration	150,190	
Vision claims	580,891	
Worker's compensation claims admin.	345,384	
Worker's compensation claims (self-insured)	3,126,727	
Property / liability claims (self-insured)	<u>3,597,816</u>	
Total cash paid to vendors		102,835,710
Other expenditures		
Compensation and benefits	970,340	
Other professional / technical services	<u>8,900,321</u>	
Total other expenditures		<u>9,870,661</u>
Net cash used in operating activities		(3,689,601)
CASH FLOWS FROM INVESTMENT ACTIVITIES		
Purchase of investments	(4,810,938)	
Proceeds from sale of investments	4,968,164	
Interest received	<u>417,376</u>	
Net cash used in investing activities		<u>574,602</u>
Net decrease in cash and cash equivalents		(3,114,999)
Cash and cash equivalents - June 30, 2021		<u>24,495,428</u>
Cash and cash equivalents - June 30, 2022		<u><u>\$ 21,380,429</u></u>
Reconciliation of operating loss to net cash		
Operating loss		\$ (4,985,199)
Adjustments to reconcile operating loss to net cash used in operating activities		
Change in claims liability		1,320,311
Change in deferred outflows of resources		824,595
Change in deferred inflows of resources		2,098,162
Change in net OPEB liability		(136,369)
Change in net pension liability		<u>(2,811,101)</u>
Net cash used in operating activities		<u><u>\$ (3,689,601)</u></u>

The accompanying notes are an integral part of these financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies

The financial statements of Albuquerque Municipal School District No. 12, Albuquerque, New Mexico (District), have been prepared in conformity with accounting principles generally accepted in the United States of America (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. The GASB periodically updates its codification of the existing Governmental Accounting and Financial Reporting Standards which, along with subsequent GASB pronouncements (Statements and Interpretations), constitutes GAAP for governmental units.

Reporting Entity

The District was formed in the late 1800s. The District currently operates with a superintendent and seven elected board members. The District provides educational services to over 82,000 students. The financial statements include all funds that are controlled by, or dependent on, the District. Control by or dependence on the District was determined on the basis of budget adoption, taxing authority, outstanding debt secured by general obligations of the District, or the obligation of the District to finance any deficits that may occur. KANW, a public radio station, is included in the reporting entity general fund as a department within the District.

GASB Statement No. 14, 39 and 61 established criteria for determining the government reporting entity and component units that should be included within the reporting entity. Under provisions of this Statement, the District is considered a primary government, since it is a special-purpose government that has a separately elected governing body, is legally separate, and is fiscally independent of other state or local governments. As used in the GASB Codification, fiscally independent means that the District may, without the approval or consent of another governmental entity, determine or modify its own budget, levy its own taxes or set rates or charges, and issue bonded debt. The District also has component units, as defined by the GASB Codification, whereby the component units are legally separate organizations. There are no other primary governments with which the School Board Members are financially accountable. There are no other primary governments with which the District has a significant relationship.

KNME-TV is a non-profit television station jointly formed by the District and the University of New Mexico and has a separate governing board from that of the District. KNME-TV provides educational programming to the residents of New Mexico. It is excluded from the reporting entity because the District does not have the ability to exercise influence over daily operations and approve budgets; however, some funding is provided by the District, as well as by the University of New Mexico, private grants, gifts and contributions. The District derives no financial benefit from its relationship with KNME-TV and its only financial burden consists of a \$20,000 yearly contribution toward operations and payment of utility costs which amounted to \$13,830 during the fiscal year. Financial statements for KNME-TV may be obtained from the Controller's office of the University of New Mexico.

Separate financial statements are provided for governmental funds, and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements. The Internal Service Fund is used to account for the operation of the Self-Insurance Management Fund which services the District's departments.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Component Units

The following charter schools were formed under 1978 NMSA 22-8A. GASB provides guidance in determining whether certain organizations are component units and the presentation of these component units in the financial statements. Criteria for determining whether related organizations are component units include the following circumstances: Appointment of a voting majority of an organization's authority and the ability to either impose its will on that organization or the potential for the organization to provide specific financial benefits to, or impose specific burdens on the District; an organization is fiscally dependent and provides financial benefits to, or imposes specific financial burden; or it is determined that it would be misleading to exclude the related organizations from the financial statements because of the nature of the entity or because the entity is closely related to or fiscally integrated. The charter schools are legally separate entities that appoint their governing body and are not fiscally dependent on the District. The District management has determined that charter schools are major component units of the District under GASB Codification since their operating budgets and charters are annually presented and approved by the District's board, and the District and charter schools share certain financial benefits, in the case of the revenues being passed through the District, to possible financial burdens, such as possibly being liable for operating deficits. The District has also determined based on the nature and significance of its relationship to the District that the charter schools should be presented as discrete component units. Certain charter schools have opted to issue separate financial statements as described in Note 22.

ACE Leadership High School
Albuquerque Charter Academy
Albuquerque Talent Development Academy
Alice King Community School
Christine Duncan's Heritage Academy
Cien Aguas International School
Coral Community Charter School
Corrales International Charter School
Cottonwood Classical Preparatory Schools
Digital Arts & Technology Academy
East Mountain High School
El Camino Real Academy
Gilbert L. Sena Charter High School
Gordon Bernell Charter School
Health Leadership High School
International School at Mesa Del Sol

La Academia de Esperanza
Los Puentes Charter School
Mark Armijo Academy
Montessori of the Rio Grande
Mountain Mahogany Community School
Native American Community Academy
New Mexico International School
Public Academy for Performing Arts
Robert F Kennedy Charter School
Siembra Leadership High School
South Valley Academy
Technology Leadership High School
The New America School - New Mexico
Voz Collegiate Preparatory Charter School
William W. & Josephine Dorn Community School

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

APS Education Foundation

The Albuquerque Public Schools Education Foundation is a 501(c)(3) charitable organization established in 1995, for the purpose of soliciting, managing, and distributing private gifts and donations for the sole benefit of the District. In addition to providing help to over 82,000 schoolchildren and 11,500 full time staff members of the District, the Foundation serves as a fiscal agent for a variety of programs. The Foundation, through their Horizon Campaign, distributes fundraising efforts aimed at providing financial supplements to Classroom Teacher Mini-Grants, Fine Arts, Literacy and Middle School/High School Activities programs operated by the District. The Foundation is a separate legal entity that appoints its governing body and is not fiscally dependent on the District. As a result, the Foundation is reported as discretely presented component units on the District financial statements. The Foundation issues a separate set of financials, and a copy can be obtained from the Foundation at 6400 Uptown Blvd. NE, Suite 630 East, Albuquerque, NM 87110.

Government-Wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the non-fiduciary activities of the primary government. For the most part, the effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support. Likewise, the primary government is reported separately from certain legally separate component units for which the primary government is financially accountable.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment is offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment such as the collection of cafeteria fees and lost books, etc. and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment such as in Title I and IDEA-B or state programs such as HB-33 and SB-9. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Other Financing Sources (Uses): Transfers between funds that are not expected to be repaid (or any other types, such as capital lease transactions, sale of capital assets, debt extinguishments, long-term debt proceeds, etc.) are accounted for as other financing sources (uses). These other financing sources (uses) are recognized at the time the underlying events occur.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the period for which the taxes are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be *available* when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Revenues susceptible to accrual are property taxes, state shared taxes, investment income, and charges for services. In accordance with GASB Statement No. 33, estimated property, and other taxes that are not available, are called unavailable revenue and shown as a deferred inflow of resources. All other revenues are recognized when they are received and are not susceptible to accrual because they are usually not measurable until payment is actually received. Expenditures are recorded as liabilities when they are incurred. Any effect of inter-fund activity has been eliminated from the government-wide financial statements.

Property taxes are collected by the Bernalillo and Sandoval County Treasurers and remitted to the District. Property tax revenue is recognized at the time of receipt or earlier if accrual criteria are met. The District's accounting policy is to defer property taxes that are not collected within 60 days after fiscal year end since delinquent property taxes are not available to finance current fiscal year District operations. Delinquent property taxes collected in future periods will be recognized as revenue when collected.

Unavailable revenues arise when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period. In subsequent periods when both revenue recognition criteria are met or when the District has a legal claim to the resources, the revenue is recognized.

Expenditures are recorded when the related fund liability is incurred, except interest on general long-term debt which is recognized when due, and certain compensated absences and claims which are recognized when expected to be liquidated with expendable available financial resources.

Governmental funds are used to account for the District's general government activities, including the collection and disbursement of specific or legally restricted monies, the acquisition or construction of general capital assets, and the servicing of general long-term debt. Governmental funds include:

The *General Fund (11000)* is the primary operating fund of the District and accounts for all financial resources, except those required to be accounted for in other funds.

The *Special Revenue Funds* account for the proceeds of specific revenue sources that are legally restricted to expenditures for specified purposes.

The *Debt Service Funds* account for the services of general long-term debt not being financed by proprietary or nonexpendable trust funds.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

The *Capital Projects Funds* account for the acquisition of capital assets or construction of major capital projects not being financed by proprietary or nonexpendable trust funds.

Under the requirements of GASB Statement No. 34, the District is required to present certain of its governmental funds as major funds based upon certain criteria. The major funds presented in the fund financial statements include the following (in addition to the General Fund) funds that, with the exception of the Debt Service Fund (41000), were not required to be presented as major but are presented as major funds at the discretion of management:

The *Food Service Fund (21000)* is used to account for the cost of operating a student breakfast, lunch, snack bar, and summer lunch program and is financed with federal grants and fees paid by program users.

The *IASA Title I Fund (24101)* is used to provide compensatory education services to educationally deprived schoolchildren (including private school pupils) in low-income areas (PL 103-382).

The *IDEA-B Entitlement Fund (24106)* is used to account for federal resources administered by the Public Education Department to provide for special educational needs of handicapped 6-21 year olds (PL 94-142 & PL 99-457).

The *Bond Building Capital Projects Fund (31100)* is used to account for bond proceeds and any income earned thereon. The proceeds are restricted for the purpose of making additions to and furnishing of school buildings, or purchasing or improving school grounds or any combination thereof, as approved by the voters of the District.

The *Capital Improvements HB-33 Fund (31600)* is used to account for the costs relating to erecting, remodeling, making additions to, providing equipment for, or furnishing public school buildings and purchasing or improving public school grounds. Financing is provided through property taxes as specified by Article 26 of the Public School Buildings Act (House Bill 33).

The *Capital Improvements SB-9 Fund (31701)* is used to account for erecting, remodeling, making additions to and furnishing of school buildings, or purchasing or improving school grounds or any combination thereof as identified by the local school board. Financing is provided by the State of New Mexico's State Equalization Matching and a special tax levy as authorized by the Public School District Capital Improvements Act (22-25-1 to 22-25-10, NMSA 1978).

The *Debt Service Fund (41000)* is used to account for the accumulation of resources for the payment of General Long-Term Debt principal and interest.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

The *Internal Service Fund* is used to account for the operations of the Self-Insurance Management Fund which services the District's departments on a cost-reimbursement basis. The activity tracked in this Internal Service Fund includes employee health insurance, worker's compensation insurance, and property and liability insurance for the District. All expenses are captured in this fund, and proceeds from employee deductions and budgeted appropriations are coded here as revenue sources. Collections from excess insurance policies are also deposited into this fund. The Internal Service Fund is reported in the Proprietary Funds section of this report. Internal Service Fund operating revenues include employer and employee contributions. Non-operating revenue is limited to interest income. Operating expenses include claims and overhead expenses.

The Statement of Net Position and the Statement of Activities were prepared using the accrual basis of accounting. Revenues, expenses, gains, losses, assets, and liabilities resulting from exchange-like transactions are recognized when the exchange takes place. Revenues, expenses, gains, losses, assets, and liabilities resulting from non-exchange transactions are recognized in accordance with the requirements of GASB Statement No. 33 "Accounting and Financial Reporting for Non-Exchange Transactions."

Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Net Position or Fund Balance

As a general rule, the effect of inter-fund activity has been eliminated from the government-wide financial statements.

Cash, Cash Equivalents, and Investments

Policies regarding cash, cash equivalents, and investments are approved by the District's Board of Education and are governed by New Mexico statute. Such policies allow deposits or investments in certificates of deposit, savings accounts, overnight repurchase agreements, various obligations of the U.S. Government or its agencies and the New Mexico State Treasurer's Local Government Investment Pool (LGIP). Such deposits and investments must be made through a State or Federally chartered bank or savings and loan association which is insured by the FDIC and which is within the geographic boundaries of the District, or with the New Mexico State Treasurer. The District's cash and cash equivalents are considered to be cash on hand, demand deposits and short-term investments with original maturities of three months or less from the date of acquisition, which includes investments with the LGIP.

The District's Restricted Cash and Cash Equivalents of \$322,272,316 consist of cash balances in all funds except the Operational Fund. This includes Special Revenue Funds, Capital Outlay, and Debt Service.

Collateral is required for at least 50% of deposits that are not insured by the FDIC, with the exception of repurchase agreements. These are required to have collateral of at least 102%. Obligations that may be pledged as collateral are obligations of the U.S. Government, its agencies, and state and local governments. Collateral is held in safekeeping at depository institutions in the name of the District.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Investments are reported at fair value (FV). Investments are stated at the last reported sales price on a national securities exchange or as priced by a nationally recognized securities pricing service as on the last business day of the fiscal year. Investment income, including changes in the FV of investments, is reported in operations.

For purposes of the Statement of Cash Flows, the internal service fund considers Cash and Investments as highly liquid assets (including restricted assets) with maturity of three months or less when purchased to be cash equivalents.

Receivables and Payables

Activity between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year is referred to as inter-fund receivables and inter-fund payables. All receivables are reported at their gross value and, where appropriate, are reduced by the estimated portion that is expected to be uncollectible. The allowance for doubtful accounts is based on management's assessment of the collectability of specific accounts, the aging of accounts receivable, and historical experience.

The District receives monthly income from a tax levy in Bernalillo and Sandoval Counties. The funds are collected by the County Treasurers and are remitted to the District the following month. Certain Special Revenue funds are administered on a reimbursement method of funding; other funds are operated on a cash advance method of funding. The funds incurred the cost and submitted the necessary request for reimbursement or advance, respectively.

Prepaid Items

The consumption method is used to report prepaid items. Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements.

Inventory

Supply inventories are valued at cost and consist of educational supplies, purchased and donated commodities. Donated inventories, received at no cost under a program supported by the Federal Government, are recorded at the lower of their estimated fair market value at the date of receipt or current market value.

The food commodities received from the Federal Government (passed through from the State) are recorded as revenues and expenditures as they are consumed. Quantities on hand at year-end are recorded as inventory with an offsetting credit to revenue.

The consumption method is used to report inventories. Purchased inventories are classified as expenditures at the time individual inventory items are used. Reported inventories are classified as non-spendable fund balance which indicates that they do not constitute available expendable resources.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Capital Assets

Capital assets are recorded at historical cost and depreciated over their estimated useful lives (with no salvage value). Effective July 1, 2011, the District began capitalizing only equipment with a value in excess of \$5,000 in accordance with state statute. In addition, effective July 1, 2009, the District began tracking all computers regardless of value.

Donated capital assets, donated works of art and similar items, and capital assets received in a service concession arrangement are reported at their estimated acquisition value at the date of acquisition, plus ancillary charges. Additions, improvements and other capital outlays that significantly extend the useful life of an asset are capitalized. Other costs incurred for repairs and maintenance are expensed as incurred.

Capital assets include land and land improvements, buildings and building improvements, furniture, fixtures, equipment, machinery, and vehicles. Capital assets are used in operations and have a useful life of more than one year and a cost exceeding established capitalization thresholds. The District does not own any infrastructure assets such as roads, bridges, tunnels, drainage systems, water and sewer systems, and dams and lighting systems.

Purchased capital assets costing more than \$5,000 are recorded at historical cost, including significant ancillary charges necessary to place the asset into its intended location and condition for use. Improvements to land and buildings are capitalized at the higher threshold of \$25,000.

Capital assets are reported net of accumulated depreciation in the Statement of Net Position. Capital assets that are not being depreciated, such as land, are reported separately for significant amounts. Capital assets are depreciated over their estimated useful lives using the straight-line depreciation method and full-month averaging. No salvage value is allowed for this purpose. Estimated useful life is management's estimate of how long the asset is expected to meet service demands.

Straight-line depreciation is used based on the following estimated useful lives:

Computer Equipment and Business Machines	3 Years	Improvements to Land	20 Years
Vehicles, General Equipment and Furniture	5 Years	Improvements to Buildings	20 Years
Large Vehicles, Trucks, Trailers, and Heavy Equipment	8 Years	Portable School Buildings	25 Years
Buses	12 Years	Building Purchases	40 Years

Depreciation was allocated to the various functions based upon originating purchasing source where identifiable. Unallocated depreciation was recorded in the Statement of Activities.

Unearned Revenues

The District reports unearned revenues on its Statement of Net Position and various fund balance sheets. Unearned revenues arise when resources are received by the District before it has a legal claim to them, as when grant monies are received prior to the occurrence of qualifying expenditures. In subsequent periods, when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and the revenue is recognized.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Accrued Salaries

Certain employees of the District (primarily schoolteachers and support staff) work nine months of the 12-month fiscal year. The District disburses payroll to such employees throughout the entire 12-month period. Accordingly, salaries payable included as accrued expenses in the accompanying financial statements include accrued salaries for services performed through June 30, 2022, for these employees. The accrued salaries will be paid within two months after the end of the fiscal year.

Compensated Absences

In the event of termination or retirement, employees may be paid for up to 176 hours of accumulated vacation leave. Accordingly, accumulated vacation leave is recorded as if fully vested. The vested vacation leave payable is calculated using current pay levels and is recorded in the government-wide financial statements.

Long-Term Obligations

In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. During the year, \$22,307,930 in interest on long-term debt was recorded, including \$9,060,739 in accrued interest payable.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The District is reporting \$1,002,612,747 related to the pension plan and \$107,625,379 related to the OPEB plan for a total of \$1,110,238,126 at June 30, 2022.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to future periods and so will not be recognized as an inflow of resources (revenue) until that time. The District reported deferred inflows related to the pension plan of \$1,711,829,382, \$217,725,102 related to the OPEB plan, and \$237,519 related to resources with time restrictions, for a total of \$1,929,792,003 at June 30, 2022.

Fund Balance

The difference between assets and liabilities in the governmental fund financial statements are among the most widely and frequently used information in state and local government financial reports.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

GASB Statement No. 54 distinguishes fund balances based on the relative strength of the constraints that control the purposes for which specific amounts can be spent. The Board of Education is the highest level of decision making authority and formal Board action, and through an adopted resolution, is required to create, modify or rescind, a fund balance commitment. The general fund is the only fund that may report a positive, unassigned fund balance. Beginning with the most binding constraints, fund balance amounts are reported in the following classifications:

- *Non-spendable* – portion of net resources that cannot be spent because of their form or because they must remain intact.
- *Restricted* – amounts constrained by external parties, constitutional provision, or enabling legislation.
- *Committed* – amounts constrained by a government using its highest level of decision-making authority. The Board of Education is the highest level of decision making authority. Formal Board action, through a resolution creates a commitment.
- *Assigned* – amounts a government intends to use for a particular purpose. The Board of Education's policy on Fiscal Management delegates the chief financial officer as the administrative position responsible for assigning future fund balance.
- *Unassigned* – amounts that are not constrained at all will be reported in the general fund.

Operational Fund Cash Balance Procedural Directive

The chief financial officer shall manage the District's finances and take appropriate action to ensure an operational fund cash balance of at least five percent (5%) of the current year's budgeted operating expenditures for any given fiscal year.

Upon accumulation of the operating fund cash balance of at least five percent (5%), the operating fund cash balance may only be drawn down below that level under the following circumstances:

- a. An unexpected loss of revenue which includes, but is not limited to a mid-year reduction in operational revenues from the New Mexico Legislature and/or the New Mexico Public Education Department which were not included in the final approved budget.
- b. Approval from the Board of Education for a non-budgeted expenditure.
- c. Upon approval from the New Mexico Public Education Department through a budget adjustment request. In an emergency, the chief financial officer may spend the operational fund cash balance prior to approval of the budget adjustment request.

Upon receiving any indication that the operating fund cash balance may not equal at least five percent (5%) at any point within a rolling five-year financial forecast period, the chief financial officer shall immediately report the information to the superintendent and the Board of Education. It shall be the responsibility of the chief financial officer to provide recommendations to the superintendent and the Board of Education that may assist in accumulating and maintaining the operating fund cash balance as outlined in this procedural directive.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Net Position

The government-wide statements utilize a net position presentation categorized as follows:

Net Investment in capital assets – This category reflects the portion of net position associated with capital assets less outstanding capital asset related debt.

Restricted net position – For the government-wide statement of net position, net position is reported as restricted when constraints placed on the net asset used are either.

1. Externally imposed by creditors (such as debt covenants), grantors, contributors, or laws or regulations of other governments; or
2. Imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position – This category reflects net position of the District not restricted for any project or other purpose.

The District's policy is to apply restricted resources first when an expense is incurred for purposes for which both restricted and unrestricted net position are available. The District's restricted fund balances for pupil transportation and capital projects on Exhibit B-1 represent those imposed by law through enabling legislation. When an expenditure is incurred for which committed, assigned, and/or unassigned amounts of funding are available, funds are applied in that respective order.

Inter-Fund Transactions

Reciprocal and non-reciprocal transactions are accounted for as revenues, expenditures, or expenses. Transactions that constitute reimbursements to a fund from expenditures/expenses initially made from it that are properly applicable to another fund are recorded as inter-fund due from prior to the recording of the actual reimbursements. All other inter-fund transactions, except reciprocal and non-reciprocal transactions and reimbursements, are reported as transfers.

Estimates

The preparation of financial statements in conformity with generally accepted accounting principles in the United States of America requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Estimates in these financial statements include the District's estimate of useful lives for determining accumulated depreciation and depreciation expense, an estimate of accrued interest, estimates of worker's compensation and health insurance claims, an estimate of property taxes receivable, and an estimate of the District's proportionate share of the Educational Retirement Plan (ERP) net pension liability and Retiree Health Care Authority (RHCA) net OPEB liability.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Revenues

Program Revenues

In the Statement of Activities, program revenues derive directly from the program itself or from parties outside the District's taxpayer or citizenry, as a whole; program revenues reduce the cost of the function to be financed from the District's general revenues. Program revenues are categorized as (a) charges for services, which include revenues collected for cafeteria fees and lost books, etc., (b) program-specific operating grants, which include revenues received from state and federal sources such as Title I and IDEA-B funding to be used as specified within each program grant agreement, and (c) program-specific capital grants and contributions, which include revenues from state sources such as SB-9 and HB-33 funding to be used for capital projects.

State Equalization Guarantee

School districts in the State of New Mexico receive a "state equalization guarantee distribution," which is defined as "that amount of money distributed to each school district to insure that the school district's operating revenue, including its local and federal revenues as defined (in Chapter 22, Section 82-5, NMSA 1978) is at least equal to the school district's program cost."

A school district's program costs are determined through the use of various formulas using "program units" which take into consideration 1) early childhood education; 2) basic education; 3) special education; 4) bilingual-multicultural education; 5) size; 6) extended learning time plan (ELTP); and 7) kindergarten - 5th grade + (K5+) programs, etc. Payment is made from the public school fund under the authority of the Director of Public School Finance. The District received \$719,352,452 in state equalization guarantee distributions during the year ended June 30, 2022.

Tax Revenues

The District receives mill levy and ad valorem tax revenues primarily for debt service and capital outlay purposes. Tax revenues are recognized for governmental purposes when they are assessed and for fund purposes when they are measurable and available. Descriptions of the individual debt service and capital outlay funds contained in these financial statements include information regarding the authority for the collection and use of these taxes.

Property Taxes

An enforceable lien is attached on property as of January 1. Tax notices are sent to property owners by November 1 of each year, to be paid in whole or in two installments by November 10 and April 10 of each year. The County collects county, city, and school taxes and distributes some to each fund once per month.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Pupil Transportation Distribution

School districts in the State of New Mexico receive student transportation distributions. The transportation distribution is allocated to each school district in accordance with formulas developed by the State Transportation Director and the Director of Public School Finance. The funds shall be used only for the purpose of making payments to each school district for the to-and-from school transportation costs of students in grades K through twelve attending public school within the school district. Allocations received from the State for the year ended June 30, 2022, totaled \$20,629,253.

SB-9 State Match

The Director shall distribute to any school district that has imposed a tax under the Public School Capital Improvements Act (22-25-1 to 22-25-10, NMSA 1978) an amount from the public school capital improvements fund that is equal to the amount by which the revenue estimated to be received from the imposed tax as specified in Subsection B of Section 22-25-3, NMSA 1978, assuming a one hundred percent collection rate, is less than an amount calculated by multiplying the product obtained by the rate imposed in the District under the Public School Capital Improvements Act. The distribution shall be made by December 1st of each year that the tax is imposed, in accordance with Section 22-25-3, NMSA 1978.

However, in the event that sufficient funds are not available in the public school capital improvements fund to make the state distribution provided for in this section, the dollar per program unit figure shall be reduced as necessary.

Public School Capital Outlay

Under the provisions of Chapter 22, Article 24, NMSA 1978, a public school capital outlay fund was created. The money in the fund may be used only for capital expenditures deemed by the public school capital outlay council necessary for an adequate educational program, and capital outlay expenditures are limited to the purchase or construction of temporary or permanent classrooms.

The council shall approve an application for grant assistance from the fund when the council determines that:

1. A critical need exists requiring action;
2. The residents of the school district have provided all available resources to the district to meet its capital outlay requirements;
3. The school district has used its resources in a prudent manner;
4. The district is in a county or counties which have participated in the reappraisal program and the reappraised values are on the tax rolls, or will be used for the tax year 1979 as certified by the property tax division; and

The school district has provided insurance for buildings of the school district in accordance with the provisions of Section 13-5-3, NMSA 1978.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

The council shall consider all applications for assistance from the fund and after public hearing shall either approve or deny the application. Applications for grant assistance shall only be accepted by the council after a district has complied with the provisions of this section. The council shall list all applications in order of priority, and all allocations shall be made on a priority basis. Money in the fund shall be disbursed by warrant of the Department of Finance and Administration on vouchers signed by the Secretary of Finance and Administration following certification by the council that the application has been approved.

Allocation of Indirect Expenses

The District reports all direct expenses by function in the Statement of Activities. Direct expenses are those that are clearly identifiable with a function. The District does not currently employ indirect cost allocation systems. Depreciation expense not charged to a specific function is identified as unallocated on the Statement of Activities. Interest on general long-term debt is considered an indirect expense and is reported separately on the Statement of Activities.

Federal Grants

The District receives revenues from various Federal departments (both direct and indirect), which are legally restricted to expenditures for specific purposes. These programs are reported as Special Revenue Funds. Each program operates under its own budget, which has been approved by the Federal Department or the flow through agency (usually the State of New Mexico Public Education Department). The various budgets are approved by the Local School Board and the New Mexico Public Education Department. Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, the purpose of which is to ensure compliance with conditions precedent to the granting of funds. Any liability for reimbursement which may arise as a result of these audits is not believed to be material.

The District also receives reimbursements under the National School Lunch and Breakfast Programs for its food services operations, and the distributions of commodities through the New Mexico Human Services Department. The value of commodities received for the year ended June 30, 2022, was \$3,207,054 and is reported in the Schedule of Expenditures of Federal Awards under the Department of Agriculture Commodities Program, Assistance Listing number 10.555. Commodities are recorded as revenues and expenditures in the food service fund.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Educational Retirement Plan (ERP) and additions to/deductions from ERP's fiduciary net position have been determined on the same basis as they are reported by ERP. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Post-Employment Benefits Other Than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the New Mexico Retiree Health Care Authority (NMRHCA) and additions to and deductions from NMRHCA's fiduciary net position have been determined on the same basis as they are reported by NMRHCA. For this purpose, NMRHCA recognizes benefit payments when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Budgetary Information

The following procedures are utilized to establish the District budget:

1. Subsequent to January 31, and prior to June 1, the Superintendent submits to the District's Board of Education a proposed budget for the fiscal year which commences on July 1. The budget includes an estimate of revenues and a proposed expenditure plan.
2. The proposed budget is presented at meetings subject to the Open Meetings Act of New Mexico, and the public is invited to comment.
3. The District is required to submit to the State of New Mexico, Public Education Department School Budget & Financial Analysis Unit (SBFAU), a balanced budget for the fiscal year which commences on July 1.
4. Based on criteria set by the SBFAU, the District undergoes either a formal technical review of the proposed budget or a more informal phone review each year. Subsequent to this review, the local Board approves a budget resolution to adopt the proposed budget subject to any technical adjustments by SBFAU. The final budget as approved by SBFAU is provided to the Board for information purposes only.
5. Budgets for the General Fund, Special Revenue Funds, and Capital Projects Funds are adopted on a basis consistent with the "Manual of Procedures for Uniform Financial Accounting and Budgeting for School Districts". Budgetary amounts for the Debt Service Fund are based upon the issuance of general obligation bonds.
6. Budgeted amounts are as originally adopted or as amended by the SBFAU.

For budgetary purposes, expenditures include amounts paid in the fiscal year, adjusted for the effects of liabilities paid within ten days of fiscal year-end and unpaid salaries and benefits attributable to services provided during the school year. The Board of Education must approve amendments to the appropriated budget when the budgeted fund balance differs from the actual fund balance at the end of the fiscal year. New Mexico state law prohibits a governmental agency from exceeding the appropriated budget.

The Statements of Revenues, Expenditures and Changes in Fund Balance – Budget (Non-GAAP Budgetary Basis) and Actual present comparisons of the legally adopted budget with actual data on a budgetary basis.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 1 – Summary of Significant Accounting Policies (continued)

Since accounting principles applied for purposes of developing data on a budgetary basis differ significantly from those used to present financial statements in conformity with generally accepted accounting principles, a reconciliation to GAAP basis and timing differences in the excess (deficiency) of revenues, and other sources of financial resources for the year ended June 30, 2022, is presented with each fund's Statement of Revenues, Expenditures, and Changes in Fund Balance – Budget and Actual (Non-GAAP Budgetary Basis).

Budgetary comparisons are presented in the balanced presentation format whereby the excess (deficiency) of revenues over expenditures is reflected as Beginning Fund Balance for budgetary purposes. The major differences between the budgetary basis and the GAAP basis are:

1. Revenues are recorded when received in cash (budgetary) as opposed to when susceptible to accrual (GAAP); and
2. Generally, expenditures are recorded when paid in cash (budgetary) as opposed to when susceptible to accrual (GAAP). However, budgetary expenditures include amounts for salaries and benefits attributable to services provided during the fiscal year. The non-budgeted accounts and funds primarily consist of the adjustment to record the USDA commodity allocation.

Note 2 – Cash, Cash Equivalents, and Investments

State statutes authorize the investment of District funds in a wide variety of instruments, including certificates of deposit and other similar obligations, state investment pool, money market accounts, and United States Government obligations. All invested funds of the District properly followed State investment requirements as of June 30, 2022.

Deposits of funds may be made in interest or non-interest bearing checking accounts and in one or more banks or savings and loan associations within the geographical boundaries of the District. Deposits may be made to the extent that they are insured by an agency of the United States, or by collateral deposited as security, or by bond given by the financial institution.

Amounts reported as cash & cash equivalents in Fund 23000, Non-Instructional Support, represent amounts held by individual school locations and departments. These funds are used to finance non-curricular activities augmenting but not replacing activities provided through funding provided by the District.

The rate of interest in non-demand interest-bearing accounts shall be set by the State Board of Finance, but in no case shall the rate of interest be less than one hundred percent of the asked price on United States treasury bills of the same maturity on the day of deposit.

Excess of funds may be temporarily invested in securities which are issued by the State or by the United States Government, or by their departments or agencies, and which are either direct obligations of the State or the United States, or are backed by the full faith and credit of those governments.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 2 – Cash, Cash Equivalents, and Investments (continued)

The collateral pledged is listed on Schedule II of this report. The types of collateral allowed are limited to direct obligations of the United States Government and all bonds issued by any agency, district, or political subdivision of the State of New Mexico.

According to the Federal Deposit Insurance Corporation, public unit deposits are funds owned by the public unit. Time deposits, savings deposits, and interest bearing NOW accounts of a public unit in an institution in the same state will be insured up to \$250,000 in aggregate.

Cash Reconciliation

Cash Per Government-Wide Statement of Net Position	
Unrestricted cash - Statement of net position	\$ 135,560,279
Restricted cash - Statement of net position	<u>284,255,864</u>
Total cash and cash equivalents per Government-Wide Statement of Net Position	<u><u>\$ 419,816,143</u></u>
Governmental Funds - Balance Sheet Reconciliation	
Cash and cash equivalents per Exhibit A-1	\$ 419,816,143
Internal Service Fund cash and cash equivalents	<u>(21,380,429)</u>
Total cash and cash equivalents per Governmental Funds Balance Sheet per Exhibit B-1	<u><u>\$ 398,435,714</u></u>

Deposits

NM State Statutes require collateral pledged for deposits in excess of the federal deposit insurance to be delivered, or a joint safekeeping receipt be issued, to the Schools for at least one half of the amount on deposit with institution. The schedule listed below will meet the State of New Mexico, Office of the State Auditor's requirements in reporting the insured portion of the deposits. Cash and cash equivalents consists of the following at June 30, 2022:

	Bank of Albuquerque	Non-Instructional	Total Deposits
Total deposits	\$ 291,001,979	\$ 7,949,833	\$ 298,951,812
FDIC coverage	<u>250,000</u>	<u>7,949,833</u>	<u>8,199,833</u>
Total uninsured public funds	290,751,979	-	290,751,979
Collateral requirement ¹	145,375,990	-	145,375,990
Pledged security	<u>298,364,133</u>	<u>-</u>	<u>298,364,133</u>
Total under (over) collateralized	<u><u>\$ (152,988,143)</u></u>	<u><u>\$ -</u></u>	<u><u>\$ (152,988,143)</u></u>

¹ Collateral requirement: 50% of uninsured public funds.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 2 – Cash, Cash Equivalents, and Investments (continued)

Custodial Credit Risk

Custodial credit risk is the risk that in the event of a bank failure, the government's deposits may not be returned to it. The District does not have a deposit policy for custodial credit risk, other than following state statutes as put forth in the Public Money Act (Section 6-10-1 to 6-10-63, NMSA 1978). At June 30, 2022, \$290,751,979 of the District's bank balance of \$298,951,812 was exposed to custodial credit risk. The uninsured portion is collateralized by collateral held by the pledging bank's trust department, but the collateral is not held in the District's name.

Interest Rate Risk

Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of the District's investments. The District's investment policy is to attempt to secure a maximum yield of investment earnings to supplement other revenues for the support of the District. The District only invests in securities allowed under Section 6-10-10 NMSA 1978.

Investments

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are unobservable inputs.

The District has the following recurring fair value measurements as of June 30, 2022:

Investment Type (Level 1 Inputs)	Fair Value	Maturity		
		6 months or less	Between 6 months and 1 year	Between 1 year and 3 years
U.S. Treasury Securities	\$ 152,233,434	\$ 79,680,704	\$ 19,594,530	\$ 52,958,200
	<u>\$ 152,233,434</u>	<u>\$ 79,680,704</u>	<u>\$ 19,594,530</u>	<u>\$ 52,958,200</u>

Credit Risk – Investments: The District holds U.S. Treasury securities rated Aaa by Moody's and AA+ by Standard & Poor's. The New Mexico LGIP investments in the amount of \$111,000,000 carry a Standard & Poor's AAAM investment rating, with a 49 day WAM (R) and 89 day WAM (F). LGIP investments are classified as cash and cash equivalents on Exhibits A-1 and B-1.

Concentration Credit Risk – Investments: For an investment, concentration credit risk is when any one issuer is 5% or more of the investment portfolio of the District. The investment portfolio comprises of 49% invested in U.S. Treasury Securities and 51% invested in the State Investment Pool LGIP Fund. Since the District only purchases investment with the highest credit rating, the additional concentration is not viewed to be an additional risk by the District. The District's policy related to concentration risk is to comply with the state statute as put forth in the Public Money Act (Section 6-10-1 to 6-10-63, NMSA 1978).

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 2 – Cash, Cash Equivalents, and Investments (continued)

The State Treasurer Local Government Investment Pool (Pool) is not SEC Registered. Section 6-10-10 I, NMSA 1978, empowers the State Treasurer, with the advice and consent of the State Board of Finance, to invest money held in the short-term investment funds in the securities that are issued by the United States government or by its departments or agencies and are either backed by the full faith and credit of the United States government or are agencies sponsored by the United States government. The Local Government Investment Pool investments are monitored by the same investment committee and the same policies and procedures that apply to all other state investments. The Pool does not have unit shares; at the end of each month, all interest earned is distributed by the State Treasurer to the contributing entities in the amounts of the fund were invested. Any realized gain or loss on the portfolio is distributed through the investment yield on distribution dates. The carrying amount of the portfolio approximates the fair value of all investments at June 30, 2022. The State of New Mexico is a regulatory oversight entity, and participation in the Pool is voluntary. LGIP investments are classified as cash equivalents on Exhibits A-1 and B-1.

Note 3 – Receivables

Accounts receivable are recorded in the various governmental funds. They consist of amounts receivable from local governments relating to various grant agreements and property taxes receivable.

Accounts receivable are shown net of an allowance for doubtful accounts. Trade accounts receivable in excess of 180 days comprise the allowance for doubtful accounts. Restricted Accounts Receivables of \$113,221,988 consist of those receivables related to special revenues, amounts due from other governments for special revenue and capital outlay funds, and property tax receivables (except for the operational fund, which is unrestricted).

Receivables as of June 30, 2022, are as follows:

Receivables	General	Food Services	Title I IASA	IDEA-B Entitlement	Bond Building
Property taxes	\$ 493,499	\$ -	\$ -	\$ -	\$ -
Intergovernmental grants	-	9,683,684	18,331,807	12,275,732	-
Other	1,356,673	-	-	-	3,142
Less allowance for doubtful accounts	(9,683)	-	-	-	-
Totals by fund	<u>\$ 1,840,489</u>	<u>\$ 9,683,684</u>	<u>\$ 18,331,807</u>	<u>\$ 12,275,732</u>	<u>\$ 3,142</u>
	HB-33 Capital Improvements	SB-9 Capital Improvements	Debt Service	Other Governmental	Total
Property taxes	\$ 4,830,198	\$ 2,423,430	\$ 6,552,295	\$ -	\$ 14,299,422
Intergovernmental grants	-	-	-	50,918,045	91,209,268
Other	24,780	7,337	-	8,170,655	9,562,587
Less allowance for doubtful accounts	-	-	-	-	(9,683)
Totals by fund	<u>\$ 4,854,978</u>	<u>\$ 2,430,767</u>	<u>\$ 6,552,295</u>	<u>\$ 59,088,700</u>	<u>\$ 115,061,594</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 4 – Inventories

Components of inventory balances are as follows:

Instructional	\$ 3,516,700
Maintenance and operations	1,913,378
Food items	<u>2,559,145</u>
Total	<u><u>\$ 7,989,223</u></u>

Note 5 – Accrued Expenses

Accrued expenses at June 30, 2022, consist of:

Salaries and benefits payable	\$ 94,235,491
Other liabilities	<u>244,129</u>
	<u><u>\$ 94,479,620</u></u>

Note 6 – Deferred Outflows/Inflows of Resources

Deferred outflows/inflows of resources at June 30, 2022, consist of:

	Deferred Outflows	Deferred Inflows
ERB	\$ 1,002,612,747	\$ 1,711,829,382
RHCA	107,625,379	217,725,102
Grant funding	-	237,519
Statement of net position	<u><u>\$ 1,110,238,126</u></u>	<u><u>\$ 1,929,792,003</u></u>

Note 7 – Inter-Fund Receivables and Payables

Generally, these inter-fund receivables and payables are generated when a fund incurs an expenditure that is waiting for reimbursement from the grantor. The balance represents the amount of cash provided by the General Fund to cover the expense until payment is received. All of these balances are expected to be collected in the subsequent year. Inter-fund transfers generally occur for two reasons: to correct the recording of expenses or revenue and to cover over-expenditures of Special Revenue Funds. Transfers from non-major governmental funds to the operational fund totaled \$0 for the year ended June 30, 2022.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 7 – Inter-Fund Receivables and Payables (continued)

Receivables and payables from inter-fund transactions as of June 30, 2022, are listed below:

Governmental Activities		Interfund Receivables	Interfund Payables
Fund #	Major Funds:		
11000	Operational Fund	\$ 82,989,437	\$ -
24101	Title I IASA	-	(18,324,078)
24106	IDEA-B Entitlement	-	(12,214,323)
Fund #	Non-Major Funds:		
24109	Preschool IDEA-B	-	(117,902)
24113	Education Of Homeless	-	(11,156)
24115	IDEA-B Private School Share	-	(50,354)
24118	Fresh Fruit & Vegetables	-	(283,005)
24120	IDEA-B Risk Pool	-	(99,181)
24124	Title I 1003g Grant	-	(101,459)
24146	Charter School Grant	-	(685,815)
24153	English Language Acquisition	-	(144,071)
24154	Teacher / Principal Training & Recruiting	-	(1,805,214)
24174	Carl D. Perkins Secondary Current	-	(791,799)
24176	Carl D. Perkins Secondary Redistribution	-	(5,001)
24189	Student Support and Academic Enrichment	-	(1,405,797)
24190	School Improvement (CSI)	-	(13,864)
24191	High School Resign	-	(954)
24192	More Rigorous Intervention (MRI)	-	(14,499)
24301	Cares Act FY20-21	-	(5,018,284)
24306	CARES/GEER/HEPA/Filters	-	(406,072)
24307	CARES Act GEERF	-	(56,267)
24308	CRRSA ESSER II	-	(8,106,410)
24309	Social Emotional Learning - CRRSA	-	(42,397)
24316	Air Quality - ESSER	-	(739,577)
24330	American Rescue Plan Act	-	(9,350,841)
24341	ESSER - Out of School Time Round I	-	(75,897)
24342	ESSER - Out of School Time Round II	-	(49,752)
24350	ARPA-Homeless Emergency Funds Grant	-	(43,118)
25112	Collaborative Research and Development	-	(9,650)
25129	Title XX Health & Social Services	-	(378,028)
25131	Johnson O'Malley	-	(167,848)
25180	Engineering the Future Projects	-	(1,456,040)
25184	Indian Education Formula Grant	-	(719,447)
25200	ROTC	-	(2,841)
25222	Adolescent Health Prevention (CDC)	-	(550,211)
25248	State Tribal Education Partnership (STEP)	-	(142,979)
25264	APS Environmental Bus Replacement Project	-	(63,946)
26118	ABEC Job Mentor Instruction	-	(78,809)
26186	City CSI	-	(1,037,057)
26210	APS Homeless Project	-	(160,743)
27107	2012 GOB Public Schools Library Award	-	(69,566)
27126	Community Schools Planning Grant	-	(238,664)
27127	Community Schools Implementation Grant	-	(657,155)
27135	Pre-K Initiative	-	(13,914)
27141	Truancy and Dropout Prevention	-	(29)
27149	Pre-K Initiative	-	(3,169,209)
27150	Indian Education School District Initiative	-	(38,475)
27178	School Busses	-	(2,261,298)
27183	NM Grown Fruit/Veg	-	-
27201	School Lunch Co-Pay	-	(7,185)
27405	District Owned School Bus Cameras Legislative 2020 HB-	-	(26,352)
27406	Transformational Plan	-	(3,310,808)
27407	Family Index Pilot FY22	-	(717,296)
27502	Next Gen Career & Technical Edu (CTE)	-	(191,723)
28143	Youth at Risk CYFD	-	(4,573)
28211	NM DOH Covid-19 Testing FY22	-	(299,836)
29107	City / County Grants	-	(213,122)
31400	Special Capital Outlay - State	-	(7,045,546)
		<u>\$ 82,989,437</u>	<u>\$ (82,989,437)</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 8 – Transfers

Transfers in	Transfers Out		
	General Fund	Other Governmental Funds	Total
Other Governmental Funds	\$ 112,136	\$ -	\$ 112,136
Debt Service	-	228,354	228,354
Total	<u>\$ 112,136</u>	<u>\$ 228,354</u>	<u>\$ 340,490</u>

Transfers are used to move revenues from the fund in which the District's budget requires collection to the fund required to expend monies and to move unrestricted revenue collected in the General Fund to finance various activities accounted for in other funds.

Note 9 – Capital Assets

A summary of capital assets and changes occurring during the year ended June 30, 2022, including those changes pursuant to the implementation of GASB Statement No. 34, follows. Land is not subject to depreciation.

	Balance 6/30/2021	Additions	Deletions / Adjustments	Transfers	Balance 6/30/2022
Governmental Activities					
Capital Assets not depreciated					
Land	\$ 65,403,988	\$ -	\$ -	\$ 8,236	\$ 65,412,224
Construction in Progress	58,804,984	91,405,656	(719,582)	(81,351,213)	68,139,845
Total Capital Assets, not depreciated	<u>124,208,972</u>	<u>91,405,656</u>	<u>(719,582)</u>	<u>(81,342,977)</u>	<u>133,552,069</u>
Capital Assets being depreciated					
Land Improvements	230,366,706	-	130,514	12,086,999	242,584,219
Building and Building Improvements	2,362,677,500	-	(1,073,003)	69,255,978	2,430,860,475
Equipment, Furniture and Fixtures	37,683,622	1,127,575	(481,692)	-	38,329,505
Buses	21,627,367	2,399,694	-	-	24,027,061
Vehicles/Heavy Equipment	20,776,093	897,131	(725,351)	-	20,947,873
Total Capital Assets, being depreciated	<u>2,673,131,288</u>	<u>4,424,400</u>	<u>(2,149,532)</u>	<u>81,342,977</u>	<u>2,756,749,133</u>
Less: Accumulated Depreciation					
Land Improvements	(124,426,229)	(8,040,424)	-	-	(132,466,653)
Building and Building Improvements	(1,193,587,484)	(96,022,005)	1,642,043	-	(1,287,967,446)
Equipment, Furniture and Fixtures	(30,321,433)	(3,100,760)	481,228	-	(32,940,965)
Buses	(4,634,916)	(1,852,904)	719,940	-	(5,767,880)
Vehicles/Heavy Equipment	(16,371,729)	(1,030,742)	-	-	(17,402,471)
Total accumulated depreciation	<u>(1,369,341,791)</u>	<u>(110,046,835)</u>	<u>2,843,211</u>	<u>-</u>	<u>(1,476,545,415)</u>
Total Capital Assets, being depreciated, net	<u>1,303,789,497</u>	<u>(105,622,435)</u>	<u>693,679</u>	<u>81,342,977</u>	<u>1,280,203,718</u>
Governmental Activities Capital assets, net	<u>\$ 1,427,998,469</u>	<u>\$ (14,216,779)</u>	<u>\$ (25,903)</u>	<u>\$ -</u>	<u>\$ 1,413,755,787</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 9 – Capital Assets (continued)

Depreciation expense for the year ended June 30, 2022, was charged to governmental activities as follows:

Instruction	\$ 428,992
Support Services	2,209,869
Operation and Maintenance of Plant	12,667
Operation of Noninstructional Services	377,468
Unallocated	107,017,839
	<u>\$ 110,046,835</u>

A portion of the District's net position represents its net investment in its various capital assets for the year ended June 30, 2022:

Capital assets (net of accumulated depreciation)	\$ 1,413,755,787
Less bonds payable	(595,362,629)
Less accrued interest on bonds	(9,060,739)
Plus cash held in Bond Building fund (31100)	61,831,973
Net investment in capital assets	<u>\$ 871,164,392</u>

Note 10 – Long-Term Debt

During the year ended June 30, 2022, the following changes occurred in the liabilities reported in the government-wide statement of net position:

	Balance 6/30/2021	Additions	Deletions	Balance 6/30/2022	Current Portion	Long-Term Debt
General Obligation Bonds	\$ 546,020,000	\$ 57,000,000	\$ 54,225,000	\$ 548,795,000	\$ 64,345,000	\$ 484,450,000
Premiums	47,543,186	6,609,057	7,584,614	46,567,629	6,543,394	40,024,235
Subtotal	593,563,186	63,609,057	61,809,614	595,362,629	70,888,394	524,474,235
Education Technology Notes	3,600,000	-	3,600,000	-	-	-
Premiums	24,429	-	24,429	-	-	-
Subtotal	3,624,429	-	3,624,429	-	-	-
Compensated Absences	4,626,839	4,550,534	4,490,990	4,686,383	1,561,971	3,124,412
Estimated Claims Liability	34,417,862	112,984,583	111,664,272	35,738,173	15,773,274	19,964,899
Net OPEB Liability	485,256,883	-	112,889,312	372,367,571	-	372,367,571
Net Pension Liability	3,536,282,260	-	2,327,609,074	1,208,673,186	-	1,208,673,186
Total	<u>\$ 4,657,771,459</u>	<u>\$ 181,144,174</u>	<u>\$ 2,622,087,691</u>	<u>\$ 2,216,827,942</u>	<u>\$ 88,223,639</u>	<u>\$ 2,128,604,303</u>

Compensated absences are paid from the same funds from which the employees are paid, principally from the operational fund. Totals above include current portions and long-term portions.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 10 – Long-Term Debt (continued)

Bonds are secured by the District's full faith and credit and are general obligations of the District payable from ad valorem taxes to be levied, without limitation as to rate or amount, against all taxable property within the District. Debt service requirements are liquidated as property taxes are received and debt service principal and interest payments become due. They are paid primarily from the General Fund and Debt Service Fund. Interest on all issues is payable semiannually on February 1 and August 1. Principal is payable annually on August 1. The proceeds of the bonds are being used for the purpose of erecting, remodeling, making additions to and furnishing school buildings, and purchasing and improving school grounds.

On April 21, 2022, the District sold \$57,000,000 of general obligation bonds (series 2022A). This sale was the last installment of the \$100,000,000 authorization approved by voters on November 5, 2019. Proceeds will be used to finance the cost of erecting, remodeling, making additions to and furnishing school buildings; purchasing or improving school grounds; purchasing computer software and hardware for students in the District; providing matching funds for capital outlay projects funded pursuant to the Public School Capital Outlay Act; and paying expenses related to issuance of the series 2022A bonds.

Arbitrage/Yield Reduction

The Tax Reform Act of 1986 instituted certain arbitrage restrictions with respect to the issuance of tax-exempt bonds after August 31, 1986. Arbitrage regulations deal with the investment of all tax exempt bond proceeds at an interest yield greater than the interest yield paid to bondholders. Generally, all interest paid to bondholders can be retroactively rendered taxable if applicable rebates are not reported and paid to the United States Treasury at least every five years. The District did not have any arbitrage liability at June 30, 2022.

Bond proceeds may be invested in higher yielding investments only during a temporary period described in Regulation section 1.148-2(e). After expiration of an applicable temporary period, proceeds must be yield restricted.

Long-term debt issued and outstanding at June 30, 2022, is as follows:

Date of Issue Bonds	Original Issue	Amount Outstanding	Interest Rates	Maturity Date
October 20, 2009	\$ 14,300,000	\$ 14,300,000	2.00 - 5.00%	8/1/2024
September 22, 2010	32,690,000	32,690,000	2.00 - 5.00%	8/1/2027
September 24, 2013	43,400,000	400,000	5.00%	8/1/2022
August 5, 2014	75,000,000	55,000,000	1.00%	8/1/2029
August 5, 2014	94,305,000	25,930,000	5.00%	8/1/2023
October 7, 2015	70,000,000	63,900,000	4.50%	8/1/2030
January 11, 2017	100,000,000	86,900,000	2.00 - 5.00%	8/1/2033
September 26, 2017	48,135,000	18,925,000	0.19 - 1.82%	8/1/2022
June 6, 2018	110,000,000	97,500,000	4.00 - 5.00%	8/1/2037
March 30, 2021	43,000,000	39,000,000	2.00 - 5.00%	8/1/2036
March 30, 2021	29,100,000	29,100,000	3.00 - 5.00%	8/1/2024
March 30, 2021	28,525,000	28,150,000	3.50 - 5.00%	8/1/2029
April 21, 2022	57,000,000	57,000,000	5.00%	8/1/2037

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Note 10 – Long-Term Debt (continued)

The annual requirements to amortize the long-term debt as of June 30, 2022, including interest payments are as follows:

General Obligation Bonds Fiscal Years Ending June 30,	Principal	Interest	Total Debt Service
2023	\$ 64,345,000	\$ 22,160,851	\$ 86,505,851
2024	55,665,000	20,011,480	75,676,480
2025	52,655,000	17,740,569	70,395,569
2026	46,255,000	15,608,851	61,863,851
2027	48,680,000	13,494,069	62,174,069
2028-2032	196,800,000	37,811,818	234,611,818
2033-2037	75095000	9,495,375	84,590,375
2038-2042	9,300,000	185,250	9,485,250
Totals	<u>\$ 548,795,000</u>	<u>\$ 136,508,263</u>	<u>\$ 685,303,263</u>

Net Pension and OPEB Liabilities

The General Fund has been used to liquidate pension and OPEB liabilities in prior years.

Leases

The District adopted *GASB 87 – Leases* in the year ending June 30, 2022. However, this adoption did not have any significant impact to the District during the current year. The District leases various equipment under short-term cancelable leases. Rental expense for the year ended June 30, 2022, was \$852,169.

Note 11 – Property Taxes

Property taxes attach as an enforceable lien on property as of January 1. Taxes are levied each year on July 1 on the taxable valuation of property located in the District as of the preceding January 1. The taxable valuations for the various classes of property are determined by the Bernalillo and Sandoval Counties Assessors and the State of New Mexico Department of Taxation and Revenue at one-third of assessed valuation. Property in the District for the 2022 tax year had a taxable value of \$18,730,112,731.

The rate of taxes for operating purposes for all taxing jurisdictions is limited by the State Constitution to 20 mills (\$20 per \$1,000 assessed valuation) of which the District's House Bill 33 portion, by state regulation, is limited to 15 mills. Taxes are payable in two equal installments due on November 10 and April 10 and become delinquent after 30 days.

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Note 11 – Property Taxes (continued)

Property taxes receivable at June 30, 2022 are as follows:

	Current Receivables	Deferred Inflows of Resources	Total Receivables
General Fund	\$ 152,609	\$ 340,890	\$ 493,499
Capital Projects	2,234,206	5,019,422	7,253,628
Debt Service	2,043,365	4,508,930	6,552,295
Total	<u>\$ 4,430,180</u>	<u>\$ 9,869,242</u>	<u>\$ 14,299,422</u>

The District records the property taxes received within 60 days after the fiscal year-end as current receivables. The amount recorded as deferred inflows of resources is based on Bernalillo and Sandoval County's property tax assessments for the past ten years that has not been collected as of June 30.

Note 12 – Other Required Individual Fund Disclosures

Generally Accepted Accounting Principles require as part of the Combined Statements disclosure of certain information concerning individual funds, including excess of expenditures over appropriations. The following fund exceeded approved budgetary authority for the year ended June 30, 2022.

24301 CARES Act FY20-21 Fund (Function 1000)	\$ 54,930
26186 ABC Community Partnership Schools (Function 2000)	260,876
26210 APS Homeless Project Special Revenue Funds (Function 2000)	6,820
28143 Youth at Risk - CYFD Special Revenue Fund (Function 2000)	218

Note 13 – Pension Plan

General Information About the Pension Plan

Plan Description

The New Mexico Educational Retirement Act (ERA) was enacted in 1957. The act created the Educational Employees Retirement Plan (Plan) and, to administer it, the New Mexico Educational Retirement Board (NMERB). The Plan is included in NMERB's annual comprehensive financial report. The report can be found on NMERB's website at https://www.nmerb.org/Annual_reports.html.

The Plan is a cost-sharing, multiple-employer pension plan established to provide retirement and disability benefits for certified teachers and other employees of the state's public schools, institutions of higher learning, and state agencies providing educational programs. Additional tenets of the ERA can be found in Sections 22-11-1 through 22-11-52, NMSA 1978, as amended.

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Note 13 – Pension Plan (continued)

The Plan is a pension trust fund of the State of New Mexico. The ERA assigns the authority to establish and amend benefit provisions to a seven-member Board of Trustees (Board); the state legislature has the authority to set or amend contribution rates and other terms of the Plan. NMERB is self-funded through investment income and educational employer contributions. The Plan does not receive General Fund Appropriations from the State of New Mexico.

All accumulated assets are held by the Plan in trust to pay benefits, including refunds of contributions as defined in the terms of the Plan. Eligibility for membership in the Plan is a condition of employment, as defined in Section 22-11-2, NMSA 1978. Employees of public schools, universities, junior and community colleges, public technical and vocational institutions, state special schools, charter schools, regional education cooperatives, the New Mexico Activities Association, and certain employees at state agencies that provide an educational program, who are employed more than 25% of a full-time equivalency, are required to be members of the Plan, unless specifically excluded.

Pension Benefit

A member's retirement benefit is determined by a formula which includes three component parts: 1) the member's final average salary (FAS), 2) the number of years of service credit, and 3) a multiplier.

For members hired on or before June 30, 2019 (Tiers 1-3 members), the multiplier is 2.35%. For members hired after June 30, 2019, the multiplier accrues as follows:

<u>Years of Service</u>	<u>Benefit Percentage Earned</u>
10 or less	1.35%
10.25 to 20	2.35%
20.25 to 30	3.35%
30.25 plus	2.40%

FAS is the average of the member's fiscal annual earnings for the last 20 calendar service quarters (60 months) prior to retirement or the highest average fiscal annual earning for any 20 consecutive calendar quarters.

Summary of Plan Provisions for Retirement Eligibility by Tier

Tier 1: Membership prior to July 1, 2010

For members employed before July 1, 2010, a member is eligible to retire when one of the following events occurs:

- The member's age and earned service credit add up to the sum of 75 or more,
- The member is at least 65 years of age and has five or more years of earned service credit, or
- The member has service credit totaling 25 years or more.

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Note 13 – Pension Plan (continued)

Tier 2: Membership on or after July 1, 2010, but prior to July 1, 2013

Chapter 288, Laws of 2009 changed the eligibility requirements for new members who were first employed on or after July 1, 2010, but before July 1, 2013 or before July 1, 2010, terminated employment, subsequently withdrew all contributions, and then becomes re-employed after July 1, 2010. These members must meet one of the following requirements.

- The member's age and earned service credit add up to the sum of 80 or more,
- The member is at least 67 years of age and has five or more years of earned service credit, or
- The member has service credit totaling 30 years or more.

Tier 3: Membership beginning on or after July 1, 2013

Section 22-11-23.2, NMSA 1978, added eligibility requirements for new members who were first employed on or after July 1, 2013 — or who were employed before July 1, 2013, but terminated employment and subsequently withdrew all contributions, and returned to work for an ERB employer on or after July 1, 2013. These members must meet one of the following requirements.

- The member's minimum age is 55 and has earned 30 or more years of service credit. (Those who retire earlier than age 55, but with 30 years of earned service credit, will have a reduction in benefits to the actuarial equivalent of retiring at age 55.)
- The member's minimum age and earned service credit add up to the sum of 80 or more. (Those who retire under the age of 65 and who have fewer than 30 years of earned service credit receive reduced retirement benefits.)
- Or the member's age is 67, and the member has earned five or more years of service credit.

Tier 4: Membership beginning on or after July 1, 2019

Section 22-11-23.3, NMSA 1978, added eligibility requirements for new members who were first employed on or after July 1, 2019 — and had, before that date, been refunded all member contributions and had not restored all refunded contributions and interest before July 1, 2019. A member in this tier must meet one of the following requirements.

- The member's minimum age must be 58, and the member has earned 30 or more years of service credit. (A member who retires earlier than age 58 receives a reduction in benefits equal to the actuarial equivalent of retiring at age 58.)
- The member's minimum age and earned service credit add up to the sum of 80 or more. (Those who retire under the age of 65, and who have fewer than 30 years of earned service credit, receive reduced retirement benefits.)
- Or the member's age is 67, and the member has earned five or more years of service credit.

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Note 13 – Pension Plan (continued)

Form of Payment

The benefit is paid as a monthly life annuity with a guarantee that, if the payments made do not exceed the member's accumulated contributions plus accumulated interest, determined as of the date of retirement, the balance will be paid in a lump sum to the member's surviving beneficiary.

Benefit Options

The Plan has three benefit options available.

- **Option A – Straight Life Benefit** – The single life annuity option has no reductions to the monthly benefit, and there is no continuing benefit due to a beneficiary or estate, except the balance, if any, of member contributions plus interest less benefits paid prior to the member's death.
- **Option B – Joint 100% Survivor Benefit** – The single life annuity monthly benefit is reduced to provide for a 100% survivor's benefit. The reduced benefit is payable during the life of the member, with the provision that, upon death, the same benefit is paid to the beneficiary for his or her lifetime. If the beneficiary predeceases the member, the member's monthly benefit is increased to the amount the member would have received under Option A Straight Life benefit. The member's increased monthly benefit commences in the month following the beneficiary's death.
- **Option C – Joint 50% Survivor Benefit** – The single life annuity monthly benefit is reduced to provide for a 50% survivor's benefit. The reduced benefit is payable during the life of the member, with the provision that, upon death, the reduced 50% benefit is paid to the beneficiary for his or her lifetime. If the beneficiary predeceases the member, the member's monthly benefit is increased to the amount the member would have received under Option A Straight Life benefit. The member's increased monthly benefit commences in the month following the beneficiary's death.

Disability Benefit

An NMERB member is eligible for disability benefits if the member has acquired at least ten years of earned service credit and is found to be totally disabled. The disability benefit is equal to 2% of the member's Final Average Salary (FAS) multiplied by the number of years of total service credits. However, the disability benefit shall not be less than the smaller of (a) one-third of the member's FAS or (b) 2% of the member's FAS multiplied by total years of service credit projected to age 60.

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Notes to the Financial Statements
June 30, 2022

Note 13 – Pension Plan (continued)

Cost of Living Adjustment (COLA)

All retired members and beneficiaries receiving benefits may receive an adjustment in their benefit on July 1 following the year a member retires or July 1 following the year a member reaches the age below, whichever is later.

<u>Membership</u>	<u>Age Eligible for COLA</u>
Tier 1	65
Tier 2	65
Tier 3	67
Tier 4	67

If a member is eligible for a COLA, the amount depends on the annual change in the Consumer Price Index (CPI) and whether the fund is fully funded (that is, the fund's funded ratio is 100%). Accordingly, if there is no increase in the CPI, or the CPI is negative, the amount of the COLA will be zero (if the CPI is negative, retirement benefits will not be decreased).

When CPI has increased and the fund is fully funded, the COLA will be the same amount as the increase in the CPI except as follows: If the increase in the CPI is 2% or greater, the COLA will be one-half of the CPI increase, not to exceed 4% or to be less than 2%.

However, while the fund is not fully funded, the COLA for retirees will be reduced based on the median annual retirement benefit, calculated after the end of each fiscal year:

- When the funded ratio is 90% or less, the COLA for retirees whose annuity is at or below the median and who have 25 or more years of service credit at retirement will be reduced by 10%. For retirees whose annuity is either greater than the median or who have less than 25 years of service credit at retirement, the COLA will be reduced by 20%.
- When the funded ratio exceeds 90% but is less than 100%, the COLA for retirees whose annuity is at or below the median adjusted annuity and who had 25 or more years of service credit at retirement and will be reduced by 5%. For retirees whose annuity is either greater than the median or who have less than 25 years of service credit at retirement, the COLA will be reduced by 10%.

Members on disability retirement are entitled to a COLA commencing on July 1 of the third full year following disability retirement. A member on regular retirement who can prove retirement because of a disability may qualify for a COLA beginning July 1 in the third full year of retirement.

Refund of Contributions

Members may withdraw their contributions only when they terminate covered employment in the State and their former employer(s) certification determination has been received by NMERB. Interest is paid to members when they withdraw their contributions following termination of employment at a rate set by the Board. Interest is not earned on contributions credited to accounts prior to July 1, 1971, or for contributions held for less than one year.

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Note 13 – Pension Plan (continued)

Contributions

For the fiscal years ended June 30, 2022 and 2021, educational employers contributed to the Plan based on the following rate schedule.

Fiscal Year	Date Range	Wage Category	Member Rate	Employer Rate	Combined Rate	Increase Over Prior
2022	7-1-21 to 6-30-22	Over \$24K	10.70%	15.15%	25.85%	1.00%
2022	7-1-21 to 6-30-22	\$24K or less	7.90%	15.15%	23.05%	1.00%
2021	7-1-20 to 6-30-21	Over \$20K	10.70%	14.15%	24.85%	0.25%
2021	7-1-20 to 6-30-21	\$20K or less	7.90%	14.15%	22.05%	0.25%

The contribution requirements are established in statute under Chapter 10, Article 11, NMSA 1978. The requirements may be amended by acts of the New Mexico Legislature. For the fiscal years ended June 30, 2022 and 2021, the District paid employee and employer contributions of \$148,244,037 and \$134,027,233, which equal the amount of the required contributions for each fiscal year.

Pension Liabilities, Pension Income, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2022, the District reported a liability of \$1,208,673,186 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2021, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2020. The total pension liability was rolled-forward from the valuation date to the plan year ending June 30, 2021, using generally accepted actuarial principles. On April 17, 2020, NMERB's Board of Trustees adopted new assumptions presented in the 2020 Actuarial Experience Study. Those new assumptions have been reflected in the roll-forward and in the projections used to determine the single discount rate.

The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating educational institutions at June 30, 2021, actuarially determined. At June 30, 2021, the District's proportion was 17.05%, which was a decrease of 0.4% from its proportion measured as of June 30, 2020.

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Note 13 – Pension Plan (continued)

For the year ended June 30, 2022, the District recognized pension expense of \$30,578,645. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 94,970,374	\$ 2,976,389
Changes of assumptions	804,554,794	1,376,486,545
Net difference between projected and actual earnings on pension plan investments	-	300,572,497
Changes in proportion and differences between District's contributions and proportionate share of contributions	15,262,605	31,793,951
District's contributions subsequent to the measurement date	<u>87,824,974</u>	<u>-</u>
Total	<u><u>\$ 1,002,612,747</u></u>	<u><u>\$ 1,711,829,382</u></u>

\$87,824,974 – reported as deferred outflows of resources related to pensions resulting from the District's contributions subsequent to the measurement date — will be recognized as a reduction of the net pension liability in the year ended June 30, 2023. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Amount
2023	\$ (45,568,554)
2024	(375,090,046)
2025	(276,092,969)
2026	(100,290,040)
Thereafter	<u>-</u>
Total	<u><u>\$ (797,041,609)</u></u>

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Note 13 – Pension Plan (continued)

Actuarial Assumptions

Actuarial assumptions and methods are set by the Plan's Board of Trustees, based upon recommendations made by the Plan's actuary. On April 17, 2020, the Board adopted the new assumptions presented in the 2020 Actuarial Experience Study.

The total pension liability in the June 30, 2020, actuarial valuation was determined using the following significant actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.30%
Salary increases	3.00% composed of 2.30% inflation, plus a 0.70% productivity increase rate, plus a step-rate promotional increase for members with less than five years of service.
Investment rate of return	7.00% compounded annually, net of expenses. This is made up of a 2.30% inflation rate and a 4.70% real rate of return.
Mortality	<i>Healthy Males:</i> 2020 GRS Southwest Region Teacher Mortality Table, set back one year and scaled at 95%. Generational mortality improvements in accordance with the Ultimate MP scales are projected from the year 2020. <i>Healthy Females:</i> 2020 GRS Southwest Region Teacher Mortality Table, set back one year. Generational mortality improvements in accordance with the Ultimate MP scales are projected from the year 2020.

The long-term expected rate of return on pension plan investments was determined using a building-block approach that includes the following:

- Rate of return projections that are the sum of current yield, plus projected changes in price (valuations, defaults, etc.)
- Application of key economic projections (inflation, real growth, dividends, etc.)
- Structural themes (supply and demand imbalances, capital flows, etc.) developed for each major asset class.

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Note 13 – Pension Plan (continued)

Asset Class	Target Allocation	Long-Term Expected Rate of
Equities	31%	
Fixed income	24%	
Alternatives	44%	
Cash	1%	
Total	100%	7.00%

Discount Rate

A single discount rate of 7.00% was used to measure the total pension liability as of June 30, 2021. This is an increase of 3.11% from June 30, 2020. The 7.00% single discount rate was based on a long-term expected rate of return on pension plan investments of 7.00% and a municipal bond rate of 1.92%. Based on the stated assumptions and the projection of cash flows, the pension plan's fiduciary net position and future contributions were sufficient to finance all projected future benefit payments of current plan members. As a result, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

The projections of cash flows used to determine the single discount rate assumed that plan member and employer contributions will be made at the current statutory levels.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate:

	1% Decrease (6.00%)	Current Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 1,711,346,750	\$ 1,208,673,186	\$ 793,263,674

Pension Plan Fiduciary Net Position. Detailed information about the pension plan's fiduciary net position is available in separately issued NMERB'S financial reports. The reports can be found on NMERB's website at https://www.nmerb.org/Annual_reports.html.

Payables to the Pension Plan

Payables to ERB as of year-end were approximately \$27,479,033.

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Note 14 – Other Post-Employment Benefits (OPEB)

General Information about the OPEB

Plan Description

Employees of the District are provided with OPEB through the Retiree Health Care Fund (the Fund)—a cost-sharing multiple-employer defined benefit OPEB plan administered by the New Mexico Retiree Health Care Authority (NMRHCA). NMRHCA was formed February 13, 1990, under the New Mexico Retiree Health Care Act (the Act) of New Mexico Statutes Annotated, as amended (NMSA 1978), to administer the Fund under Section 10-7C-1-19 NMSA 1978. The Fund was created to provide comprehensive group health insurance coverage for individuals (and their spouses, dependents, and surviving spouses) who have retired or will retire from public service in New Mexico.

NMRHCA is an independent agency of the State of New Mexico. The funds administered by NMRHCA are considered part of the State of New Mexico financial reporting entity and are OPEB trust funds of the State of New Mexico. NMRHCA's financial information is included with the financial presentation of the State of New Mexico.

Benefits Provided

The Fund is a multiple employer cost sharing defined benefit healthcare plan that provides eligible retirees (including terminated employees who have accumulated benefits but are not yet receiving them), their spouses, dependents, and surviving spouses and dependents with health insurance and prescription drug benefits consisting of a plan, or optional plans of benefits, that can be contributions to the Fund and by co-payments or out-of-pocket payments of eligible retirees.

Employees Covered by Benefit Terms

At June 30, 2021, the Fund's measurement date, the following employees were covered by the benefit terms:

Plan Membership

Current retirees and surviving spouses	53,092
Inactive and eligible for deferred benefit	11,754
Current active members	92,484
	157,330
Active membership	
State general	18,691
State police and corrections	1,919
Municipal general	20,357
Municipal police	1,573
Municipal fire	756
Educational Retirement Board	49,188
	92,484

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June 30, 2022

Note 14 – Other Post-Employment Benefits (OPEB) (continued)

Contributions

Employer and employee contributions to the Fund total 3% for non-enhanced retirement plans and 3.75% of enhanced retirement plans of each participating employee's salary as required by Section 10-7C-15 NMSA 1978. The contributions are established by statute and are not based on an actuarial calculation. All employer and employee contributions are non-refundable under any circumstance, including termination of the employer's participation in the Fund. Contributions to the Fund from the District were \$11,591,149 for the year ended June 30, 2022.

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

At June 30, 2022, the District reported a liability of \$372,367,571 for its proportionate share of the net OPEB liability. The net OPEB liability was measured as of June 30, 2021, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of June 30, 2021. The District's proportion of the net OPEB liability was based on actual contributions provided to the Fund for the year ending June 30, 2021. At June 30, 2021, the District's proportion was 11.32%.

For the year ended June 30, 2022, the District recognized OPEB income of \$51,005,023. At June 30, 2022, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 5,444,505	\$ 59,384,883
Net Difference Between Projected and Actual Investment Earnings on OPEB Plan Investments	-	10,673,602
Changes of assumptions	74,551,434	134,624,077
Changes in proportion	16,038,291	13,042,540
Contributions made after the measurement date	11,591,149	-
Total	<u>\$ 107,625,379</u>	<u>\$ 217,725,102</u>

State of New Mexico
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June 30, 2022

Note 14 – Other Post-Employment Benefits (OPEB) (continued)

Deferred outflows of resources totaling \$11,591,149 represent the District's contributions to the Fund made subsequent to the measurement date and will be recognized as a reduction of net OPEB liability in the year ending June 30, 2023. Other amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB income as follows:

<u>Years Ending June 30,</u>	<u>Amount</u>
2023	\$ (52,442,483)
2024	(32,228,515)
2025	(16,913,821)
2026	(2,690,298)
2027	<u>(17,415,754)</u>
Total	<u><u>\$ (121,690,871)</u></u>

Actuarial Assumptions

The total OPEB liability was determined by an actuarial valuation as of June 30, 2021, using the following actuarial assumptions:

Valuation date	June 30, 2021
Actuarial cost method	Entry age normal, level percent of pay, calculated on individual employee basis
Asset valuation method	Market value of assets
Actuarial assumptions:	
Inflation	2.30% for ERB members; 2.50% for PERA members
Projected payroll increases	3.25% to 13.00%, based on years of service, including inflation
Investment rate of return	7.00%, net of OPEB plan investment expense and margin for adverse deviation including inflation
Health care cost trend rate	8% graded down to 4.5% over 14 years for Non-Medicare medical plan costs and 7.5% graded down to 4.5% over 12 years for Medicare medical plan
Mortality	<i>ERB Members:</i> 2020 GRS Southwest Region Teacher Mortality Table, set back one year (and scaled at 95% for males). Generational mortality improvements in accordance with the Ultimate MP scales are projected from the year 2020. <i>PERA Members:</i> Headcount-Weighted RP-2014 Blue Collar Annuitant Mortality, set forward one year for females, projected generationally with Scale MP-2017 times 60%.

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Note 14 – Other Post-Employment Benefits (OPEB) (continued)

Rate of Return

The long-term expected rate of return on OPEB plan investments was determined using a building-block method in which the expected future real rates of return (net of investment fees and inflation) are developed for each major asset class. These returns are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage, adding expected inflation and subtracting expected investment expenses and a risk margin. The target allocation and projected arithmetic real rates of return for each major asset class, after deducting inflation, but before investment expenses, used in the derivation of the long-term expected investment rate of return assumptions.

The best estimates for the long-term expected rate of return is summarized as follows:

<u>Asset Class</u>	<u>Long-Term Rate of Return</u>
U.S. core fixed income	0.4%
U.S. equity - large cap	6.6%
Non U.S. - emerging markets	9.2%
Non U.S. - developed equities	7.3%
Private equity	10.6%
Credit and structured finance	3.1%
Real estate	3.7%
Absolute return	2.5%
U.S. equity - small/mid cap	6.6%

Discount Rate

The discount rate used to measure the Fund's total OPEB liability is 3.62% as of June 30, 2021. The projection of cash flows used to determine the discount rate assumed that employer contributions will be made at rates proportional to the actuary determined contribution rates. For this purpose, employer contributions that are intended to fund benefits of current plan members and their beneficiaries are included. Projected employer contributions that are intended to fund the service costs for future plan members and their beneficiaries are not included. Based on those assumptions, the Fund's fiduciary net position was projected to be available to make all projected future benefit payments for current plan members through the fiscal year ending June 30, 2052. Thus, the 7.00% discount rate was used to calculate the net OPEB liability through 2052. The index rate for 20-year, tax exempt general obligation municipal bonds with an average rating of AA/Aa or higher was used beyond 2052, resulting in a blended discount rate of 3.62%.

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Note 14 – Other Post-Employment Benefits (OPEB) (continued)

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate and Healthcare Cost Trend Rates

The following presents the net OPEB liability of the District, as well as what the County's net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.62 percent) or 1-percentage-point higher (4.62 percent) than the current discount rate:

1% Decrease (2.62%)	Current Discount Rate (3.62%)	1% Increase (4.62%)
<u>\$ 467,871,148</u>	<u>\$ 372,367,571</u>	<u>\$ 298,076,266</u>

The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates:

1% Decrease	Current Trend Rate	1% Increase
<u>\$ 299,503,485</u>	<u>\$ 372,367,571</u>	<u>\$ 431,045,028</u>

OPEB Plan Fiduciary Net Position

Detailed information about the net OPEB plan's fiduciary position is available in NMRHCA's audited financial statements for the year ended June 30, 2021.

Payable Changes in the Net OPEB Liability

At June 30, 2022, the District reported a payable of \$3,226,059 for outstanding contributions due to NMRHCA for the year ended June 30, 2022.

Note 15 – Contingent Liabilities

A number of legal claims are presently pending against the District. It is the opinion of the District's management, after consulting with outside legal counsel, that final settlement of these matters will not exceed estimated defense and liability accruals, and will not result in any material adverse effect on the financial position of the District.

The District receives revenues from various federal and state grant programs, which are subject to review and approval as to allowable expenditures by the respective grantor agencies. Any settlements or expenditures arising from a final review are recognized in the period agreed upon by the agency and the District.

Commitments: The District contracts with outside vendors for construction and renovation of various facilities. At June 30, 2022, commitments and encumbrances outstanding for capital projects totaled \$143,731,416.

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Note 16 – Risk Management

The District is exposed to various risks of loss related to theft of, damage to, and destruction of assets; errors and omissions; and injuries to employees. The District established a self-insurance fund to conduct these risks and administers its own employee benefit and risk management programs as a self-insured program. There have been no significant changes in the insurance programs from the prior year. For the prior three years, the amount of claims payments for property and liability insurance has not exceeded the amount of insurance coverage. The District purchases specific excess insurance. There is a self-insured retention (per occurrence) of \$650,000 for workers' compensation, \$350,000 for liability, and \$250,000 for property. The District is subject to tort immunities. School board errors and omissions have \$350,000 retention. The District believes its main exposure to risk of loss is in the category of liability claims. Any loss exceeding the deductible of \$350,000 would be covered under the purchased excess loss policy. Losses in the mentioned categories are the subject of insurance and/or actuarially reviewed retentions. The District has not incurred any losses in excess of coverage during the past four years. The claims liabilities reported in the Risk Management Fund are based on the requirements of Governmental Accounting Standards Board Statement No. 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported (IBNRs). The result of the process to estimate the claims liability is not an exact amount as it depends on many complex factors, such as inflation, changes in legal doctrines, and damage awards. Accordingly, claims are reevaluated periodically to consider the effects of inflation, recent claim settlement trends (including frequency and amount of pay-outs), and other economic factors. The actuarial review validated that the current reserves are adequate for reserves in anticipation of adverse developments in reported cases and for claims which may have occurred but have not yet been reported.

Liabilities for estimated claims for the last two years are summarized below. Liabilities at June 30, 2021 and 2022 for health, dental, and vision are stated at 90% confidence level, plus 15% to provide for claims fluctuation margin in the event of catastrophic claims. Liability balances for worker's compensation and liability and property are stated at 90% confidence level.

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Note 16 – Risk Management (continued)

<u>Fiscal Year 2022</u>	<u>Balance 06/30/21</u>	<u>Additions</u>	<u>Deletions</u>	<u>Balance 06/30/22</u>
Liability and Property	\$ 11,560,423	\$ 12,402,672	\$ 11,433,084	\$ 12,530,011
Worker's Compensation	13,129,439	3,800,603	3,395,880	13,534,162
Health Claims	9,525,000	89,137,067	89,211,067	9,451,000
Dental Claims	165,000	6,654,913	6,630,913	189,000
Vision Claims	38,000	989,328	993,328	34,000
	<u>\$ 34,417,862</u>	<u>\$ 112,984,583</u>	<u>\$ 111,664,272</u>	<u>\$ 35,738,173</u>
<u>Fiscal Year 2021</u>	<u>Balance 06/30/20</u>	<u>Additions</u>	<u>Deletions</u>	<u>Balance 06/30/21</u>
Liability and Property	\$ 10,418,413	\$ 11,894,223	\$ 10,752,213	\$ 11,560,423
Worker's Compensation	15,644,771	3,871,690	6,387,022	13,129,439
Health Claims	7,980,000	87,642,097	86,097,097	9,525,000
Dental Claims	185,000	6,799,915	6,819,915	165,000
Vision Claims	35,000	996,501	993,501	38,000
	<u>\$ 34,263,184</u>	<u>\$ 111,204,426</u>	<u>\$ 111,049,748</u>	<u>\$ 34,417,862</u>

Note 17 – Tax Abatement Disclosures

The District has implemented the Governmental Accounting Standards Board (GASB) Statement number 77, Tax Abatement Disclosures, which became effective for reporting periods beginning after December 15, 2015. A tax abatement is created when a government enters into an agreement with an individual or entity in which the government promises to forgo tax revenues and the individual or entity promises to subsequently take a specific action that contributes to economic development or otherwise benefits the government or its citizens.

The District is not a taxing authority and does not create, or enter into, any tax abatement agreements. However, the tax revenue which the District relies upon to fund debt service, capital improvement, maintenance, and operations is directly impacted by tax abatement agreements entered into by taxing authorities, such as the City of Albuquerque and Bernalillo County governments. New Mexico statutes allow certain taxing authorities to enter into tax abatement agreements. The following table is a brief summary of the local taxing authorities and the effect their tax abatement agreements have on the District's available tax revenue:

<u>Tax Abatement Agreements Created by:</u>	<u>Type of Tax Abated</u>	<u>Amount Tax Revenue Reduced During the Period</u>
Bernalillo County	Property Tax	\$ 1,258,852
City of Albuquerque	Property Tax	439,458
New Mexico Hospital Equipment Loan Council	Property Tax	Unable to determine

A complete listing, and detailed information, on all of the tax abatement agreements can be found in the detail on the following pages.

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	3D Glass Solutions, Inc.	Admiral Beverage Corporation Project	Arroyo Vista Apartments Project	Ben E. Keith Foods	Catholic Charities
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	3D Glass Solutions, Inc.	Admiral Beverage Corporation	Arroyo Vista Apartments, LLC	Ben E. Keith Foods	Wells Fargo (trustee)
Tax abatement program (name and brief description)	Taxable Industrial Revenue Bonds (Series 2018)	Taxable Industrial Revenue Bonds (Series 2012)	PRB - Multifamily Housing Revenue Bonds, in one or more tax-exempt or taxable series (Arroyo Vista Project)	IRB - Taxable Industrial Revenue Bonds, Series 2018	IRB - Taxable Industrial Revenue Bonds, Series 2016
Specific Tax(es) Being Abated	Real and personal property tax exemption	Real Property and Personal Property	Real property tax	Real and personal property tax exemption	Real Property and Personal Property
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §3-45 Municipal Housing Law	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$24,060.71	\$48,814.77	\$56,986.74	\$11,728.61	\$11,408.54
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$638.32	\$1,170.72	\$0.00	\$0.00	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

State of New Mexico
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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	CCC&S Family Project (dated 11/1/2016)	Ceja Vista PRB Ordinance	CT Corp	CFV Solar Test Laboratory, Inc. Project	Cottonwood Apartment Project
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	CCC&S Family LLC	DBG Properties LLC	ABQ Office Blvd. Operating Associates, L.P. (ABQ Properties).	CFV Solar Test Laboratory, Inc.	GSL Properties
Tax abatement program (name and brief description)	IRB - Taxable Industrial Revenue Bonds, Series 2016	PRB - Multifamily Housing Refunding Revenue Bonds Series 2019	Taxable Industrial Revenue Bonds (Series 2019)	Taxable Industrial Revenue Bonds (Series 2010)	Multi-Family Refunding Revenue Bonds (Series 2006A) and Taxable Multi-Family Housing Revenue Bonds
Specific Tax(es) Being Abated	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$7,384.39	\$20.38	\$41,119.76	\$0.00	\$41,952.07
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$0.00	\$0.00	\$0.00	\$1,338.01	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	Desert Willow Apartments Project	Friedman Recycling Project	General Mills Operations Project (dated 11/1/2016)	Glenrio Project	Harrington Project 2015
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	Desert Willow Limited Partnership	Friedman Recycling of Albuquerque, LLC	General Mills Operations LLC	Glenrio LLLP	Harrington Properties
Tax abatement program (name and brief description)	Multifamily Housing Refunding Revenue Bonds Series 2008), replacing Series 1998.	Taxable Industrial Revenue Bonds (Series 2012A and 2012B and 2012C)	Taxable Industrial Revenue Bonds (Series 2016)	New Mexico Multifamily Housing Revenue Bonds (Series 2013)	Taxable Industrial Revenue Bonds
Specific Tax(es) Being Abated	Real Property tax	Real Property and Personal Property	Personal Property	Real Property Tax	Real Property Tax
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$30,489.11	\$7,161.73	\$0.00	\$70,746.91	\$3,382.90
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$0.00	\$0.00	\$11,876.49	\$0.00	\$2,737.77
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	Hotel Chaco Project	Lowe's Home Centers, Inc.	Los Poblanos Project (dated 3/1/2016)	Marbella Apartments Project	MCT Balloon Fiesta Industrial Park Project (dated 12/31/2016)
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	Hotel Chaco, LLC	Lowe's Contact Center	Rembe Family, LLC	Marbella Apartments, LLC	Mart-Nair Investments (Affiliated with MCT Industries and MCT Devel)
Tax abatement program (name and brief description)	Taxable Industrial Revenue Bonds (Series 2015A)	IRB - Taxable Industrial Revenue Bonds (Series 2011)	IRB - Taxable Industrial Revenue Bonds (Series 2016)	PRB - Housing Revenue Bonds, in one or more tax-exempt or taxable series	IRB - Taxable Industrial Revenue Bonds, Series 2016 B
Specific Tax(es) Being Abated	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$48,285.62	\$0.00	\$30,202.62	\$0.00	\$18,316.58
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$1,625.93	\$9,092.07	\$8,615.93	\$0.00	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	New Beginnings Senior Living Project (dated 12/1/2016)	New Mexico Fresh Foods	New Mexico Food Distributors, Inc. Project	La Orilla Project IRB	MF Housing Bonds (La Vida Nueva Project)
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	New Beginnings Senior Living LLC	New Mexico Fresh Foods, LLC	New Mexico Food Distributors, Inc.	The Village at La Orilla, LLC	La Vida Nueva Housing, L.P.
Tax abatement program (name and brief description)	IRB - Taxable Industrial Revenue Bonds (Series 2016)	IRB - Taxable Industrial Revenue Bonds (Series 2020)	Taxable Variable Rate Revenue Bonds (Series 2004)	IRB - Industrial Revenue Bond	PRB - Housing Revenue Bonds, in one or more tax-exempt or taxable series
Specific Tax(es) Being Abated	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real property tax	Real property tax
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$578.43	\$33,348.65	\$11,413.45	\$31,347.37	\$44,021.00
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$0.00	\$0.00	\$11,165.54	\$0.00	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	One Central Parking Project	Peak Dining, LLC	Rio Bravo Brewing Project (dated 2/1/2016)	Rio Vista Apartments Project (dated 11/1/2016)	Rodgers/JSR Holdings, LLC
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	One Central Associates	Sandia Peak Ski Company	DRB Properties and Rio Bravo Brewing Co	Rio Housing Associates	JSR Holdings, LLC
Tax abatement program (name and brief description)	IRB - Taxable Industrial Revenue Bonds, Series 2016A	IRB - Taxable Industrial Revenue Bonds (Series 2020)	IRB - Taxable Industrial Revenue Bonds (Series 2016)	IRB - Taxable Industrial Revenue Bonds (Series 2016)	Taxable Industrial Revenue Bonds (Series 2014)
Specific Tax(es) Being Abated	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$50,054.82	\$7,171.91	\$3,326.29	\$9,332.11	\$3,643.70
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$0.00	\$416.41	\$401.01	\$0.00	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	Rose's Southwest Papers, Inc.	Sawmill Bellamah Properties, LLC	SBS Technologies, Inc. Corporate Headquarters Project	Sennheiser New Mexico LLC Project	Silver Moon Lodge Project
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	Rose's Southwest Papers, Inc.	Sawmill Bellamah Properties, LLC	Brunacini Development LTD. CO.	Sennheiser New Mexico LLC	Silver Moon Lodge LLLP
Tax abatement program (name and brief description)	Taxable Industrial Revenue Bonds (Series 2019)	Taxable Industrial Revenue Bonds (Series 2018)	Taxable Industrial Revenue Bonds (Series 2004)	Taxable Industrial Revenue Bonds (Series 2004)	New Mexico Multifamily Housing Revenue Bonds (Series 2013A and 2013B)
Specific Tax(es) Being Abated	Personal property tax exemption	Real and personal property tax exemption	Real Property and Personal Property	Real Property and Personal Property	Real Property Tax
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$0.00	\$10,779.00	\$15,080.93	\$0.00	\$26,372.62
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$945.63	\$0.00	\$0.00	\$60,631.10	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	GAHP Project IRB (Sterling Downtown)	Tempur Production USA, Inc. Project	The Tortilla Building, LLC Project	United Poly Systems Project dated 2014)	UR Silver LLC
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	The Greater Albuquerque Housing Partnership (GAHP),	Tempur Production USA, Inc.	The Tortilla Building, LLC (lessee) and Flagship Food Group North America LLC (sublessee)	Gold Mesa Investments	UR Silver LLC
Tax abatement program (name and brief description)	PRB - Multifamily Housing Revenue Note (The Sterling Downtown Project), Series 2016	Taxable Industrial Revenue Bonds (Series 2005A and 2005B)	Industrial Development Project	Taxable Industrial Revenue Bonds	IRB - Taxable Industrial Revenue Bonds (Series 2014A)
Specific Tax(es) Being Abated	Real property tax	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property	Real Property and Personal Property
Authority under which abated tax would have been paid to Affected Agency	NMSA §3-45 Municipal Housing Law	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$17,313.66	\$144,006.12	\$55,316.45	\$23,845.21	\$21,726.82
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$0.00	\$10,559.04	\$0.00	\$7,895.90	\$436.54
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County	Bernalillo County
Abating Agency Type	County	County	County	County	County
Tax Abatement Agreement Name	US Foodservice, Inc. Project	Valencia Retirement Apartments Project (1/1/2000)	Valle de Atrisco Family Apartments	The Village at Avalon Project (dated 12/1/2015)	Vitality Works, Inc. Project
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	US Foodservice, Inc.	Valencia Limited Partnership	DBG Properties, LLC	Village at Avalon Apartments	Vitality Works, Inc.
Tax abatement program (name and brief description)	Taxable Industrial Revenue Bonds	Multi-Family Refunding Revenue Bonds (Senior Series 2001A) and MFRR Bonds (Jr Subord Series 2001C)	PRB - Multifamily Housing Revenue Bonds (Series 2018).	Series 2015 Multifamily Housing Revenue Bonds.	Taxable Industrial Revenue Bonds (Series 2011)
Specific Tax(es) Being Abated	Real Property and Personal Property	Real Property and Personal Property	Real and personal property tax exemption	Real Property Tax	Real Property and Personal Property
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6	NMSA §7-37-6
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$43,405.45	\$40,044.26	\$27,359.29	\$68,806.47	\$36,110.52
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	Bernalillo County	Bernalillo County	City of Albuquerque	City of Albuquerque	City of Albuquerque
Abating Agency Type	County	County	Local Government	Local Government	Local Government
Tax Abatement Agreement Name	Wagner Equipment Project (dated 12/1/2015)	West Publishing Corporation Project	MRA	MRA	MRA
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	Wagner Equipment Co	Brunacini Development LTD. CO.	WW Olympus NorthPoint 9100 San Mateo/Alameda	WCW Olympus Highlands North 200 Mulberry St NE	Franz/ 1716 Central Avenue, LLC
Tax abatement program (name and brief description)	Taxable Industrial Revenue Bonds (Series 2015)	Taxable Industrial Revenue Bonds (Series 2004A)	State of New Mexico Article 32 and City of Albuquerque Ordinance 3-2-15 Industrial Revenue Bond Projects	No information provided by City of Albuquerque	No information provided by City of Albuquerque
Specific Tax(es) Being Abated	Real Property Tax	Real Property and Personal Property	Property Tax	Property Tax	Property Tax
Authority under which abated tax would have been paid to Affected Agency	NMSA §7-37-6	NMSA §7-37-6	Metropolitan Redevelopment Code Sections 3-60A-1 et seq. NMSA 1978	Metropolitan Redevelopment Code Sections 3-60A-1 et seq. NMSA 1978	Metropolitan Redevelopment Code Sections 3-60A-1 et seq. NMSA 1978
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$63,202.36	\$19,183.20	\$79,058	\$29,723	\$14,142
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$171.75	\$0.00	\$0.00	\$0.00	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None	None	None Omitted	None Omitted	None Omitted
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	City of Albuquerque	City of Albuquerque	City of Albuquerque	City of Albuquerque	City of Albuquerque
Abating Agency Type	Local Government	Local Government	Local Government	Local Government	Local Government
Tax Abatement Agreement Name	MRA	MRA	MRA	IRB	IRB
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	Marriott Springhill Suites/Titan Development	Broadstone Nob Hill/Titan Development	Bank of the West Center Project	Hotel Andaluz (La Posada)	Netflix Studios
Tax abatement program (name and brief description)	No information provided by City of Albuquerque	No information provided by City of Albuquerque	No information provided by City of Albuquerque	No information provided by City of Albuquerque	No information provided by City of Albuquerque
Specific Tax(es) Being Abated	Property Tax	Property Tax	Property Tax	Property Tax	Property Tax
Authority under which abated tax would have been paid to Affected Agency	Metropolitan Redevelopment Code Sections 3-60A-1 et seq. NMSA 1978	Metropolitan Redevelopment Code Sections 3-60A-1 et seq. NMSA 1978	Metropolitan Redevelopment Code Sections 3-60A-1 et seq. NMSA 1978	Article VIII Property taxes	Article VIII Property taxes
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :	Real Property tax :
	\$30,991	\$35,885	\$82,624	\$8,348	\$99,033
	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :	Personal Property tax :
	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None Omitted	None Omitted	None Omitted	None Omitted	None Omitted
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

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Abating Agency Name	City of Albuquerque	City of Albuquerque	City of Albuquerque	New Mexico Hospital Equipment Loan Council	New Mexico Hospital Equipment Loan Council
Abating Agency Type	Local Government	Local Government	Local Government	State Agency	State Agency
Tax Abatement Agreement Name	IRB	IRB	IRB	Lovelace Heart Hospital	Lovelace Women's Hospital
Name of agency affected by abatement agreement (Affected Agency)	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools	Albuquerque Public Schools
Agency number of Affected Agency	7002	7002	7002	7002	7002
Agency type of Affected Agency	School District	School District	School District	School District	School District
Recipient(s) of tax abatement	Hotel Blue/ARRIVE	Hotel Parq (Memorial Ventures, LLC)	Ktech (Air Products)	Lovelace Health System, Inc.	Lovelace Health System, Inc.
Tax abatement program (name and brief description)	No information provided by City of Albuquerque	No information provided by City of Albuquerque	No information provided by City of Albuquerque	State of New Mexico Statute 58-23-29 Hospital Equipment Loan Act	State of New Mexico Statute 58-23-29 Hospital Equipment Loan Act
Specific Tax(es) Being Abated	Property Tax	Property Tax		Property Tax	Property Tax
Authority under which abated tax would have been paid to Affected Agency	Article VIII Property taxes	Article VIII Property taxes	Article VIII Property taxes	NMSA §7-38	NMSA §7-38
Gross dollar amount, on an accrual basis, by which the Affected Agency's tax revenues were reduced during the reporting period as a result of the tax abatement agreement	Real Property tax :	Real Property tax :	Real Property tax :	Cannot be determined by the Council; the Council is not a taxing authority.	Cannot be determined by the Council; the Council is not a taxing authority.
	\$11,852	\$11,501	\$36,302		
	Personal Property tax :	Personal Property tax :	Personal Property tax :		
	\$0.00	\$0.00	\$0.00		
For any Payments in Lieu of Taxes (PILOTs) or similar payments receivable by the Affected Agency in association with the foregone tax revenue, list the amount of payments received in the current fiscal year	None Omitted	None Omitted	None Omitted	None	None
If the Abating Agency is omitting any information required in this spreadsheet or by GASB 77, cite the legal basis for such omission	N/A	N/A	N/A	N/A	N/A

State of New Mexico
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Note 18 – Joint Powers Agreements

1. The District has entered into Joint Powers Agreements with the City of Albuquerque (the City) to develop, improve, and maintain Joint Use Parks for use by the city as public parks and by the District as public school grounds. The District has exclusive use of the facilities during regular school operating hours. At all other times, the City may use the facilities. The City currently has responsibility for the maintenance of 20 of these Joint Use Parks and charges the District for its 35% share of the maintenance costs on a quarterly basis (approximately \$225,000 per year). The majority of these agreements have been renewed for an additional 5 years, through December 31, 2025, adding aerial outlines and checklists to create a seamless process to effectively maximize our resources as it relates to these real properties.
2. The District entered into a Joint Powers Agreement with the City of Albuquerque (the City) on April 21, 1976, for the construction and maintenance of an indoor swimming pool at Highland High School. The District paid approximately \$300,000 and the City paid for the balance of the total design and construction cost of approximately \$670,000. The City is responsible, at its sole expense, for the maintenance, operation, and custodial care of the facility. The District has first priority in using the facility during regular school hours during the regular school year and for a period of one and one-half hours after regular school hours during the competitive swimming season. The City has the right to use the facility on a space available basis during this time. The District has second priority to use the facility for school-related purposes at other times. The term of this agreement shall expire 75 years from the date of completion and acceptance of the facility. Upon termination, the City's rights in the facility shall cease and the District shall be the sole owner thereof.
3. The District entered into a Joint Powers Agreement with the County of Bernalillo (the County) on March 17, 1976, for the construction and maintenance of an indoor swimming pool at Rio Grande High School. The County paid \$250,000 and the District paid for the balance of the total design and construction cost of approximately \$680,000. The County is responsible, at its sole expense, for the maintenance, operation, and custodial care of the facility. The District has priority in using the facility during regular school hours during the regular school year and for a period of one and one-half hours after regular school hours during the competitive swimming season. The County has the right to use the facility on a space available basis during this time. The District has second priority to use the facility for school related purposes at other times. The term of this agreement shall expire 75 years from the date of completion and acceptance of the facility. Upon termination, the County's rights in the facility shall cease, and the District shall be the sole owner thereof.

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Note 18 – Joint Powers Agreements (continued)

4. The District entered into a Joint Powers Agreement with the City of Albuquerque (the City) on August 1, 1987, for the construction and maintenance of an indoor swimming pool at Sandia High School. The City and the District each paid half of the total design and construction cost of approximately \$1,000,000. The City is responsible, at its sole expense, for the maintenance, operation and custodial care of the facility. The District has first priority in using the facility during regular school hours during the regular school year and for a period of one and one-half hours after regular school hours during the competitive swimming season. The City has the right to use the facility on a space available basis during this time. The District has second priority to use the facility for school related purposes at other times. The term of this agreement shall expire 75 years from the date of completion and acceptance of the facility. Upon termination, the City's rights in the facility shall cease, and the District shall be the sole owner thereof.
5. The District entered into an Intergovernmental Agreement with the City of Albuquerque (the City) on April 20, 1965, for the construction and maintenance of an indoor swimming pool at Valley High School. The term of the agreement will be 50 years from the effective date.
6. The District entered into a Joint Powers Agreement with the City of Albuquerque (the City) on November 6, 1981, for the construction and maintenance of a soccer field/play area at Osuna Elementary School. The City paid approximately \$93,500, and the District paid approximately \$30,000 of the total design and construction cost of approximately \$123,500. The City is responsible, at its sole expense, for the maintenance, operation and custodial care of the facility. The District has first priority in using the facility during regular school hours during the school year. The District has second priority to use the facility at other times. The term of this agreement shall expire 75 years from the date of completion and acceptance of the facility. Upon termination, the City's rights in the facility shall cease, and the District shall be the sole owner thereof. A renewal for this agreement is in progress and the expiration date has been extended to December 31, 2025.
7. The District entered into an Intergovernmental Agreement with the City of Albuquerque (the City) on October 4, 2000, providing for operation by the City of a community center at McKinley Middle School. The term of the agreement will be 50 years from the effective date. The agreement provides for the joint use of the facility by the City and the District. The City has sole responsibility for maintenance, operation, and custodial care of the community center. The District has exclusive use of the facility during regular school hours. The City has exclusive use of the facility outside of school hours. The City also has access to McKinley Middle School facilities including the gymnasium, cafeteria, and restrooms for community center program use outside of regular school hours. The City owns the community center facility and associated improvements, and the District owns the site. Upon termination of the agreement the District will assume ownership of the facility.
8. A supplement to the McKinley Middle School Community Center Intergovernmental Agreement entered into June 30, 2003, provided for the addition of a sports and fitness center to be built, managed, and operated by the City at the McKinley Middle School site. A renewal for this agreement is in progress, and the expiration date has been extended to December 31, 2025.

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Note 18 – Joint Powers Agreements (continued)

Charter Schools

9. The District entered into an agreement with Robert F. Kennedy Charter School (RFK) on October 12, 2014, effective July 1, 2013, regarding use of 27 portable buildings at 4300 Blake Road SW, Albuquerque, NM, and two permanent buildings at 1021 Isleta Boulevard SW, Albuquerque, NM for purposes related to the operation of the RFK School. The District is responsible for major repairs. RFK is responsible for any cost related to operating and maintaining the site. The District billed RFK \$249,253 for the rental of these facilities during the 2021-2022 school year. This agreement is effective as long as RFK's charter has not been revoked and RFK remains in compliance with the terms of the agreement. The District entered an additional agreement with RFK on July 1, 2014, to establish responsibilities and procedures between the parties related to the execution of the HB-55 legislative appropriation projects concerning the purchase of land for RFK Charter School.
10. The District entered into a lease agreement with Public Academy of Performing Arts (PAPA) on October 3, 2016, effective July 1, 2016, regarding the site located at 11800 Princess Jeanne Avenue NE, Albuquerque, NM for purposes related to the operation of the PAPA school. The District is responsible for the cost of any major repairs on the site. PAPA is responsible for any cost related to operating and maintaining the site. The District billed PAPA \$339,578 for the rental of these facilities during the 2021-2022 school year. This agreement is effective as long as PAPA's charter has not been revoked and PAPA remains in compliance with the terms of the agreement.
11. The District entered into a lease agreement with Montessori of the Rio Grande Charter School (MRGC) on May 20, 2013, effective July 1, 2013, regarding the site located at 1650 Gabaldon Drive NW, Albuquerque, NM for purposes related to the operation of the MRGC School. The District is responsible for the cost of any major repairs on the site. MRGC is responsible for any cost related to operating and maintaining the site. The District billed MRGC \$166,168 for the rental of these facilities during the 2021-2022 school year. This agreement is effective as long as MRG's charter has not been revoked and MRGC remains in compliance with the terms of the agreement.
12. The District entered into a lease agreement with Digital Arts & Technology Academy (DATA), effective July 1, 2013, regarding the site located at 1011 Lamberton Place NE, Albuquerque, NM for purposes related to the operation of the DATA School. The District is responsible for any property improvements and/or major repairs. DATA is responsible for any cost related to operating and maintaining the site. The District billed DATA \$245,294 for the rental of these facilities during the 2021-2022 school year. This agreement is effective as long as DATA's charter has not been revoked and DATA remains in compliance with the terms of the agreement. 1011 Lamberton was purchased by the District on June 15, 2018, for \$2,227,251.

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Note 18 – Joint Powers Agreements (continued)

13. The District entered into an agreement with South Valley Academy (SVA) on June 6, 2013, effective July 1, 2013, regarding the use of certain school facilities including 16 acres of land, permanent buildings, and portable buildings at 3426 Blake Road SW, Albuquerque, NM. The District is responsible for any property improvements and/or major repairs. SVA is responsible for any cost related to operating and maintaining the site. SVA will be responsible for all costs of removing any portable buildings. The District billed SVA \$473,732 for the rental of these facilities during the 2021-2022 school year. This agreement is effective as long as SVA's charter has not been revoked and SVA remains in compliance with the terms of the agreement.

Childhood Development Centers

14. The District and the City of Albuquerque cooperate in the operation of Childhood Development Centers at 13 APS Schools, to provide early childhood education and full-day, year-round child day care for children from lower-income families located on school sites. The City has provided for the purchase and any necessary modifications of portable classrooms, development of playground areas and other expenditures required for the establishment of the centers. The District has provided space for the installation of the classrooms and retained title to the facilities. The City provides for the staffing and general operation of the centers. This original Agreement was executed in 1997. A new comprehensive Joint Use Agreement was executed in 2020 for a term of five years with the option for renewal at the end of each term for an additional five years.

Head Start Program

15. A Memorandum of Agreement between the District and the Youth Development, Inc. (YDI), dated May 1, 2000, provides for the operation of Head Start Programs at seven District school locations. The agreement was updated through July 7, 2023. YDI assumed costs associated for the purchase of buildings, transportation, site development, playground construction, utility extensions, meters, and operating expenses. Buildings and materials are the property of YDI. APS provides space at the sites. YDI is responsible for maintenance of the facilities. YDI provides Head Start services on a long-term basis for the duration of the Head Start contract with the U.S. Department of Health and Human Services.

Museum of Natural History and Science

16. The District entered into a Joint Powers & Lease Agreement with the Museum of Natural History and Science, a division of the Department of Cultural Affairs, State of New Mexico (the Museum) on September 5, 2014, to develop, improve, operate and maintain an environmental education center that offers educational programs to public and private schools in the state. The Museum shall provide and conduct educational programs at the facility for students and teachers from APS and other school districts. The Museum will be responsible for the everyday routine maintenance of the facility. The District shall provide an Environmental Education Resource Teacher at the Center and will be responsible for non-routine major maintenance for the facility. The Board must approve major maintenance expenditures over \$2,500. The District retains ownership and use of all water and water rights at the facility. A new comprehensive Joint Use Agreement was executed in 2022 for a term of five years with the option for renewal at the end of each term for an additional five years.

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Note 19 – Subsequent Accounting Standard Pronouncements and Subsequent Events

Subsequent Accounting Standard Pronouncements

GASB has issued the following statements, which are applicable in future years. Management has not determined the impact, if any, these future pronouncements will have on the District.

The GASB issued **Statement No. 91**, *Conduit Debt Obligations* in May 2019. This Statement establishes a single method of reporting conduit debt obligations by issuers to eliminate diversity in practice. The requirements of this Statement are effective for periods beginning after December 15, 2020 as originally established; however, GASB Statement No. 95 allows governments to postpone implementation for one year.

The GASB issued **Statement No. 92**, *Omnibus 2020* in January 2020. This Statement addresses a variety of topics to enhance comparability in accounting and financial reporting and improve consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB Statements. The requirements of this Statement are effective for periods beginning after June 15, 2021 as originally established; however, GASB Statement No. 95 allows governments to postpone implementation for one year.

The GASB issued **Statement No. 93**, *Replacement of Interbank Offered Rates* in March 2020. This Statement will address accounting and financial reporting issues and implications that result from the replacement of an interbank offered rates. The requirements of this Statement are effective for periods beginning after June 15, 2020, June 15, 2021, and December 31, 2021, depending on the paragraph, as originally established; however, GASB Statement No. 95 allows governments to postpone implementation for one year.

The GASB issued **Statement No. 94**, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements* in March 2020. This Statement addresses issues related to public-private and public-public partnership arrangements (PPPs). The Statement also provides guidance for accounting and financial reporting for availability payment arrangements (APAs). The requirements of this Statement are effective for periods beginning after June 15, 2022.

The GASB issued **Statement No. 96**, *Subscription-Based Information Technology Arrangements* in May 2020. This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements. The requirements of this Statement are effective for periods beginning after June 15, 2022.

The GASB issued **Statement No. 99** *Omnibus 2022* in April 2022. The requirements of this Statement are effective as follows: The requirements related to extension of the use of LIBOR, accounting for SNAP distributions, disclosures of nonmonetary transactions, pledges of future revenues by pledging governments, clarification of certain provisions in Statement 34, as amended, and terminology updates related to Statement 53 and Statement 63 are effective upon issuance; The requirements related to leases, PPPs, and SBITAs are effective for fiscal years beginning after June 15, 2022, and all reporting periods thereafter; The requirements related to financial guarantees and the classification and reporting of derivative instruments within the scope of Statement 53 are effective for fiscal years beginning after June 15, 2023, and all reporting periods thereafter.

State of New Mexico
Albuquerque Municipal School District No. 12
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Note 19 – Subsequent Accounting Standard Pronouncements and Subsequent Events (continued)

The GASB issued **Statement No. 100** *Accounting Changes and Error Corrections—an amendment of GASB Statement No. 62* in June 2022. The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability. The requirements of this Statement are effective for accounting changes and error corrections made in fiscal year beginning after June 15, 2023, and all reporting periods thereafter.

The GASB issued **Statement No. 101** *Compensated Absences* in June 2022. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. The requirements of this Statement are effective for fiscal year beginning after December 15, 2023, and all reporting periods thereafter.

Subsequent Events

During March 2022, nationwide settlements have been reached to resolve all opioids litigation brought by states and local political subdivisions against the three largest pharmaceutical distributors: McKesson, Cardinal Health and AmerisourceBergen (“Distributors”), and manufacturer Janssen Pharmaceuticals, Inc. and its parent company Johnson & Johnson (collectively, “J&J”). These settlements will provide substantial funds to states and local governments for abatement of the opioids epidemic across the country and will impose transformative changes in the way the settling defendants conduct their business. Under the terms of the settlement, the Distributors will pay a maximum of \$21 billion over 18 years, while J&J will pay a maximum of \$5 billion over no more than nine years, with approximately \$22.8 billion in settlement proceeds payable to state and local subdivisions. Of the funds going directly to participating states and subdivisions, at least 85% must be used for abatement of the opioid Epidemic, with the overwhelming bulk of the proceeds restricted to funding future abatement efforts by state and local governments.

The District is a beneficiary in the National Opioid Settlement, signed in March 2022.

Note 20 – Component Unit – Albuquerque Public Schools Foundation

Definition of Reporting Entity

The Albuquerque Public Schools Foundation (the Foundation), a component unit of the Albuquerque Public Schools (the District), is a nonprofit organization incorporated under laws of the State of New Mexico on April 25, 1995. The Foundation was established to solicit, receive, and manage private voluntary support for the benefit and on behalf of the District.

The Foundation is governed by a board of directors, which has the responsibility for determining policy and for the execution and evaluation of programs and activities conducted by the Foundation. The board consists of no less than three members and no more than 25 members. Board members represent government, business, public sector, private individuals, and organizations that are interested in supporting programs and services of the District. The term served by board members is three years.

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Notes to the Financial Statements
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Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

A Memorandum of Agreement (Memorandum) between the Foundation and the District was signed and executed on October 7, 2009. In accordance with the Memorandum, the District formally recognizes the Foundation as a separate corporate entity established for the sole purpose of soliciting, managing, and distribution of private gifts and donations for the benefits of the District. The Memorandum further stipulates that Foundation creates and encourages an opportunity for private individuals and organizations to invest in the support of the District programs and services. The Foundation is subject to Financial Accounting Standards Board (FASB) reporting because the District does not appoint a voting majority to the Foundation's Board, and the District is not able to unilaterally dissolve the Foundation and take possession of the remaining assets.

Summary Of Significant Accounting Policies

Use of Estimates in Preparing Financial Statements

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. Significant estimates and assumptions made by management include the benefit interest in remainder trust and fair value measurements of investments.

Financial Statement Presentation

Financial statement presentation follows the recommendations of the Financial Accounting Standards Board (FASB) Accounting Standards Codification (ASC) 958, *Not-for-Profit Entities*. Under ASC 958, the Foundation is required to report information regarding its financial position and activities according to two classes of net assets.

Net Assets without Donor Restrictions – These assets represent sources whose use is not limited to or restricted by donors. Unrestricted net assets have arisen from exchange transactions, receipt of unrestricted contributions and expirations or satisfaction of existing restrictions.

The Foundation treats restricted contributions whose restrictions are satisfied during the same fiscal year as unrestricted support. All contributions made to the Foundation are considered to be available for unrestricted use unless specifically restricted by the donor.

Net Assets with Donor Restrictions – Net assets subject to donor-imposed stipulations that either expire by passage of time or can be fulfilled and removed by actions of the Foundation pursuant to those stipulations. Other donor restrictions are perpetual in nature whereby the donor has stipulated the funds be maintained in perpetuity.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

Cash and Cash Equivalents

The Foundation considers all highly liquid investments with original maturities of three months or less to be cash equivalents. Cash equivalents consist of cash on deposit with financial institutions and money market accounts.

Investments

The Foundation records brokerage investments at fair value and certificates of deposit at cost.

Income Taxes

The Foundation is a nonprofit corporation and qualifies as a tax-exempt organization under Section 501(c)(3) of the Internal Revenue Code (IRC) and is classified as other than a private foundation. As such, their normal activities do not result in any income tax liability. The Foundation pays taxes on unrelated business income.

The Foundation would recognize accrued interest related to unrecognized tax benefits in interest expense and penalties in operating expenses. There were no such interest or penalties recorded for the year ended June 30, 2022.

The Foundation files informational tax returns as prescribed by the tax laws of the jurisdictions in which it operates. In the normal course of business, the Foundation is subject to examination by federal, state, local, and foreign jurisdictions, where applicable.

Revenue Recognition

The Foundation is accounted for as a nonprofit organization, and it follows revenue recognition rules as defined below:

Pledges – Unconditional pledges, if any, are recognized as revenues in the period received and as assets, decreases in liabilities or expenses, depending on the form of the benefits to be received. Conditional pledges are recognized as revenues when the conditions on which they depend are substantially met. An allowance for doubtful pledges is recorded when the pledge is recorded. The allowance is based on past pledge loss experience and other factors that management considers necessary in estimating pledge losses. There was no allowance recorded for the year ended June 30, 2022.

Contributions – The Foundation reports gifts of cash and other assets as restricted support if they are received with donor stipulations that limit the use of the donated assets. When a donor restriction expires, that is, when a stipulated purpose restriction is accomplished, the restricted net assets are reclassified to net assets without donor restrictions and reported in the statement of activities as net assets released from restrictions. If the restriction is satisfied in the same period the contribution is received, the contribution is reported as without donor restriction.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

Contributions of services are recognized in the financial statements of the Foundation only if the services received (a) create or enhance non-financial assets of the Foundation, and (b) require specialized skills, are provided by individuals possessing those skills, and would typically need to be purchased if not provided by donation.

Beneficial Interest in Remainder Trusts – A charitable remainder trust is an arrangement in which a donor establishes and funds a trust with specified distributions to be made to a designated beneficiary or beneficiaries over the trust's term. Upon termination of the trust, the Foundation receives a percentage of the assets remaining in the trust. Beneficial interest in remainder trusts represent the present value of estimated future cash receipts from the trust's assets. Contribution revenue is recognized in the period in which the trust is established. In subsequent years, income earned on trust assets, recognized gains and losses, and distributions paid will be recognized. Revaluation of the present value of the estimated future payments and changes in actuarial assumptions will be recognized in the statement of activities and changes in net assets.

Special Events – The Foundation recognizes income for special events, which includes sponsorships, tables and other day of event benefits, on the day of the event. Any amount received prior to the date of the event is recorded as deferred revenue until the date of the event and then recognized as revenue.

Advertising Costs

The Foundation expenses advertising costs as incurred. Expenses incurred for the year ended June 30, 2022, were approximately \$16,302.

Functional Allocation of Expenses

The costs of providing program and supporting services have been summarized on a functional basis in the statement of activities. Accordingly, certain costs have been allocated among program and supporting services benefitted. These costs are solely made up of salaries and wages, which were allocated based on estimates of time and effort.

Recent Accounting Pronouncements

In September 2020, the FASB issued ASU 2020-07, *Not-for-Profit Entities (Topic 958): Presentation and Disclosures by Non-for-Profit Entities for Contributed Nonfinancial Assets*. This ASU modifies the disclosure requirements for contributed nonfinancial assets. The Foundation would be required to present contributed nonfinancial assets as a separate line item in the statement of activities and would require disclosure of the types of contributed nonfinancial assets, a description of any donor-imposed restrictions and a description of the valuation techniques and inputs used to determine the fair value of the contributed nonfinancial asset. The amendments in ASU 2020-07 are effective for all entities for fiscal years beginning after June 15, 2021 and applied on a retrospective basis. The Foundation implemented this standard during the current year, which did not have a material effect on the financial statements other than additional disclosures to the notes to the financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

Investments

Investment Policy Statement (IPS)

In December 2002, the Foundation Board of Directors adopted an IPS to assist in the supervising, monitoring, and evaluating the Foundation's investments. The IPS is to provide financial stability for the Foundation operations and an increasing stream of income for future program growth. All investment assets are held with Merrill Lynch.

The Foundation shall be responsible for:

- Overseeing the Foundation investment portfolio.
- Defining the investment objectives and policies of the portfolio.
- Directing the investment manager to make changes in investment policy and to oversee and to approve or disapprove investment manager recommendations with regard to policy, guidelines, objectives, and specific investments.
- Providing the investment manager with all relevant information on its financial conditions and risk tolerances and notifying the Investment Manager promptly of any changes to this information.

The Foundation agrees that investment discretion can be delegated to qualified, professional investment specialists or private portfolio managers (investment managers) that would be identified by the Foundation's finance committee resulting from an extensive quantitative and qualitative process of diligence.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

Guidelines for the investment manager are that the investment of the Foundation's investment portfolio shall be limited to individual marketable securities or packaged products (e.g., mutual funds) in the following categories:

- Cash and cash equivalents
- Fixed Income – Domestic bonds
- Fixed Income – Non-U.S. bonds
- Fixed Income – High yield
- Equities – U.S. and Non-U.S. within an international portfolio

Fair Value of Financial Instruments

The Foundation follows Statement ASC 820-10, *Fair Value Measurements*, which provides a framework for measuring fair value under GAAP and expands disclosures about fair value measurement.

ASC 820-10 defines fair value as the exchange price that would be received for an asset or paid to transfer a liability (an exit price) in the principal or most advantageous market for the asset or liability in an orderly transaction between market participants on the measurement date. ASC 820-10 requires that valuation techniques maximize the use of observable inputs and minimize the use of unobservable inputs. ASC 820-10 also establishes a fair value hierarchy, which prioritizes the valuation inputs into three broad levels. The three levels defined by the ASC 820-10 hierarchy are as follows:

Level 1 – Inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 – Inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly. This include quoted prices for similar assets or liabilities in active markets, quoted prices for identical or similar assets or liabilities in markets that are not active, inputs other than quoted prices that are observable for the asset or liability, or inputs that are derived principally from or corroborated by observable market data.

Level 3 – Inputs are unobservable for the asset or liability. Unobservable inputs reflect the reporting entity's own assumptions about the assumptions that market participants would use in pricing the asset or liability developed based on the best information available in the circumstances.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

The following table presents assets and liabilities measured at fair value by classification within the fair value hierarchy as of June 30, 2022:

	Fair Value Measurements Using			Total
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	
Investments				
Fixed Income	\$ 846,950	\$ -	\$ -	\$ 846,950
Mutual Funds	2,256,068	-	-	2,256,068
Total Investments	3,103,018	-	-	3,103,018
Beneficial Interest in Remainder Trust	-	-	2,293,726	2,293,726
Total	\$ 3,103,018	\$ -	\$ 2,293,726	\$ 5,396,744

Unrealized gains and losses applicable to instruments valued using significant unobservable inputs (Level 3) are included in the statement of activities for the year ended June 30, 2022. The fiscal year 2022 changes in present and fair values are reflected in the Foundation's statement of activities and changes in net assets.

Beneficial Interest in Remainder Trusts

On May 11, 2001, the Foundation was awarded an interest in the William H. and Lilian Dolde Charitable Trust (Trust) for the purpose of funding fine arts programs in the Albuquerque Public Schools Foundation. The Bank of America administers the Trust. The Trust was originally funded in the amount of \$2,000,000. The Trust document calls for the annual distribution of an amount equal to 5% of the Trust's net position. This annual distribution will expire on December 31, 2051. Upon termination of the Trust, the Foundation is entitled to a portion of the remaining assets in order to establish a permanent endowment for the fine arts. The Foundation is irrevocably entitled to 90% of all annual distributions and 90% of the remaining Trust net position upon termination. The Foundation's interest in the Trust's assets is recorded at fair market value with adjustments made annually for increases or decreases in value. The present value of the Trust agreement was initially calculated using a discount rate of 5% with annual distributions to be received of \$90,000 (90% of \$100,000) for 49.5 years. The present value of the Trust net position at termination was initially estimated using a value of \$1,800,000 in remaining net position (90% of \$2,000,000) with a discount rate of 5% for 50 years.

During the fiscal year ended June 30, 2022, the Trust distributed approximately \$108,000 to the Foundation. The present value of the Trust decreased by approximately \$121,000 for the fiscal year ended June 30, 2022. This resulted in the recording of a beneficial interest in the Trust in the amount of \$2,293,726 for the year ended June 30, 2022.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

Contributed Nonfinancial Assets

The Foundation received the following contributions of nonfinancial assets for the year ended June 30, 2022:

Administrative and events salaries	\$ 372,971
Gifts for participants and auction items	53,359
Professional services	52,280
Goodwill vouchers	40,119
Event advertising	8,750
General administrative expenses	8,725
Use of office furniture and equipment	<u>1,470</u>
Total	<u><u>\$ 537,674</u></u>

Administrative and event salaries are valued at actual cost to the District, who provide employee services for no charge for administration of the Foundation. Professional services and event advertising are valued at the cost for receiving similar services or the hourly rate of the professional, usually provided by the service provider. Goodwill vouchers, redeemed at Goodwill Stores in support of the APS Clothing Banks, are valued at the average voucher redemption amount for the fiscal year. Gifts for participants are valued at the replacement cost of the received goods for a price publicly available on a website or in a local store. General administrative expenses and use of office furniture and equipment are valued at actual cost incurred by the District.

Related Parties

District programs are the primary beneficiaries of funds donated to the Foundation. Certain District employees whose services were contributed to the Foundation also served as Foundation board members in an ex-officio capacity. Certain voting board members were affiliated with the District or with other entities served through the Foundation.

During the year ended June 30, 2022, the Foundation received in-kind contributions from the District with a market value of approximately \$427,000. The contributions included employee services and donated supplies and materials.

The Foundation has no employees of its own. During the year ended June 30, 2022, all Foundation staff members were employees of the District.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

Net Assets with Donor Restrictions

Net assets with donor restrictions consisted of the following at June 30, 2022:

	Restricted by Purpose or Time	Restricted in Perpetuity	Total
Purpose			
Dolde Trust	\$ -	\$ 2,293,726	\$ 2,293,726
District Programs	2,285,406	-	2,285,406
Nursing Services - Vision Care	929,556	-	929,556
Literacy Programs	174,496	-	174,496
District Seeds of Learning Program	-	71,942	71,942
Chief Operations Office	62,282	-	62,282
Marketing Expenses and Teacher Awards	81,401	-	81,401
Communication Department	7,904	-	7,904
Emergency Response Fund for Families	3,736	-	3,736
Teacher Professional Development	3,501	-	3,501
Other	241,202	-	241,202
Total	<u>\$ 3,789,484</u>	<u>\$ 2,365,668</u>	<u>\$ 6,155,152</u>

Net assets are released from restrictions by incurring expenses satisfying the restricted purposes. Net assets released from restrictions were comprised of the following:

	2022
Purpose	
Fine Arts	\$ 44,080
Literacy Programs	24,426
Chief Operations Office	-
Marketing Expenses and Teacher Awards	16,651
Communication Department	758
Other	4,282
Total	<u>\$ 90,197</u>

Concentration of Credit Risk

The Foundation maintains cash depository accounts with various financial institutions. These deposits are insured by the Federal Deposit Insurance Corporation (FDIC) up to \$250,000. Balances in these accounts may at times exceed the federally insured amount. At June 30, 2022, the checking account balances over FDIC is \$3,636,311. The Foundation has not experienced, and its management believes it is not exposed to, significant credit risk from excess deposits.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 20 – Component Unit – Albuquerque Public Schools Foundation (continued)

Liquidity and Availability of Resources

The Foundation strives to maintain 150 days of normal operating expenses, which are, on average, approximately \$815,000. The organization has an informal no debt policy and invests cash in excess of daily requirements in various cash equivalents to generate unrestricted investment income for additional reserves. As of June 30, 2022, financial assets available for general expenditure within one year of the statement of financial position date are comprised of the following:

Financial Assets	
Cash and cash equivalents	\$ 4,133,154
Investments	3,103,018
Certificates of deposit	170,624
Less: Financial Assets with Donor Restriction	<u>(3,861,426)</u>
Financial Assets Available within One Year to Meet	
Cash Needs for General Expenditures within One Year	<u>\$ 3,545,370</u>

In addition to financial assets available to meet general expenditures within one year, the Foundation operates with a balanced budget and anticipates collecting sufficient revenue to cover general expenditures not covered by resources with donor restrictions.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 21 – Inclusion of Component Units

Inclusion of Charter Schools

Total adjustment to beginning net position due to the inclusion/exclusion of certain foundations and inclusion of certain component units as described above is as follows:

	Adjustment to Beginning Net Position Due to Inclusion/Exclusion of Component Units
Transfer out of Coral Community Charter School Foundation	\$ 2,540
Transfer out of Esperanza Education Foundation	(524)
Transfer in of Siembra Foundation	34,178
	<u>\$ 36,194</u>

Note 22 – Component Unit – Charter Schools

The following are dependent Charter Schools formed under NMSA 22-8A and, as such, are presented here as discrete component units of Albuquerque Municipal School District No. 12:

ACE Leadership High School	La Academia de Esperanza
Albuquerque Charter Academy	Los Puentes Charter School
Albuquerque Talent Development Academy ¹	Montessori of the Rio Grande ¹
Alice King Community School ¹	Mountain Mahogany Community School ¹
Christine Duncan Heritage Academy	Native American Community Academy
Cien Aguas International School	New Mexico International School
Coral Community Charter School	Mark Armijo Academy ¹
Corrales International Charter School	Public Academy for Performing Arts
Cottonwood Classical Preparatory School ¹	Robert F. Kennedy Charter School
Digital Arts & Technology Academy	Siembra Leadership High School
El Camino Real Academy ¹	South Valley Academy
East Mountain High School ¹	Tech Leadership High School
Gilbert L. Sena Charter High School	The New American School
Gordon Bernell Charter School	Voz Collegiate Preparatory School
Health Leadership High School	William and Josephine Dorn Community School
International School at Mesa del Sol	

¹ These schools have opted to issue separate financial statements for their respective schools. These separate financial statements can be obtained directly from the School or from the NM State Auditor's website www.osanm.org. The fund financial statements and select fund financial statement footnote disclosures have been excluded from the District's financial statements and this information can be obtained from the separately issued financial statements.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

A. Cash and Cash Equivalents

State statutes authorize the investment of charter school funds in a wide variety of instruments, including certificates of deposit and other similar obligations, state investment pool, money market accounts, and United States Government obligations. All invested funds of the Charter Schools properly followed state investment requirements as of June 30, 2022.

Deposits of funds may be made in interest or non-interest bearing checking accounts in one or more banks or savings and loan associations within the geographical boundaries of the Charter School. Deposits may be made to the extent that they are insured by an agency of the United States or by collateral deposited as security or by bond given by the financial institution. The types of collateral allowed are limited to direct obligations of the United States Government and all bonds issued by any agency, district or political subdivision of the State of New Mexico.

The rate of interest in non-demand interest-bearing accounts shall be set by the State Board of Finance, but in no case shall the rate of interest be less than 100% of the asked price on United States treasury bills of the same maturity on the day of deposit.

Excess of funds may be temporarily invested in securities which are issued by the State or by the United States government, or by their departments or agencies, and which are either direct obligations of the State or the United States or are backed by the full faith and credit of those governments.

According to the Federal Deposit Insurance Corporation, public unit deposits are funds owned by the public unit. Time deposits, savings deposits, and interest-bearing NOW accounts of a public unit in an institution in the same state will be insured up to \$250,000 in aggregate and separate from the \$250,000 coverage for public unit demand deposits at the same institution.

B. Deposits

New Mexico State Statutes require collateral pledged for deposits in excess of the federal deposit insurance to be delivered, or a joint safekeeping receipt be issued, to the Schools for at least one-half of the amount on deposit with the institution. The Schedule of Pledged Collateral listed in the financial statements of each school will meet the State of New Mexico Office of the State Auditor's requirements in reporting the insured portion of the deposits.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

C. Receivables

Accounts receivable are record in the various component units. They consist of amounts receivable from local governments relating to various grant agreements.

Receivables as of June 30, 2022 are as follows:

Charter School	Intergovernmental	Other
ACE Leadership High School	\$ 405,298	\$ 331
Albuquerque Charter Academy	396,424	21
Albuquerque Talent Development Academy	480,906	-
Alice King Community School	386,923	-
Allice King Community School Foundation	-	5,766
Christine Duncan Heritage Academy	573,120	1,447
Cien Aguas International School	284,301	-
Coral Community Charter School	79,232	-
Coral Community Charter Foundation	-	-
Corrales International Charter School	195,046	-
Cottonwood Classical Preparatory School	162,155	1,267
Cottonwood Classical Preparatory School Foundation	-	2,180
Digital Arts & Technology Academy	234,231	-
East Mountain High School	297,782	-
East Mountain High School Foundation	-	1,428,346
El Camino Real Academy	313,633	-
Gilbert L. Sena High School	201,288	-
Gordon Bernell Charter School	453,220	-
Health Leadership High School	260,787	-
International School at Mesa del Sol	327,376	17
La Academia de Esperanza	127,562	19,800
Los Puentes Charter School	470,010	-
Los Puentes Charter School Foundation	-	1,372,221
Mark Armijo Academy	448,096	-
Montessori of the Rio Grande	69,389	-
Mountain Mahogany Community School	410,595	-
Native American Community Academy	773,607	68,002
Native American Community Academy Foundation	-	53,939
New Mexico International School	756,590	-
Public Academy for Performing Arts	85,636	-
Robert F. Kennedy Charter School	639,853	-
Siembra Leadership High School	325,797	-
South Valley Academy	693,598	-
Tech Leadership High School	441,402	5,417
The New America School	174,602	-
Voz Collegiate Preparatory School	175,783	-
William and Josephine Dorn Community School	129,060	-
Elimination to Primary Government	-	(2,854,506)
Total	<u>\$ 10,773,302</u>	<u>\$ 104,248</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

D. Capital Assets

A summary of capital assets and changes occurring during the year ended June 30, 2022, including those changes pursuant to the implementation of GASB Statement No. 34, follows. Land is not subject to depreciation.

	Balance 6/30/21	GASB 87 Implementation	Additions	Deletions	Balance 6/30/22
ACE Leadership High School					
Primary Government Activities					
Furniture, Fixtures, & Equipment	\$ 253,733	\$ -	\$ -	\$ -	\$ 253,733
Construction in Progress	-	-	17,879	-	17,879
Building & Improvements	448,739	-	12,840	-	461,579
Vehicles	-	-	100,090	-	100,090
Right to use leased assets	-	2,607,212	-	-	2,607,212
Less: Accumulated Depreciation	(180,594)	-	(364,195)	-	(544,789)
Capital Assets, Net	<u>\$ 521,878</u>	<u>\$ 2,607,212</u>	<u>\$ (233,386)</u>	<u>\$ -</u>	<u>\$ 2,895,704</u>
Component Unit					
Land	\$ 1,194,050	\$ -	\$ -	\$ -	\$ 1,194,050
Land Improvements	102,461	-	-	-	102,461
Building & Improvements	3,920,314	-	-	-	3,920,314
Less: Accumulated Depreciation	(1,239,972)	-	(201,138)	-	(1,441,110)
Capital Assets, Net	<u>\$ 3,976,853</u>	<u>\$ -</u>	<u>\$ (201,138)</u>	<u>\$ -</u>	<u>\$ 3,775,715</u>
Albuquerque Charter Academy					
Furniture, Fixtures, & Equipment	\$ 452,571	\$ -	\$ 162,114	\$ -	\$ 614,685
Land	672,255	-	-	-	672,255
Building & Improvements	3,982,291	-	138,075	-	4,120,366
Less: Accumulated Depreciation	(655,077)	-	(200,522)	-	(855,599)
Capital Assets, Net	<u>\$ 4,452,040</u>	<u>\$ -</u>	<u>\$ 99,667</u>	<u>\$ -</u>	<u>\$ 4,551,707</u>
Albuquerque Talent Development Academy					
Furniture, Fixtures, & Equipment	\$ 34,483	\$ -	\$ 65,868	\$ -	\$ 100,351
Building & Improvements	65,000	-	-	-	65,000
Less: Accumulated Depreciation	(87,334)	-	(10,246)	-	(97,580)
Capital Assets, Net	<u>\$ 12,149</u>	<u>\$ -</u>	<u>\$ 55,622</u>	<u>\$ -</u>	<u>\$ 67,771</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

	Balance 6/30/21	GASB 87 Implementation	Additions	Deletions	Transfers	Balance 6/30/22
Alice King Community Academy						
Primary Government Activities						
Furniture, Fixtures, & Equipment	\$ 83,193	\$ -	\$ -	\$ -	\$ 109,486	\$ 192,679
Building & Improvements	9,439	-	58,124	-	-	67,563
Construction in Progress	109,536	-	-	(50)	(109,486)	-
Right to use leased assets	-	-	6,725,266	-	-	6,725,266
Less: Accumulated Depreciation	(9,263)	-	(288,680)	-	-	(297,943)
Capital Assets, Net	<u>\$ 192,905</u>	<u>\$ -</u>	<u>\$ 6,494,710</u>	<u>\$ (50)</u>	<u>\$ -</u>	<u>\$ 6,687,565</u>
Component Unit						
Land	\$ 450,000	\$ -	\$ -	\$ -	\$ -	\$ 450,000
Building & Improvements	5,456,351	-	-	-	-	5,456,351
Less: Accumulated Depreciation	(638,852)	-	(137,735)	-	-	(776,587)
Capital Assets, Net	<u>\$ 5,267,499</u>	<u>\$ -</u>	<u>\$ (137,735)</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 5,129,764</u>
Christine Duncan Heritage Academy						
Furniture, Fixtures, & Equipment	\$ 135,687	\$ -	\$ 51,701	\$ -	\$ 187,388	
Building & Improvements	75,046	-	16,794	-	91,840	
Right to use leased assets	-	-	46,544	-	46,544	
Less: Accumulated Depreciation	(164,515)	-	(30,379)	-	(194,894)	
Capital Assets, Net	<u>\$ 46,218</u>	<u>\$ -</u>	<u>\$ 84,660</u>	<u>\$ -</u>	<u>\$ 130,878</u>	
Cien Aguas International School						
Furniture, Fixtures, & Equipment	\$ 189,583	\$ -	\$ -	\$ -	\$ -	\$ 189,583
Construction in Progress	209,142	-	17,423	-	(209,142)	17,423
Building & Improvements	16,162	-	7,782,929	-	209,142	8,008,233
Right to use leased assets	-	31,188	-	-	-	31,188
Less: Accumulated Depreciation	(165,443)	-	(161,930)	-	-	(327,373)
Capital Assets, Net	<u>\$ 249,444</u>	<u>\$ 31,188</u>	<u>\$ 7,638,422</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 7,919,054</u>
Coral Community Charter School						
Primary Government Activities						
Land	\$ 415,000	\$ -	\$ -	\$ -	\$ 415,000	
Land Improvements	24,369	-	-	-	24,369	
Furniture, Fixtures, & Equipment	137,065	-	139,382	-	276,447	
Building & Improvements	1,012,976	-	95,474	-	1,108,450	
Right to use leased assets	-	17,291	-	-	17,291	
Less: Accumulated Depreciation	(33,262)	-	(46,562)	-	(79,824)	
Capital Assets, Net	<u>\$ 1,556,148</u>	<u>\$ 17,291</u>	<u>\$ 188,294</u>	<u>\$ -</u>	<u>\$ 1,761,733</u>	

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22	
Corrales International Charter School						
Furniture, Fixtures, & Equipment	\$ 100,060	\$ -	\$ 44,812	\$ -	\$ 144,872	
Right to use leased assets	-	936,788	-	-	936,788	
Less: Accumulated Depreciation	(77,942)	-	(329,816)	-	(407,758)	
Capital Assets, Net	<u>\$ 22,118</u>	<u>\$ 936,788</u>	<u>\$ (285,004)</u>	<u>\$ -</u>	<u>\$ 673,902</u>	
	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Transfers	Balance 6/30/22
Cottonwood Classical Preparatory School						
Primary Government Activities						
Furniture, Fixtures, & Equipment	\$ 173,894	\$ -	\$ 177,589	\$ -	\$ -	\$ 351,483
Building and Building Improvements	560,197	-	869,457	-	20,259	1,449,913
Construction in Progress	20,259	-	14,229	-	(20,259)	14,229
Right to use leased assets	-	11,758	19,620,596	-	-	19,632,354
Less: Accumulated Depreciation	(104,662)	-	(959,122)	-	-	(1,063,784)
Capital Assets, Net	<u>\$ 649,688</u>	<u>\$ 11,758</u>	<u>\$ 19,722,749</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 20,384,195</u>
Component Unit						
Land & Land Improvements	\$ 5,861,869	\$ -	\$ -	\$ -	\$ -	\$ 5,861,869
Building & Improvements	6,286,337	-	2,059,235	-	-	8,345,572
Furniture, Fixtures & Equipment	34,782	-	-	-	-	34,782
Less: Accumulated Depreciation	(1,182,936)	-	(157,751)	-	-	(1,340,687)
Capital Assets, Net	<u>\$ 11,000,052</u>	<u>\$ -</u>	<u>\$ 1,901,484</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 12,901,536</u>
	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22	
Digital Arts and Technology Academy						
Furniture, Fixtures, & Equipment	\$ 180,436	\$ -	\$ 152,822	\$ -	\$ 333,258	
Land improvements	14,766	-	-	-	14,766	
Building & Improvements	118,410	-	-	-	118,410	
Right to use leased assets	-	27,681	-	-	27,681	
Less: Accumulated Depreciation	(217,749)	-	(43,892)	-	(261,641)	
Capital Assets, Net	<u>\$ 95,863</u>	<u>\$ 27,681</u>	<u>\$ 108,930</u>	<u>\$ -</u>	<u>\$ 232,474</u>	
	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22	
East Mountain High School						
Primary Government Activities						
Land	\$ 140,000	\$ -	\$ -	\$ -	\$ 140,000	
Furniture, Fixtures, & Equipment	655,528	-	151,582	-	807,110	
Building & Improvements	4,769,011	-	-	-	4,769,011	
Right to use leased assets	-	-	79,529	-	79,529	
Less: Accumulated Depreciation	(3,305,943)	-	(365,617)	-	(3,671,560)	
Capital Assets, Net	<u>\$ 2,258,596</u>	<u>\$ -</u>	<u>\$ (134,506)</u>	<u>\$ -</u>	<u>\$ 2,124,090</u>	
Component Unit						
Land	<u>\$ 392,715</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 392,715</u>	
Capital Assets, Net	<u>\$ 392,715</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 392,715</u>	

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Note 22 – Component Unit – Charter Schools (continued)

	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22
El Camino Real Academy					
Land	\$ 1,500,000	\$ -	\$ -	\$ -	\$ 1,500,000
Furniture, Fixtures, & Equipment	443,110	-	-	-	443,110
Building & Improvements	10,280,855	-	74,089	-	10,354,944
Right to use leased assets	-	181,469	-	-	181,469
Less: Accumulated Depreciation	(3,563,681)	-	(464,267)	-	(4,027,948)
Capital Assets, Net	<u>\$ 8,660,284</u>	<u>\$ 181,469</u>	<u>\$ (390,178)</u>	<u>\$ -</u>	<u>\$ 8,451,575</u>
Gilbert L. Sena Charter High School					
Primary Government Activities					
Land	\$ -	\$ -	426,985	\$ -	\$ 426,985
Building and building improvements	-	-	1,923,015	-	1,923,015
Furniture, Fixtures, & Equipment	222,092	-	-	-	222,092
Right to use leased asset	-	-	15,085	-	15,085
Less: Accumulated Depreciation	(166,790)	-	(44,696)	-	(211,486)
Capital Assets, Net	<u>\$ 55,302</u>	<u>\$ -</u>	<u>\$ 2,320,389</u>	<u>\$ -</u>	<u>\$ 2,375,691</u>
Component Unit					
Land	\$ 426,985	\$ -	\$ -	\$ (426,985)	\$ -
Building & Improvements	1,586,719	-	-	(1,586,719)	-
Less: Accumulated Depreciation	(205,576)	-	(26,445)	232,021	-
Capital Assets, Net	<u>\$ 1,808,128</u>	<u>\$ -</u>	<u>\$ (26,445)</u>	<u>\$ (1,781,683)</u>	<u>\$ -</u>
Gordon Bernell Charter School					
Land	\$ 330,000	\$ -	\$ -	\$ -	\$ 330,000
Furniture, Fixtures, & Equipment	143,157	-	-	-	143,157
Building & Improvements	1,105,642	-	58,190	-	1,163,832
Land Improvements	52,417	-	-	-	52,417
Right to use leased assets	-	51,843	-	-	51,843
Less: Accumulated Depreciation	(204,218)	-	(102,198)	-	(306,416)
Capital Assets, Net	<u>\$ 1,426,998</u>	<u>\$ 51,843</u>	<u>\$ (44,008)</u>	<u>\$ -</u>	<u>\$ 1,434,833</u>
Health Leadership High School					
Furniture, Fixtures, & Equipment	\$ 141,038	\$ -	\$ -	\$ -	\$ 141,038
Right to use leased assets	-	450,732	9,970	-	460,702
Construction in Progress	141,694	-	21,791	(141,694)	21,791
Less: Accumulated Depreciation	(127,117)	-	(229,342)	-	(356,459)
Capital Assets, Net	<u>\$ 155,615</u>	<u>\$ 450,732</u>	<u>\$ (197,581)</u>	<u>\$ (141,694)</u>	<u>\$ 267,072</u>

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Note 22 – Component Unit – Charter Schools (continued)

	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Transfers	Balance 6/30/22
International School at Mesa del Sol						
Land	\$ -	-	\$ 525,000	\$ -	\$ -	\$ 525,000
Furniture, Fixtures, & Equipment	137,817	-	3,483	(23,534)	(8,000)	109,766
Construction in Progress	-	-	242,481	-	8,000	250,481
Building & Improvements	125,823	-	-	(125,823)	-	-
Right to use leased assets	-	32,952	-	-	-	32,952
Less: Accumulated Depreciation	(128,719)	-	(14,209)	59,602	-	(83,326)
Capital Assets, Net	<u>\$ 134,921</u>	<u>\$ 32,952</u>	<u>\$ 756,755</u>	<u>\$ (89,755)</u>	<u>\$ -</u>	<u>\$ 834,873</u>
La Academia de Esperanza						
	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22	
Furniture, Fixtures, & Equipment	\$ 332,520	\$ -	\$ -	\$ -	\$ 332,520	
Land	-	-	855,300	-	855,300	
Vehicles	10,000	-	-	-	10,000	
Building & Improvements	341,434	-	3,452,049	-	3,793,483	
Less: Accumulated Depreciation	(433,014)	-	(169,127)	-	(602,141)	
Capital Assets, Net	<u>\$ 250,940</u>	<u>\$ -</u>	<u>\$ 4,138,222</u>	<u>\$ -</u>	<u>\$ 4,389,162</u>	
Los Puentes Charter School						
	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22	
Land	\$ 590,000	\$ -	\$ -	\$ -	\$ 590,000	
Land improvements	215,813	-	37,541	-	253,354	
Furniture, Fixtures, & Equipment	208,066	-	-	-	208,066	
Building & Improvements	2,647,521	-	-	-	2,647,521	
Right to use leased assets	-	11,765	-	-	11,765	
Less: Accumulated Depreciation	(1,163,591)	-	(152,499)	-	(1,316,090)	
Capital Assets, Net	<u>\$ 2,497,809</u>	<u>\$ 11,765</u>	<u>\$ (114,958)</u>	<u>\$ -</u>	<u>\$ 2,394,616</u>	
Mark Armijo Academy						
	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22	
Primary Government Activities						
Furniture, Fixtures, & Equipment	\$ 79,067	\$ -	\$ 170,142	\$ -	\$ 249,209	
Building & Improvements	674,205	-	-	-	674,205	
Land Improvements	252,682	-	-	-	252,682	
Construction in Progress	23,148	-	-	(23,148)	-	
Leased Asset (Building & Copier)	-	1,102,229	-	-	1,102,229	
Less: Accumulated Depreciation	(450,197)	-	(200,723)	-	(650,920)	
Capital Assets, Net	<u>\$ 578,905</u>	<u>\$ 1,102,229</u>	<u>\$ (30,581)</u>	<u>\$ (23,148)</u>	<u>\$ 1,627,405</u>	
Component Unit						
Land	\$ 310,000	\$ -	\$ -	\$ -	\$ 310,000	
Building & Improvements	1,032,000	-	-	-	1,032,000	
Less: Accumulated Depreciation	(38,700)	-	(25,800)	-	(64,500)	
Capital Assets, Net	<u>\$ 1,303,300</u>	<u>\$ -</u>	<u>\$ (25,800)</u>	<u>\$ -</u>	<u>\$ 1,277,500</u>	

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Note 22 – Component Unit – Charter Schools (continued)

	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22
Montessori of the Rio Grande					
Land	\$ 101,617	\$ -	\$ -	\$ -	\$ 101,617
Land Improvements	362,205	-	98,052	-	460,257
Furniture, Fixtures, & Equipment	19,798	-	-	-	19,798
Building & Improvements	133,429	-	25,856	-	159,285
Right to use leased assets	-	-	10,722	-	10,722
Less: Accumulated Depreciation	(98,112)	-	(37,093)	-	(135,205)
Capital Assets, Net	<u>\$ 518,937</u>	<u>\$ -</u>	<u>\$ 97,537</u>	<u>\$ -</u>	<u>\$ 616,474</u>
Mountain Mahogany Community School					
Land	\$ 945,000	\$ -	\$ -	\$ -	\$ 945,000
Furniture, Fixtures, & Equipment	341,107	-	63,737	-	404,844
Building & Improvements	1,377,396	-	-	-	1,377,396
Less: Accumulated Depreciation	(514,361)	-	(103,486)	-	(617,847)
Capital Assets, Net	<u>\$ 2,149,142</u>	<u>\$ -</u>	<u>\$ (39,749)</u>	<u>\$ -</u>	<u>\$ 2,109,393</u>
Native American Community Academy					
Primary Government Activities					
Furniture, Fixtures, & Equipment	\$ 278,664	\$ -	\$ 6,848	\$ -	\$ 285,512
Building & Improvements	1,185,258	-	6,650	-	1,191,908
Construction in Progress	-	-	-	-	-
Right to use leased assets	-	7,045,950	-	-	7,045,950
Less: Accumulated Depreciation	(864,681)	-	(649,349)	-	(1,514,030)
Capital Assets, Net	<u>\$ 599,241</u>	<u>\$ 7,045,950</u>	<u>\$ (635,851)</u>	<u>\$ -</u>	<u>\$ 7,009,340</u>
Component Unit					
Land	\$ 331,482	\$ -	\$ -	\$ -	\$ 331,482
Capital Assets, Net	<u>\$ 331,482</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 331,482</u>
New Mexico International School					
Land	\$ 3,615,100	\$ -	\$ -	\$ -	\$ 3,615,100
Furniture, Fixtures, & Equipment	35,749	-	470,284	-	506,033
Building & Improvements	2,337,673	-	51,904	-	2,389,577
Land Improvements	160,613	-	5,963	-	166,576
Right to use leased assets	-	8,753	-	-	8,753
Less: Accumulated Depreciation	(179,948)	-	(105,948)	-	(285,896)
Capital Assets, Net	<u>\$ 5,969,187</u>	<u>\$ 8,753</u>	<u>\$ 422,203</u>	<u>\$ -</u>	<u>\$ 6,400,143</u>

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Note 22 – Component Unit – Charter Schools (continued)

	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22
Public Academy for Performing Arts					
Furniture, Fixtures, & Equipment	\$ 126,916	\$ -	\$ 5,200	\$ -	\$ 132,116
Construction in Progress	-	-	48,082	-	48,082
Building & Improvements	166,199	-	-	-	166,199
Land Improvements	13,287	-	-	-	13,287
Right to use leased assets	-	19,048	-	-	19,048
Less: Accumulated Depreciation	(161,550)	-	(53,268)	-	(214,818)
Capital Assets, Net	<u>\$ 144,852</u>	<u>\$ 19,048</u>	<u>\$ 14</u>	<u>\$ -</u>	<u>\$ 163,914</u>
Robert F. Kennedy Charter School					
Land & Land improvements	\$ 185,456	\$ -	\$ 61,611	\$ -	\$ 247,067
Furniture, Fixtures, & Equipment	550,349	-	212,835	-	763,184
Building & Improvements	197,086	-	31,806	-	228,892
Less: Accumulated Depreciation	(353,857)	-	(61,899)	-	(415,756)
Capital Assets, Net	<u>\$ 579,034</u>	<u>\$ -</u>	<u>\$ 244,353</u>	<u>\$ -</u>	<u>\$ 823,387</u>
Siembra Leadership High School					
Construction in Progress	\$ -	\$ -	\$ 229,702	\$ -	\$ 229,702
Furniture, Fixtures, & Equipment	-	-	104,266	-	104,266
Right to use leased assets	-	203,730	358,948	-	562,678
Less: Accumulated Depreciation	-	-	(368,739)	-	(368,739)
Capital Assets, Net	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 324,177</u>	<u>\$ -</u>	<u>\$ 527,907</u>
Component Unit					
Construction in Progress	\$ -	\$ -	\$ 1,758,431	\$ -	\$ 1,758,431
Capital Assets, Net	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 1,758,431</u>	<u>\$ -</u>	<u>\$ 1,758,431</u>
South Valley Academy					
Furniture, Fixtures, & Equipment	\$ 586,494	\$ -	\$ 191,207	\$ -	\$ 777,701
Land improvements	214,995	-	-	-	214,995
Right to use leased assets	-	27,015	-	-	27,015
Less: Accumulated Depreciation	(247,651)	-	(51,846)	-	(299,497)
Capital Assets, Net	<u>\$ 553,838</u>	<u>\$ 27,015</u>	<u>\$ 139,361</u>	<u>\$ -</u>	<u>\$ 720,214</u>
Tech Leadership High School					
Furniture, Fixtures, & Equipment	\$ 54,397	\$ -	\$ -	\$ -	\$ 54,397
Building & Improvements	257,033	-	-	-	257,033
Right to use leased assets	-	605,325	-	-	605,325
Less: Accumulated Depreciation	(264,631)	(203,581)	(6,109)	-	(474,321)
Capital Assets, Net	<u>\$ 46,799</u>	<u>\$ 401,744</u>	<u>\$ (6,109)</u>	<u>\$ -</u>	<u>\$ 442,434</u>

State of New Mexico
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Note 22 – Component Unit – Charter Schools (continued)

	Balance 6/30/21	GASB 87 Restatement	Additions	Deletions	Balance 6/30/22
The New America School					
Furniture, Fixtures, & Equipment	\$ 153,639	\$ -	\$ -	\$ -	\$ 153,639
Building & Improvements	3,128,550	-	7,306	-	3,135,856
Right to use leased assets	-	329,678	11,082	-	340,760
Less: Accumulated Depreciation	(1,865,507)	-	(331,526)	-	(2,197,033)
Capital Assets, Net	<u>\$ 1,416,682</u>	<u>\$ 329,678</u>	<u>\$ (313,138)</u>	<u>\$ -</u>	<u>\$ 1,433,222</u>
Voz Collegiate Preparatory School					
Buildings & Improvements	\$ -	\$ -	\$ 44,263	\$ -	\$ 44,263
Right to use leased assets	-	714,046	18,097	-	732,143
Less: Accumulated Depreciation	-	-	(159,709)	-	(159,709)
Capital Assets, Net	<u>\$ -</u>	<u>\$ 714,046</u>	<u>\$ (141,612)</u>	<u>\$ -</u>	<u>\$ 616,697</u>
William and Josephine Dorn Community School					
Furniture, Fixtures, & Equipment	\$ 27,125	\$ -	\$ -	\$ -	\$ 27,125
Right to use leased assets	-	8,085	-	-	8,085
Less: Accumulated Depreciation	(27,125)	-	(2,940)	-	(30,065)
Capital Assets, Net	<u>\$ -</u>	<u>\$ 8,085</u>	<u>\$ (2,940)</u>	<u>\$ -</u>	<u>\$ 5,145</u>

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Note 22 – Component Unit – Charter Schools (continued)

Depreciation expense for the year ended June 30, 2022 was charged to the following functions:

	ACE Leadership High School	Albuquerque Charter Academy	Albuquerque Talent Development Academy	Alice King Community School	
Instruction	\$ 18,735	\$ 20,273	\$ -	\$ -	
Students	7,507	-	-	-	
Central Services	1,893	-	-	-	
Operations/Plant Maintenance	3,590	24,614	4,158	8,735	
Food Services Operations	9,890	-	-	-	
Facilities, Materials, Supplies	322,580	155,635	6,088	279,945	
Total	<u>\$ 364,195</u>	<u>\$ 200,522</u>	<u>\$ 10,246</u>	<u>\$ 288,680</u>	
	Christine Duncan Heritage Academy	Cien Aguas International School	Coral Community Charter School	Corrales International Charter School	Cottonwood Classical Preparatory School
Instruction	\$ -	\$ -	\$ 3,050	\$ -	\$ 1,833
School Administration	4,654	-	-	6,225	-
Students	-	412	-	-	-
Central Services	2,177	-	4,509	159,231	-
Operations/Plant Maintenance	15,464	64,853	11,295	-	12,242
Food Services Operations	2,993	-	-	-	-
Facilities, Materials, Supplies	5,091	96,665	27,708	164,360	945,047
Total	<u>\$ 30,379</u>	<u>\$ 161,930</u>	<u>\$ 46,562</u>	<u>\$ 329,816</u>	<u>\$ 959,122</u>
	Digital Arts & Technology Academy	East Mountain High School	El Camino Real Academy	Gilbert L. Sena High School	Gordon Bernell Charter School
Instruction	\$ 1,313	\$ 2,056	\$ 14,616	\$ -	\$ -
General Administration	-	686	-	-	-
Central Services	-	-	22,938	-	-
School Administration	8,102	-	-	3,017	-
Operations/Plant Maintenance	3,117	-	26,220	-	53,804
Student Transportation	-	-	-	-	323
Food Services Operations	-	-	-	-	-
Facilities, Materials, Supplies	31,360	362,875	400,493	41,679	48,071
Total	<u>\$ 43,892</u>	<u>\$ 365,617</u>	<u>\$ 464,267</u>	<u>\$ 44,696</u>	<u>\$ 102,198</u>
	Health Leadership High School	International School at Mesa del Sol	La Academia de Esperanza	Los Puentes Charter School	Mark Armijo Academy
Instruction	\$ 4,118	\$ 1,835	\$ 7,601	\$ 550	\$ 338
Students	-	-	2,877	-	-
School Administration	-	6,590	655	2,941	-
Central Services	189	-	215	2,362	-
Operations/Plant Maintenance	87,704	-	24,242	347	46,264
Food Services Operations	-	2,901	-	-	2,989
Facilities, Materials, Supplies	137,331	2,883	133,537	146,299	151,132
Total	<u>\$ 229,342</u>	<u>\$ 14,209</u>	<u>\$ 169,127</u>	<u>\$ 152,499</u>	<u>\$ 200,723</u>

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Note 22 – Component Unit – Charter Schools (continued)

	Montessori of the Rio Grande	Mountain Mahogany Community School	Native American Community Academy	New Mexico International School	Public Academy for Performing Arts
Instruction	\$ -	\$ 7,142	\$ 11,632	\$ 117	\$ 1,000
School Administration	-	-	22,960	-	-
Students	-	1,640	-	-	-
Operations/Plant Maintenance	1,838	94,704	310,832	9,132	6,275
Food Services Operations	-	-	-	-	13,356
Facilities, Materials, Supplies	35,255	-	324,638	96,699	32,637
Total	<u>\$ 37,093</u>	<u>\$ 103,486</u>	<u>\$ 670,062</u>	<u>\$ 105,948</u>	<u>\$ 53,268</u>
	Robert F. Kennedy Charter School	Siembra Leadership High School	South Valley Academy	Tech Leadership High School	The New America School
Instruction	\$ 496	\$ -	\$ 5,548	\$ 2,003	\$ 2,996
Students	3,014	-	-	-	-
General Administration	-	-	6,371	-	-
School Administration	-	-	-	-	2,932
Central Services	205	2,755	-	-	-
Operations/Plant Maintenance	-	62,935	18,003	54,316	103,647
Food Services Operations	-	-	3,004	-	1,198
Community Service	1,028	-	-	-	-
Facilities, Materials, Supplies	57,156	303,049	18,920	153,371	220,753
Total	<u>\$ 61,899</u>	<u>\$ 368,739</u>	<u>\$ 51,846</u>	<u>\$ 209,690</u>	<u>\$ 331,526</u>
	Voz Collegiate Preparatory School	William W. and Josephine Dorn School			
Instruction	\$ 1,839	\$ -			
Students	-	-			
General Administration	-	-			
School Administration	-	-			
Central Services	345	2,940			
Operations/Plant Maintenance	127,875	-			
Food Services Operations	-	-			
Community Service	-	-			
Facilities, Materials, Supplies	29,650	-			
Total	<u>\$ 159,709</u>	<u>\$ 2,940</u>			

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Note 22 – Component Unit – Charter Schools (continued)

E. Pensions

General Information about the Pension Plan (see Note 13)

Disability Benefit

An NMERB member is eligible for disability benefits if they have acquired at least ten years of earned service credit and is found totally disabled. The disability benefit is equal to 2% of the member's Final Average Salary (FAS) multiplied by the number of years of total service credits. However, the disability benefit shall not be less than the smaller of (a) one-third of the member's FAS or (b) 2% of the member's FAS multiplied by total years of service credit projected to age 60.

Cost of Living Adjustment (COLA)

All retired members and beneficiaries receiving benefits receive an automatic adjustment in their benefit on July 1 following the later of 1) the year a member retires or 2) the year a member reaches age 65 (Tier 1 and Tier 2) or age 67 (Tier 3).

If a member is eligible for a COLA, the amount depends on the annual change in the Consumer Price Index (CPI) and whether the fund is fully funded (that is, the fund's funded ratio is 100%). Accordingly, if there is no increase in the CPI, or the CPI is negative, the amount of the COLA will be zero (if the CPI is negative, retirement benefits will not be decreased).

When CPI has increased and the fund is fully funded, the COLA will be the same amount as the increase in the CPI except as follows: If the increase in the CPI is 2% or greater, the COLA will be one-half of the CPI increase, not to exceed 4% or to be less than 2%.

However, while the fund is not fully funded, the COLA for retirees will be reduced based on the median annual retirement benefit, calculated after the end of each fiscal year:

- When the funded ratio is 90% or less, the COLA for retirees whose annuity is at or below the median and who have 25 or more years of service credit at retirement will be reduced by 10%. For retirees whose annuity is either greater than the median or who have less than 25 years of service credit at retirement, the COLA will be reduced by 20%.
- When the funded ratio exceeds 90% but is less than 100%, the COLA for retirees whose annuity is at or below the median adjusted annuity and who had 25 or more years of service credit at retirement and will be reduced by 5%. For retirees whose annuity is either greater than the median or who have less than 25 years of service credit at retirement, the COLA will be reduced by 10%.

Members on disability retirement are entitled to a COLA commencing on July 1 of the third full year following disability retirement. A member on regular retirement who can prove retirement because of a disability may qualify for a COLA beginning July 1 in the third full year of retirement.

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Note 22 – Component Unit – Charter Schools (continued)

Refund of Contributions

Members may withdraw their contributions only when they terminate covered employment in the State and their former employer(s) certification determination has been received by NMERB. Interest is paid to members when they withdraw their contributions following termination of employment at a rate set by the Board. Interest is not earned on contributions credited to accounts prior to July 1, 1971, or for contributions held for less than one year

Contributions

For the fiscal years ended June 30, 2022 and 2021, educational employers contributed to the Plan based on the following rate schedule.

Fiscal Year	Date Range	Wage Category	Member Rate	Employer Rate	Combined Rate	Increase Over Prior Year
2022	7/1/21 to 6/30/22	Over \$24k	10.7%	15.15%	25.85%	1.00%
2022	7/1/21 to 6/30/22	\$24k or less	7.9%	15.15%	23.05%	1.00%
2021	7/1/20 to 6/30/21	Over \$24k	10.7%	14.15%	24.85%	0.25%
2021	7/1/20 to 6/30/21	\$24k or less	7.9%	14.15%	22.05%	0.25%

Pension Liabilities, Pension Income, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

The net pension liability was measured as of June 30, 2021, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2020. The total pension liability was rolled-forward from the valuation date to the plan year ending June 30, 2021, using generally accepted actuarial principles. On April 17, 2020, NMERB's Board of Trustees adopted new assumptions presented in the 2020 Actuarial Experience Study. Those new assumptions have been reflected in the roll-forward and in the projections used to determine the single discount rate.

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Note 22 – Component Unit – Charter Schools (continued)

For the year ended June 30, 2022, the Charter Schools recognized pension contributions and expense in the amounts as further detailed in the following table.

Charter School	Measurement Dates			Fiscal Year June 30, 2022 Pension Expense
	June 30, 2020 Proportionate Share	June 30, 2021 Proportionate Share	June 30, 2022 Net Pension Liability	
ACE Leadership High School	0.04547%	0.04873%	\$ 3,453,723	\$ 85,121
Albuquerque Charter Academy	0.05953%	0.06097%	4,321,228	410,653
Alb. Talent Development Academy	0.03353%	0.03101%	2,197,823	136,222
Alice King Community School	0.08545%	0.08609%	6,101,600	1,014,374
Christine Duncan Heritage Academy	0.07613%	0.10183%	5,401,358	(793,718)
Cien Aguas International School	0.06986%	0.07621%	5,409,863	838,367
Coral Community Charter School	0.03751%	0.03854%	2,731,510	220,767
Corrales International Charter School	0.04354%	0.04479%	3,174,476	348,182
Cottonwood Classical Preparatory School	0.10418%	0.11594%	8,217,209	1,226,780
Digital Arts & Technology Academy	0.05331%	0.05823%	4,127,032	543,258
East Mountain High School	0.06833%	0.06519%	4,988,159	588,618
El Camino Real Academy	0.06508%	0.06496%	4,604,018	535,686
Gilbert L. Sena High School	0.03466%	0.03602%	2,552,906	223,568
Gordon Bernell Charter School	0.06518%	0.04608%	3,265,905	(206,816)
Health Leadership High School	0.04057%	0.03899%	2,763,403	138,896
International School at Mesa del Sol	0.06545%	0.06763%	4,793,254	692,436
La Academia de Esperanza	0.06400%	0.06699%	4,747,894	120,995
Los Puentes Charter School	0.03761%	0.03625%	2,569,207	131,011
Mark Armijo Academy	0.04542%	0.04022%	2,850,579	295,201
Montessori of the Rio Grande	0.04234%	0.04059%	2,876,803	326,128
Mountain Mahogany Community School	0.03836%	0.04492%	3,183,690	572,025
Native American Community Academy	0.10314%	0.10300%	7,300,091	926,238
New Mexico International School	0.05327%	0.06050%	4,287,917	1,217,519
Public Academy for Performing Arts	0.07072%	0.07172%	5,083,131	551,733
Robert F. Kennedy Charter School	0.07465%	0.07597%	5,384,348	719,470
Siembra Leadership High School	0.03359%	0.03743%	2,652,839	834,044
South Valley Academy	0.12637%	0.13251%	9,391,602	1,323,581
Tech Leadership High School	0.04543%	0.04687%	3,321,896	648,375
The New America School	0.04022%	0.04134%	2,929,959	244,068
Voz Collegiate Preparatory School	NA	0.00378%	267,906	152,691
William and Josephine Dorn Community School	0.01166%	0.01264%	895,856	162,701

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Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the Charter Schools reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources															
	ACE Leadership High School	Albuquerque Charter Academy	Albuquerque Talent Development Academy	Alice King Community School	Christine Duncan Heritage Academy	Cien Aguas International School	Coral Community Charter School	Corrales International Charter School	Cottonwood Classical Preparatory School	Digital Arts & Technology Academy	East Mountain High School	El Camino Real Academy	Gilbert L. Sena High School	Gordon Bernell Charter School	Health Leadership High School	International School at Mesa del Sol
Differences Between Expected and Actual Experience	\$ 271,373	\$ 339,537	\$ 172,692	\$ 479,428	\$ 424,407	\$ 425,075	\$ 214,626	\$ 249,432	\$ 645,660	\$ 324,278	\$ 391,940	\$ 361,756	\$ 200,592	\$ 256,615	\$ 217,132	\$ 376,625
Changes of Assumptions	2,298,975	2,876,431	1,462,984	4,061,538	3,595,421	3,601,082	1,818,233	2,113,094	5,469,795	2,747,164	3,320,374	3,064,670	1,699,345	2,173,953	1,839,463	3,190,635
Net Differences Between Projected and Actual Earnings on Pension Plan Investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Changes in Proportion and Differences Between the the Employer's Contributions and Proportionate Share of Contributions	261,897	115,698	30,428	284,585	300,975	569,006	82,742	100,417	994,311	470,304	181,364	207,065	109,227	47,281	9,087	261,056
The Employer's Contributions Subsequent to the Measurement Date	250,040	315,516	172,725	451,393	427,672	414,947	233,067	224,170	696,936	308,233	384,253	342,086	161,694	251,268	198,202	354,161
Total	<u>\$ 3,082,285</u>	<u>\$ 3,647,182</u>	<u>\$ 1,838,829</u>	<u>\$ 5,276,944</u>	<u>\$ 4,748,475</u>	<u>\$ 5,010,110</u>	<u>\$ 2,348,668</u>	<u>\$ 2,687,113</u>	<u>\$ 7,806,702</u>	<u>\$ 3,849,979</u>	<u>\$ 4,277,931</u>	<u>\$ 3,975,577</u>	<u>\$ 2,170,858</u>	<u>\$ 2,729,117</u>	<u>\$ 2,263,884</u>	<u>\$ 4,182,477</u>
	Deferred Inflows of Resources															
	ACE Leadership High School	Albuquerque Charter Academy	Alb. Talent Development Academy	Alice King Community School	Christine Duncan Heritage Academy	Cien Aguas International School	Coral Community Charter School	Corrales International Charter School	Cottonwood Classical Preparatory School	Digital Arts & Technology Academy	East Mountain High School	El Camino Real Academy	Gilbert L. Sena High School	Gordon Bernell Charter School	Health Leadership High School	International School at Mesa del Sol
Differences Between Expected and Actual Experience	\$ 8,505	\$ 10,641	\$ 5,412	\$ 15,025	\$ 13,301	\$ 13,322	\$ 6,726	\$ 7,817	\$ 20,235	\$ 10,163	\$ 12,283	\$ 11,338	\$ 6,287	\$ 8,042	\$ 6,805	\$ 11,804
Changes of Assumptions	3,933,241	4,921,192	2,502,971	6,948,752	6,151,288	6,160,974	3,110,755	3,615,224	9,358,094	4,700,033	5,680,720	5,243,245	2,907,353	3,719,346	3,147,077	5,458,754
Net Differences Between Projected and Actual Earnings on Pension Plan Investments	858,871	1,074,602	546,554	1,517,344	1,343,208	1,345,323	679,271	789,428	2,043,453	1,026,309	1,240,454	1,144,926	634,856	812,164	687,202	1,191,985
Changes in Proportion and Differences Between the the Employer's Contributions and Proportionate Share of Contributions	269,598	82,938	278,933	-	23,774	46,678	59,843	12,357	48,230	1,951	-	40,682	54,663	1,608,614	295,047	21,655
Total	<u>\$ 5,070,215</u>	<u>\$ 6,089,373</u>	<u>\$ 3,333,870</u>	<u>\$ 8,481,121</u>	<u>\$ 7,531,571</u>	<u>\$ 7,566,297</u>	<u>\$ 3,856,595</u>	<u>\$ 4,424,826</u>	<u>\$ 11,470,012</u>	<u>\$ 5,738,456</u>	<u>\$ 6,933,457</u>	<u>\$ 6,440,191</u>	<u>\$ 3,603,159</u>	<u>\$ 6,148,166</u>	<u>\$ 4,136,131</u>	<u>\$ 6,684,198</u>

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Note 22 – Component Unit – Charter Schools (continued)

	Deferred Outflows of Resources														
	La Academia de Esperanza	Los Puentes Charter School	Mark Armijo Academy	Montessori of the Rio Grande	Mountain Mahogany Community School	Native American Community Academy	New Mexico International School	Public Academy for Performing Arts	Robert F. Kennedy Charter School	Siembra Leadership High School	South Valley Academy	Tech Leadership High School	The New America School	Voz Preparatory Collegiate School	William and Josephine Dorn Community School
Differences Between Expected and Actual Experience	\$ 373,061	\$ 201,873	\$ 223,982	\$ 226,042	\$ 250,155	\$ 573,598	\$ 336,919	\$ 399,402	\$ 423,070	\$ 208,444	\$ 737,936	\$ 261,015	\$ 230,219	\$ 21,050	\$ 70,391
Changes of Assumptions	3,160,441	1,710,196	1,897,491	1,914,947	2,119,227	4,859,314	2,854,257	3,383,592	3,584,098	1,765,865	6,251,531	2,211,224	1,950,331	178,332	596,328
Net Differences Between Projected and Actual Earnings on Pension Plan Investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Changes in Proportion and Differences Between the the Employer's Contributions and Proportionate Share of Contributions	240,220	20,136	226,542	66,644	569,016	74,582	1,193,201	151,936	325,423	669,470	703,806	193,994	89,981	299,661	96,923
The Employer's Contributions Subsequent to the Measurement Date	358,426	215,723	231,012	236,135	264,412	598,329	358,013	373,155	354,819	221,403	654,695	263,283	179,766	44,709	67,347
Total	<u>\$ 4,132,148</u>	<u>\$ 2,147,928</u>	<u>\$ 2,579,027</u>	<u>\$ 2,443,768</u>	<u>\$ 3,202,810</u>	<u>\$ 6,105,823</u>	<u>\$ 4,742,390</u>	<u>\$ 4,308,085</u>	<u>\$ 4,687,410</u>	<u>\$ 2,865,182</u>	<u>\$ 8,347,968</u>	<u>\$ 2,929,516</u>	<u>\$ 2,450,297</u>	<u>\$ 543,752</u>	<u>\$ 830,989</u>
	Deferred Inflows of Resources														
	La Academia de Esperanza	Los Puentes Charter School	Mark Armijo Academy	Montessori of the Rio Grande	Mountain Mahogany Community School	Native American Community Academy	New Mexico International School	Public Academy for Performing Arts	Robert F. Kennedy Charter School	Siembra Leadership High School	South Valley Academy	Tech Leadership High School	The New America School	Voz Preparatory Collegiate School	William and Josephine Dorn Community School
Differences Between Expected and Actual Experience	\$ 11,692	\$ 6,327	\$ 7,020	\$ 7,084	\$ 7,840	\$ 17,977	\$ 10,559	\$ 12,517	\$ 13,259	\$ 6,533	\$ 23,127	\$ 8,180	\$ 7,215	\$ 660	\$ 2,206
Changes of Assumptions	5,407,096	2,925,918	3,246,356	3,276,221	3,625,717	8,313,642	4,883,256	5,788,878	6,131,917	3,021,162	10,695,541	3,783,111	3,336,757	305,103	1,020,237
Net Differences Between Projected and Actual Earnings on Pension Plan investments	1,180,705	638,910	708,881	715,402	791,719	1,815,384	1,066,318	1,264,072	1,338,978	659,707	2,335,501	826,088	728,621	66,623	222,781
Changes in Proportion and Differences Between the the Employer's Contributions and Proportionate Share of Contributions	685,247	249,883	445,669	140,600	-	43,906	-	31,210	10,314	-	52,112	-	94,746	-	10,592
Total	<u>\$ 7,284,740</u>	<u>\$ 3,821,038</u>	<u>\$ 4,407,926</u>	<u>\$ 4,139,307</u>	<u>\$ 4,425,276</u>	<u>\$ 10,190,909</u>	<u>\$ 5,960,133</u>	<u>\$ 7,096,677</u>	<u>\$ 7,494,468</u>	<u>\$ 3,687,402</u>	<u>\$ 13,106,281</u>	<u>\$ 4,617,379</u>	<u>\$ 4,167,339</u>	<u>\$ 372,386</u>	<u>\$ 1,255,816</u>

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Note 22 – Component Unit – Charter Schools (continued)

Amounts reported as deferred outflows of resources related to pensions resulting from contributions subsequent to the measurement date of June 30, 2021 will be recognized as a reduction of the net pension liability in the year ended June 30, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	ACE Leadership High School	Albuquerque Charter Academy	Albuquerque Talent Development Academy	Alice King Community School	Christine Duncan Heritage Academy	Cien Aguas International School	Coral Community Charter School	Corrales International Charter School	Cottonwood Classical Preparatory School	Digital Arts & Technology Academy	East Mountain High School	El Camino Real Academy	Gilbert L. Sena High School	Gordon Bernell Charter School	Health Leadership High School
2023	\$ (242,084)	\$ (171,362)	\$ (186,666)	\$ 21,566	\$ 87,590	\$ 41,637	\$ (108,743)	\$ (80,081)	\$ 89,713	\$ 69,111	\$ (96,784)	\$ (54,840)	\$ (98,191)	\$ (766,032)	\$ (260,568)
2024	(976,711)	(1,277,326)	(773,601)	(1,810,918)	(1,640,076)	(1,433,840)	(806,336)	(922,628)	(2,076,460)	(1,061,098)	(1,436,915)	(1,335,960)	(728,966)	(1,656,001)	(940,694)
2025	(732,601)	(950,464)	(525,134)	(1,359,936)	(1,210,103)	(1,130,046)	(599,267)	(695,771)	(1,691,673)	(862,281)	(1,092,186)	(1,033,880)	(554,987)	(977,295)	(639,893)
2026	(286,574)	(358,555)	(182,365)	(506,282)	(448,179)	(448,885)	(226,648)	(263,403)	(681,826)	(342,442)	(413,894)	(382,020)	(211,828)	(270,989)	(229,294)
2027	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Thereafter	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Year Ended June 30,	International School at Mesa del Sol	La Academia de Esperanza	Los Puentes Charter School	Mark Armijo Academy	Montessori of the Rio Grande	Mountain Mahogany Community School	Native American Community Academy	New Mexico International School	Public Academy for Performing Arts	Robert F. Kennedy Charter School	Siembra Leadership High School	South Valley Academy	Tech Leadership High School	The New America School	Voz Preparatory Collegiate School	William and Josephine Dorn Community School
2023	\$ (59,286)	\$ (556,610)	\$ (215,930)	\$ (146,892)	\$ (104,112)	\$ 137,244	\$ (213,874)	\$ 549,184	\$ (129,045)	\$ (4,768)	\$ 326,456	\$ (33,273)	\$ 2,776	\$ (142,361)	\$ 116,334	\$ 11,857
2024	(1,352,060)	(1,534,200)	(866,195)	(970,615)	(921,356)	(730,232)	(2,225,144)	(900,422)	(1,483,979)	(1,519,956)	(604,379)	(2,573,377)	(951,899)	(868,723)	44,782	(241,389)
2025	(1,046,814)	(1,026,250)	(593,527)	(705,876)	(667,502)	(629,722)	(1,638,670)	(868,727)	(1,126,949)	(1,190,385)	(545,580)	(2,027,087)	(726,388)	(642,610)	(12,229)	(188,308)
2026	(397,722)	(393,958)	(213,181)	(236,528)	(238,704)	(264,168)	(605,727)	(355,791)	(421,774)	(446,768)	(220,120)	(779,271)	(275,635)	(243,114)	(22,230)	(74,334)
2027	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Thereafter	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

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Note 22 – Component Unit – Charter Schools (continued)

Pension Plan Fiduciary Net Position

Detailed information about the ERB's fiduciary net position is available in the separately issued audited financial statements as of and for June 30, 2022 and 2021, which are publicly available at www.nmerb.org.

Actuarial Assumptions

Actuarial assumptions and methods are set by the Plan's Board of Trustees, based upon recommendations made by the Plan's actuary. On April 17, 2020, the Board adopted the new assumptions presented in the 2020 Actuarial Experience Study.

The total pension liability in the June 30, 2021 actuarial valuation was determined using the following significant actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.30%
Salary Increases	3.00% composed of 2.30% inflation, plus a 0.70% productivity increase rate, plus a step-rate promotional increase for members with less than 15 years of service.
Investment Rate of Return	7.00% compounded annually, net of expenses. This is made up of a 2.30% inflation rate and a 4.70% real rate of return.
Mortality	<i>Healthy Males:</i> 2020 GRS Southwest Region Teacher Mortality Table, set back one year and scaled at 95%. Generational mortality improvements in accordance with the Ultimate MP scales are projected from the year 2020. <i>Healthy Females:</i> 2020 GRS Southwest Region Teacher Mortality Table, set back one year. Generational mortality improvements in accordance with the Ultimate MP scales are projected from the year 2020.

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Note 22 – Component Unit – Charter Schools (continued)

The long-term expected rate of return on pension plan investments was determined using a building-block approach that includes the following:

- Rate of return projections that are the sum of current yield plus projected changes in price (valuations, defaults, etc.)
- Application of key economic projections (inflation, real growth, dividends, etc.)
- Structural themes (supply and demand imbalances, capital flows, etc.) developed for each major asset class.

Asset Class	Target Allocation	Long-Term Expected Rate of Return
Equities	31%	
Fixed income	24%	
Alternative investments	44%	
Cash	1%	
Total	100%	7.00%

Discount Rate

A single discount rate of 7.00% was used to measure the total pension liability as of June 30, 2021. This is an increase of 3.11% from June 30, 2020. The 7.00% was based on a long-term expected rate of return on pension plan investments of 7.00% and a municipal bond rate of 1.92%. Based on the stated assumptions and the projection of cash flows, the pension plan's fiduciary net position and future contributions were sufficient to finance the benefit payments through the year 2045. As a result, the long-term expected rate of return on pension plan investments was applied to projected benefit payments through the year 2045, and the municipal bond rate was applied to all benefit payments after that date.

The projections of cash flows used to determine this single discount rate assumed that plan member and employer contributions will be made at the current statutory levels.

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Note 22 – Component Unit – Charter Schools (continued)

Sensitivity of the School's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the School's proportionate share of the net pension liability calculated using the discount rate of 7.00%%, as well as what the School's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1 percentage point higher (8.00%) than the current rate:

Charter School	Proportionate Share of Net Pension Liability		
	1% Decrease 6.00%	Current	1% Increase 8.00%
		Discount Rate 7.00%	
ACE Leadership High School	\$ 4,890,087	\$ 3,453,723	\$ 2,266,711
Albuquerque Charter Academy	6,118,379	4,321,228	2,836,063
Alb. Talent Development Academy	3,111,873	2,197,823	1,442,452
Alice King Community School	8,639,187	6,101,600	4,004,538
Christine Duncan Heritage Academy	7,647,723	5,401,358	3,544,963
Cien Aguas International School	7,659,765	5,409,863	3,550,545
Coral Community Charter School	3,460,090	2,731,510	1,603,862
Corrales International Charter School	4,494,705	3,174,476	2,083,439
Cottonwood Classical Preparatory School	11,634,654	8,217,209	5,393,032
Digital Arts & Technology Academy	5,843,418	4,127,032	2,708,610
East Mountain High School	7,062,678	4,988,159	3,273,776
El Camino Real Academy	6,518,778	4,604,018	3,012,661
Gilbert L. Sena High School	3,614,630	2,552,906	1,675,496
Gordon Bernell Charter School	4,624,158	3,265,905	2,143,444
Health Leadership High School	3,912,672	2,763,403	1,813,648
International School at Mesa del Sol	6,786,714	4,793,254	3,145,858
La Academia de Esperanza	6,722,490	4,747,894	3,116,088
Los Puentes Charter School	3,637,711	2,569,207	1,686,195
Mark Armijo Academy	4,036,103	2,850,579	1,870,862
Montessori of the Rio Grande	4,073,233	2,876,803	1,888,073
Mountain Mahogany Community School	4,507,751	3,183,690	2,089,486
Native American Community Academy	10,336,116	7,300,091	4,791,119
New Mexico International School	6,071,214	4,287,917	2,814,201
Public Academy for Performing Arts	7,197,148	5,083,131	3,336,107
Robert F. Kennedy Charter School	7,623,638	5,384,348	3,533,799
Siembra Leadership High School	3,756,125	2,652,839	1,741,083
South Valley Academy	13,297,464	9,391,602	6,163,798
Tech Leadership High School	4,703,435	3,321,896	2,180,192
The New America School	4,148,496	2,929,959	1,922,960
Voz Collegiate Preparatory School	379,325	267,906	175,829
William and Josephine Dorn Community School	1,268,432	895,856	587,959

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Note 22 – Component Unit – Charter Schools (continued)

Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in separately issued NMERB'S financial reports. The reports can be found on NMERB's website at https://www.nmerb.org/Annual_reports.html.

F. Other Post-Employment Benefit

General Information about the OPEB

Plan Description

Employees of the School are provided with OPEB through the Retiree Health Care Fund (the Fund)—a cost-sharing multiple-employer defined benefit OPEB plan administered by the New Mexico Retiree Health Care Authority (NMRHCA). NMRHCA was formed February 13, 1990, under the New Mexico Retiree Health Care Act (the Act) of New Mexico Statutes Annotated, as amended (NMSA 1978), to administer the Fund under Section 10-7C-1-19 NMSA 1978. The Fund was created to provide comprehensive group health insurance coverage for individuals (and their spouses, dependents and surviving spouses) who have retired or will retire from public service in New Mexico.

NMRHCA is an independent agency of the State of New Mexico. The funds administered by NMRHCA are considered part of the State of New Mexico financial reporting entity and are OPEB trust funds of the State of New Mexico. NMRHCA's financial information is included with the financial presentation of the State of New Mexico.

Benefits Provided

The Fund is a multiple employer cost sharing defined benefit healthcare plan that provides eligible retirees (including terminated employees who have accumulated benefits but are not yet receiving them), their spouses, dependents and surviving spouses and dependents with health insurance and prescription drug benefits consisting of a plan, or optional plans of benefits, that can be contributions to the Fund and by co-payments or out-of-pocket payments of eligible retirees.

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Note 22 – Component Unit – Charter Schools (continued)

Employees Covered by Benefit Terms

At June 30, 2021, the Fund's measurement date, the following employees were covered by the benefit terms:

Plan membership	
Current retirees and surviving spouses	53,092
Inactive and eligible for deferred benefit	11,754
Current active members	92,484
	157,330
Active membership	
State general	18,691
State police and corrections	1,919
Municipal general	20,357
Municipal police	1,573
Municipal fire	756
Education retirement board	49,188
	92,484

Contributions

Employer and employee contributions to the Fund total 3% for non-enhanced retirement plans and 3.75% of enhanced retirement plans of each participating employee's salary as required by Section 10-7C-15 NMSA 1978. The contributions are established by statute and are not based on an actuarial calculation. All employer and employee contributions are non-refundable under any circumstance, including termination of the employer's participation in the Fund.

OPEB Liabilities, OPEB Expense (Income), and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

At June 30, 2022, the Schools reported liabilities for its proportionate share of the net OPEB liability. The net OPEB liability was measured as of June 30, 2021, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of that date.

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Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the School reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources															
	ACE Leadership High School	Albuquerque Charter Academy	Albuquerque Talent Development Academy	Alice King Community School	Christine Duncan Heritage Academy	Cien Aguas International School	Coral Community Charter School	Corrales International Charter School	Cottonwood Classical Preparatory School	Digital Arts & Technology Academy	East Mountain High School	El Camino Real Academy	Gilbert L. Sena High School	Gordon Bernell Charter School	Health Leadership High School	International School at Mesa del Sol
Differences Between Expected and Actual Experience	\$ 15,563	\$ 19,475	\$ 9,901	\$ 27,422	\$ 20,273	\$ 24,382	\$ 12,306	\$ 14,303	\$ 37,025	\$ 18,599	\$ 22,477	\$ 20,745	\$ 11,503	\$ 14,717	\$ 12,451	\$ 24,098
Changes of Assumptions	213,108	266,665	135,572	375,492	277,601	333,859	168,510	195,849	506,981	254,676	307,772	284,056	157,509	201,514	170,487	329,972
Changes of Proportion	90,343	47,842	39,956	278,589	486,063	246,512	29,444	42,851	371,813	203,331	87,794	168,050	38,719	108,077	45,444	625,543
Net Differences Between Projected and Actual Earnings on OPEB Plan Investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
The Employer's Contributions Subsequent to the Measurement Date	33,057	40,661	22,875	59,590	56,458	54,792	30,767	29,592	92,061	40,671	50,725	45,160	21,343	33,206	26,075	46,787
Total	<u>\$ 352,071</u>	<u>\$ 374,643</u>	<u>\$ 208,304</u>	<u>\$ 741,093</u>	<u>\$ 840,395</u>	<u>\$ 659,545</u>	<u>\$ 241,027</u>	<u>\$ 282,595</u>	<u>\$ 1,007,880</u>	<u>\$ 517,277</u>	<u>\$ 468,768</u>	<u>\$ 518,011</u>	<u>\$ 229,074</u>	<u>\$ 357,514</u>	<u>\$ 254,457</u>	<u>\$ 1,026,400</u>

	Deferred Inflows of Resources															
	ACE Leadership High School	Albuquerque Charter Academy	Albuquerque Talent Development Academy	Alice King Community School	Christine Duncan Heritage Academy	Cien Aguas International School	Coral Community Charter School	Corrales International Charter School	Cottonwood Classical Preparatory School	Digital Arts & Technology Academy	East Mountain High School	El Camino Real Academy	Gilbert L. Sena High School	Gordon Bernell Charter School	Health Leadership High School	International School at Mesa del Sol
Differences Between Expected and Actual Experience	\$ 169,754	\$ 212,416	\$ 107,992	\$ 299,103	\$ 221,126	\$ 265,939	\$ 134,229	\$ 156,006	\$ 403,842	\$ 202,865	\$ 245,160	\$ 226,269	\$ 125,466	\$ 160,519	\$ 135,803	\$ 262,843
Changes of Proportion	283,704	61,160	129,308	-	363,062	84,215	80,700	13,533	71,035	81,634	3,679	42,963	82,272	563,312	207,890	128,833
Changes of Assumptions	384,829	481,541	244,815	678,060	501,288	602,878	304,294	353,662	915,499	459,891	555,771	512,946	284,428	363,892	307,863	595,860
Net Differences Between Projected and Actual Earnings on OPEB Plan Investments	30,511	38,179	19,410	53,760	39,744	47,799	24,126	28,040	72,585	36,462	44,064	40,669	22,551	28,851	24,409	47,242
The Employer's Contributions Subsequent to the Measurement Date	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	<u>\$ 868,798</u>	<u>\$ 793,296</u>	<u>\$ 501,525</u>	<u>\$ 1,030,923</u>	<u>\$ 1,125,220</u>	<u>\$ 1,000,831</u>	<u>\$ 543,349</u>	<u>\$ 551,241</u>	<u>\$ 1,462,961</u>	<u>\$ 780,852</u>	<u>\$ 848,674</u>	<u>\$ 822,847</u>	<u>\$ 514,717</u>	<u>\$ 1,116,574</u>	<u>\$ 675,965</u>	<u>\$ 1,034,778</u>

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Note 22 – Component Unit – Charter Schools (continued)

	Deferred Outflows of Resources														
	La Academia de Esperanza	Los Puentes Charter School	Mark Armijo Academy	Montessori of the Rio Grande	Mountain Mahogany Community School	Native American Community Academy	New Mexico International School	Public Academy for Performing Arts	Robert F. Kennedy Charter School	Siembra Leadership High School	South Valley Academy	Tech Leadership High School	The New America School	Voz Collegiate Preparatory School	William and Josephine Dorn Community School
Differences Between Expected and Actual Experience	\$ 21,259	\$ 11,561	\$ 12,932	\$ 12,961	\$ 14,346	\$ 32,700	\$ 19,325	\$ 23,001	\$ 24,507	\$ 11,989	\$ 42,047	\$ 14,967	\$ 13,201	\$ 803	\$ 4,036
Changes of Assumptions	291,105	158,300	177,074	177,470	196,442	447,758	264,623	314,952	335,572	164,163	575,755	204,940	180,763	11,001	55,270
Changes of Proportion	95,659	32,272	227,571	75,952	220,004	82,287	744,597	71,991	157,586	475,280	416,544	261,662	33,073	67,356	51,304
Net Differences Between Projected and Actual Earnings on Pension Plan Investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
The Employer's Contributions Subsequent to the Measurement Date	47,242	28,460	30,656	31,171	33,732	79,043	47,268	46,071	53,177	29,227	86,429	34,758	23,731	5,902	8,890
Total	<u>\$ 455,265</u>	<u>\$ 230,593</u>	<u>\$ 448,233</u>	<u>\$ 297,554</u>	<u>\$ 464,524</u>	<u>\$ 641,788</u>	<u>\$ 1,075,813</u>	<u>\$ 456,015</u>	<u>\$ 570,842</u>	<u>\$ 680,659</u>	<u>\$ 1,120,775</u>	<u>\$ 516,327</u>	<u>\$ 250,768</u>	<u>\$ 85,062</u>	<u>\$ 119,500</u>

	Deferred Inflows of Resources														
	La Academia de Esperanza	Los Puentes Charter School	Mark Armijo Academy	Montessori of the Rio Grande	Mountain Mahogany Community School	Native American Community Academy	New Mexico International School	Public Academy for Performing Arts	Robert F. Kennedy Charter School	Siembra Leadership High School	South Valley Academy	Tech Leadership High School	The New America School	Voz Collegiate Preparatory School	William and Josephine Dorn Community School
Differences Between Expected and Actual Experience	\$ 231,884	\$ 126,096	\$ 141,051	\$ 141,366	\$ 156,478	\$ 356,667	\$ 210,789	\$ 250,879	\$ 267,304	\$ 130,766	\$ 458,625	\$ 163,247	\$ 143,989	\$ 8,763	\$ 44,026
Changes of Proportion	522,548	174,132	151,968	43,963	-	32,079	29,943	31,728	20,235	-	28,687	-	107,559	-	8,202
Changes of Assumptions	525,675	285,856	319,759	320,472	354,732	808,556	477,854	568,737	605,971	296,443	1,039,691	370,078	326,420	19,866	99,806
Net Differences Between Projected and Actual Earnings on Pension Plan Investments	41,678	22,664	25,352	25,408	28,125	64,106	37,886	45,092	48,044	23,503	82,431	29,341	25,880	1,575	7,913
The Employer's Contributions Subsequent to the Measurement Date	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	<u>\$ 1,321,785</u>	<u>\$ 608,748</u>	<u>\$ 638,130</u>	<u>\$ 531,209</u>	<u>\$ 539,335</u>	<u>\$ 1,261,408</u>	<u>\$ 756,472</u>	<u>\$ 896,436</u>	<u>\$ 941,554</u>	<u>\$ 450,712</u>	<u>\$ 1,609,434</u>	<u>\$ 562,666</u>	<u>\$ 603,848</u>	<u>\$ 30,204</u>	<u>\$ 159,947</u>

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Note 22 – Component Unit – Charter Schools (continued)

Amounts reported as deferred outflows of resources related to other post-employment benefits resulting from contributions subsequent to the measurement date June 30, 2021 will be recognized as a reduction of the net post-employment benefits liability in the year ended June 30, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to post-employment benefits will be recognized in post-employment benefits expense as follows:

Year Ended June 30,	ACE Leadership High School	Albuquerque Charter Academy	Albuquerque Talent Development Academy	Alice King Community School	Christine Duncan Heritage Academy	Cien Aguas International School	Coral Community Charter School	Corrales International Charter School	Cottonwood Classical Preparatory School	Digital Arts & Technology Academy	East Mountain High School	El Camino Real Academy	Gilbert L Sena High School	Gordon Bernell Charter School	Health Leadership High School
2023	\$ (235,128)	\$ (196,085)	\$ (112,240)	\$ (168,237)	\$ 58,424	\$ (213,192)	\$ (147,765)	\$ (135,164)	\$ (316,333)	\$ (183,703)	\$ (200,432)	\$ (179,414)	\$ (141,214)	\$ (200,842)	\$ (148,757)
2024	(172,926)	(126,506)	(75,635)	(69,843)	125,112	(117,149)	(97,243)	(82,467)	(177,919)	(103,237)	(118,647)	(101,952)	(94,735)	(161,820)	(108,304)
2025	(96,854)	(74,386)	(52,697)	(28,810)	85,696	(41,432)	(47,784)	(42,771)	(62,078)	(20,618)	(59,375)	(36,775)	(44,932)	(162,097)	(89,372)
2026	(18,307)	(15,343)	(34,455)	(56,666)	69,191	10,159	(11,029)	(4,307)	51,262	29,558	120	26,936	(950)	(125,889)	(58,057)
2027	(26,567)	(46,995)	(41,069)	(76,864)	-	(34,464)	(29,269)	(33,529)	(42,074)	(26,246)	(52,297)	(58,791)	(25,155)	(141,618)	(43,093)
Thereafter	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Year Ended June 30,	International School at Mesa del Sol	La Academia de Esperanza	Los Puentes Charter School	Mark Armijo Academy	Montessori of the Rio Grande	Mountain Mahogany Community School	Native American Community Academy	New Mexico International School	Public Academy for Performing Arts	Robert F. Kennedy Charter School	Siembra Leadership High School	South Valley Academy	Tech Leadership High School	The New America School	Voz Collegiate Preparatory School	William and Josephine Dorn Community School
2023	\$ (120,075)	\$ (238,006)	\$ (148,474)	\$ (87,142)	\$ (109,059)	\$ (92,360)	\$ (166,424)	\$ (10,663)	\$ (220,987)	\$ (201,679)	\$ 27,442	\$ (295,068)	\$ (25,472)	\$ (160,464)	\$ 5,697	\$ (26,567)
2024	(48,613)	(169,644)	(103,724)	(48,494)	(62,655)	(40,895)	(56,694)	64,014	(136,330)	(117,031)	65,352	(157,956)	3,859	(108,264)	8,599	(12,206)
2025	(7,290)	(129,876)	(69,813)	(31,801)	(35,956)	(4,274)	3,667	108,541	(68,360)	(59,327)	62,553	(80,664)	(27,115)	(59,241)	10,726	(5,153)
2026	91,056	(69,169)	(44,759)	9,047	(11,578)	34,779	88,638	126,355	912	13,576	58,339	42,923	2,098	(17,737)	12,968	692
2027	29,757	-	(39,845)	(62,163)	(45,578)	(5,793)	-	(16,174)	(61,727)	(59,428)	(12,966)	(84,323)	(34,467)	(31,105)	10,966	(6,103)
Thereafter	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

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Note 22 – Component Unit – Charter Schools (continued)

Actuarial Assumptions

The total OPEB liability was determined by an actuarial valuation using the following actuarial assumptions:

Valuation date	June 30, 2021
Actuarial cost method	Entry age normal, level percent of pay, calculated on individual employee basis
Asset valuation method	Market value of assets
Actuarial assumptions	Inflation 2.30% for ERB; 2.50% for PERA
Projected payroll increases	3.25% to 13.00%, based on years of service, including inflation
Investment rate of return	7.00%, net of OPEB plan investment expense and margin for adverse deviation including inflation
Health care cost trend rate	8.00% graded down to 4.50% over 14 years for Non-Medicare medical plan costs and 7.50% graded down to 4.50% over 12 years for Medicare medical plan costs
Mortality	<i>ERB Members:</i> RP-2000 Combined Healthy Mortality Table with White Collar Adjustment (males) and GRS Southwest Region Teacher Mortality Table (females) <i>PERA Members:</i> RP-2014 Combined Health Mortality

Rate of Return

The long-term expected rate of return on OPEB plan investments was determined using a building-block method in which the expected future real rates of return (net of investment fees and inflation) are developed for each major asset class. These returns are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage, adding expected inflation and subtracting expected investment expenses and a risk margin. The target allocation and projected arithmetic real rates of return for each major asset class, after deducting inflation, but before investment expenses, used in the derivation of the long-term expected investment rate of return assumptions.

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Note 22 – Component Unit – Charter Schools (continued)

The best estimates for the long-term expected rate of return is summarized as follows:

<u>Asset Class</u>	<u>Long-Term Rate of Return</u>
U.S. core fixed income	40.00%
U.S. equity - large cap	6.60%
Non U.S. - emerging markets	9.20%
Non U.S. - developed equities	7.30%
Private equity	10.60%
Credit and structured finance	3.10%
Real estate	3.70%
Absolute return	2.50%
U.S. equity - small/mid cap	6.60%

Discount Rate

The discount rate used to measure the Fund's total OPEB liability is 3.62% as of June 30, 2021. The projection of cash flows used to determine the discount rate assumed that employer contributions will be made at rates proportional to the actuary determined contribution rates. For this purpose, employer contributions that are intended to fund benefits of current plan members and their beneficiaries are included. Projected employer contributions that are intended to fund the service costs for future plan members and their beneficiaries are not included. Based on those assumptions, the Fund's fiduciary net position was projected to be available to make all projected future benefit payments for current plan members through the fiscal year ending June 30, 2039. Thus, the 7.25% discount rate was used to calculate the net OPEB liability through 2040. The index rate for 20-year, tax exempt general obligation municipal bonds with an average rating of AA/Aa or higher was used beyond 2041, resulting in a blended discount rate of 2.86%.

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Note 22 – Component Unit – Charter Schools (continued)

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate and Healthcare Cost Trend Rates

The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.62 percent) or 1-percentage-point higher (4.62 percent) than the current discount rate:

Charter School	Proportionate Share of OPEB Liability		
	1% Decrease 2.62%	Current Discount Rate 3.62%	1% Increase 4.62%
ACE Leadership High School	\$ 1,337,429	\$ 1,064,428	\$ 852,063
Albuquerque Charter Academy	1,673,543	1,331,934	1,066,199
Alb. Talent Development Academy	850,828	677,154	542,055
Alice King Community School	2,356,521	1,875,499	1,501,317
Christine Duncan Heritage Academy	1,742,172	1,386,553	1,109,921
Cien Aguas International School	2,095,237	1,667,549	1,334,855
Coral Community Charter School	1,057,541	841,671	673,749
Corrales International Charter School	1,229,112	978,221	783,055
Cottonwood Classical Preparatory School	3,181,717	2,532,253	2,027,042
Digital Arts & Technology Academy	1,598,300	1,272,049	1,018,262
East Mountain High School	1,931,520	1,537,251	1,230,553
El Camino Real Academy	1,782,688	1,418,799	1,135,733
Gilbert L. Sena High School	988,499	786,723	629,763
Gordon Bernell Charter School	1,264,666	1,006,518	805,707
Health Leadership High School	1,069,943	851,543	681,651
International School at Mesa del Sol	2,070,845	1,648,136	1,319,315
La Academia de Esperanza	1,826,924	1,454,006	1,163,916
Los Puentes Charter School	993,460	790,671	632,924
Mark Armijo Academy	1,111,286	884,446	707,990
Montessori of the Rio Grande	1,113,766	886,420	709,570
Mountain Mahogany Community School	1,232,833	981,182	785,426
Native American Community Academy	2,810,048	2,236,451	1,790,255
New Mexico International School	1,660,727	1,321,734	1,058,034
Public Academy for Performing Arts	1,976,584	1,573,116	1,259,263
Robert F. Kennedy Charter School	2,105,986	1,676,104	1,341,704
Siembra Leadership High School	1,030,255	819,955	-
South Valley Academy	3,613,332	2,875,766	2,302,020
Tech Leadership High School	1,286,164	1,023,628	819,403
The New America School	1,134,438	902,872	722,739
Voz Collegiate Preparatory School	69,042	54,949	43,986
William and Josephine Dorn Community School	346,863	276,060	220,983

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Note 22 – Component Unit – Charter Schools (continued)

The following presents the net OPEB liability of the School, as well as what the School's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1 percentage point higher than the current healthcare cost trend rates:

Charter School	Proportionate Share of Net OPEB Liability		
	1% Decrease	Current Trend Rates	1% Increase
ACE Leadership High School	\$ 856,143	\$ 1,064,428	\$ 1,232,160
Albuquerque Charter Academy	1,071,304	1,331,934	1,541,819
Alb. Talent Development Academy	544,650	677,154	783,860
Alice King Community School	1,508,506	1,875,499	2,171,039
Christine Duncan Heritage Academy	1,115,236	1,386,553	1,605,046
Cien Aguas International School	1,341,247	1,667,549	1,930,321
Coral Community Charter School	676,975	841,671	974,302
Corrales International Charter School	786,805	978,221	1,132,368
Cottonwood Classical Preparatory School	2,036,747	2,532,253	2,931,284
Digital Arts & Technology Academy	1,023,137	1,272,049	1,472,498
East Mountain High School	1,236,445	1,537,251	1,779,491
El Camino Real Academy	1,141,171	1,418,799	1,642,372
Gilbert L. Sena High School	632,778	786,723	910,694
Gordon Bernell Charter School	809,565	1,006,518	1,165,125
Health Leadership High School	684,915	851,543	985,728
International School at Mesa del Sol	1,325,632	1,648,136	1,907,849
La Academia de Esperanza	1,169,489	1,454,006	1,683,127
Los Puentes Charter School	635,954	790,671	915,265
Mark Armijo Academy	711,380	884,446	1,023,816
Montessori of the Rio Grande	712,967	886,420	1,026,102
Mountain Mahogany Community School	789,187	981,182	1,135,796
Native American Community Academy	1,798,827	2,236,451	2,588,869
New Mexico International School	1,063,100	1,321,734	1,530,011
Public Academy for Performing Arts	1,265,292	1,573,116	1,821,007
Robert F. Kennedy Charter School	1,348,128	1,676,104	1,940,224
Siembra Leadership High School	659,508	819,955	949,163
South Valley Academy	2,313,042	2,875,766	3,328,927
Tech Leadership High School	823,327	1,023,628	1,184,930
The New America School	726,200	902,872	1,045,146
Voz Collegiate Preparatory School	44,197	54,949	63,608
William and Josephine Dorn Community School	222,041	276,060	319,562

OPEB Plan Fiduciary Net Position

Detailed information about the OPEB plan's fiduciary net position is available in NMRHCA's audited financial statements for the year ended June 30, 2021.

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Note 22 – Component Unit – Charter Schools (continued)

A summary of rental expense occurring for the year ended June 30 and the component units have entered into various leasing agreements for equipment and facilities. The minimum remaining non-cancelable lease obligations are the following as of June 30, 2022:

Charter School	2022	2023	2024	2025
ACE Leadership High School	\$ 37,172	\$ -	\$ -	\$ -
Albuquerque Charter Academy	642	-	-	-
Alb. Talent Development Academy	272,518	267,653	-	-
Alice King Community School	4,927	-	-	-
Christine Duncan Heritage Academy	430,545	-	-	-
Cien Aguas International School	468,681	-	-	-
Coral Community Charter School	-	-	-	-
Corrales International Charter School	-	-	-	-
Cottonwood Classical Preparatory School	376,154	2,230	648	270
Digital Arts & Technology Academy	494,049	246,648	338	-
East Mountain High School	17,717	-	-	-
El Camino Real Academy	23,338	16,929	16,929	-
Gilbert L. Sena Charter High School	5,688	-	-	-
Gordon Bernell Charter School	61,514	-	-	-
Health Leadership High School	1,400	-	-	-
International School at Mesa del Sol	219,758	1,940	128	-
La Academia de Esperanza	71,042	-	-	-
Los Puentes Charter School	-	-	-	-
Mark Armijo Academy	175,942	-	-	-
Montessori of the Rio Grande	166,527	168,601	-	-
Mountain Mahogany Community School	1,764	935	-	-
Native American Community Academy	81,499	-	-	-
New Mexico International School	-	-	-	-
Public Academy for Performing Arts	339,579	-	-	-
Robert F. Kennedy Charter School	290,634	55,409	587	-
Siembra Leadership High School	-	-	-	-
South Valley Academy	972,440	480,724	-	-
Tech Leadership High School	107	1,606	1,606	-
The New America School	-	-	-	-
Voz Collegiate Preparatory School	-	-	-	-
William and Josephine Dorn Community School	39,600	-	-	-

During the year ended June 30, 2022, the following changes occurred in the accrued compensated absences reported in the component units:

Charter School	Balance 6/30/21	Additions	Deletions	Balance 6/30/22	Current Portion
Alice King Community School	\$ 5,000	\$ -	\$ (5,000)	\$ -	\$ -
Digital Arts & Technology Academy	29,732	-	(12,623)	17,109	17,109
Gordon Bernell Charter School	46,157	9,031	-	55,188	55,188
International School at Mesa del Sol	114,708	-	(30,911)	83,797	83,797
Mark Armijo Academy	9,264	-	(656)	8,608	8,608
New Mexico International School	8,800	-	(1,850)	6,950	6,950
Public Academy for Performing Arts	8,252	124	-	8,376	8,376
Robert F. Kennedy Charter School	31,658	6,310	-	37,968	37,968
Siembra Leadership High School	9,500	-	(1,430)	8,070	8,070
South Valley Academy	13,738	-	(3,585)	10,153	10,153
William and Josephine Dorn Community School	-	-	-	-	-

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Note 22 – Component Unit – Charter Schools (continued)

G. Long-Term Debt

During the year ended June 30, 2022, the following changes occurred in the liability reported in the component units:

ACE Leadership High School

The School leases the school building directly from the Foundation. The lease began on June 30, 2021 and ends on April 1, 2031. The lease requires payments of \$38,359 per month. The Foundation has the following lessor receivable and deferred inflow on the Statement of Net Position.

On October 1, 2021, the School entered into a 5-year copier lease. The School requires payments of \$1,393.

The changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease purchase- Building	\$ -	\$ 2,534,835	\$ -	\$ (351,149)	\$ 2,183,686	\$ 361,094
Lease payable -Copier lease	-	72,377	-	(9,837)	62,540	13,318
	<u>\$ -</u>	<u>\$ 2,607,212</u>	<u>\$ -</u>	<u>\$ (360,986)</u>	<u>\$ 2,246,226</u>	<u>\$ 374,412</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 374,412	\$ 106,166	\$ 480,578
2024	397,102	86,468	483,570
2025	421,135	65,577	486,712
2026	446,589	43,421	490,010
2027	325,225	21,039	346,264
2028-2032	281,763	29,687	311,450
	<u>\$ 2,246,226</u>	<u>\$ 352,358</u>	<u>\$ 2,598,584</u>

Albuquerque Charter Academy

On July 24, 2020, the School entered into a 25-year building lease agreement with an unrelated party with the option to purchase. The agreement includes a purchase price of \$2,809,255, which required an initial payment of \$350,000. This agreement requires monthly payments beginning January 1, 2021 of \$17,625 and a best effort \$175,125 payment on January 1 each year. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

On January 15, 2021, the School entered into a 2-year copier lease for \$32,810 with the option to purchase. The School requires payments of \$1,100 for the first 4 payments and \$1,309 for the remaining payments.

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Note 22 – Component Unit – Charter Schools (continued)

The changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Note payable- Bank	\$ 2,442,350	\$ -	\$ -	\$ (197,359)	\$ 2,244,991	\$ 212,194
Lease payable - Equipment lease	-	24,642	-	(12,651)	11,991	9,157
	<u>\$ 2,442,350</u>	<u>\$ 24,642</u>	<u>\$ -</u>	<u>\$ (210,010)</u>	<u>\$ 2,256,982</u>	<u>\$ 221,351</u>

At June 30, 2022, the future minimum payments under debt are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 221,351	\$ 156,912	\$ 378,263
2024	228,145	140,853	368,998
2025	245,295	123,702	368,997
2026	263,735	105,263	368,998
2027	283,560	85,438	368,998
2028-2032	<u>1,014,896</u>	<u>122,120</u>	<u>1,137,016</u>
	<u>\$ 2,256,982</u>	<u>\$ 734,288</u>	<u>\$ 2,991,270</u>

Alice King Community Academy

The School leases the school building directly from the Foundation. There are no residual value guarantees included in the measurement of School's lease liability nor recognized as an expense for the year ended June 30, 2022. The School does not have any commitments that were incurred at the commencement of the leases. The Foundation has the following lessor receivable and deferred inflow on the Statement of Net Position. For the year ending June 30, 2022, the Foundation recognized \$107,151 in lease revenue released from Deferred Inflows of Resources related to the school building. The Foundation recognized interest revenue of \$424,639 for the year ending June 30, 2022. No inflows of resources were recognized in the year related to termination penalties or residual value guarantees during the year.

The School has the following right-to-use assets included in capital assets on the Statement of Net Position:

Component Unit	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Building lease	\$ -	\$ 6,725,266	\$ -	\$ (107,151)	\$ 6,618,115	\$ 113,575
	<u>\$ -</u>	<u>\$ 6,725,266</u>	<u>\$ -</u>	<u>\$ (107,151)</u>	<u>\$ 6,618,115</u>	<u>\$ 113,575</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments on the bond are:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023	\$ 113,575	\$ 417,639	\$ 531,214
2024	121,272	410,194	531,466
2025	126,906	402,319	529,225
2026	133,762	394,050	527,812
2027	145,928	385,192	531,120
2028-2032	886,598	1,769,639	2,656,237
2033-2037	1,201,053	1,440,737	2,641,790
2038-2042	1,643,608	992,962	2,636,570
2043-2047	2,245,413	381,084	2,626,497
	<u>\$ 6,618,115</u>	<u>\$ 6,593,816</u>	<u>\$ 13,211,931</u>

Christine Duncan Charter School

On December 15, 2021, the School entered into a 5-year copier lease for \$46,544. The lease requires payments of \$870.

The changes to lease payable are as follows:

	<u>Balance June 30, 2021</u>	<u>GASB 87 Implementation</u>	<u>Additions</u>	<u>Deletions</u>	<u>Balance June 30, 2022</u>	<u>Amounts Due Within One Year</u>
Primary Government						
Lease payable - Copier lease	\$ -	\$ 46,544	\$ -	\$ (4,190)	\$ 42,354	\$ 8,672
	<u>\$ -</u>	<u>\$ 46,544</u>	<u>\$ -</u>	<u>\$ (4,190)</u>	<u>\$ 42,354</u>	<u>\$ 8,672</u>

At June 30, 2022, the future minimum payments are:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023	\$ 8,672	\$ 1,763	\$ 10,435
2024	9,079	1,357	10,436
2025	9,504	931	10,435
2026	9,950	585	10,535
2027	5,149	69	5,218
	<u>\$ 42,354</u>	<u>\$ 4,705</u>	<u>\$ 47,059</u>

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Notes to the Financial Statements
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Note 22 – Component Unit – Charter Schools (continued)

Cien Aguas

The School entered into a lease purchase agreement on October 30, 2020 with an unrelated party with an option to purchase. The agreement includes a purchase price of \$7,522,219, which included a \$1,479,444 cash payment upon execution of the agreement. The agreement requires monthly payments of \$40,856 including interest of 7.10%. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

On July 1, 2019, the School entered into a 5-year copier lease. The lease requires payments of \$892.

The changes to long-term debt and capital leases are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Building lease	\$ -	\$ 6,012,525	\$ -	\$ (29,767)	\$ 5,982,758	\$ 61,582
Lease payable - Postage machine	-	31,188	-	(9,881)	21,307	9,970
	<u>\$ -</u>	<u>\$ 6,043,713</u>	<u>\$ -</u>	<u>\$ (39,648)</u>	<u>\$ 6,004,065</u>	<u>\$ 71,552</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 71,552	\$ 429,241	\$ 500,793
2024	75,433	425,510	500,943
2025	71,888	419,282	491,170
2026	76,283	413,997	490,280
2027	81,959	408,320	490,279
2028-2032	508,344	1,943,054	2,451,398
2033-2037	716,346	1,694,196	2,410,542
2038-2042	1,057,234	1,435,020	2,492,254
2043-2047	1,467,947	942,594	2,410,541
2048-2052	1,877,079	329,167	2,206,246
	<u>\$ 6,004,065</u>	<u>\$ 8,440,381</u>	<u>\$ 14,444,446</u>

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Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Coral Community Charter School

The School entered into a seven-year building lease agreement with an unrelated party with an option to purchase. The agreement includes a purchase price of \$1,427,976, which included a \$300,000 payment upon execution of the agreement. The agreement requires monthly payments including interest of \$11,449 and an additional annual payment of \$100,000 on December 1 of each year. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

On January 15, 2021, the School entered into a 2-year copier lease for \$32,810 with the option to purchase. The School requires payments of \$1,100 for the first 4 payments and \$1,309 for the remaining payments.

The changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Note payable	\$ 1,081,419	\$ -	\$ -	\$ (187,778)	\$ 893,641	\$ 197,385
Lease payable - Postage machine	-	579	-	(324)	255	255
Lease payable - Copier	-	16,712	-	(3,872)	12,840	4,026
	<u>\$ 1,081,419</u>	<u>\$ 17,291</u>	<u>\$ -</u>	<u>\$ (191,974)</u>	<u>\$ 906,736</u>	<u>\$ 201,666</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 201,666	\$ 40,669	\$ 242,335
2024	211,758	30,315	242,073
2025	222,637	38,576	261,213
2026	229,257	8,129	237,386
2027	41,416	377	41,793
	<u>\$ 906,734</u>	<u>\$ 118,066</u>	<u>\$ 1,024,800</u>

Corrales International School

The School entered into a building lease agreement on September 30, 2013 and ending on June 30, 2024 with an unrelated party. The agreement requires monthly payments of \$31,540. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

On January 1, 2021, the School entered into a 4-year copier lease. The lease requires payments of \$415.

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

The changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Building lease	\$ -	\$ 919,947	\$ -	\$ (347,089)	\$ 572,858	\$ 279,869
Lease payable - Copier lease	-	16,841	-	(4,364)	12,477	4,501
	<u>\$ -</u>	<u>\$ 936,788</u>	<u>\$ -</u>	<u>\$ (351,453)</u>	<u>\$ 585,335</u>	<u>\$ 284,370</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 284,370	\$ 20,934	\$ 305,304
2024	297,701	7,603	305,304
2025	3,264	56	3,320
	<u>\$ 585,335</u>	<u>\$ 28,593</u>	<u>\$ 613,928</u>

Cottonwood Classical Preparatory School

The School is a lessee for two noncancellable leases for office copiers and a building with lease terms through 2023 and 2039, respectively. The copier lease is with an unrelated third party, and the building lease is with the School's Foundation. The Foundation has recognized an accompanying lease receivable, and deferred inflow of resources on the Statement of Net Position.

The changes to long-term debt are as follows:

Component Unit	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Copier Lease	\$ -	\$ 11,758	\$ -	\$ (6,052)	5,706.00	\$ 5,706
Building Lease	-	19,620,596	-	(502,297)	19,118,299	885,618
	<u>\$ -</u>	<u>\$ 19,632,354</u>	<u>\$ -</u>	<u>\$ (508,349)</u>	<u>\$ 19,124,005</u>	<u>\$ 891,324</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023	\$ 891,324	\$ 664,484	\$ 1,555,808
2024	917,574	632,426	1,550,000
2025	950,683	599,317	1,550,000
2026	984,987	565,013	1,550,000
2027	1,020,529	529,471	1,550,000
2028-2032	5,682,310	2,067,691	7,750,001
2033-2037	6,784,195	965,805	7,750,000
2038-2042	1,892,403	45,095	1,937,498
	<u>\$ 19,124,005</u>	<u>\$ 6,069,302</u>	<u>\$ 25,193,307</u>

Digital Arts & Technology Academy

On July 1, 2021, the School entered into a copier lease ending on November 19, 2024. The lease requires payments of \$643.

The changes to lease payable are as follows:

<u>Primary Government</u>	<u>Balance June 30, 2021</u>	<u>GASB 87 Implementation</u>	<u>Additions</u>	<u>Deletions</u>	<u>Balance June 30, 2022</u>	<u>Amounts Due Within One Year</u>
Lease payable - Copier lease	\$ -	\$ 27,681	\$ -	\$ (7,973)	\$ 19,708	\$ 8,126
	<u>\$ -</u>	<u>\$ 27,681</u>	<u>\$ -</u>	<u>\$ (7,973)</u>	<u>\$ 19,708</u>	<u>\$ 8,126</u>

At June 30, 2022, the future minimum payments are:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023	\$ 8,126	\$ 80	\$ 8,206
2024	8,167	39	8,206
2025	3,415	4	3,419
	<u>\$ 19,708</u>	<u>\$ 123</u>	<u>\$ 19,831</u>

State of New Mexico
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Note 22 – Component Unit – Charter Schools (continued)

East Mountain High School and Foundation

On February 1, 2012, the School entered into a 15-year building lease agreement with the East Mountain High School Foundation. The lease purchase agreement between the School and the Foundation accrues interest at 5.5%. The date of maturity is expected in fiscal year 2026. Interest expense for the current fiscal year was \$88,715, and the current portion of long-term debt is \$321,669.

The School is a lessee for two noncancellable leases for office copiers with lease terms through 2027. There are no residual value guarantees included in the measurement of School's lease liability nor recognized as an expense for the year ended June 30, 2022. The School does not have any commitments that were incurred at the commencement of the leases.

The changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease to purchase	\$ 1,732,840	\$ -	\$ -	\$ (304,494)	\$ 1,428,346	\$ 321,669
Lease payable - Copier lease	-	-	79,529	(2,171)	77,358	15,679
	<u>\$ 1,732,840</u>	<u>\$ -</u>	<u>\$ 79,529</u>	<u>\$ (306,665)</u>	<u>\$ 1,505,704</u>	<u>\$ 337,348</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 321,669	\$ 70,531	\$ 392,200
2024	368,983	55,901	424,884
2025	360,628	31,572	392,200
2026	377,066	11,237	388,303
	<u>\$ 1,428,346</u>	<u>\$ 169,241</u>	<u>\$ 1,597,587</u>

El Camino Real Academy

The School entered into a 30-year building lease agreement with an unrelated party with option to purchase in May 2012 and requires monthly payments including interest of \$58,554. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

The School is a lessee for two noncancellable leases for office copiers and phone equipment with lease terms through 2026. There are no residual value guarantees included in the measurement of School's lease liability nor recognized as an expense for the year ended June 30, 2022. The School does not have any commitments that were incurred at the commencement of the leases.

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Changes to long-term debt and capital leases are as follow:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease to purchase	\$ 9,411,412	\$ -	\$ -	\$ (281,014)	\$ 9,130,398	\$ 294,045
Lease payable - Copier lease	-	77,575	-	(17,602)	59,973	19,595
Lease payable - Phone system lease	-	103,895	-	(19,584)	84,311	21,771
	<u>\$ 9,411,412</u>	<u>\$ 181,470</u>	<u>\$ -</u>	<u>\$ (318,200)</u>	<u>\$ 9,274,682</u>	<u>\$ 335,411</u>

At June 30, 2022, the future minimum payments under debt and capital leases are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 335,411	\$ 416,141	\$ 751,552
2024	354,609	399,878	754,487
2025	368,094	282,672	650,766
2026	346,725	365,893	712,618
2027	352,502	350,147	702,649
2028-2032	2,023,416	1,489,830	3,513,246
2033-2037	2,538,171	975,075	3,513,246
2038-2042	<u>2,955,754</u>	<u>330,617</u>	<u>3,286,371</u>
	<u>\$ 9,274,682</u>	<u>\$ 4,610,253</u>	<u>\$ 13,884,935</u>

Gilbert L. Sena High School

The Foundation sold the assets in December 2021 to an unrelated third-party. The third-party then entered into a lease purchase agreement on December 15, 2021 with the School for the same assets which include the land and the School building with an option to purchase that expires in December 2041. The total purchase price was \$2,350,000 with a cash payment of \$500,000. Monthly lease payments are \$14,875 a month with an interest rate of 7.475%.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Copier lease	\$ -	\$ -	\$ 15,085	\$ (1,617)	\$ 13,468	\$ 2,838
Note payable	-	-	1,850,000	(20,422)	1,829,578	43,202
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 1,865,085</u>	<u>\$ (22,039)</u>	<u>\$ 1,843,046</u>	<u>\$ 46,040</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023	\$ 46,040	\$ 135,663	\$ 181,703
2024	49,471	132,232	181,703
2025	53,160	128,543	181,703
2026	57,129	124,574	181,703
2027	59,792	120,310	180,102
2028-2032	365,952	526,548	892,500
2033-2037	531,171	361,329	892,500
2038-2042	680,331	191,747	872,078
	<u>\$ 1,843,046</u>	<u>\$ 1,720,946</u>	<u>\$ 3,563,992</u>

Gordon Bernell Charter School

The School entered into a five-year building lease agreement with an unrelated party with the option to purchase in March 2024 and requires monthly payments including interest of \$14,027. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

On June 30, 2021, the School entered into a 3-year copier lease ending on March 1, 2024. The lease requires payments of \$1,706

The changes to long-term debt are as follows:

<u>Primary Government</u>	<u>Balance June 30, 2021</u>	<u>GASB 87 Implementation</u>	<u>Additions</u>	<u>Deletions</u>	<u>Balance June 30, 2022</u>	<u>Amounts Due Within One Year</u>
Lease to purchase	\$ 417,089	\$ -	\$ -	\$ (141,847)	\$ 275,242	\$ 152,859
Lease payable - Copier lease	-	51,843	-	(17,889)	33,954	18,973
	<u>\$ 417,089</u>	<u>\$ 51,843</u>	<u>\$ -</u>	<u>\$ (159,736)</u>	<u>\$ 309,196</u>	<u>\$ 171,832</u>

At June 30, 2022, the future minimum payments under the capital lease are:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023	\$ 171,832	\$ 16,956	\$ 188,788
2024	137,364	4,227	141,591
	<u>\$ 309,196</u>	<u>\$ 21,183</u>	<u>\$ 330,379</u>

State of New Mexico
Albuquerque Municipal School District No. 12
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Note 22 – Component Unit – Charter Schools (continued)

Health Leadership High School

On May 5, 2017, the School entered into the third amendment for the building with an unrelated party which extends the lease through June 30, 2023. The School pays \$19,360 each month or \$232,320 a year. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

In September 2019, the School entered into a 63 month lease of a postage machine with a monthly payment of \$52. Additionally, in August 2021, the School entered into an 60 month lease agreement for a copier with a monthly payment of \$191 and a bargain purchase price of \$1.00 at the end of the lease.

Changes to capital leases are as follow:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Building lease	\$ -	\$ 450,069	\$ -	\$ (217,009)	\$ 233,060	\$ 233,060
Lase payable - Postage machine	-	664	-	(183)	481	184
Lease payable - Copier lease	-	-	9,971	(1,062)	8,909	1,820
	<u>\$ -</u>	<u>\$ 450,733</u>	<u>\$ 9,971</u>	<u>\$ (218,254)</u>	<u>\$ 242,450</u>	<u>\$ 235,064</u>

At June 30, 2022, the future minimum payments under capital leases are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 235,065	\$ 6,719	\$ 241,784
2024	2,125	379	2,504
2025	2,148	251	2,399
2026	2,170	125	2,295
2027	942	14	956
	<u>\$ 242,450</u>	<u>\$ 7,488</u>	<u>\$ 249,938</u>

International at Mesa del Sol

On January 14, 2022, the School entered into a 5-year copier lease. The lease requires payments of \$592.

The changes to lease payable are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Copier lease	\$ -	\$ 32,952	\$ -	\$ (2,562)	\$ 30,390	\$ 6,279
	<u>\$ -</u>	<u>\$ 32,952</u>	<u>\$ -</u>	<u>\$ (2,562)</u>	<u>\$ 30,390</u>	<u>\$ 6,279</u>

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Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 6,279	\$ 826	\$ 7,105
2024	6,470	635	7,105
2025	6,667	438	7,105
2026	6,870	235	7,105
2027	4,104	41	4,145
	<u>\$ 30,390</u>	<u>\$ 2,175</u>	<u>\$ 32,565</u>

La Academia de Esperanza

The School entered into a lease purchase agreement on August 1, 2021 with an unrelated party with an option to purchase. The agreement includes a purchase price of \$4,250,000, which included a \$2,200,000 cash payment upon execution of the agreement. The agreement requires monthly payments of \$17,685 including interest of 5.25% and a balloon payment of \$1,894,723 on August 1, 2024. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

The changes to long-term debt and capital leases are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease to purchase	\$ -	\$ -	\$ 2,200,000	\$ (90,629)	\$ 2,109,371	\$ 103,960
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 2,200,000</u>	<u>\$ (90,629)</u>	<u>\$ 2,109,371</u>	<u>\$ 103,960</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 103,960	\$ 108,264	\$ 212,224
2024	109,551	102,673	212,224
2025	1,895,860	16,548	1,912,408
	<u>\$ 2,109,371</u>	<u>\$ 227,485</u>	<u>\$ 2,336,856</u>

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Note 22 – Component Unit – Charter Schools (continued)

Los Puentes Charter School and Foundation

In November 2014, the Foundation purchased the building and land at the School's current location for \$2,840,000, in which the School entered into a separate lease purchase with the Foundation. On November 4, 2014, the Los Puentes Educational Foundation signed a 20-year promissory note with a bank in the amount of \$2,130,000, with monthly payments of \$15,367 and an interest rate of 2.25% over the index. On April 15, 2020, the lease was modified to include monthly principal payments of \$14,239. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments. On May 2, 2022, the lease was modified to decrease monthly payments from \$14,239 to \$13,032 for a term of 11 years.

Changes to long-term debt are as follow:

Primary Government	Restated Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease to purchase	\$ 1,432,434	\$ -	\$ -	\$ (60,213)	\$ 1,372,221	\$ 100,001
Lease payable - Copier lease	-	11,765	-	(2,687)	9,078	2,850
	<u>\$ 1,432,434</u>	<u>\$ 11,765</u>	<u>\$ -</u>	<u>\$ (62,900)</u>	<u>\$ 1,381,299</u>	<u>\$ 102,851</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 102,851	\$ 56,845	\$ 159,696
2024	107,357	52,339	159,696
2025	112,062	47,634	159,696
2026	113,574	42,813	156,387
2027	118,496	37,891	156,387
2028-2032	674,111	107,827	781,938
2033-2036	152,848	354	153,202
	<u>\$ 1,381,299</u>	<u>\$ 345,703</u>	<u>\$ 1,727,002</u>

Mark Armijo Charter School

The School leases the school building directly from the Foundation. There are no residual value guarantees included in the measurement of School's lease liability nor recognized as an expense for the year ended June 30, 2022. The School does not have any commitments that were incurred at the commencement of the leases. The Foundation has the following lessor receivable and deferred inflow on the Statement of Net Position.

The School is a lessee for one noncancellable leases for an office copier with lease terms through 2024.

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Lease to purchase	\$ -	\$ 1,086,485	\$ -	\$ (107,187)	\$ 979,298	\$ 52,020
Lease payable - Copier lease	-	15,744	-	(6,287)	9,457	6,592
	<u>\$ -</u>	<u>\$ 1,102,229</u>	<u>\$ -</u>	<u>\$ (113,474)</u>	<u>\$ 988,755</u>	<u>\$ 58,612</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 58,612	\$ 62,510	\$ 121,122
2024	58,369	58,682	117,051
2025	59,221	54,922	114,143
2026	63,187	50,955	114,142
2027	67,419	46,724	114,143
2028-2032	411,183	159,531	570,714
2033-2037	270,764	24,099	294,863
	<u>\$ 988,755</u>	<u>\$ 457,423</u>	<u>\$ 1,446,178</u>

Montessori of the Rio Grande Charter School

The School is a lessee for office copiers and phone equipment with lease terms through 2026. There are no residual value guarantees included in the measurement of the School's lease liability nor recognized as an expense for the year ended June 30, 2022. The School does not have any commitments that were incurred at the commencement of the leases.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Copier lease	\$ -	\$ 10,721	\$ -	\$ (1,712)	\$ 9,009	\$ 2,094
	<u>\$ -</u>	<u>\$ 10,721</u>	<u>\$ -</u>	<u>\$ (1,712)</u>	<u>\$ 9,009</u>	<u>\$ 2,094</u>

State of New Mexico
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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 2,094	\$ 161	\$ 2,255
2024	2,136	119	2,255
2025	2,179	76	2,255
2026	2,224	32	2,256
2027	376	1	377
	<u>\$ 9,009</u>	<u>\$ 388</u>	<u>\$ 9,397</u>

Mountain Mahogany Community School

The School entered into a 30-year building lease agreement with a related party with option to purchase in December 2013 with monthly payments including interest of \$8,833. The agreement includes a total of \$500,000 in early payments, to include \$200,000 paid upon entering the agreement. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease to purchase	\$ 1,436,685	\$ -	\$ -	\$ (35,685)	\$ 1,401,000	\$ 37,492
	<u>\$ 1,436,685</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ (35,685)</u>	<u>\$ 1,401,000</u>	<u>\$ 37,492</u>

At June 30, 2022, the future minimum payments are

:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 37,492	\$ 68,504	\$ 105,996
2024	39,391	66,605	105,996
2025	41,385	64,611	105,996
2026	43,481	62,515	105,996
2027	45,683	60,313	105,996
2028-2032	265,544	264,436	529,980
2033-2037	339,934	190,046	529,980
2038-2042	435,166	94,814	529,980
2043-2045	152,924	6,065	158,989
	<u>\$ 1,401,000</u>	<u>\$ 877,909</u>	<u>\$ 2,278,909</u>

State of New Mexico
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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Native American Charter School

The School leases various properties and equipment. On March 15, 2023, the School entered into the IMPI lease. The lease matures on March 1, 2038 and requires lease payments of \$33,269 per month. On October 1, 2019, the School entered into the IPCC lease. The lease matures on September 30, 2022 and requires monthly payments of \$5,539. On September August 5, 2019, the School entered into the CNM lease maturing on June 1, 2031. The lease requires monthly payments of \$14,866. On July 23, 2020, the School entered into a copier lease for 4 years. The lease requires monthly payments of \$2,131.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - IMPI lease	\$ -	\$ 5,495,679	\$ -	\$ (226,784)	\$ 5,268,895	\$ 223,304
Lease payable - IPCC lease	-	80,480	-	(64,015)	16,465	16,465
Lease payable - Copier lease	-	93,753	-	(21,388)	72,365	22,142
Lease payable - CNM Lease	-	1,376,038	-	(111,965)	1,264,073	111,649
	<u>\$ -</u>	<u>\$ 7,045,950</u>	<u>\$ -</u>	<u>\$ (424,152)</u>	<u>\$ 6,621,798</u>	<u>\$ 373,560</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 373,560	\$ 251,234	\$ 624,794
2024	387,864	235,283	623,147
2025	404,605	218,543	623,148
2026	398,124	201,586	599,710
2027	412,831	184,748	597,579
2028-2032	2,257,158	641,427	2,898,585
2033-2037	2,046,037	248,256	2,294,293
2038-2042	341,619	5,001	346,620
	<u>\$ 6,621,798</u>	<u>\$ 1,986,078</u>	<u>\$ 8,607,876</u>

New Mexico International School

The School entered into a 25-year building lease agreement with an unrelated party as a lease to purchase on April 2, 2019 and requires monthly payments including interest of \$41,172. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

On June 30, 2021, the School entered into a 2-year copier lease. The lease requires payments of \$385.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease to purchase	\$ 5,155,683	\$ -	\$ -	\$ (86,165)	\$ 5,069,518	\$ 93,317
Lease payable - Copier lease	-	8,753	-	(4,021)	4,732	4,350
	<u>\$ 5,155,683</u>	<u>\$ 8,753</u>	<u>\$ -</u>	<u>\$ (90,186)</u>	<u>\$ 5,074,250</u>	<u>\$ 97,667</u>

At June 30, 2022, the future minimum payments under the capital lease are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 97,667	\$ 402,456	\$ 500,123
2024	226,444	394,447	620,891
2025	244,825	375,681	620,506
2026	265,146	355,360	620,506
2027	287,153	333,353	620,506
2028-2032	1,835,376	1,267,154	3,102,530
2033-2037	2,117,639	385,110	2,502,749
	<u>\$ 5,074,250</u>	<u>\$ 3,513,560</u>	<u>\$ 8,587,810</u>

Public Academy for Performing Arts

On September 1, 2019, the School entered into a 4-year copier lease. The lease requires payments of \$548.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Copier lease	\$ -	\$ 19,048	\$ -	\$ (5,697)	\$ 13,351	\$ 5,948
	<u>\$ -</u>	<u>\$ 19,048</u>	<u>\$ -</u>	<u>\$ (5,697)</u>	<u>\$ 13,351</u>	<u>\$ 5,948</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments under the capital lease are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 5,948	\$ 638	\$ 6,586
2024	6,314	272	6,586
2025	1,089	8	1,097
	<u>\$ 13,351</u>	<u>\$ 918</u>	<u>\$ 14,269</u>

Siembra Leadership High School

The School leases various properties. On July 15, 2021, the School entered into the 304 central lease. The lease matures on January 14, 2023 and requires lease payments of \$1,750 per month. On May 31, 2016, the School entered into the 524 central lease. The lease matures on December 1, 2022 and requires monthly payments of \$10,095. On September 1, 2020, the School entered into the pacific office lease maturing on November 1, 2025. The lease requires monthly payments of \$250.

The School entered into a lease with the Foundation for the use of 606 and 610 central. The lease began on February 17, 2022 and matures on July 17, 2023. The lease requires payments of \$19,000 per month. The Foundation has recognized an accompanying lease receivable, and deferred inflow of resources on the Statement of Net Position

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - 304 Central	\$ -	\$ 30,806	\$ -	\$ (19,621)	\$ 11,185	\$ 11,185
Lase payable - 524 Central	-	191,562	-	(118,810)	72,752	72,752
Lase payable - Pacific office	-	12,168	-	(2,602)	9,566	2,666
Lease payable - SLHS Foundation	-	328,142	-	(89,438)	238,704	219,797
	<u>\$ -</u>	<u>\$ 562,678</u>	<u>\$ -</u>	<u>\$ (230,471)</u>	<u>\$ 332,207</u>	<u>\$ 306,400</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 306,400	\$ 9,707	\$ 316,107
2024	21,682	318	22,000
2025	2,888	112	3,000
2026	1,237	12	1,249
	<u>\$ 332,207</u>	<u>\$ 10,149</u>	<u>\$ 342,356</u>

State of New Mexico
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Note 22 – Component Unit – Charter Schools (continued)

South Valley High School

On November 30, 2020, the School entered into a 5-year copier lease. The lease requires payments of \$553.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Copier lease	\$ -	\$ 27,015	\$ -	\$ (5,785)	\$ 21,230	\$ 5,924
	<u>\$ -</u>	<u>\$ 27,015</u>	<u>\$ -</u>	<u>\$ (5,785)</u>	<u>\$ 21,230</u>	<u>\$ 5,924</u>

At June 30, 2022, the future minimum payments under the capital lease are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 5,924	\$ 723	\$ 6,647
2024	6,159	488	6,647
2025	6,404	243	6,647
2026	2,743	27	2,770
	<u>\$ 21,230</u>	<u>\$ 1,481</u>	<u>\$ 22,711</u>

Tech Leadership High School

On December 10, 2019, the School entered into the second amendment building lease with an unrelated party and requires monthly payments of \$16,667. The lease will expire on June 30, 2024. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

Changes to long-term debt and capital leases are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Building lease	\$ -	\$ 605,325	\$ -	\$ (196,518)	\$ 408,807	\$ 203,637
	<u>\$ -</u>	<u>\$ 605,325</u>	<u>\$ -</u>	<u>\$ (196,518)</u>	<u>\$ 408,807</u>	<u>\$ 203,637</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 203,637	\$ 2,367	\$ 206,004
2024	205,170	834	206,004
	<u>\$ 408,807</u>	<u>\$ 3,201</u>	<u>\$ 412,008</u>

The New America Charter School

The School entered into a building agreement with an unrelated party as a lease to purchase and requires monthly payments including interest of \$30,448. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments. At the time, the School entered to the note payable agreement, a land lease was signed with the School and the third party where the land for the school building was built. The School entered into the land lease on July 1, 2024. The current renewal period for the land lease is through August 31, 2024. The land lease requires monthly payments of \$9,870.

On April 15, 2020, the School entered into the copier lease for 5 years. The copier lease requires payments of \$289 per month. On August 9, 2021, the School entered into second a copier lease for 4 years. The copier lease requires payments of \$231 per month.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Note payable	\$ 1,655,223	\$ -	\$ -	\$ (188,244)	\$ 1,466,979	\$ 210,605
Lease payable - Copier De Lage	-	12,525	-	(3,130)	9,395	3,225
Lease payable - SW Copier Systems	-	-	11,083	(2,308)	8,775	2,770
Lease payable - Land	-	317,153	-	(90,398)	226,755	97,833
	<u>\$ 1,655,223</u>	<u>\$ 329,678</u>	<u>\$ 11,083</u>	<u>\$ (284,080)</u>	<u>\$ 1,711,904</u>	<u>\$ 314,433</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 314,433	\$ 197,991	\$ 512,424
2024	351,171	163,910	515,081
2025	288,699	130,069	418,768
2026	295,389	101,765	397,154
2027	329,962	70,451	400,413
2028-2029	132,250	35,416	167,666
	<u>\$ 1,711,904</u>	<u>\$ 699,602</u>	<u>\$ 2,411,506</u>

Voz Collegiate Preparatory School

On May 1, 2021, the School entered into the second amendment building lease with an unrelated party and requires monthly payments of \$12,425. The lease will expire on May 31, 2026. The agreement includes two five year options to renew the lease. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments.

On July 2, 2021, the School entered into a 60 month agreement for a copier with monthly payments of \$356.

Changes to long-term debt and capital leases are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Building lease	\$ -	\$ 714,046	\$ -	\$ (132,968)	\$ 581,078	\$ 138,026
Lease payable - Copier lease	-	-	18,097	(1,948)	16,149	3,486
	<u>\$ -</u>	<u>\$ 714,046</u>	<u>\$ 18,097</u>	<u>\$ (134,916)</u>	<u>\$ 597,227</u>	<u>\$ 141,512</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 141,512	\$ 14,706	\$ 156,218
2024	148,553	10,711	159,264
2025	155,852	6,519	162,371
2026	149,702	2,122	151,824
2027	1,608	11	1,619
	<u>\$ 597,227</u>	<u>\$ 34,069</u>	<u>\$ 631,296</u>

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Note 22 – Component Unit – Charter Schools (continued)

Williams and Josephine Dorn Community School

In February 2019, the School entered into a 60 month copier lease, which requires monthly payments of \$255. The lease can be terminated with a 60 day written notice.

Changes to long-term debt and capital leases are as follows:

Primary Government	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Copier lease	\$ -	\$ 8,085	\$ -	\$ (2,876)	\$ 5,209	\$ 2,943
	<u>\$ -</u>	<u>\$ 8,085</u>	<u>\$ -</u>	<u>\$ (2,876)</u>	<u>\$ 5,209</u>	<u>\$ 2,943</u>

At June 30, 2022, the future minimum payments under the capital lease are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 2,943	\$ 116	\$ 3,059
2024	<u>2,266</u>	<u>28</u>	<u>2,294</u>
	<u>\$ 5,209</u>	<u>\$ 144</u>	<u>\$ 5,353</u>

ACE Leadership High School Foundation

On February 4, 2014, the Foundation entered into a 20-year promissory note agreement with a bank in the amount of \$3,600,000. The note is secured by the School Building. The note has a maturity date of February 4, 2024 with a variable interest rate starting at 4.75%. Monthly payments on the note are \$23,394. Interest expense for the current fiscal year was \$101,942 and the current portion of long-term debt is \$157,087.

The changes to long-term debt are as follows:

Component Unit	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Bank loan	\$ 2,749,098	\$ -	\$ -	\$ (151,428)	\$ 2,597,670	\$ 157,087
	<u>\$ 2,749,098</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ (151,428)</u>	<u>\$ 2,597,670</u>	<u>\$ 157,087</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

ACE Leadership Foundation

Year Ended June 30,	Principal	Interest	Total
2023	\$ 157,087	\$ 123,641	\$ 280,728
2024	2,440,583	78,067	2,518,650
	<u>\$ 2,597,670</u>	<u>\$ 201,708</u>	<u>\$ 2,799,378</u>

Alice King Community School Foundation

The changes to long-term debt are as follows:

Component Unit	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Bond Issued, Series 2016	\$ 6,525,000	\$ -	\$ -	\$ (95,000)	\$ 6,430,000	\$ 100,000
	<u>\$ 6,525,000</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ (95,000)</u>	<u>\$ 6,430,000</u>	<u>\$ 100,000</u>

Series 2016 Bonds are expected to be liquidated by the Foundation from lease payments received from the School.

During the 2016 fiscal year, the Foundation applied for the financial assistance of the Public Finance Authority (PFA) in the financing of the cost of: acquiring, renovating, and equipping buildings located at 8100 Mountain Road NE and at 8009 Mountain Road Place NE in Albuquerque, New Mexico, for the use as an educational facility. The PFA issued Educational Facility Revenue Bonds Series 2016 Bonds in the amount of \$6,855,000, under the Indentured of Trust between the PFA and BOKF, NA (Trustee). The bond proceeds are held by the Trustee in restricted escrow accounts. The Foundation makes required payments to the Trustee, which then remits the required principal and interest payments to bondholders. The interest rate is 5.5% for fiscal year 16 through fiscal year 29 and increases to 6.5% thereafter. The date of maturity is July 1, 2047. Interest expense for the current fiscal year was \$415,492 and the current portion of long-term debt is \$100,000.

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments on the bond are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 100,000	\$ 409,915	\$ 509,915
2024	105,000	405,167	510,167
2025	110,000	397,926	507,926
2026	115,000	391,513	506,513
2027	120,000	384,822	504,822
2028-2032	730,000	1,844,234	2,574,234
2033-2037	990,000	1,576,468	2,566,468
2038-2042	1,350,000	1,204,044	2,554,044
2043-2047	1,855,000	697,251	2,552,251
2048-2051	955,000	62,937	1,017,937
	<u>\$ 6,430,000</u>	<u>\$ 7,374,277</u>	<u>\$ 13,804,277</u>

Barry Glass Educational Foundation

The Foundation entered into a lease purchase agreement in December 2019 to purchase the facility and land they were previously renting. The base rent schedule includes 7.5% interest for months one through thirty and 6.5% interest for months 31-180. As of June 30, 2022, the principal balance of the long-term debt was \$979,301.

Changes to long-term debt are as follows:

Primary Government	Balance June 30, 2021	GASB 87	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Lease payable - Lease to purchase	\$ -	\$ 1,086,485	\$ -	\$ (107,187)	\$ 979,298	\$ 52,020
Lease payable - Copier lease	-	15,744	-	(6,287)	9,457	6,592
	<u>\$ -</u>	<u>\$ 1,102,229</u>	<u>\$ -</u>	<u>\$ (113,474)</u>	<u>\$ 988,755</u>	<u>\$ 58,612</u>

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Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 58,612	\$ 62,510	\$ 121,122
2024	58,369	58,682	117,051
2025	59,221	54,922	114,143
2026	63,187	50,955	114,142
2027	67,419	46,724	114,143
2028-2032	411,183	159,531	570,714
2033-2037	270,764	24,099	294,863
	<u>\$ 988,755</u>	<u>\$ 457,423</u>	<u>\$ 1,446,178</u>

Cottonwood Classical Preparatory Foundation

The changes to long-term debt are as follows:

Component Unit	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Due Within One Year
Bond Issued, Series 2019A	\$ 10,295,000	\$ -	\$ -	\$ (10,295,000)	\$ -	\$ -
Bond Issued, Series 2019B	2,660,000	-	-	(2,660,000)	-	-
Bond Issued, Series 2021A	-	-	9,960,000	(125,000)	9,835,000	370,000
Bond Issued, Series 2021B	-	-	2,715,000	(35,000)	2,680,000	105,000
Bond Issued, Series 2021C	-	-	2,278,935	-	2,278,935	-
Bond Issued, Series 2021D	-	-	540,000	(54,996)	485,004	170,000
	<u>\$ 10,295,000</u>	<u>\$ -</u>	<u>\$ 15,493,935</u>	<u>\$ (13,169,996)</u>	<u>\$ 15,278,939</u>	<u>\$ 645,000</u>

During the 2022 fiscal year, the Foundation applied for the financial assistance of the Public Finance Authority (PFA) in the financing of the cost of: refunding the Series 2019A/B bond and for constructing, and/or reconstructing and/or renovating the charter school facility located at 7801 Jefferson Street N.E. Albuquerque, New Mexico, 87109, and an additional charter school facility located at the same address. The PFA issued Refunding Revenue Bonds Series 2021A and Series 2021B in the amount of \$9,960,000, and \$2,715,000, respectively, under the Indentured of Trust between the PFA and UBM Bank, n.a. (Trustee). The PFA also issued Charter School Improvement Revenue Bonds 2021C and 2021D in the amount of \$7,615,000 and \$540,000, respectively.

The advanced refunding resulted in the recognition of a deferred outflow of \$622,002 as of June 30, 2022. The deferred outflow will be amortized over the original life of the refunded Series 2019 A & B bonds.

Interest expense for the current fiscal year was \$369,621, and the current portion of long-term debt is \$645,000.

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Note 22 – Component Unit – Charter Schools (continued)

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 645,000	\$ 722,460	\$ 1,367,460
2024	635,000	688,078	1,323,078
2025	640,000	571,947	1,211,947
2026	700,000	455,294	1,155,294
2027	700,000	430,643	1,130,643
2028-2032	11,958,939	1,614,118	13,573,057
	<u>\$ 15,278,939</u>	<u>\$ 4,482,540</u>	<u>\$ 19,761,479</u>

Los Puentes Foundation

The Foundation refinanced the debt with a bank during the year. The loan with the bank is for a term of 7 years with a fixed interest rate of 3.15%. The loan requires payments of \$10,416 per month. The Foundation paid interest of \$64,657 during 2022.

Component Unit	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Bank Loan	\$ 1,171,703	\$ -	\$ -	\$ (1,171,703)	\$ -	\$ -
Bank Loan	-	-	1,158,002	(44,350)	1,113,652	90,746
	<u>\$ 1,171,703</u>	<u>\$ -</u>	<u>\$ 1,158,002</u>	<u>\$ (1,216,053)</u>	<u>\$ 1,113,652</u>	<u>\$ 90,746</u>

At June 30, 2022, the future minimum payments are:

Year Ended June 30,	Principal	Interest	Total
2023	\$ 90,746	\$ 34,249	\$ 124,995
2024	93,601	31,394	124,995
2025	96,720	25,140	121,860
2026	99,855	21,904	121,759
2027	103,091	21,904	124,995
2028-2032	629,639	26,629	656,268
	<u>\$ 1,113,652</u>	<u>\$ 161,220</u>	<u>\$ 1,274,872</u>

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Note 22 – Component Unit – Charter Schools (continued)

Siembra Foundation

The Foundation entered into a construction loan during 2022. Construction interest is 5.9% for the first 23 months until a mortgage is signed. As of year-end, the Foundation drew \$1,638,402 of construction costs.

Component Unit	Balance June 30, 2021	GASB 87 Implementation	Additions	Deletions	Balance June 30, 2022	Amounts Due Within One Year
Construction bank loan	\$ -	\$ -	\$ 1,638,402	\$ -	\$ 1,638,402	\$ -
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 1,638,402</u>	<u>\$ -</u>	<u>\$ 1,638,402</u>	<u>\$ -</u>

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Note 22 – Component Unit – Charter Schools (continued)

H. Retiree Health Care (RHC) Contributions

Summary of employer and employee RHC contributions for:

Charter School	2022		2021		2020	
	Employer	Employee	Employer	Employee	Employer	Employee
ACE Leadership High School	\$ 33,057	\$ 16,528	\$ 31,243	\$ 15,621	\$ 29,164	\$ 14,582
Albuquerque Charter Academy	40,661	20,331	39,094	19,547	38,033	19,016
Alb. Talent Development Academy	22,875	11,438	19,881	9,940	21,424	10,712
Alice King Community School	59,590	29,795	55,207	27,603	54,702	27,351
Christine Duncan Heritage Academy	56,458	28,229	48,863	24,431	49,259	24,630
Cien Aguas International School	54,808	27,404	48,952	24,476	44,652	22,326
Coral Community Charter School	30,768	15,384	24,709	12,355	23,977	11,988
Corrales International Charter School	29,593	14,797	28,717	14,358	27,814	13,907
Cottonwood Classical Preparatory School	92,061	46,030	74,335	37,168	66,558	33,279
Digital Arts & Technology Academy	40,729	20,364	37,337	18,668	34,059	17,029
East Mountain High School	50,727	25,363	45,123	22,562	43,658	21,829
El Camino Real Academy	45,158	22,579	41,653	20,826	41,578	20,789
Gilbert L. Sena Charter High School	21,342	10,671	23,093	11,546	22,146	11,073
Gordon Bernell Charter School	33,175	16,587	29,548	14,774	41,644	20,822
Health Leadership High School	26,075	13,037	24,999	12,499	25,905	12,953
International School at Mesa del Sol	46,784	23,392	48,381	24,191	36,373	18,186
La Academia de Esperanza	47,436	23,718	42,683	21,342	41,220	20,610
Los Puentes Charter School	28,397	14,173	23,241	11,621	24,028	12,014
Mark Armijo Academy	30,657	15,328	25,987	12,979	29,019	14,509
Montessori of the Rio Grande	31,173	15,586	26,023	13,011	27,051	13,526
Mountain Mahogany Community School	32,631	16,315	28,804	14,402	24,511	12,255
Native American Community Academy	79,065	39,532	66,038	33,019	65,857	32,929
New Mexico International School	47,269	23,635	38,794	19,397	34,036	17,018
Public Academy for Performing Arts	46,072	23,036	46,175	23,087	45,674	22,837
Robert F. Kennedy Charter School	54,890	26,445	49,200	24,600	47,896	23,948
Siembra Leadership High School	29,197	14,598	24,000	12,000	21,474	10,737
South Valley Academy	86,382	43,191	84,419	42,210	80,036	40,018
Tech Leadership High School	34,757	17,378	30,049	15,025	29,027	14,513
The New America School	23,731	11,866	26,506	13,253	25,687	12,843
Voz Collegiate Preparatory School	5,902	2,951	1,617	808	**	**
William and Josephine Dorn Community School	8,891	4,445	8,103	4,051	7,443	3,721

* Information was not reported under Albuquerque Public Schools in prior years.

**New school for 2021

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Note 22 – Component Unit – Charter Schools (continued)

I. New Mexico Educational Retirement (ERB) Board

Summary of employer and employee New Mexico Educational Retirement Board contributions for:

Charter School	For Wages Greater than \$24,000		For Wages Less than \$24,000		Return to Work Contributions Greater than \$24,000		Return to Work Contributions Less than \$24,000		Long-term Substitutes and PERA Greater than \$24,000		Long-term Substitutes and PERA Less than \$24,000	
	Employer 15.15%	Employee 10.70%	Employer 15.15%	Employee 7.90%	Employer 15.15%	Employee 10.70%	Employer 15.15%	Employee 7.90%	Employer 15.15%	Employee 10.70%	Employer 15.15%	Employee 10.70%
ACE Leadership High School	\$ 235,143	\$ 166,074	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 14,336	\$ -	\$ -	\$ -
Albuquerque Charter Academy	308,007	217,536	7,507	-	-	-	-	-	-	-	-	-
Alb. Talent Development Academy	171,842	121,367	867	452	-	-	569	297	-	-	-	-
Alice King Community School	365,506	258,146	80,594	42,026	-	-	3,381	1,763	-	-	-	-
Christine Duncan Heritage Academy	360,473	254,592	54,264	28,296	11,076	7,822	1,858	969	-	-	-	-
Cien Aguas International School	390,381	275,714	24,790	12,927	-	-	-	-	-	-	-	-
Coral Community Charter School	172,706	121,978	26,769	13,959	33,592	23,724	-	-	33,592	23,724	-	-
Corrales International Charter School	207,702	146,694	16,466	11,629	-	-	-	-	-	-	-	-
Cottonwood Classical Preparatory School	675,307	476,949	17,837	9,301	-	-	-	-	-	-	3,793	1,978
Digital Arts & Technology Academy	283,655	200,337	6,134	3,198	9,832	6,944	-	-	8,898	6,284	-	-
East Mountain High School	369,500	260,967	6,246	3,257	8,507	6,008	-	-	-	-	-	-
El Camino Real Academy	321,533	227,089	2,468	1,287	221	156	-	-	19,014	13,429	-	-
Gilbert. L. Sena Charter High School	155,035	109,496	6,631	3,457	-	-	-	-	-	-	-	-
Gordon Bernell Charter School	249,114	175,942	2,185	1,139	-	-	-	-	-	-	-	-
Health Leadership High School	197,518	139,502	-	-	-	-	-	-	-	-	-	-
International School at Mesa del Sol	327,720	231,459	7,771	4,052	16,010	11,308	-	-	1,192	842	-	-
La Academia de Esperanza	334,783	236,449	-	-	23,109	17,229	-	-	-	-	-	-
Los Puentes Charter School	189,119	133,569	5,056	2,636	7,697	5,436	-	-	-	-	12,856	1,453
Mark Armijo Academy	215,251	152,026	15,760	8,218	-	-	-	-	-	-	-	-
Montessori of the Rio Grande	201,249	142,136	16,541	8,625	15,812	11,167	2,534	1,321	-	-	-	-
Mountain Mahogany Community School	221,255	156,266	25,325	13,206	939	490	-	-	-	-	-	-
Native American Community Academy	523,795	369,941	34,396	17,936	23,506	16,602	-	-	8,231	5,813	9,465	4,936
New Mexico International School	324,295	229,040	30,587	15,949	-	-	3,245	1,692	-	-	-	-
Public Academy for Performing Arts	326,453	230,564	8,504	4,434	5,647	3,988	1,993	1,039	-	-	-	-
Robert F. Kennedy Charter School	385,475	272,249	197	103	18,947	13,382	-	-	18,489	-	-	-
Siembra Leadership Academy	218,967	154,650	2,199	1,147	-	-	-	-	-	-	-	-
South Valley High School	627,971	443,517	227	119	21,970	15,517	450	235	4,044	-	42	22
Tech Leadership High School	263,281	185,948	-	-	-	-	-	-	-	-	-	-
The New America School	156,006	110,182	5,132	2,676	14,345	10,132	-	-	4,283	-	-	-
Voz Collegiate Preparatory School	41,274	29,151	3,435	1,791	-	-	-	-	-	-	-	-
William and Josephine Dorn Community School	60,567	42,777	6,779	3,535	-	-	-	-	-	-	-	-

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Note 22 – Component Unit – Charter Schools (continued)

J. Subsequent Events Related to Charter Schools

Health Leadership High School – The Governing Council approved the Lease Purchase Agreement (LPA) on November 9, 2022. The School closed on the LPA on November 14, 2022. A payment was made by the School in July 2022 for \$110,000 of Earnest money related to the development and LPA.

The New America School – The School's Charter was approved for fiscal year 2023 in October 2023.

Siembra High School – The School entered into a 7 year Lease Purchase Agreement with a third party on August 15, 2022 for a purchase price of \$966,000, down payment of \$190,000 and interest rate is 5%

K. Related Party Transactions

ACE Leadership High School – On March 25, 2014, the School entered into a 17-year building lease agreement with the ACE Leadership High School Foundation with an option to purchase. The agreement requires monthly payments of \$36,574, with an initial payment of \$575,000, a payment of \$106,000 on the 1st lease anniversary and a payment of \$103,000 on the 2nd lease anniversary. The lease includes a termination clause in the event the School does not have sufficient funds to make the lease payments. Total payments to the Foundation for the lease for fiscal year 2021 were \$457,638. Given the related party relationship, the principal portion of the capital lease is equal to the Foundation's note payable principal balance, excluding any additional payments made to the Foundation and not yet paid to the bank by the Foundation.

Ace Leadership High School Foundation – On October 31, 2022, the Foundation refinanced their Business Loan Agreement for the Building with New Mexico Bank & Trust (NMBT). At the time of refinancing, the existing debt had a current principal balance due of \$2,545,381. The refinance is for total principal of \$3,600,000 and matures October 28, 2037. At the time of closing, the Foundation made a payment of \$545,381 to principal. The interest rate changed from 4.750% fixed to floating at 1.800% over the 5 year FHLB Des Moines rate adjusting every 5 years until maturity. Interest rate floor is 4.000%.

Alice King Community School – It was noted that the Charter School has a foundation, and there were no significant transactions between the Charter School and Foundation aside from the \$43,633 monthly rental payment from the School to the Foundation.

Coral Community Charter School – It was noted that the Charter School has a foundation, and there were no significant transactions between the Charter School and Foundation.

Corrales International Charter School – It was noted that the Charter School has a foundation. The Foundation did not require an audit for the year ended June 30, 2022.

Cottonwood Classical Preparatory School – It is noted that the Charter School has a foundation where the primary focus is to provide supplemental funding to the School and hold the new educational facility. Rent payments of \$881,105 were paid from the School to the Foundation. There were no other significant related party transactions during fiscal year 2022.

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Note 22 – Component Unit – Charter Schools (continued)

Digital Arts and Technology Academy – During fiscal year 2014, the School entered into a lease agreement with APS. The initial term is one year, with options to extend annually for 20 years. During fiscal year 2014, APS entered into a lease purchase on the building which is subleased to the School. Payments to APS for the lease and maintenance totaled \$494,049 during fiscal year 2022.

East Mountain High School – It was noted that the Charter School has a foundation, and there were no significant transactions between the Charter School and Foundation aside from the \$32,683 monthly rental payment from the School to the Foundation and donations from the Foundation to the School.

El Camino Real Academy – It was noted that the Charter School has a foundation. The Foundation did not require an audit for the year ended June 30, 2022.

Gilbert L. Sena Charter High School – It was noted that the Charter School has a foundation, and there were no significant transactions between the Charter School and Foundation aside from the \$19,000 monthly rental payment from the School to the Foundation.

Gilbert L. Sena Foundation – The Foundation closed subsequent to year-end. All remaining cash balances were transferred to the School.

Gordon Bernell Charter School – It was noted that the Charter School has a foundation. The Foundation did not require an audit for the year ended June 30, 2022.

Health Leadership High School – It was noted that the Charter School has a foundation. The Foundation did not require an audit for the year ended June 30, 2022.

La Academia de Esperanza – It was noted that the Charter School has a foundation, and there were no significant transactions between the Charter School and Foundation aside from the \$26,578 average monthly rental payment from the School to the Foundation through August 2021. The Foundation did not require an audit for the year ended June 30, 2022.

Los Puentes Charter School – It is noted that the Charter School has a foundation where the primary focus is to provide supplemental funding to the School and hold the new educational facility. Rent payments of \$170,874 were paid from the School to the Foundation. There were no other significant related party transactions during fiscal year 2022.

Mark Armijo Academy – It was noted that the Charter School has a foundation, and there were no significant transactions between the Charter School and Foundation aside from the \$10,916 monthly rental payment from the School to the Foundation.

Montessori of the Rio Grande – Lease payments were paid to APS for the fiscal year totaling \$162,162. In addition, the School has an MOU with APS for the School facilities and, as part of the MOU, all HB-33 distributions to the School are paid to APS. It was also noted that the School has a Foundation and there were no significant transactions between the School and the Foundation.

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Note 22 – Component Unit – Charter Schools (continued)

Mountain Mahogany Charter School – It was also noted that the School has a foundation. The Foundation did not require an audit for the year ended June 30, 2022.

Native American Community Academy – It was noted that the Charter School has a foundation, where the primary focus is to provide supplemental funding to the School. The School received funding of \$1,185,413. There were no other significant related party transactions during fiscal year 2022.

New Mexico International School – It was noted that the Charter School has a foundation. The Foundation did not require an audit for the year ended June 30, 2022.

Public Academy for Performing Arts – It was noted that the Charter School has a foundation. The Foundation did not require an audit for the year ended June 30, 2022. It was noted that APS is a related party due to the MOU between APS and the School for lease payments. Lease payments were paid to APS for the fiscal year totaling \$339,579. In addition, as part of the MOU, all HB-33 distributions to the School are paid to APS. These totaled \$380,073 for the year ended June 30, 2022.

Robert F. Kennedy Charter School – Lease payments were paid to APS for the fiscal year totaling \$290,634. In addition, the School has an MOU with APS for the School facilities and, as part of the MOU, all public school capital outlay distributions to the School are paid to APS. These totaled \$402,314 for the year ended June 30, 2022.

South Valley Academy – Lease payments were paid to APS for the fiscal year totaling \$972,440. In addition, the School has an MOU with APS for the School facilities and, as part of the MOU, all HB-33 distributions and public school capital outlay distributions to the School are paid to APS. These totaled \$713,386 for the year ended June 30, 2022.

Voz Collegiate Preparatory School – It was noted that the Charter School has a foundation, where the primary focus is to provide supplemental funding to the School, which is \$1,172. There were no other significant related party transactions during fiscal year 2022.

L. Component Units of Charter Schools

The following Charter Schools maintained component units as follows:

Primary Government	Component Unit
ACE Leadership High School	ACE Leadership High School Foundation
Alice King Community School	Alice King Community School Foundation
Cottonwood Classical Preparatory School	Cottonwood Classical Preparatory School Foundation
East Mountain High School	East Mountain High School Foundation
Gilbert L. Sena Charter High School	Gilbert L. Sena Charter High School Foundation
Los Puentes Charter School	Los Puentes Charter School Foundation
Mark Armijo Charter School	Barry Glass Educational Foundation
Montessori of the Rio Grande	Friends of the Montessori Foundation
Native American Community Academy	Native American Community Academy Foundation
Siembra Leadership High School	Siembra Leadership High School Foundation
Voz Collegiate Preparatory School	Voz Collegiate Foundation

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These component units have been established to provide support to the School for various reasons including fundraising, acquiring and holding the real estate. The financial information is presented in a separate column to emphasize that the Foundations are legally separate from the School.

M. Other Required Individual Fund Disclosures

The following Charter Schools with inter-fund transactions as of June 30, 2022 are listed below. Fund which inter-fund transfers were affected or created due to cash overdrafts are represented.

ACE Leadership High School

	Due from Other Funds	Due to Other Funds
General	\$ 369,364	\$ -
Title I - IASA	-	58,130
Entitlement IDEA-B	-	14,001
Teacher/Principal Training & Recruiting	-	6,000
CARES Act	-	2,592
CRRSA ESSER II	-	18,800
CRRA-Social Emotional Learnings	-	11,248
USDE CRRSA ESSER II Air Quality	-	3,193
ARP ESSER III	-	81,772
REC/District Fiscal Agent	-	12,093
Community School Planning Grant	-	27,222
Career Technical Education Program (Pilot)	-	4,664
NM Schools COVID-19 Testing Program DOH	-	7,375
Public School Capital Outlay	-	39,922
Legislative Capital Outlay	-	46,340
Capital Improvements State SB-9	-	36,012
	<u>\$ 369,364</u>	<u>\$ 369,364</u>
Total	<u>\$ 369,364</u>	<u>\$ 369,364</u>

Albuquerque Charter Academy

	Due from Other Funds	Due to Other Funds
General	\$ 389,336	\$ -
Title I-IASA	-	9,879
Entitlement IDEA-B	-	5,147
Charter Schools	-	32,808
Teacher/Principal Training & Recruiting	-	16,110
ARPA ESSER III	-	276,292
NM Schools COVID-19 Testing Program DOH	-	49,100
	<u>\$ 389,336</u>	<u>\$ 389,336</u>
Total	<u>\$ 389,336</u>	<u>\$ 389,336</u>

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Note 22 – Component Unit – Charter Schools (continued)

Albuquerque Talent Development Academy

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 510,484	\$ -
Title I-IASA	-	107,259
IDEA-B Entitlement	-	28,568
English Language Acquisition	-	220
Teacher/Principal Training	-	2,411
CARES Act	-	184
CRRSA ESSER II	-	85,610
ARP ESSER III	-	176,291
GEAR Up	-	67,530
2012 GOB Public Schools Library Award	-	107
Public School Capital Outlay	-	42,304
	<u> </u>	<u> </u>
Total	<u><u>\$ 510,484</u></u>	<u><u>\$ 510,484</u></u>

Alice King Community School

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 269,787	\$ -
IDEA-B Entitlement	-	16,632
IDEA-B "Risk Pool"	-	99,181
English Language Acquisition	-	616
Teacher/Principal Training & Recruiting	-	17,993
CRRSA ESSER II	-	10,262
CRRA-Social Emotional Learnings	-	2,040
ARP ESSER III	-	78,085
2012 GOB Public Schools Library Award	-	8,441
NM Schools COVID-19 Testing Program DOH	-	36,537
	<u> </u>	<u> </u>
Total	<u><u>\$ 269,787</u></u>	<u><u>\$ 269,787</u></u>

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Note 22 – Component Unit – Charter Schools (continued)

Christine Duncan Heritage Academy

	Due from Other Funds	Due to Other Funds
General	\$ 574,256	\$ -
Student Activity	-	1,398
Title I IASA	-	93,579
IDEA-B Entitlement	-	1,291
Fresh Fruit and Vegetables	-	7,267
English Language Acquisition	-	1,782
Teacher/Principal Training	-	5,350
USDA 2010 Equipment Assistance Program	-	15,399
CARES, ESSER II	-	54,696
NM Schools COVID-19 Testing	-	58,251
GEAR-UP NM State	-	35,365
Elementary & Middle School Initiative	-	666
Pre-K Initiative	-	202,503
NM Grown FFV	-	1,755
Public School Capital Outlay	-	74,604
Capital Improvements SB-9	-	20,350
	<u>574,256</u>	<u>574,256</u>
Total	<u>\$ 574,256</u>	<u>\$ 574,256</u>

Cien Aguas International School

	Due from Other Funds	Due to Other Funds
General	\$ 282,879	\$ -
Title I IASA	-	64,764
Entitlement IDEA-B	-	13,690
Teacher Principal Training & Recruiting	-	3,807
CARES Act	-	1,352
CRRSA ESSER II/CARES Act II	-	53,201
REC/District Fiscal Agent	-	9,829
2012 GO Bond Student Library Fund	-	4,178
Legislative Capital Outlay	-	132,058
	<u>282,879</u>	<u>132,058</u>
Total	<u>\$ 282,879</u>	<u>\$ 282,879</u>

State of New Mexico
Albuquerque Municipal School District No. 12
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Note 22 – Component Unit – Charter Schools (continued)

Coral Community Charter School

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 68,137	\$ -
Title I IASA	-	611
Entitlement IDEA-B	-	2,167
Teacher/Principal Training & Recruiting	-	580
CRRSA ESSER II	-	11,069
ARP ESSER III	-	9,743
Pre-K Initiative	-	43,967
	<u> </u>	<u> </u>
Total	<u>\$ 68,137</u>	<u>\$ 68,137</u>

Corrales International

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 172,145	\$ -
Entitlement IDEA-B	-	5,956
Teacher/Principal Training & Recruiting	-	11,117
CRRSA ESSER II	-	27,416
USDE CRRSA ESSER II Air Quality	-	3,412
ARP ESSER III	-	34,453
Career Technical Education Program (Pilot)	-	118
NM Schools COVID-19 Testing Program DOH	-	42,415
Public School Capital Outlay	-	47,258
	<u> </u>	<u> </u>
Total	<u>\$ 172,145</u>	<u>\$ 172,145</u>

Cottonwood Classical Preparatory School

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 81,925	\$ -
Teacher/Principal Training & Recruiting	-	8,127
ARP ESSER III	-	63,966
NM Schools COVID-19 Testing Program DOH	-	9,832
	<u> </u>	<u> </u>
Total	<u>\$ 81,925</u>	<u>\$ 81,925</u>

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Note 22 – Component Unit – Charter Schools (continued)

Digital Arts and Technology Academy

	Due from Other Funds	Due to Other Funds
General	\$ 227,701	\$ -
Charter Schools	-	51,391
Teacher/Principal Training & Recruiting	-	3,727
CARES Act GEER Social Emotion	-	11,937
CRRSA ESSER II	-	28,343
USDE CRRSA ESSER II Air Quality	-	3,770
Legislative Capital Outlay	-	92,275
Capital Improvements State SB-9	-	36,258
	<u>\$ 227,701</u>	<u>\$ 227,701</u>
Total	<u>\$ 227,701</u>	<u>\$ 227,701</u>

El Camino Real Academy

	Due from Other Funds	Due to Other Funds
General	\$ 207,141	\$ -
Title I - IASA	-	15,927
Entitlement IDEA-B	-	6,842
Fresh Fruit and Vegetables	-	8,161
English Language Acquisition	-	2,900
Teacher/Principal Training and Recruiting	-	12,452
CRRSA Act, ESSER II	-	12,187
Air Quality 2	-	3,588
ARP ESSER II	-	82,283
2012 GO Library SB66	-	5,652
Open Science	-	6,800
NM Schools COVID-19 Testing Program DOH	-	50,349
	<u>\$ 207,141</u>	<u>\$ 207,141</u>
Total	<u>\$ 207,141</u>	<u>\$ 207,141</u>

East Mountain High School

	Due from Other Funds	Due to Other Funds
General	\$ 287,208	\$ -
IDEA-B Entitlement	-	5,700
Teacher/Principal Training & Recruiting	-	7,564
CRRSA ESSER II	-	47,762
ARP ESSER III	-	226,182
	<u>\$ 287,208</u>	<u>\$ 287,208</u>
Total	<u>\$ 287,208</u>	<u>\$ 287,208</u>

State of New Mexico
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Note 22 – Component Unit – Charter Schools (continued)

Gilbert L. Sena Charter High School

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 123,813	\$ -
Title I IASA	-	7,436
CARES Act	-	13,388
CRRSA ESSER II	-	66,450
USDE CRRSA ESSER II Air Quality	-	2,737
Legislative Capital Outlay	-	33,802
Total	<u>\$ 123,813</u>	<u>\$ 123,813</u>

Gordon Bernell

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 391,339	\$ -
IDEA-B Entitlement	-	15,768
English Language Acquisition	-	700
Teacher/Principal Training & Recruiting	-	1,992
Carl D Perkins Secondary	-	6,931
CRRSA ESSER II	-	53,795
USDE CRRSA ESSER II Air Quality	-	3,090
ESSER III Round 1 ALN - 84.425U	-	59,999
Emergency Connectivity Fund FCC	-	71,802
Community School Planning Grant	-	7,681
Indian Education Act	-	59,967
Career Technical Education Program (Pilot)	-	508
Adult Basic Education HED	-	50,916
Legislative Capital Outlay	-	58,190
Total	<u>\$ 391,339</u>	<u>\$ 391,339</u>

State of New Mexico
Albuquerque Municipal School District No. 12
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Note 22 – Component Unit – Charter Schools (continued)

Health Leadership High School

	Due from Other Funds	Due to Other Funds
General	\$ 219,115	\$ -
Title I ESEA	-	20,930
IDEA-B Entitlement	-	5,387
Teacher/Principal Training & Recruiting	-	1,303
Carl D Perkins Secondary	-	6,945
CRRSA, ESSER II	-	60,504
CRRSA SEL	-	3,841
Emergency Connectivity Fund FCC	-	63,546
Student Advisement Plan	-	18,686
NM Schools COVID-19 Test Project	-	16,182
Legislative Capital Outlay	-	21,791
	<u> </u>	<u> </u>
Total	<u><u>\$ 219,115</u></u>	<u><u>\$ 219,115</u></u>

International School at Mesa del Sol

	Due from Other Funds	Due to Other Funds
General	\$ 239,433	\$ -
Title I ESEA	-	25,130
Entitlement IDEA-B	-	344
Charter Schools	-	13
Teacher/Principal Training & Recruiting	-	8,931
CARES Act ESSER	-	4
CRRSA ESSER II	-	96,747
ARP ESSER III	-	638
REC/District Fiscal Agent	-	17,250
ABC Community Schools Partnerships	-	3,323
Pre-K Initiative	-	19,572
Legislative Capital Outlay	-	67,481
	<u> </u>	<u> </u>
Total	<u><u>\$ 239,433</u></u>	<u><u>\$ 239,433</u></u>

State of New Mexico
Albuquerque Municipal School District No. 12
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Note 22 – Component Unit – Charter Schools (continued)

La Academia de Esperanza

	Due from Other Funds	Due to Other Funds
General	\$ 145,897	\$ -
Title I IASA	-	111,726
Teacher/Principal Training & Recruiting	-	10,421
CRRSA ESSER II	-	23,750
Total	<u>\$ 145,897</u>	<u>\$ 145,897</u>

Los Puentes Charter School

	Due from Other Funds	Due to Other Funds
General	\$ 410,130	\$ -
Title I IASA	-	38,869
Entitlement IDEA-B	-	14,236
Teacher/Principal Training & Recruiting	-	5,915
Carl D Perkins Secondary	-	1,864
CRRSA ESSER II	-	40,022
CRRA-Social Emotional Learnings	-	3,830
USDE CRRSA ESSER II Air Quality	-	2,746
GEAR UP	-	104,814
Emergency Connectivity Fund FCC	-	51,935
Career Technical Education Program (Pilot)	-	2,901
NM Schools Covid-19 Testing Program DOH	-	29,880
City/County Grants	-	28,296
Public School Capital Outlay	-	49,927
Legislative Capital Outlay	-	34,895
Total	<u>\$ 410,130</u>	<u>\$ 410,130</u>

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Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Mark Armijo Academy

	Due from Other Funds	Due to Other Funds
General	\$ 299,492	\$ -
Title I-IASA	-	60,360
IDEA-B Entitlement	-	27,543
Teacher/Principal Training	-	8,227
CRRSA ESSER II	-	55,430
USDE CRRSA ESSER II Air Quality	-	4,172
ARP ESSER III	-	45,389
Community School Planning Grant	-	5,203
NM Grown FFV	-	1,500
Legislative Capital Outlay	-	89,311
Capital Improvements State SB-9	-	2,357
	<u>\$ 299,492</u>	<u>\$ 299,492</u>
Total	<u>\$ 299,492</u>	<u>\$ 299,492</u>

Montessori of the Rio Grande

	Due from Other Funds	Due to Other Funds
General	\$ 63,073	\$ -
Teacher/Principal Training & Recruiting	-	1,400
CRRSA ESSER II	-	22,902
ARP ESSER III	-	38,771
	<u>\$ 63,073</u>	<u>\$ 63,073</u>
Total	<u>\$ 63,073</u>	<u>\$ 63,073</u>

Mountain Mahogany Community School

	Due from Other Funds	Due to Other Funds
General	\$ 148,872	\$ -
HB-33 Capital Improvements	240,533	-
Title I-IASA	-	37,871
IDEA-B entitlement	-	21,328
Charter schools	-	9
Teacher principal training	-	3,275
CARES Act	-	56,684
US Department of Interior-Fish & Wildlife Service	-	97,146
Community schools implementation	-	112,966
Teacher and School Leader Incentive Pay	-	33,627
Public School Capital Outlay	-	26,499
	<u>\$ 389,405</u>	<u>\$ 389,405</u>
Total	<u>\$ 389,405</u>	<u>\$ 389,405</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Native American Charter Academy

	Due from Other Funds	Due to Other Funds
General	\$ 718,345	\$ -
Private Direct Grants	40,903	-
Title I IASA	-	38,473
Entitlement IDEA-B	-	89,751
Teacher/Principal Training	-	12,077
CARES Act	-	45,327
CRRSA ESSER II	-	213,375
ESSER III Round 1 ALN - 84.425U	-	15,898
Indian Education Act	-	73,994
Substance Abuse Ed Prev DOH	-	19,377
Indian Affairs Grant	-	4,542
Public School Capital Outlay	-	244,728
Capital Improvements State SB-9	-	1,706
Total	<u>\$ 759,248</u>	<u>\$ 759,248</u>

New Mexico International School

	Due from Other Funds	Due to Other Funds
General	\$ 734,538	\$ -
IDEA-B Entitlement	-	-
Charter Schools	-	53,792
Teacher/Principal Training & Recruiting	-	2,440
CRRSA ESSER II	-	219,216
ARP ESSER III	-	58,230
Title XIX Medicaid 3/12 Years	-	657
Emergency Connectivity Fund FCC	-	140,858
Private Direct Grants	-	1,744
Legislative Capital Outlay	-	257,601
Total	<u>\$ 734,538</u>	<u>\$ 734,538</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Public Academy for Performing Arts

	Due from Other Funds	Due to Other Funds
General	\$ 46,064	\$ -
Entitlement IDEA-B	-	12,090
Teacher/Principal Training & Recruiting	-	9,791
ARP ESSER III	-	20,253
2012 GOB Public Schools Library Award	-	3,930
	<u> </u>	<u> </u>
Total	<u><u>\$ 46,064</u></u>	<u><u>\$ 46,064</u></u>

Robert F. Kennedy Charter School

	Due from Other Funds	Due to Other Funds
General	\$ 555,134	\$ -
Title I IASA	-	60,696
Entitlement IDEA-B	-	910
English Language Acquisition	-	1,768
Teacher/Principal Training	-	5,001
CARES Act	-	10,000
CRRSA ESSER II	-	23,104
ESSER III Round 2 84.425U	-	49,752
ABC Community Schools Partnership	-	1,602
Emergency Connectivity	-	129,983
Community Schools Implementation	-	44,439
Open Sci Ed Expansion	-	1,665
CTE Pilot	-	24,982
Youth Conservation Corp	-	21,766
Public School Capital Outlay	-	62,313
Legislative Capital Outlay	-	116,442
Capital Improvements SB-9 (State)	-	711
	<u> </u>	<u> </u>
Total	<u><u>\$ 555,134</u></u>	<u><u>\$ 555,134</u></u>

State of New Mexico
Albuquerque Municipal School District No. 12
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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Siembra Leadership High School

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 303,759	\$ -
Title I - IASA	-	69,573
Entitlement IDEA-B	-	13,321
Carl D Perkins Secondary	-	396
CRRSA ESSER II	-	14,092
CRRSA-Social Emotional Learnings	-	6,000
USDE CRRSA ESSER II Air Quality	-	3,005
ARP ESSER III	-	159,034
REC/District Fiscal Agent	-	2,411
Career Technical Education Program (Pilot)	-	3,988
NM Schools Covid-19 Testing Program DOH	-	390
Public School Capital Outlay	-	31,549
	<u>\$ 303,759</u>	<u>\$ 303,759</u>
Total	<u>\$ 303,759</u>	<u>\$ 303,759</u>

South Valley Academy

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 604,068	\$ -
Title I - IASA	-	152,409
IDEA-B Entitlement	-	62,189
Teacher/Principal Training & Recruiting	-	8,867
CRRSA ESSER II	-	158,467
ARP ESSER III	-	46,545
NM Schools Covid-19 Testing Program DOH	-	19,662
Legislative Capital Outlay	-	155,929
	<u>\$ 604,068</u>	<u>\$ 604,068</u>
Total	<u>\$ 604,068</u>	<u>\$ 604,068</u>

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Tech Leadership High School

	Due from Other Funds	Due to Other Funds
General	\$ 428,874	\$ -
Title I - IASA	-	19,129
IDEA-B Entitlement	-	16,392
Teacher/Principal Training	-	8,628
Carl D Perkins Secondary	-	2,824
CARE Act GEERF Social Emotional Learning	-	5,616
CRRSA ESSER II	-	98,828
ARP ESSER III	-	273,080
Career & Technical Education	-	4,377
	<u>\$ 428,874</u>	<u>\$ 428,874</u>
Total	<u>\$ 428,874</u>	<u>\$ 428,874</u>

The New America School

	Due from Other Funds	Due to Other Funds
General	\$ 138,177	\$ -
Title I IASA	-	12,729
CARES Act	-	21
CRRSA ESSER II	-	59,786
USDE CRRSA ESSER II Air Quality	-	4,795
Emergency Connectivity Fund FCC	-	56,596
Career Technical Education Program (Pilot)	-	819
Capital Improvements State SB-9	-	3,431
	<u>\$ 138,177</u>	<u>\$ 138,177</u>
Total	<u>\$ 138,177</u>	<u>\$ 138,177</u>

Voz Collegiate Preparatory School

	Due from Other Funds	Due to Other Funds
General	\$ 125,923	\$ -
Charter Schools	49,487	-
Title I - IASA	-	19,880
Charter Schools	-	128,582
CRRSA, ESSER III	-	16,447
NM Schools COVID-19 Testing Program	-	10,501
	<u>\$ 175,410</u>	<u>\$ 175,410</u>
Total	<u>\$ 175,410</u>	<u>\$ 175,410</u>

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

William and Josephine Dorn Community School

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
General	\$ 98,983	\$ -
Cafeteria	-	2,015
Title I IASA	-	39,069
Entitlement IDEA-B	-	3,828
Teacher/Principal Training	-	289
CARES Act	-	140
CARES Act ESSER II	-	15,902
USDE CRRSA ESSER II Air Quality	-	2,121
APRA ESSER III	-	20,100
REC/District Fiscal Agent	-	7,839
Emergency Connectivity Fund FCC	-	919
Public School Capital Outlay	-	6,761
Total	<u>\$ 98,983</u>	<u>\$ 98,983</u>

State of New Mexico
Albuquerque Municipal School District No. 12
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Note 22 – Component Unit – Charter Schools (continued)

The following Charter Schools with funds exceeding approved budgetary authority as of June 30, 2022 are listed below.

Charter School	Excess of Expenditures Over Appropriations
ACE Leadership High School	No
Albuquerque Charter Academy	No
Alb. Talent Development Academy	
Fund 28211	\$ (1,720)
Alice King Community School	No
Cien Aguas International School	No
Coral Community Charter School	No
Corrales International Charter School	No
Cottonwood Classical Preparatory School	No
Digital Arts & Technology Academy	No
East Mountain High School	No
El Camino Real Academy	No
Gilbert L. Sena Charter High School	No
Gordon Bernell Charter School	
Fund 24106	\$ (1,514)
Health Leadership High School	No
International School at Mesa del Sol	No
La Academia de Esperanza	No
Fund 28190	\$ (10,000)
Fund 29102	\$ (1,575)
Los Puentes Charter School	No
Mark Armijo Academy	No
Montessori of the Rio Grande	No
Mountain Mahogany Community School	
Fund 11000	\$ (138,176)
Native American Community Academy	
Fund 29102	\$ (16,000)
New Mexico International School	No
Public Academy for Performing Arts	No
Robert F. Kennedy Charter School	No
Siembra Leadership Academy	No
South Valley High School	No
Tech Leadership High School	No
The New America School	No
Voz Collegiate Preparatory School	No
William and Josephine Dorn Community School	No

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June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

The following Charter Schools with funds reporting a deficit fund balance as of June 30, 2022 are listed below.

Charter School	Deficit Fund Balance
ACE Leadership High School	
Fund 26107	\$ (2,228)
Fund 27126	\$ (1,581)
Albuquerque Charter Academy	
Fund 24330	\$ (600)
Alb. Talent Development Academy	None
Alice King Community School	None
Christine Duncan Heritage Academy	
Fund 24153	\$ (1,782)
Fund 26177	\$ (625)
Fund 28211	\$ (58,300)
Fund 31700	\$ (20,350)
Cien Aguas International School	
Fund 24101	\$ (2,762)
Fund 24106	\$ (8)
Fund 24154	\$ (84)
Coral Community Charter School	None
Corrales International Charter School	None
Cottonwood Classical Preparatory School	
Fund 27107	\$ (4,938)
Fund 28211	\$ (19,562)
Digital Arts & Technology Academy	
Fund 24146	\$ (207)
East Mountain High School	None
El Camino Real Academy	
Fund 24330	\$ (559)
Gilbert. L. Sena Charter High School	None
Fund 24308	\$ (513)
Fund 24316	\$ (2,737)
Gordon Bernell Charter School	None
Health Leadership High School	
Fund 24309	\$ (3,168)
International School at Mesa del Sol	
Fund 24101	\$ (2,533)
Fund 27149	\$ (7,565)
La Academia de Esperanza	None
Los Puentes Charter School	None
Fund 26222	\$ (51,935)
Mark Armijo Academy	None
Montessori of the Rio Grande	None
Mountain Mahogany Community School	
Fund 11000	\$ (101,894)

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Note 22 – Component Unit – Charter Schools (continued)

Charter School	Deficit Fund Balance
Native American Community Academy	
Fund 24308	\$ (23,805)
Fund 24101	\$ (5,250)
Fund 24154	\$ (5,919)
Fund 25341	\$ (400)
Fund 28202	\$ (4,542)
New Mexico International School	
Fund 24153	\$ (657)
Public Academy for Performing Arts	None
Robert F. Kennedy Charter School	
Fund 24106	\$ (34)
Fund 24154	\$ (1,067)
Siembra Leadership Academy	None
South Valley High School	None
Tech Leadership High School	None
The New America School	None
Voz Collegiate Preparatory School	None
William and Josephine Dorn Community School	None

N. Correction of an Error-Coral Community Charter School

The accompanying financial statements include the impact of prior period adjustments related Coral Community Charter School related to an incorrect accrual adjustment. An accounts payable was incorrectly recognized when the cash was already paid to the vendor. As a result, it was determined for the year ended June 30, 2021, net position for the Coral Community Charter School was understated by \$24,369. The 2021 impact to the change in net position was an overstatement of \$24,369. Accordingly, the cumulative effect of the correction is recorded at the beginning of the year in the financial statements as detailed below:

	Governmental Activities	Governmental Funds
Net deficit, June 30, 2021, as previously reported	\$ (4,504,471)	\$ (24,369)
Cumulative effect of adjustment	24,369	24,369
Net deficit, June 30, 2021, as restated	\$ (4,480,102)	\$ -

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Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Correction of an Error-Los Puentes Charter School & Foundation

The accompanying financial statements include the impact of prior period adjustments related Los Puentes Charter School and Foundation related to amounts recorded related to the underlying lease purchase agreement between the School and Foundation. As a result, it was determined for the year ended June 30, 2021, net position for the Los Puentes Charter School was overstated by \$279,959. The 2021 impact to the change in net position was an understatement of \$20,163. For the year ended June 30, 2021, net position for the Los Puentes Foundation was understated by \$260,731. The 2021 impact to the change in net position was an understatement of \$20,163. Accordingly, the cumulative effect of the correction is recorded at the beginning of the year in the financial statements as detailed below:

	Governmental Activities-School	Governmental Activities-Foundation
Net deficit, June 30, 2021, as previously reported	\$ (3,413,587)	\$ 103,603
Cumulative effect of adjustment	<u>(279,959)</u>	<u>260,731</u>
Net deficit, June 30, 2021, as restated	<u><u>\$ (3,693,546)</u></u>	<u><u>\$ 364,334</u></u>

O. Joint Power Agreements

Various Charter Schools have joint powers agreements with the Cooperative Educational Services (CES) and ACES Cooperative Accounting Services (ACES) for various goods and services. The agreements can be terminated by giving a 30-day written notice.

P. Management's Plan-Going Concern

Albuquerque Talent Development, Corrales International, Cottonwood Classical, El Camino Real, and Montessori of the Rio Grande – The current charter for these Charters Schools with Albuquerque Public Schools is through June 30, 2023. The Schools are in the process of renewing their Charter to extend their Charter and remain open. All of the Charter Schools believe their Charter will be renewed for an additional 3-5 years. The individual performance of the Schools is positive.

Mountain Mahogany – As of June 30, 2022, the School had decreases in fund balance of \$470,024 and ended the year with a deficit in the operating fund of \$101,894. The School currently does not have enough cash for operations and is borrowing from capital project funds to operate the school. Management plans to alleviate the deficit by reducing costs in fiscal year 2023 and use additional COVID-19 grant funds to cover operational costs as allowable.

Gilbert L. Sena Foundation – As of July 31, 2022, the Foundation closed and transferred all remaining cash to the School.

State of New Mexico
Albuquerque Municipal School District No. 12
Notes to the Financial Statements
June 30, 2022

Note 22 – Component Unit – Charter Schools (continued)

Q. Fund Balance Reporting

Fund Balance – the difference between assets and liabilities in the governmental fund financial statements – is among the most widely and frequently used information in state and local governmental financial reports. GASB Statement No. 54 distinguishes fund balances based on the relative strength of the constraints that control the purposes for which specific amounts can be spent. Beginning with the most binding constraints, fund balance amounts are reported in the following classifications:

- *Nonspendable* – portion of net resources that cannot be spent because of their form or because they must remain intact, such as fund balances associated with inventories or are legally or contractually required to remain intact.
- *Restricted* – amounts constrained by external parties, constitutional provision, or enabling legislation.
- *Committed* – amounts constrained by a government using its highest level of decision-making authority. The Board of Education is the highest level of decision-making authority. Formal Board action, through a resolution, creates a commitment.
- *Assigned* – amounts a government intends to use for a particular purpose. The governing council has designated the responsibility to assign fund balance to its business and finance director. Assigned fund balances within the Charter Schools represent amounts assigned for next year's budget.
- *Unassigned* – amounts that are not constrained at all will be reported in the general fund.



**State of New Mexico
Albuquerque Municipal School District No. 12**

**Annual Comprehensive Financial Report
Fiscal Year Ended June 30, 2022**

Volume II

Required Supplementary Information (unaudited)

A-1

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

**SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE
OF THE NET PENSION LIABILITY
Educational Retirement Plan (ERP)
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		17.05367%	17.44943%	16.95288%	16.88279%	16.95818%	17.15120%	17.02108%	17.00702%
Proportionate Share of the Net Pension Liability (Assets)		\$ 1,208,673,186	\$ 3,536,282,260	\$ 1,284,568,723	\$ 2,007,588,437	\$ 1,884,641,943	\$ 1,234,274,713	\$ 1,102,500,679	\$ 970,374,781
Covered Payroll		\$ 546,199,991	\$ 556,105,698	\$ 494,501,144	\$ 472,060,151	\$ 482,936,302	\$ 489,843,986	\$ 483,851,223	\$ 468,776,132
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.2877%	635.9011%	259.7706%	425.2823%	390.2465%	251.9730%	227.8594%	207.0017%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS
Educational Retirement Plan (ERP)
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 87,824,974	\$ 77,285,776	\$ 78,688,956	\$ 68,735,659	\$ 65,616,361	\$ 67,128,146	\$ 68,088,314	\$ 67,255,320
Contributions in Relation to the Contractually Required Contribution	87,824,974	77,285,776	78,688,956	68,735,659	65,616,361	67,128,146	68,088,314	67,255,320
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		11.31696%	11.55674%	11.19745%	11.05068%	11.25223%
Proportionate Share of the Net OPEB Liability		\$ 372,367,571	\$ 485,256,882	\$ 363,064,860	\$ 480,522,776	\$ 509,914,271
Covered Payroll		\$ 482,254,513	\$ 555,945,900	\$ 494,334,750	\$ 471,943,850	\$ 468,728,220
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		77.2139%	87.2849%	73.4451%	101.8178%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

**SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 11,591,149	\$ 10,229,607	\$ 11,118,918	\$ 9,886,695	\$ 9,438,877
Contributions in Relation to the Contractually Required Contribution	11,591,149	10,229,607	11,118,918	9,886,695	9,438,877
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -
Covered Payroll	\$ 579,557,450	\$ 482,254,513	\$ 555,945,900	\$ 494,334,750	\$ 471,943,850
Contributions as a Percentage of Covered Payroll	2.00%	2.12%	2.00%	2.00%	2.00%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF ALBUQUERQUE CHARTER ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year	2022	2021	2020	2019	2018	2017	2016	2015
	Measurement Date	2021	2020	2019	2018	2017	2016	2015	2014
Proportion of the Net Pension Liability (Asset)		0.06097%	0.05953%	0.06155%	0.06323%	0.06195%	0.05751%	0.05212%	0.04800%
Proportionate Share of the Net Pension Liability	\$	4,321,228	\$ 12,064,284	\$ 4,663,830	\$ 7,518,889	\$ 6,884,794	\$ 4,138,669	\$ 3,375,951	\$ 2,737,039
Covered Payroll	\$	1,954,709	\$ 1,901,639	\$ 1,799,515	\$ 1,767,022	\$ 1,764,325	\$ 1,642,410	\$ 1,481,504	\$ 1,322,122
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.07%	634.41%	259.17%	425.51%	390.22%	251.99%	227.87%	207.02%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		67.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF ALBUQUERQUE CHARTER ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 315,516	\$ 276,591	\$ 269,082	\$ 250,133	\$ 245,616	\$ 245,241	\$ 228,295	\$ 205,929
Contributions in Relation to the Contractually Required Contribution	315,516	276,591	269,082	245,616	245,616	245,241	228,295	205,929
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF ALBUQUERQUE TALENT DEVELOPMENT ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.03101%	0.03353%	0.03620%	0.03416%	0.03418%	0.03672%	0.03300%	0.03160%
Proportionate Share of the Net Pension Liability		\$ 2,197,823	\$ 6,795,153	\$ 2,742,984	\$ 4,062,079	\$ 3,798,583	\$ 2,642,530	\$ 2,137,498	\$ 1,800,158
Covered Payroll		\$ 994,048	\$ 1,090,259	\$ 1,058,187	\$ 954,587	\$ 973,256	\$ 1,048,647	\$ 937,950	\$ 869,513
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.10%	623.26%	259.22%	425.53%	390.30%	251.99%	227.89%	207.03%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF ALBUQUERQUE TALENT DEVELOPMENT ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 172,725	\$ 140,658	\$ 151,546	\$ 147,088	\$ 132,687	\$ 135,283	\$ 145,762	\$ 130,375
Contributions in Relation to the Contractually Required Contribution	172,725	140,658	151,546	147,088	132,687	135,283	145,762	130,375
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF ALICE KING COMMUNITY SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.08609%	0.08545%	0.08369%	0.07144%	0.07023%	0.05015%	0.04544%	0.04400%
Proportionate Share of the Net Pension Liability		\$ 6,101,600	\$ 17,317,203	\$ 6,341,444	\$ 8,495,167	\$ 7,804,989	\$ 3,609,011	\$ 2,943,270	\$ 2,509,951
Covered Payroll		\$ 2,759,792	\$ 2,771,453	\$ 2,447,288	\$ 1,999,612	\$ 2,000,109	\$ 1,432,165	\$ 1,291,576	\$ 1,212,586
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.09%	624.84%	259.12%	424.84%	390.23%	252.00%	227.88%	206.99%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF ALICE KING COMMUNITY SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 451,393	\$ 390,511	\$ 385,232	\$ 340,173	\$ 277,946	\$ 278,015	\$ 199,071	\$ 179,529
Contributions in Relation to the Contractually Required Contribution	451,393	390,511	385,232	340,173	277,946	278,015	199,071	179,529
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF CHRISTINE DUNCAN HERITAGE ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.10183%	0.07613%	0.07696%	0.05722%	0.04429%	0.04572%	0.04220%	0.03190%
Proportionate Share of the Net Pension Liability	\$	5,401,358	\$ 15,428,422	\$ 5,831,492	\$ 6,804,220	\$ 4,922,155	\$ 3,290,209	\$ 2,733,406	\$ 1,820,699
Covered Payroll	\$	2,435,973	\$ 2,433,026	\$ 2,249,446	\$ 1,600,101	\$ 1,261,326	\$ 1,305,820	\$ 1,199,540	\$ 879,688
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.73%	634.12%	259.24%	539.45%	390.24%	251.96%	227.87%	206.97%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF CHRISTINE DUNCAN HERITAGE ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 427,672	\$ 344,690	\$ 347,327	\$ 312,673	\$ 222,414	\$ 175,324	\$ 181,509	\$ 166,736
Contributions in Relation to the Contractually Required Contribution	427,672	344,690	347,327	312,673	222,414	175,324	181,509	166,736
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF CIEN AGUAS INTERNATIONAL SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.07621%	0.06986%	0.07149%	0.06819%	0.06642%	0.05659%	0.05360%	0.04592%
Proportionate Share of the Net Pension Liability		\$ 5,409,863	\$ 14,157,751	\$ 5,417,014	\$ 8,108,699	\$ 7,381,566	\$ 4,072,462	\$ 3,471,815	\$ 2,620,063
Covered Payroll		\$ 2,447,612	\$ 2,231,755	\$ 2,107,079	\$ 1,905,633	\$ 1,891,540	\$ 1,523,590	\$ 1,463,452	\$ 1,265,813
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.03%	634.38%	257.09%	425.51%	390.24%	289.65%	237.23%	206.97%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF CIEN AGUAS INTERNATIONAL SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 414,947	\$ 346,337	\$ 315,793	\$ 292,884	\$ 264,883	\$ 262,924	\$ 211,779	\$ 241,710
Contributions in Relation to the Contractually Required Contribution	414,947	346,337	315,793	292,884	264,883	262,924	211,779	211,779
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 29,931

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State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF CORRALES INTERNATIONAL CHARTER SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.04479%	0.04354%	0.04395%	0.04399%	0.04415%	0.04617%	0.04660%	0.04830%
Proportionate Share of the Net Pension Liability		\$ 3,174,476	\$ 8,823,768	\$ 3,330,224	\$ 5,230,996	\$ 4,906,596	\$ 3,322,593	\$ 3,018,406	\$ 2,753,586
Covered Payroll		\$ 1,453,834	\$ 1,390,715	\$ 1,284,958	\$ 1,257,259	\$ 1,318,583	\$ 1,318,583	\$ 1,324,920	\$ 1,330,152
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		218.35%	634.48%	259.17%	425.47%	370.33%	250.78%	227.82%	207.01%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF CORRALES INTERNATIONAL CHARTER SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 224,170	\$ 203,171	\$ 196,786	\$ 178,609	\$ 170,897	\$ 174,759	\$ 183,283	\$ 192,535
Contributions in Relation to the Contractually Required Contribution	224,170	203,171	196,786	178,609	174,759	183,283	183,283	192,535
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF DIGITAL ARTS & TECHNOLOGY ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.05823%	0.05331%	0.05069%	0.05082%	0.05750%	0.05545%	0.05095%	0.05040%
Proportionate Share of the Net Pension Liability	\$	4,127,032	\$ 10,803,746	\$ 3,840,935	\$ 6,043,174	\$ 6,390,244	\$ 3,990,422	\$ 3,300,167	\$ 2,876,829
Covered Payroll	\$	1,866,832	\$ 1,701,687	\$ 1,482,007	\$ 1,420,259	\$ 1,637,522	\$ 1,583,813	\$ 1,448,424	\$ 1,389,856
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.07%	634.88%	259.17%	425.50%	390.24%	251.95%	227.85%	206.99%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF DIGITAL ARTS & TECHNOLOGY ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 308,233	\$ 264,157	\$ 240,759	\$ 205,999	\$ 197,416	\$ 227,616	\$ 220,150	\$ 201,331
Contributions in Relation to the Contractually Required Contribution	308,233	264,157	240,759	205,999	197,416	227,616	220,150	201,331
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF EAST MOUNTAIN HIGH SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.06519%	0.06833%	0.06768%	0.06768%	0.06714%	0.06372%	0.06434%	0.06762%
Proportionate Share of the Net Pension Liability	\$	4,988,159	\$ 13,847,683	\$ 5,138,927	\$ 8,048,053	\$ 7,461,583	\$ 4,585,567	\$ 4,167,473	\$ 3,858,208
Covered Payroll	\$	2,256,153	\$ 2,222,165	\$ 1,982,763	\$ 1,891,353	\$ 1,911,937	\$ 1,819,755	\$ 1,829,079	\$ 1,863,745
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.09%	623.16%	231.26%	405.90%	390.26%	251.99%	227.85%	207.01%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF EAST MOUNTAIN HIGH SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 384,253	\$ 319,246	\$ 308,881	\$ 275,604	\$ 262,898	\$ 265,759	\$ 252,946	\$ 254,242
Contributions in Relation to the Contractually Required Contribution	384,253	319,246	308,881	275,604	262,898	265,759	252,946	254,242
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF EL CAMINO REAL ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.06496%	0.06508%	0.05785%	0.03670%	0.06063%	0.06035%	0.06310%	0.07060%
Proportionate Share of the Net Pension Liability		\$ 4,604,018	\$ 13,189,041	\$ 4,383,469	\$ 7,126,475	\$ 6,738,096	\$ 4,343,048	\$ 4,087,155	\$ 4,029,958
Covered Payroll		\$ 2,082,625	\$ 2,119,532	\$ 1,673,201	\$ 1,696,309	\$ 1,726,676	\$ 1,723,482	\$ 1,793,597	\$ 1,946,798
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.07%	622.26%	206.81%	425.92%	390.24%	251.99%	227.87%	207.00%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF EL CAMINO REAL ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 342,086	\$ 294,691	\$ 294,615	\$ 232,575	\$ 235,787	\$ 240,008	\$ 239,564	\$ 249,310
Contributions in Relation to the Contractually Required Contribution	342,086	294,691	294,615	232,575	235,787	240,008	239,564	249,310
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

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**SCHEDULE OF GORDON BERNELL CHARTER SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year	2022	2021	2020	2019	2018	2017	2016	2015
	Measurement Date	2021	2020	2019	2018	2017	2016	2015	2014
Proportion of the Net Pension Liability (Asset)		0.04608%	0.06518%	0.06777%	0.05836%	0.05847%	0.05836%	0.07685%	0.08890%
Proportionate Share of the Net Pension Liability		\$ 3,265,905	\$ 13,209,307	\$ 5,135,138	\$ 7,681,800	\$ 6,498,045	\$ 4,199,839	\$ 4,977,779	\$ 5,074,677
Covered Payroll		\$ 1,477,396	\$ 2,082,084	\$ 1,981,137	\$ 1,805,388	\$ 1,665,062	\$ 1,666,921	\$ 2,184,604	\$ 2,451,460
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.06%	634.43%	259.20%	425.49%	390.26%	251.95%	227.86%	207.01%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF GORDON BERNELL CHARTER SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 251,268	\$ 209,021	\$ 294,640	\$ 275,378	\$ 250,949	\$ 231,444	\$ 231,702	\$ 303,660
Contributions in Relation to the Contractually Required Contribution	251,268	209,021	294,640	275,378	250,949	231,444	231,702	303,660
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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State of New Mexico
Albuquerque Municipal School District No. 12
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**SCHEDULE OF THE INTERNATIONAL SCHOOL AT MESA DEL SOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.06763%	0.06545%	0.06245%	0.06390%	0.05447%	0.04670%	0.03723%	0.04401%
Proportionate Share of the Net Pension Liability		\$ 4,793,254	\$ 13,264,025	\$ 4,732,025	\$ 7,598,560	\$ 6,053,506	\$ 3,360,734	\$ 2,411,486	\$ 2,511,083
Covered Payroll		\$ 2,168,129	\$ 2,089,240	\$ 1,747,237	\$ 1,784,698	\$ 1,551,124	\$ 1,333,820	\$ 1,147,736	\$ 1,213,195
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.08%	634.87%	270.83%	423.17%	390.27%	262.56%	237.23%	206.98%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF THE INTERNATIONAL SCHOOL AT MESA DEL SOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 354,161	\$ 306,790	\$ 295,627	\$ 242,866	\$ 248,073	\$ 215,606	\$ 185,401	\$ 159,535
Contributions in Relation to the Contractually Required Contribution	354,161	306,790	295,627	242,866	248,073	215,606	185,401	159,535
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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**SCHEDULE OF LA ACADEMIA DE ESPERANZA'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.06699%	0.06400%	0.08692%	0.08885%	0.08434%	0.08010%	0.07933%	0.0889%
Proportionate Share of the Net Pension Liability	\$	4,747,894	\$ 12,970,169	\$ 6,586,191	\$ 10,565,448	\$ 9,373,099	\$ 5,764,343	\$ 5,138,415	\$ 5,071,254
Covered Payroll	\$	2,147,649	\$ 2,044,557	\$ 2,541,158	\$ 2,483,101	\$ 2,401,889	\$ 2,287,655	\$ 2,255,022	\$ 2,449,894
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.07%	634.38%	259.18%	439.88%	390.24%	251.98%	227.87%	207.00%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF LA ACADEMIA DE ESPERANZA'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 358,426	\$ 303,892	\$ 289,305	\$ 353,221	\$ 345,151	\$ 333,863	\$ 317,984	\$ 313,448
Contributions in Relation to the Contractually Required Contribution	358,426	303,892	289,305	353,221	345,151	333,863	317,984	313,448
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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Albuquerque Municipal School District No. 12
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**SCHEDULE OF LOS PUENTES CHARTER SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.03625%	0.03761%	0.04252%	0.04117%	0.04261%	0.03669%	0.04358%	0.0440%
Proportionate Share of the Net Pension Liability		\$ 2,569,207	\$ 7,622,001	\$ 3,221,869	\$ 4,895,661	\$ 4,735,449	\$ 2,640,371	\$ 2,822,793	\$ 2,512,804
Covered Payroll		\$ 1,157,680	\$ 1,203,560	\$ 1,245,169	\$ 1,150,475	\$ 1,213,502	\$ 1,047,964	\$ 1,238,935	\$ 1,213,939
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.93%	633.29%	258.75%	425.53%	390.23%	251.95%	227.84%	207.00%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF LOS PUENTES CHARTER SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 215,652	\$ 163,812	\$ 170,304	\$ 173,080	\$ 159,916	\$ 168,677	\$ 145,667	\$ 172,212
Contributions in Relation to the Contractually Required Contribution	215,652	163,812	170,304	173,080	159,916	168,677	145,667	172,212
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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State of New Mexico
Albuquerque Municipal School District No. 12
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**SCHEDULE OF MONTESSORI OF THE RIO GRANDE'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.04059%	0.04234%	0.04131%	0.03882%	0.03807%	0.03988%	0.03828%	0.0363%
Proportionate Share of the Net Pension Liability		\$ 2,876,803	\$ 8,580,578	\$ 3,130,184	\$ 4,616,215	\$ 4,230,897	\$ 2,869,938	\$ 2,479,498	\$ 2,073,463
Covered Payroll		\$ 1,301,144	\$ 1,376,885	\$ 1,207,734	\$ 1,050,079	\$ 1,084,265	\$ 1,139,058	\$ 1,088,173	\$ 1,001,544
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.10%	623.19%	227.34%	439.61%	390.21%	251.96%	227.86%	207.03%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF MONTESSORI OF THE RIO GRANDE'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 236,135	\$ 184,112	\$ 191,387	\$ 167,875	\$ 145,961	\$ 150,713	\$ 158,329	\$ 151,256
Contributions in Relation to the Contractually Required Contribution	236,135	184,112	191,387	167,875	145,961	150,713	158,329	151,256
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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**SCHEDULE OF MOUNTAIN MAHOGANY COMMUNITY SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.04492%	0.03836%	0.03692%	0.03687%	0.03670%	0.03551%	0.03356%	0.0313%
Proportionate Share of the Net Pension Liability		\$ 3,183,690	\$ 7,773,995	\$ 2,797,540	\$ 4,384,334	\$ 4,078,643	\$ 2,555,454	\$ 2,173,771	\$ 1,784,753
Covered Payroll		\$ 1,440,208	\$ 1,247,590	\$ 1,076,137	\$ 1,025,964	\$ 1,045,013	\$ 1,014,165	\$ 954,072	\$ 862,080
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.06%	623.12%	224.24%	427.34%	390.30%	251.98%	227.84%	207.03%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF MOUNTAIN MAHOGANY COMMUNITY SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 264,398	\$ 203,790	\$ 173,415	\$ 149,583	\$ 142,609	\$ 145,257	\$ 140,969	\$ 132,616
Contributions in Relation to the Contractually Required Contribution	264,398	203,790	173,415	149,583	142,609	145,257	140,969	132,616
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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**SCHEDULE OF NATIVE AMERICAN COMMUNITY ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.10300%	0.10314%	0.10428%	0.09928%	0.09227%	0.08776%	0.09092%	0.0679%
Proportionate Share of the Net Pension Liability	\$	7,300,091	20,902,239	7,901,611	11,805,713	10,254,397	6,315,590	5,889,131	3,875,332
Covered Payroll	\$	3,301,918	3,294,706	3,048,650	2,770,878	2,627,752	2,506,446	2,584,446	1,872,106
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.09%	634.42%	259.18%	426.06%	390.23%	251.97%	227.87%	207.00%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF NATIVE AMERICAN COMMUNITY ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 598,329	\$ 467,221	\$ 466,201	\$ 424,297	\$ 385,152	\$ 365,257	\$ 348,396	\$ 359,238
Contributions in Relation to the Contractually Required Contribution	598,329	467,221	466,201	424,297	385,152	365,257	348,396	359,238
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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**SCHEDULE OF NEW MEXICO INTERNATIONAL SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.06050%	0.05327%	0.03539%	0.02867%	0.02832%	0.02851%	0.02267%	0.0251%
Proportionate Share of the Net Pension Liability		\$ 4,287,917	\$ 10,795,640	\$ 2,681,607	\$ 3,409,245	\$ 3,147,334	\$ 2,051,703	\$ 1,468,396	\$ 1,431,559
Covered Payroll		\$ 1,939,491	\$ 1,701,817	\$ 1,034,619	\$ 785,180	\$ 806,417	\$ 814,331	\$ 654,194	\$ 458,514
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.08%	634.36%	259.19%	434.20%	390.29%	251.95%	224.46%	312.22%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF NEW MEXICO INTERNATIONAL SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 358,013	\$ 274,438	\$ 240,807	\$ 143,812	\$ 109,140	\$ 112,092	\$ 113,192	\$ 90,933
Contributions in Relation to the Contractually Required Contribution	358,013	274,438	240,807	143,812	109,140	112,092	113,192	90,933
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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**SCHEDULE OF MARK ARMIJO ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.04022%	0.04542%	0.03751%	0.03938%	0.03319%	0.02834%	0.02567%	0.0234%
Proportionate Share of the Net Pension Liability	\$	2,850,579	\$ 9,204,767	\$ 2,842,246	\$ 4,682,806	\$ 3,688,560	\$ 2,039,469	\$ 1,662,714	\$ 1,332,859
Covered Payroll	\$	1,289,390	\$ 1,477,360	\$ 1,097,532	\$ 1,100,525	\$ 945,122	\$ 809,475	\$ 729,612	\$ 643,939
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.08%	623.06%	258.97%	425.51%	390.27%	251.95%	227.89%	206.99%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

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**SCHEDULE OF MARK ARMIJO ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 231,012	\$ 182,449	\$ 205,353	\$ 152,557	\$ 152,973	\$ 131,372	\$ 112,517	\$ 101,416
Contributions in Relation to the Contractually Required Contribution	231,012	182,449	205,353	152,557	152,973	131,372	112,517	101,416
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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SCHEDULE OF PUBLIC ACADEMY FOR PERFORMING ARTS'
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.07172%	0.07072%	0.06822%	0.07031%	0.06900%	0.06740%	0.06364%	0.0633%
Proportionate Share of the Net Pension Liability		\$ 5,083,131	\$ 14,332,037	\$ 5,169,236	\$ 8,360,795	\$ 7,668,293	\$ 4,850,396	\$ 4,122,132	\$ 3,612,869
Covered Payroll		\$ 2,299,098	\$ 2,260,053	\$ 1,996,547	\$ 1,967,265	\$ 1,965,095	\$ 1,924,914	\$ 1,809,165	\$ 1,745,452
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.09%	634.15%	258.91%	425.00%	390.23%	251.98%	227.85%	206.99%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	63.25%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

SCHEDULE OF PUBLIC ACADEMY FOR PERFORMING ARTS' CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 373,155	\$ 325,322	\$ 319,798	\$ 277,520	\$ 273,268	\$ 273,148	\$ 267,563	\$ 251,474
Contributions in Relation to the Contractually Required Contribution	373,155	325,322	319,798	277,520	273,268	273,148	267,563	251,474
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF ROBERT F. KENNEDY CHARTER SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.07597%	0.07465%	0.06699%	0.06768%	0.06752%	0.06513%	0.06572%	0.0542%
Proportionate Share of the Net Pension Liability	\$	5,384,348	\$ 15,128,487	\$ 5,076,035	\$ 8,048,053	\$ 7,503,814	\$ 4,687,037	\$ 4,256,859	\$ 3,091,365
Covered Payroll	\$	2,449,144	\$ 2,383,976	\$ 2,082,862	\$ 2,072,691	\$ 1,922,871	\$ 1,860,266	\$ 1,868,309	\$ 1,493,293
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		219.85%	634.59%	243.70%	388.29%	390.24%	251.96%	227.85%	207.02%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF ROBERT F. KENNEDY CHARTER SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 403,348	\$ 346,554	\$ 337,333	\$ 289,518	\$ 288,104	\$ 267,279	\$ 258,577	\$ 259,695
Contributions in Relation to the Contractually Required Contribution	403,348	346,554	337,333	289,518	288,104	267,279	258,577	259,695
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF SIEMBRA LEADERSHIP HIGH SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year	2022	2021	2020	2019	2018	2017	2016	2015
	Measurement Date	2021	2020	2019	2018	2017	2016	2015	2014
Proportion of the Net Pension Liability (Asset)		0.03743%	0.03359%	0.02554%	0.01680%	0.01356%	N/A	N/A	N/A
Proportionate Share of the Net Pension Liability		\$ 2,652,839	\$ 6,807,312	\$ 1,935,243	\$ 1,997,744	\$ 1,506,986	N/A	N/A	N/A
Covered Payroll		\$ 1,199,997	\$ 1,070,946	\$ 748,345	\$ 469,396	\$ 386,288	N/A	N/A	N/A
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.07%	635.64%	258.60%	425.60%	390.12%	N/A	N/A	N/A
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.95%	52.95%	N/A	N/A	N/A

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF SIEMBRA LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 221,403	\$ 169,780	\$ 151,494	\$ 104,020	\$ 65,246	\$ 53,694	N/A	N/A
Contributions in Relation to the Contractually Required Contribution	221,403	169,780	151,494	104,020	65,246	53,694	N/A	N/A
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	N/A	N/A

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

Siembra Leadership Academy is a newly authorized charter school as of July 1, 2016.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF SOUTH VALLEY ACADEMY'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.13251%	0.12637%	0.11902%	0.11260%	0.11260%	0.10522%	0.08925%	0.0746%
Proportionate Share of the Net Pension Liability	\$	9,391,602	\$ 25,610,005	\$ 9,018,505	\$ 14,568,070	\$ 12,513,765	\$ 7,572,087	\$ 5,780,960	\$ 4,258,757
Covered Payroll	\$	4,248,213	\$ 4,036,947	\$ 3,423,806	\$ 3,423,806	\$ 3,206,575	\$ 3,005,144	\$ 2,537,007	\$ 2,057,483
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.07%	634.39%	263.41%	390.25%	390.25%	251.97%	227.87%	206.99%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF SOUTH VALLEY ACADEMY'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 654,695	\$ 601,122	\$ 571,228	\$ 475,909	\$ 475,909	\$ 445,714	\$ 417,715	\$ 352,644
Contributions in Relation to the Contractually Required Contribution	654,695	601,122	571,228	475,909	475,909	445,714	417,715	352,644
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

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State of New Mexico
Albuquerque Municipal School District No. 12
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**SCHEDULE OF WILLIAM W. AND JOSEPHINE DORN CHARTER COMMUNITY SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.01264%	0.01166%	0.01203%	0.01081%	0.00967%	0.00951%	0.00798%	0.00690%
Proportionate Share of the Net Pension Liability	\$	895,856	\$ 2,363,003	\$ 911,549	\$ 1,285,453	\$ 1,074,672	\$ 684,381	\$ 516,886	\$ 393,687
Covered Payroll	\$	405,133	\$ 372,537	\$ 351,705	\$ 302,094	\$ 275,317	\$ 261,000	\$ 217,880	\$ 190,091
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.13%	634.30%	259.18%	425.51%	390.34%	262.21%	237.23%	207.10%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF WILLIAM W. AND JOSEPHINE DORN CHARTER COMMUNITY SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 67,347	\$ 57,326	\$ 52,714	\$ 48,887	\$ 41,991	\$ 38,269	\$ 31,544	\$ 24,997
Contributions in Relation to the Contractually Required Contribution	67,347	57,326	52,714	48,887	41,991	38,269	31,544	24,997
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF COTTONWOOD CLASSICAL PREPARATORY SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.11594%	0.10418%	0.10245%	0.10568%	0.10081%	0.09071%	0.08052%	0.07497%
Proportionate Share of the Net Pension Liability	\$	8,217,209	\$ 21,113,004	\$ 7,762,946	\$ 12,566,759	\$ 11,203,487	\$ 6,527,895	\$ 5,215,495	\$ 4,277,579
Covered Payroll	\$	3,716,759	\$ 3,327,915	\$ 2,991,784	\$ 2,953,568	\$ 2,870,734	\$ 2,590,748	\$ 2,288,950	\$ 1,955,014
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.09%	634.42%	259.48%	425.48%	390.27%	251.97%	227.86%	218.80%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF COTTONWOOD CLASSICAL PREPARATORY SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 696,936	\$ 525,621	\$ 471,351	\$ 415,858	\$ 410,546	\$ 399,032	\$ 360,114	\$ 318,164
Contributions in Relation to the Contractually Required Contribution	696,936	525,621	469,746	415,858	410,546	399,032	360,114	318,164
Contribution Deficiency (Excess)	\$ -	\$ -	\$ 1,602	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF ACE LEADERSHIP HIGH SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.04873%	0.04547%	0.05022%	0.05917%	0.06172%	0.05916%	0.66140%	0.66140%
Proportionate Share of the Net Pension Liability	\$	3,453,723	\$ 9,214,900	\$ 3,805,321	\$ 7,036,101	\$ 6,859,233	\$ 4,257,410	\$ 4,284,064	\$ 4,284,064
Covered Payroll	\$	1,562,132	\$ 1,456,332	\$ 1,468,640	\$ 1,653,705	\$ 1,037,590	\$ 864,496	\$ 691,402	\$ 808,989
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.09%	632.75%	259.11%	425.47%	661.07%	227.88%	207.00%	207.00%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF ACE LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 250,040	\$ 221,042	\$ 206,071	\$ 204,141	\$ 229,865	\$ 244,320	\$ 234,848	\$ 120,165
Contributions in Relation to the Contractually Required Contribution	250,040	221,042	206,071	204,141	229,865	244,320	234,848	120,165
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

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Albuquerque Municipal School District No. 12
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**SCHEDULE OF TECH LEADERSHIP HIGH SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year	2022	2021	2020	2019	2018	2017	2016	2015
	Measurement Date	2021	2020	2019	2018	2017	2016	2015	2014
Proportion of the Net Pension Liability (Asset)		0.04687%	0.04543%	0.04480%	0.04076%	0.02923%	0.01926%	N/A	N/A
Proportionate Share of the Net Pension Liability	\$	3,321,896	\$ 9,206,794	\$ 3,394,632	\$ 4,846,907	\$ 3,248,467	\$ 1,386,033	N/A	N/A
Covered Payroll	\$	1,502,449	\$ 1,451,325	\$ 1,309,642	\$ 1,139,266	\$ 832,532	\$ 550,173	N/A	N/A
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.10%	634.37%	259.20%	425.44%	390.19%	251.93%	N/A	N/A
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	N/A	N/A

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF TECH LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 263,283	\$ 212,597	\$ 205,362	\$ 182,039	\$ 158,358	\$ 115,722	\$ 76,474	N/A
Contributions in Relation to the Contractually Required Contribution	263,283	212,597	205,362	182,039	158,358	115,722	76,474	N/A
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	N/A

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

Tech Leadership High School was a newly authorized charter school as of July 1, 2015.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF HEALTH LEADERSHIP HIGH SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.03899%	0.04057%	0.04644%	0.04830%	0.04480%	0.04305%	0.03251%	0.02676%
Proportionate Share of the Net Pension Liability		\$ 2,763,403	\$ 8,221,872	\$ 3,518,899	\$ 5,449,797	\$ 4,943,271	\$ 3,098,065	\$ 2,105,759	\$ 1,526,847
Covered Payroll		\$ 1,249,944	\$ 1,331,668	\$ 1,371,655	\$ 1,280,906	\$ 1,266,698	\$ 1,229,417	\$ 808,989	\$ 697,677
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.08%	617.41%	256.54%	425.46%	390.25%	251.99%	260.30%	218.85%
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	52.17%	52.95%	61.58%	63.97%	66.54%

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

**SCHEDULE OF HEALTH LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 198,202	\$ 176,867	\$ 188,431	\$ 190,660	\$ 178,046	\$ 176,071	\$ 170,889	\$ 128,442
Contributions in Relation to the Contractually Required Contribution	198,202	176,867	188,431	190,660	178,046	176,071	170,889	128,442
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF CORAL COMMUNITY CHARTER SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.03854%	0.03751%	0.03913%	*	*	*	*	*
Proportionate Share of the Net Pension Liability	\$	2,731,510	\$ 7,601,735	\$ 2,964,998	*	*	*	*	*
Covered Payroll	\$	1,235,470	\$ 1,199,885	\$ 1,143,978	*	*	*	*	*
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.09%	633.54%	259.18%	*	*	*	*	*
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	*	*	*	*	*

* The Coral Community Charter School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

**SCHEDULE OF CORAL COMMUNITY CHARTER SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 233,067	\$ 174,819	\$ 169,784	*	*	*	*	*
Contributions in Relation to the Contractually Required Contribution	233,067	174,819	169,784	*	*	*	*	*
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	*	*	*	*	*

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

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Albuquerque Municipal School District No. 12
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**SCHEDULE OF GILBERT L. SENA CHARTER HIGH SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.03602%	0.03466%	0.03487%	*	*	*	*	*
Proportionate Share of the Net Pension Liability	\$	2,552,906	\$ 7,024,157	\$ 2,642,205	*	*	*	*	*
Covered Payroll	\$	1,154,632	\$ 1,107,312	\$ 1,019,496	*	*	*	*	*
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.10%	634.34%	259.17%	*	*	*	*	*
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	*	*	*	*	*

* The Gilbert L. Sena Charter High School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

**SCHEDULE OF GILBERT L. SENA CHARTER HIGH SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 161,694	\$ 163,380	\$ 156,685	*	*	*	*	*
Contributions in Relation to the Contractually Required Contribution	161,694	163,380	156,685	*	*	*	*	*
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	*	*	*	*	*

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

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**SCHEDULE OF THE NEW AMERICA SCHOOL'S
PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017	2017 2016	2016 2015	2015 2014
Proportion of the Net Pension Liability (Asset)		0.04134%	0.04022%	0.04246%	*	*	*	*	*
Proportionate Share of the Net Pension Liability	\$	2,929,959	\$ 8,150,941	\$ 3,217,323	*	*	*	*	*
Covered Payroll	\$	1,325,317	\$ 1,301,477	\$ 1,241,353	*	*	*	*	*
Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll		221.08%	626.28%	259.18%	*	*	*	*	*
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		69.77%	39.11%	64.13%	*	*	*	*	*

* The New America School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

**SCHEDULE OF THE NEW AMERICA SCHOOL'S CONTRIBUTIONS
Educational Retirement Board (ERB) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018	2017	2016	2015
Contractually Required Contribution	\$ 179,766	\$ 187,532	\$ 184,159	*	*	*	*	*
Contributions in Relation to the Contractually Required Contribution	179,766	187,532	184,159	*	*	*	*	*
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	*	*	*	*	*

* *Governmental Accounting Standards Board Statement No. 68* requires ten years of historical information be presented; however, until a full 10-year trend is compiled, the statement only requires presentation of information for those years that information is available. Complete information for the District is not available prior to fiscal year 2015, the year the statement's requirements became effective.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF ALBUQUERQUE CHARTER ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.04048%	0.03941%	0.04066%	0.04138%	0.04110%
Proportionate Share of the Net OPEB Liability	\$	1,331,934	\$ 1,654,790	\$ 1,318,355	\$ 1,799,349	\$ 1,862,518
Covered Payroll	\$	1,954,750	\$ 1,696,713	\$ 1,775,457	\$ 1,712,081	\$ 1,712,081 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF ALBUQUERQUE CHARTER ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 40,661	\$ 39,095	\$ 35,991	\$ 64,663	\$ 130,512
Contributions in Relation to the Contractually Required Contribution	40,661	39,095	35,991	63,874	65,502
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 789	\$ 65,010
Covered Payroll	\$ 2,033,051	\$ 1,954,750	\$ 1,696,713	\$ 1,775,457	\$ 1,712,081
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF ALBUQUERQUE TALENT DEVELOPMENT ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.02058%	0.02220%	0.02392%	0.02236%	0.02267%
Proportionate Share of the Net OPEB Liability	\$	677,154	\$ 932,158	\$ 775,579	\$ 972,292	\$ 1,027,330
Covered Payroll	\$	994,048	\$ 998,165	\$ 959,382	\$ 944,352	\$ 944,352 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF ALBUQUERQUE TALENT DEVELOPMENT ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 22,893	\$ 19,881	\$ 21,173	\$ 34,941	\$ 71,988
Contributions in Relation to the Contractually Required Contribution	22,893	19,881	21,173	34,515	36,130
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 426	\$ 35,858
Covered Payroll	\$ 1,143,750	\$ 994,048	\$ 998,165	\$ 959,382	\$ 944,352
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF ALICE KING COMMUNITY SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.05700%	0.05684%	0.05541%	0.04685%	0.04661%
Proportionate Share of the Net OPEB Liability	\$	1,875,499	\$ 2,386,659	\$ 1,796,608	\$ 2,037,204	\$ 2,112,213
Covered Payroll	\$	2,760,345	\$ 2,312,220	\$ 2,010,154	\$ 1,941,608	\$ 1,941,608 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF ALICE KING COMMUNITY SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 59,590	\$ 55,207	\$ 49,047	\$ 73,211	\$ 148,009
Contributions in Relation to the Contractually Required Contribution	59,590	55,207	49,047	72,317	74,284
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 894	\$ 73,725
Covered Payroll	\$ 2,979,512	\$ 2,760,345	\$ 2,312,220	\$ 2,010,154	\$ 1,941,608
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF CHRISTINE DUNCAN HERITAGE ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.04214%	0.05104%	0.05116%	0.03746%	0.02938%
Proportionate Share of the Net OPEB Liability	\$	1,386,553	\$ 2,143,123	\$ 1,658,806	\$ 1,628,894	\$ 1,331,406
Covered Payroll	\$	2,134,869	\$ 2,134,870	\$ 1,607,265	\$ 1,223,867	\$ 1,223,867 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF CHRISTINE DUNCAN HERITAGE ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 56,458	\$ 48,864	\$ 45,285	\$ 58,538	\$ 93,295
Contributions in Relation to the Contractually Required Contribution	56,458	48,864	45,285	57,823	46,824
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 715	\$ 46,471
Covered Payroll	\$ 2,822,900	\$ 2,134,869	\$ 2,134,870	\$ 1,607,265	\$ 1,223,867
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF CIEN AGUAS INTERNATIONAL SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.05068%	0.04627%	0.04730%	0.04462%	0.04755%
Proportionate Share of the Net OPEB Liability	\$	1,667,549	\$ 1,942,835	\$ 1,533,650	\$ 1,940,236	\$ 2,154,811
Covered Payroll	\$	2,447,650	\$ 1,973,795	\$ 1,914,473	\$ 1,980,765	\$ 1,980,765 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF CIEN AGUAS INTERNATIONAL SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 54,808	\$ 48,953	\$ 41,868	\$ 69,726	\$ 150,994
Contributions in Relation to the Contractually Required Contribution	54,808	48,953	41,868	68,875	75,782
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 851	\$ 75,212
Covered Payroll	\$ 2,740,400	\$ 2,447,650	\$ 1,973,795	\$ 1,914,473	\$ 1,980,765
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF CORRALES INTERNATIONAL CHARTER SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.02973%	0.02882%	0.02903%	0.02879%	0.02917%
Proportionate Share of the Net OPEB Liability	\$ 978,221	\$ 1,210,125	\$ 941,265	\$ 1,251,891	\$ 1,321,889
Covered Payroll	\$ 1,435,750	\$ 1,211,401	\$ 1,235,269	\$ 1,215,119	\$ 1,215,119 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF CORRALES INTERNATIONAL CHARTER SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 29,592	\$ 28,715	\$ 25,696	\$ 44,989	\$ 92,628
Contributions in Relation to the Contractually Required Contribution	29,592	28,715	25,696	44,440	46,489
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 549	\$ 46,139
Covered Payroll	\$ 1,479,658	\$ 1,435,750	\$ 1,211,401	\$ 1,235,269	\$ 1,215,119
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF DIGITAL ARTS & TECHNOLOGY ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.03866%	0.03529%	0.03349%	0.03326%	0.03814%
Proportionate Share of the Net OPEB Liability	\$	1,272,049	\$ 1,481,795	\$ 1,085,876	\$ 1,446,263	\$ 1,728,380
Covered Payroll	\$	1,886,750	\$ 1,397,514	\$ 1,427,059	\$ 1,588,778	\$ 1,588,778 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF DIGITAL ARTS & TECHNOLOGY ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 40,672	\$ 37,335	\$ 29,644	\$ 51,974	\$ 121,112
Contributions in Relation to the Contractually Required Contribution	40,672	37,335	29,644	51,340	60,785
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 634	\$ 60,327
Covered Payroll	\$ 2,033,618	\$ 1,886,750	\$ 1,397,514	\$ 1,427,059	\$ 1,588,778
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF EAST MOUNTAIN HIGH SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.04672%	0.04524%	0.04480%	0.04429%	0.04451%
Proportionate Share of the Net OPEB Liability	\$	1,537,251	\$ 1,899,586	\$ 1,452,590	\$ 1,925,886	\$ 2,017,048
Covered Payroll	\$	2,256,050	\$ 1,869,472	\$ 1,900,314	\$ 1,854,130	\$ 1,854,130 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF EAST MOUNTAIN HIGH SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 50,725	\$ 45,121	\$ 39,655	\$ 69,211	\$ 141,340
Contributions in Relation to the Contractually Required Contribution	50,725	45,121	39,655	68,365	70,937
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 846	\$ 70,403
Covered Payroll	\$ 2,536,250	\$ 2,256,050	\$ 1,869,472	\$ 1,900,314	\$ 1,854,130
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF EL CAMINO REAL ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.04312%	0.04308%	0.03821%	0.03928%	0.04021%
Proportionate Share of the Net OPEB Liability	\$	1,418,799	\$ 1,808,890	\$ 1,238,917	\$ 1,708,034	\$ 1,822,186
Covered Payroll	\$	2,082,550	\$ 1,594,476	\$ 1,685,354	\$ 1,675,007	\$ 1,675,007 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF EL CAMINO REAL ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 45,160	\$ 41,651	\$ 33,822	\$ 61,382	\$ 127,686
Contributions in Relation to the Contractually Required Contribution	45,160	41,651	33,822	60,632	64,084
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 750	\$ 63,602
Covered Payroll	\$ 2,257,905	\$ 2,082,550	\$ 1,594,476	\$ 1,685,354	\$ 1,675,007
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF GORDON BERNELL CHARTER SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.03059%	0.04315%	0.04481%	0.04398%	0.03879%
Proportionate Share of the Net OPEB Liability	\$	1,006,518	\$ 1,811,829	\$ 1,452,914	\$ 1,912,406	\$ 1,757,836
Covered Payroll	\$	1,477,400	\$ 1,869,889	\$ 1,887,013	\$ 1,615,855	\$ 1,615,855 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	96.8950%	76.9954%	118.3526%	108.7867%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF GORDON BERNELL CHARTER SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 33,206	\$ 29,548	\$ 39,664	\$ 68,726	\$ 123,176
Contributions in Relation to the Contractually Required Contribution	33,206	29,548	39,664	67,887	61,821
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 839	\$ 61,355
Covered Payroll	\$ 1,658,737	\$ 1,477,400	\$ 1,869,889	\$ 1,887,013	\$ 1,615,855
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF THE INTERNATIONAL SCHOOL AT MESA DEL SOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.05009%	0.03769%	0.03682%	0.04185%	0.03613%
Proportionate Share of the Net OPEB Liability	\$	1,648,136	\$ 1,582,568	\$ 1,193,848	\$ 1,819,786	\$ 1,637,293
Covered Payroll	\$	2,186,200	\$ 1,536,472	\$ 1,795,623	\$ 1,505,048	\$ 1,505,048 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF THE INTERNATIONAL SCHOOL AT MESA DEL SOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 46,787	\$ 43,724	\$ 32,592	\$ 65,398	\$ 114,730
Contributions in Relation to the Contractually Required Contribution	46,787	43,724	32,592	64,599	57,582
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 799	\$ 57,148
Covered Payroll	\$ 2,339,350	\$ 2,186,200	\$ 1,536,472	\$ 1,795,623	\$ 1,505,048
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF LA ACADEMIA DE ESPERANZA'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.04419%	0.04271%	0.05791%	0.05803%	0.05588%
Proportionate Share of the Net OPEB Liability	\$	1,454,006	\$ 1,793,354	\$ 1,877,667	\$ 2,523,350	\$ 2,532,299
Covered Payroll	\$	2,147,600	\$ 2,416,543	\$ 2,489,846	\$ 2,327,764	\$ 2,327,764 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	11.34%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF LA ACADEMIA DE ESPERANZA'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 47,242	\$ 42,952	\$ 51,260	\$ 90,682	\$ 177,445
Contributions in Relation to the Contractually Required Contribution	47,242	42,952	51,260	89,574	89,058
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 1,108	\$ 88,387
Covered Payroll	\$ 2,371,775	\$ 2,147,600	\$ 2,416,543	\$ 2,489,846	\$ 2,327,764
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF LOS PUENTES CHARTER SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.02403%	0.02490%	0.02843%	0.02717%	0.02827%
Proportionate Share of the Net OPEB Liability	\$ 790,671	\$ 1,045,528	\$ 921,811	\$ 1,181,448	\$ 1,281,104
Covered Payroll	\$ 1,162,000	\$ 1,186,364	\$ 1,165,761	\$ 1,177,629	\$ 1,177,629 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	100.3243%	108.7867%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF LOS PUENTES CHARTER SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 28,460	\$ 23,240	\$ 25,165	\$ 42,458	\$ 89,771
Contributions in Relation to the Contractually Required Contribution	28,460	23,240	25,165	41,939	45,055
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 519	\$ 44,716
Covered Payroll	\$ 1,417,808	\$ 1,162,000	\$ 1,186,364	\$ 1,165,761	\$ 1,177,629
Contributions as a Percentage of Covered Payroll	2.01%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF MONTESSORI OF THE RIO GRANDE'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.02694%	0.02803%	0.02729%	0.02541%	0.02526%
Proportionate Share of the Net OPEB Liability	\$	886,420	\$ 1,176,954	\$ 884,848	\$ 1,104,917	\$ 1,144,701
Covered Payroll	\$	1,301,144	\$ 1,138,792	\$ 1,090,246	\$ 1,052,243	\$ 1,052,243 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF MONTESSORI OF THE RIO GRANDE'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 31,173	\$ 26,022	\$ 24,156	\$ 39,707	\$ 80,212
Contributions in Relation to the Contractually Required Contribution	31,173	26,022	24,156	39,223	40,258
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 484	\$ 39,954
Covered Payroll	\$ 1,558,642	\$ 1,301,144	\$ 1,138,792	\$ 1,090,246	\$ 1,052,243
Contributions as a Percentage of Covered Payroll	2.00%	1.13%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF MOUNTAIN MAHOGANY COMMUNITY SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.02982%	0.02540%	0.02434%	0.02421%	0.02408%
Proportionate Share of the Net OPEB Liability	\$ 981,182	\$ 1,066,523	\$ 789,197	\$ 1,052,737	\$ 1,091,227
Covered Payroll	\$ 1,440,200	\$ 1,015,691	\$ 1,038,758	\$ 1,003,088	\$ 1,003,088 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF MOUNTAIN MAHOGANY COMMUNITY SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 33,732	\$ 28,804	\$ 21,545	\$ 37,832	\$ 76,465
Contributions in Relation to the Contractually Required Contribution	33,732	28,804	21,545	37,370	38,377
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 462	\$ 38,088
Covered Payroll	\$ 1,631,532	\$ 1,440,200	\$ 1,015,691	\$ 1,038,758	\$ 1,003,088
Contributions as a Percentage of Covered Payroll	2.07%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF NATIVE AMERICAN COMMUNITY ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.06797%	0.06824%	0.06886%	0.06777%	0.06452%
Proportionate Share of the Net OPEB Liability	\$ 2,236,451	\$ 2,865,335	\$ 2,232,709	\$ 2,946,880	\$ 2,923,835
Covered Payroll	\$ 3,301,950	\$ 2,873,479	\$ 2,907,751	\$ 2,687,676	\$ 2,687,676 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	101.3500%	108.7867%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF NATIVE AMERICAN COMMUNITY ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 78,197	\$ 66,039	\$ 60,952	\$ 105,902	\$ 204,881
Contributions in Relation to the Contractually Required Contribution	78,197	66,039	60,952	104,609	102,828
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 1,293	\$ 102,053
Covered Payroll	\$ 3,457,390	\$ 3,301,950	\$ 2,873,479	\$ 2,907,751	\$ 2,687,676
Contributions as a Percentage of Covered Payroll	2.26%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF NEW MEXICO INTERNATIONAL SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.04017%	0.03527%	0.02338%	0.01789%	0.01968%
Proportionate Share of the Net OPEB Liability		\$ 1,321,734	\$ 1,480,955	\$ 758,070	\$ 777,921	\$ 891,833
Covered Payroll		\$ 1,940,050	\$ 975,631	\$ 767,591	\$ 819,799	\$ 819,799 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF NEW MEXICO INTERNATIONAL SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 38,799	\$ 38,801	\$ 20,695	\$ 27,956	\$ 62,493
Contributions in Relation to the Contractually Required Contribution	38,799	38,801	20,695	27,615	31,365
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 341	\$ 31,128
Covered Payroll	\$ 1,939,707	\$ 1,940,050	\$ 975,631	\$ 767,591	\$ 819,799
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF MARK ARMIJO ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.02688%	0.03007%	0.02486%	0.02577%	0.02281%
Proportionate Share of the Net OPEB Liability	\$	884,446	\$ 1,262,612	\$ 806,058	\$ 1,120,571	\$ 1,033,675
Covered Payroll	\$	1,295,300	\$ 1,037,390	\$ 1,105,692	\$ 950,184	\$ 950,184 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF MARK ARMIJO ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 30,657	\$ 25,906	\$ 22,005	\$ 40,270	\$ 72,432
Contributions in Relation to the Contractually Required Contribution	30,657	25,906	22,005	39,778	36,353
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 492	\$ 36,079
Covered Payroll	\$ 1,532,825	\$ 1,295,300	\$ 1,037,390	\$ 1,105,692	\$ 950,184
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF PUBLIC ACADEMY FOR PERFORMING ARTS' PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.04781%	0.04733%	0.04579%	0.04665%	0.04723%
Proportionate Share of the Net OPEB Liability	\$ 1,573,116	\$ 1,987,343	\$ 1,484,690	\$ 2,028,508	\$ 2,140,309
Covered Payroll	\$ 2,308,750	\$ 1,910,784	\$ 2,001,573	\$ 1,967,435	\$ 1,967,435 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	103.1042%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF PUBLIC ACADEMY FOR PERFORMING ARTS' CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 46,071	\$ 46,175	\$ 40,532	\$ 72,898	\$ 149,977
Contributions in Relation to the Contractually Required Contribution	46,071	46,175	40,532	72,008	75,272
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 890	\$ 74,705
Covered Payroll	\$ 2,308,737	\$ 2,308,750	\$ 1,910,784	\$ 2,001,573	\$ 1,967,435
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF ROBERT F. KENNEDY CHARTER SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.05094%	0.04963%	0.04726%	0.04806%	0.04663%
Proportionate Share of the Net OPEB Liability	\$	1,676,104	\$ 2,083,918	\$ 1,532,353	\$ 2,089,384	\$ 2,113,119
Covered Payroll	\$	2,441,900	\$ 1,972,126	\$ 2,061,641	\$ 1,942,441	\$ 1,942,441 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF ROBERT F. KENNEDY CHARTER SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 52,890	\$ 48,838	\$ 41,833	\$ 75,086	\$ 148,072
Contributions in Relation to the Contractually Required Contribution	52,890	48,838	41,833	74,169	74,316
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 917	\$ 73,756
Covered Payroll	\$ 2,644,477	\$ 2,441,900	\$ 1,972,126	\$ 2,061,641	\$ 1,942,441
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF SIEMBRA LEADERSHIP HIGH SCHOOL'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.02492%	0.02225%	0.01690%	0.01098%	0.00900%
Proportionate Share of the Net OPEB Liability	\$ 819,955	\$ 934,257	\$ 547,964	\$ 477,449	\$ 407,851
Covered Payroll	\$ 1,200,000	\$ 705,225	\$ 471,110	\$ 374,908	\$ 374,908 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	101.3500%	108.7870%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF SIEMBRA LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 29,228	\$ 24,000	\$ 14,959	\$ 17,158	\$ 28,579
Contributions in Relation to the Contractually Required Contribution	29,228	24,000	14,959	16,949	14,344
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 209	\$ 14,235
Covered Payroll	\$ 1,461,400	\$ 1,200,000	\$ 705,225	\$ 471,110	\$ 374,908
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF SOUTH VALLEY ACADEMY'S PROPORTIONATE SHARE
OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.08740%	0.08293%	0.07867%	0.07979%	0.07437%
Proportionate Share of the Net OPEB Liability	\$ 2,875,766	\$ 3,482,154	\$ 2,550,787	\$ 3,469,552	\$ 3,370,205
Covered Payroll	\$ 4,248,250	\$ 3,282,843	\$ 3,423,483	\$ 3,097,992	\$ 3,097,992 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	111.9936%	108.7868%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF SOUTH VALLEY ACADEMY'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 86,428	\$ 84,956	\$ 69,636	\$ 124,685	\$ 236,160
Contributions in Relation to the Contractually Required Contribution	86,428	84,956	69,636	123,163	118,526
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 1,522	\$ 117,634
Covered Payroll	\$ 4,321,424	\$ 4,248,250	\$ 3,282,843	\$ 3,423,483	\$ 3,097,992
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF WILLIAM W. AND JOSEPHINE DORN CHARTER COMMUNITY SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.00839%	0.00771%	0.00795%	0.00707%	0.00699%
Proportionate Share of the Net OPEB Liability	\$ 276,060	\$ 323,736	\$ 257,770	\$ 307,429	\$ 316,764
Covered Payroll	\$ 405,000	\$ 331,748	\$ 303,347	\$ 291,179	\$ 291,179 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	101.3500%	108.7867%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF WILLIAM W. AND JOSEPHINE DORN CHARTER COMMUNITY SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 8,890	\$ 8,100	\$ 7,037	\$ 11,048	\$ 22,197
Contributions in Relation to the Contractually Required Contribution	8,890	8,100	7,037	10,913	11,140
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 135	\$ 11,057
Covered Payroll	\$ 444,529	\$ 405,000	\$ 331,748	\$ 303,347	\$ 291,179
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF COTTONWOOD CLASSICAL PREPARATORY SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.07696%	0.06897%	0.06752%	6.91700%	0.07089%
Proportionate Share of the Net OPEB Liability	\$ 2,532,253	\$ 2,895,987	\$ 2,189,261	\$ 3,007,757	\$ 3,212,513
Covered Payroll	\$ 3,716,750	\$ 2,817,561	\$ 2,967,820	\$ 291,179	\$ 2,953,027 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	101.3500%	108.7900%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF COTTONWOOD CLASSICAL PREPARATORY SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 92,061	\$ 74,335	\$ 59,766	\$ 108,090	\$ 22,197
Contributions in Relation to the Contractually Required Contribution	92,061	74,335	59,766	106,770	11,140
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 1,320	\$ 11,057
Covered Payroll	\$ 4,603,046	\$ 3,716,750	\$ 2,817,561	\$ 2,967,820	\$ 291,179
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF ACE LEADERSHIP HIGH SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.03235%	0.03011%	0.03316%	0.03873%	0.04093%
Proportionate Share of the Net OPEB Liability	\$	1,064,428	\$ 1,264,291	\$ 1,075,176	\$ 1,684,118	\$ 1,854,814
Covered Payroll	\$	1,562,100	\$ 1,383,743	\$ 1,661,756	\$ 1,704,999	\$ 1,704,999 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	101.3500%	108.7900%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF ACE LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 33,057	\$ 31,242	\$ 29,352	\$ 60,522	\$ 129,972
Contributions in Relation to the Contractually Required Contribution	33,057	31,242	29,352	59,783	65,231
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 739	\$ 64,741
Covered Payroll	\$ 1,652,850	\$ 1,562,100	\$ 1,383,743	\$ 1,661,756	\$ 1,704,999
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

A-4

**SCHEDULE OF TECH LEADERSHIP HIGH SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.031111%	0.03008%	0.02959%	0.02758%	0.01850%
Proportionate Share of the Net OPEB Liability	\$ 1,023,628	\$ 1,263,032	\$ 959,423	\$ 1,199,276	\$ 838,360
Covered Payroll	\$ 1,502,500	\$ 1,234,770	\$ 1,183,352	\$ 770,645	\$ 770,645 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6919%	77.7000%	101.3500%	108.7900%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF TECH LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 34,757	\$ 3,050	\$ 26,192	\$ 43,098	\$ 58,746
Contributions in Relation to the Contractually Required Contribution	34,757	3,050	26,192	42,572	29,484
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 526	\$ 29,262
Covered Payroll	\$ 1,737,835	\$ 1,502,500	\$ 1,234,770	\$ 1,183,352	\$ 770,645
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF HEALTH LEADERSHIP HIGH SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability	0.02588%	0.02684%	0.03179%	0.03110%	0.02944%
Proportionate Share of the Net OPEB Liability	\$ 851,543	\$ 1,126,987	\$ 1,030,755	\$ 1,352,338	\$ 1,334,125
Covered Payroll	\$ 1,249,943	\$ 1,326,574	\$ 1,334,382	\$ 1,226,367	\$ 1,226,367 ¹
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll	71.3100%	97.6900%	77.7000%	101.3500%	108.7900%
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability	25.39%	16.50%	18.92%	13.14%	11.34%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

¹ Covered payroll was estimated using 2018 payroll information.

**SCHEDULE OF HEALTH LEADERSHIP HIGH SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 26,155	\$ 25,018	\$ 28,139	\$ 48,599	\$ 93,486
Contributions in Relation to the Contractually Required Contribution	26,155	25,018	28,139	48,006	46,919
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	\$ 593	\$ 46,567
Covered Payroll	\$ 1,303,748	\$ 1,249,943	\$ 1,326,574	\$ 1,334,382	\$ 1,226,367
Contributions as a Percentage of Covered Payroll	2.01%	2.00%	2.12%	3.60%	3.83%

* This schedule is presented to illustrate the requirements to show information for 10 years. However, until a full 10-year trend is compiled, the District will continue to present information for years the information is available.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF CORAL COMMUNITY CHARTER SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.02558%	0.02485%	0.02585%	*	*
Proportionate Share of the Net OPEB Liability	\$	841,671	\$ 1,043,429	\$ 838,157	*	*
Covered Payroll	\$	1,235,500	\$ 1,078,702	*	*	*
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	*	*
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	*	*

* The Coral Community Charter School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

**SCHEDULE OF CORAL COMMUNITY CHARTER SCHOOL'S CONTRIBUTIONS
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 30,767	\$ 24,710	\$ 22,881	*	*
Contributions in Relation to the Contractually Required Contribution	30,767	24,710	22,881	*	*
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	*	*
Covered Payroll	\$ 1,538,397	\$ 1,235,500	\$ 1,078,702	*	*
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	*	*

* The Coral Community Charter School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF GILBERT L. SENA CHARTER HIGH SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.02391%	0.02295%	0.02304%	*	*
Proportionate Share of the Net OPEB Liability	\$	786,723	\$ 963,649	\$ 747,046	*	*
Covered Payroll	\$	1,154,650	\$ 961,443	*	*	*
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.3100%	97.6900%	77.7000%	*	*
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	*	*

* The Gilbert L. Sena Charter High School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

**SCHEDULE OF GILBERT L. SENA CHARTER HIGH SCHOOL'S PROPORTIONATE
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 21,342	\$ 23,093	\$ 20,394	*	*
Contributions in Relation to the Contractually Required Contribution	21,342	23,093	20,394	*	*
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	*	*
Covered Payroll	\$ 1,067,101	\$ 1,154,650	\$ 961,443	*	*
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	*	*

* The Gilbert L. Sena Charter High School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

State of New Mexico
Albuquerque Municipal School District No. 12
Required Supplementary Information

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**SCHEDULE OF THE NEW AMERICA SCHOOL'S PROPORTIONATE
SHARE OF THE NET OPEB LIABILITY
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	Fiscal Year Measurement Date	2022 2021	2021 2020	2020 2019	2019 2018	2018 2017
Proportion of the Net OPEB Liability		0.02744%	0.02662%	0.02843%	*	*
Proportionate Share of the Net OPEB Liability	\$	902,872	\$ 1,117,749	\$ 921,811	*	*
Covered Payroll	\$	1,325,350	\$ 1,186,364	*	*	*
Proportionate Share of the Net OPEB Liability as a Percentage of its Covered Payroll		71.31%	97.69%	77.7000%	*	*
Plan Fiduciary Net OPEB Liability as a Percentage of the Total OPEB Liability		25.39%	16.50%	18.92%	*	*

* The New America School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

**SCHEDULE OF THE NEW AMERICA SCHOOL'S PROPORTIONATE
Retiree Health Care Authority (RHCA) Plan
Last 10 Fiscal Years * (unaudited)**

	2022	2021	2020	2019	2018
Contractually Required Contribution	\$ 23,731	\$ 26,507	\$ 25,165	*	*
Contributions in Relation to the Contractually Required Contribution	23,731	26,507	25,165	*	*
Contribution Deficiency (Excess)	\$ -	\$ -	\$ -	*	*
Covered Payroll	\$ 1,186,550	\$ 1,325,350	\$ 1,186,364	*	*
Contributions as a Percentage of Covered Payroll	2.00%	2.00%	2.12%	*	*

* The New America School was a new authorized charter school under District as of July 1, 2019 and historical data has not been previously presented for this school.

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State of New Mexico
Albuquerque Municipal School District No. 12
Notes to Required Supplementary Information (unaudited)
Year Ended June 30, 2022

Pension Plan

Changes in benefit provisions. Other than the employer contribution increases attributable to Senate Bill 42, there were no modifications to the benefit provisions with an actuarial impact that were reflected in the actuarial valuation as of June 30, 2020.

Changes in assumptions and methods. Actuarial assumptions and methods are set by the Board of Trustees, based upon recommendations made by the Plan's actuary. The Board adopted new assumptions on April 17, 2020, in conjunction with the six-year actuarial experience study period ending June 30, 2019. No changes have been made to the assumptions since the prior valuation. The calculation of the funding policy contribution has been updated to reflect an open group projection, recognizing new hire benefits as well as anticipated cost-of-living adjustments less than the assumed 1.80% while the plan is less than fully funded.

Other Post-Employment Benefits (OPEB)

In the June 30, 2021 actual valuation and the total OPEB liability measured as of June 30, 2021, change in assumptions include adjustments resulting from an decrease in the discount rate from 2.86% to 3.62%.

See also the Actuarial Assumptions subsection of the financial statements note disclosure, *General Information on the Pension Plan and Other Post-Employment Benefits (OPEB)*.

APPENDIX B

ECONOMIC, DEMOGRAPHIC AND FINANCIAL INFORMATION

This portion of the Official Statement contains general information concerning the historic economic and demographic conditions in the District. This portion of the Official Statement is intended only to provide prospective investors with general information regarding the District's community. The information was obtained from the sources indicated and is limited to the time periods indicated. The District makes no representation as to the accuracy or completeness of data obtained from parties other than the District. The information is historic in nature; it is not possible to predict whether the trends shown will continue in the future.

The District and Metropolitan Area

The area within the District is part of the Albuquerque Metropolitan Statistical Area ("MSA") which was redefined as of January 1993 to include the Counties of Bernalillo, Sandoval and Valencia. The District includes 97.5% of Bernalillo County and 2.5% of Sandoval County based on assessed valuation. Accordingly, economic and demographic provided below for the Albuquerque MSA is derived from an area larger than the District.

The District is crossed by Interstate Highways 25 and 40 and is served by the Burlington Northern and Santa Fe Railroad and the Sunport International Airport. Located at the center of the State, the Albuquerque MSA is the major trade, commercial and financial center of the State.

Population

Year	City	Bernalillo County	Albuquerque MSA	State
1980	332,920	420,262	-- ⁽¹⁾	1,303,303
1990	384,736	480,577	589,131	1,515,069
2000 ⁽²⁾	448,607	556,678	729,649	1,819,046
2010 ⁽³⁾	545,852	662,564	887,077	2,059,179
2020 ⁽⁴⁾	564,559	676,444	916,528	2,117,522
2021 ⁽⁵⁾	562,599	674,393	918,259	2,116,677

(1) Valencia County was split into two counties in 1981 and official data is not available prior to that year for the Albuquerque MSA.

(2) April 2000 is the month and year of the Census and is reported as the benchmark; all other years are as of July. The Census in 2000 expanded the Albuquerque MSA to include Torrance County.

(3) 2010 decennial census U.S. Census Bureau.

(4) 2020 decennial census U.S. Census Bureau.

(5) 2021 Population Estimate, QuickFacts (City, County, State) <https://www.census.gov/quickfacts/fact/table/albuquerquecitynewmexico,bernalillocountynewmexico,NM/PST045222>; and Annual Estimates for Metropolitan Statistical Areas, July 1, 2021 (CBSA-MET-EST2021-POP) <https://www.census.gov/data/tables/time-series/demo/popest/2020s-total-metro-and-micro-statistical-areas.html>.

Source: U.S. Census Bureau.

Age Distribution

The following table sets forth a projected comparative age distribution profile as of January 1, 2023, for the City of Albuquerque, Albuquerque MSA, the State and the United States.

POPULATION PROJECTION BY AGE GROUP - 2023

Age	City		Bernalillo County		Albuquerque MSA		State		United States
	Count ⁽¹⁾	Percent	Count ⁽¹⁾	Percent	Count ⁽¹⁾	Percent	Count ⁽¹⁾	Percent	Percent
0-17	117.2	20.8%	139.2	20.6%	192.8	20.9%	466.1	22.0%	21.8%
18-24	49.9	8.8	59.3	8.8	80.5	8.7	199.5	9.4	9.2
25-34	80.2	14.2	95.7	14.2	125.0	13.6	279.2	13.2	13.4
35-44	80.9	14.3	93.6	13.9	124.5	13.5	266.9	12.6	12.9
45-54	66.3	11.7	79.0	11.7	107.8	11.7	233.6	11.0	12.1
55-64	67.4	11.9	83.1	12.3	114.9	12.5	259.2	12.2	12.6
65-74	62.5	11.1	76.6	11.3	108.2	11.8	251.5	11.9	10.7
75+	40.4	7.2	48.5	7.2	67.2	7.3	164.2	7.7	7.3

(1) Count in thousands.

Source: ©Claritas, LLC 2023.

Employment

General

Employment in the Albuquerque area in the period from Fiscal Year 2008 to Fiscal Year 2017 declined at an average of 0.2% a year. From Fiscal Year 2008 to Fiscal Year 2012 approximately 27,700 jobs were lost. In the following five fiscal years (2013 through 2017) the economy added just over 19,000 jobs. Albuquerque's recovery from the previous recession was slower than the nation as a whole. Employment in the nation reached its pre-recession peak in June 2014, while Albuquerque reached its pre-recession peak in the first quarter of Fiscal Year 2020. The Albuquerque MSA declined about 1.3% in Fiscal Year 2020 from Fiscal Year 2019, or by an estimated 4,779 jobs. The Albuquerque MSA declined another estimated 15,249 jobs in Fiscal Year 2021 due to the impacts of the COVID-19 health crisis; however, the MSA has since recovered about 75% of the approximately 50,000 jobs lost at the height of the crisis.

The information on non-agricultural employment for the State and the Albuquerque MSA reported in the following table represents estimates by the New Mexico Department of Workforce Solutions and U.S. Bureau of Labor statistics. More detailed information on non-agricultural employment can be found below under "Historical Employment by Sector" in the table entitled "Estimated Non-Agricultural Wage and Salary Employment for the Albuquerque MSA Fiscal Years 2013-2022".

NON-AGRICULTURAL EMPLOYMENT⁽¹⁾
(000s)

Fiscal Year (June)	<u>ALBUQUERQUE MSA⁽¹⁾</u>		<u>NEW MEXICO⁽²⁾</u>		<u>UNITED STATES⁽³⁾</u>	
	Employment	% Chg.	Employment	% Chg.	Employment	% Chg.
2013	375	--	808	--	136,269	--
2014	377	0.5%	815	0.8%	138,833	1.9%
2015	381	1.1%	824	1.1%	141,695	2.1%
2016	387	1.6%	824	0.0%	144,152	1.7%
2017	391	1.1%	831	0.9%	146,588	1.7%
2018	395	1.0%	844	1.5%	148,966	1.6%
2019	397	0.7%	853	1.1%	150,797	1.2%
2020	364	-8.3%	775	-9.1%	137,620	-8.7%
2021	380	4.4%	808	4.3%	145,789	5.9%
2022	396	4.2%	847	4.8	152,412	4.5%

(1) BLS Employees Statistics (Seasonally Adjusted) for June in each year, <https://data.bls.gov/cgi-bin/srgate/>, Series SMS351074000000000001.

(2) BLS Employees Statistics (Seasonally Adjusted) for June in each year, <https://data.bls.gov/cgi-bin/srgate/>, Series SMS3500000000000000001.

(3) BLS Employees Statistics(Seasonally Adjusted) for June in each year, <https://data.bls.gov/timeseries/CES0000000001>

Source: U.S. Bureau of Labor Statistics (BLS).

CIVILIAN EMPLOYMENT/UNEMPLOYMENT RATES

Calendar Year	<u>Albuquerque MSA⁽¹⁾</u>		<u>Annual Unemployment Rates⁽¹⁾</u>			
	Civilian Labor Force	Number Employed	Bernalillo County	Albuquerque MSA	New Mexico	United States⁽²⁾
2013	418.2	389,876	6.4%	6.8%	6.9%	7.4%
2014	419.0	392,070	6.1	6.4	6.6	6.2
2015	422.3	396,018	6.0	6.2	6.6	5.3
2016	430.0	403,214	5.9	6.1	6.7	4.9
2017	433.4	409,038	5.4	5.6	6.1	4.4
2018	435.0	414,754	4.5	4.6	4.9	3.9
2019	441.4	420,820	4.5	4.7	4.9	3.7
2020	430.8	397,082	7.7	7.8	8.1	8.1
2021	438.4	410,618	6.2	6.3	6.8	5.3
2022	441.4	424,963	3.6	3.7	4.0	3.6

(1) Data from Local Area Unemployment Statistics (Not Seasonally Adjusted), New Mexico Department of Workforce Solutions.

(2) Labor Force Statistics (Not Seasonally Adjusted) Unemployment Rate Annual Average, <https://data.bls.gov/timeseries/LNU04000000>.

Sources: New Mexico Department of Workforce Solutions (downloaded March 15, 2023) and U.S. Bureau of Labor Statistics.

The following table lists the major employers in the Albuquerque area and their estimated number of full-time employees for 2022.

MAJOR EMPLOYERS IN THE ALBUQUERQUE AREA⁽¹⁾
By Number of Employees – 2022

Organization	Employees	Description
Presbyterian Healthcare Services	13,236	Health Care
Sandia National Laboratories	12,300	National Security and Defense Systems
Albuquerque Public Schools	11,000	School District
City of Albuquerque	5,800	Local Government
University of New Mexico (main campus)	5,700	Public University
New Mexico State University	3,467	Public University
Bernalillo County	2,500	Local Government
St. Vincent Regional Medical Center	2,300	Health Care
Intel Corp.	1,900	Microprocessor Technology
Blue Cross and Blue Shield of New Mexico	1,700	Health Insurance
Central New Mexico Community College	1,212	Community College

Source: Albuquerque Business First: <https://www.bizjournals.com/albuquerque/subscriber-only/2022/07/15/nm-largest-employers-1.html>.

Historical Employment by Sector

The following table describes by industry sector the estimated non-agricultural wage and salary employment for the Albuquerque MSA during the past ten years.

ESTIMATED NON-AGRICULTURAL INDUSTRY EMPLOYMENT - ALBUQUERQUE MSA
CALENDAR YEARS 2013-2022
(number of employees in thousands)

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	<u>2021 to 2022</u>	<u>Annual Average Growth 2013- 2022</u>	<u>Sector Share 2022</u>	
													<u>ABQ</u>	<u>U.S.</u>
Total Nonagricultural	374.8	377.1	380.8	386.6	389.1	393.7	398.7	375.8	386.9	401.6	3.8%	7.2%	100.0%	100.0%
Natural Resources/Mining/Constr.	19.9	20.3	20.5	21.5	23.0	23.9	24.6	24.5	25.2	25.9	2.8	30.2	6.5	5.5
Manufacturing	17.3	16.5	16.5	16.1	15.7	16.0	16.7	15.9	16.3	16.9	3.7	-2.3	4.2	8.4
Trade Transportation and Utilities	62.7	63.3	63.9	64.0	63.2	63.8	63.2	60.7	63.9	68.2	6.7	8.8	17.0	18.8
• Wholesale Trade	11.7	11.9	11.9	11.9	11.6	11.7	11.7	11.0	11.0	11.4	3.6	-2.6	2.8	3.9
• Retail Trade	41.2	41.6	42.0	41.9	41.4	41.6	41.1	39.4	41.2	42.0	1.9	1.9	10.5	10.1
Information	8.1	7.9	8.1	7.7	7.3	6.5	6.1	5.2	5.3	5.8	9.4	-28.4	1.4	2.0
Financial Activities	17.9	17.8	18.0	18.3	18.6	18.9	19.4	19.2	19.4	20.1	3.6	12.3	5.0	5.9
Professional and Business Services	57.2	57.2	57.2	58.5	60.4	61.8	64.1	61.5	63.3	65.6	3.6	14.7	16.3	14.8
Educational and Health Services	57.8	59.5	62.0	64.1	64.3	64.9	65.9	64.1	65.7	66.5	1.2	15.1	16.6	16.0
Leisure and Hospitality	39.7	41.0	41.9	42.7	43.2	44.1	44.7	34.7	38.4	42.6	10.9	7.3	10.6	10.4
Other Services	11.7	11.8	11.6	11.9	11.9	12.1	12.2	10.9	11.2	11.7	4.5	0.0	2.9	3.7
Government	82.6	81.9	81.0	82.1	81.5	81.8	81.8	79.0	78.1	78.3	0.3	-5.2	19.5	14.5
LOCAL GOVERNMENT	40.7	40.2	40.1	40.1	39.9	40.2	40.6	37.7	36.5	37.1	1.6	-8.8	9.2	9.3
STATE GOVERNMENT	27.3	27.4	26.7	27.6	27.2	27.4	26.8	26.4	26.9	26.8	-0.4	-1.8	6.7	3.3
FEDERAL GOVERNMENT	14.6	14.2	14.2	14.4	14.4	14.2	14.4	14.9	14.7	14.4	-2.0	-1.4	3.6	1.9

Sources: New Mexico Department of Workforce Solutions, Current Employment Statistics (CES) Not Seasonally Adjusted, 2013-2022 (downloaded March 14, 2023); and U.S. Bureau of Labor Statistics (extracted March 13, 2023), <https://data.bls.gov/cgi-bin/srgate>, Series CEU0000000001, CEU1000000000 - CEU 9000000001, Not Seasonally Adjusted.

BUILDING PERMITS ISSUED IN THE CITY OF ALBUQUERQUE

Fiscal Year	Single Family		Multi-Family		Commercial		Public		Additions & Alterations	Total Permits
	Permits	\$ Value	Units	\$ Value	Permits	\$ Value	Permits	\$ Value	\$ Value	\$ Value
2010	876	\$140,369,408	168	\$14,763,081	34	\$26,197,123	8	\$18,076,792	\$209,624,603	\$409,031,007
2011	725	120,749,010	278	37,022,789	45	65,940,484	1	3,300,300	165,845,129	392,857,712
2012	846	153,465,589	350	32,509,563	36	46,257,090	4	31,907,654	165,883,476	430,023,373
2013	923	170,470,736	945	73,378,214	63	78,523,292	4	5,545,791	226,949,710	554,867,742
2014	841	163,980,975	898	81,296,532	152	103,214,914	7	16,859,014	198,430,162	563,781,597
2015	871	167,352,011	449	39,390,742	112	116,776,561	10	17,257,410	165,159,484	505,936,208
2016	915	184,770,209	567	43,676,768	88	119,913,663	13	27,886,373	230,591,376	606,838,389
2017	971	183,587,235	984	60,907,961	132	242,802,744	9	25,894,927	298,194,709	811,387,576
2018	1,331	255,446,287	148	13,335,366	105	68,312,826	12	8,325,621	195,051,789	532,146,267
2019	827	169,706,112	7	65,153,371	68	110,847,882	--	--	206,136,708	551,844,074
2020	935	221,266,728	126	13,687,955	80	164,840,741	--	--	263,966,827	663,762,251
2021	800	196,658,530	791	53,609,394	98	182,016,813	--	--	233,545,558	665,830,295
2022	741	184,797,978	38	175,655,260	163	138,326,053			225,890,806	724,670,097
Growth 2021 to 2022	-7.4%	-6.0%	-95.2%	227.7%	66.3%	-24.0%	N/A	N/A	-3.3%	8.8%

Below

Total Housing Units in the City of Albuquerque	Total Units	Single Family	Multi-Family	Mobile Homes & Others
As of 1990 Census	166,870	101,780	55,931	9,159
As of 2000 Census	198,714	126,643	63,285	8,786
As of 2010 Census	239,166	162,501	66,839	9,826
As of 2020 Census	398,585	286,583	78,920	33,880

Sources: City of Albuquerque Planning Department; Census Bureau, U.S. Department of Commerce.

Income

The following table sets forth annual per capita personal income levels for the Albuquerque MSA, the State and the United States. The Bureau of Economic Analysis defines “earnings” to include wages and salaries, proprietor’s income and other labor income (such as bonuses).

PER CAPITA PERSONAL INCOME

Calendar Year	Bernalillo County⁽¹⁾	Albuquerque MSA⁽¹⁾	New Mexico⁽¹⁾	United States⁽¹⁾
2012	\$36,899	\$ 36,024	\$35,749	\$44,548
2013	36,274	35,510	35,088	44,798
2014	38,520	37,585	37,219	46,887
2015	39,977	38,958	38,103	48,725
2016	41,349	40,305	38,775	49,613
2017	42,145	41,014	39,458	51,550
2018	43,643	42,414	41,218	53,786
2019	46,130	44,884	43,530	56,250
2020	49,817	48,514	46,760	59,765
2021	53,616	52,263	50,311	64,143

(1) County and MSA figures updated November 2022; state and national figures updated September 2022. All figures are subject to periodic revisions

Source: U.S. Bureau of Economic Analysis, "[CAINC1 County and MSA personal income summary: personal income, population, per capita personal income](#)" and "[SAINC1 State annual personal income summary: personal income, population, per capita personal income](#)" (accessed Monday, March 6, 2023).

The following table reflects the Percent of Households by Effective Buying Income Groups (“EBI”). EBI is defined as money income less personal tax and non-tax payments described below. Money income is the aggregate of wages and salaries, net farm and nonfarm self-employment income, interest, dividends, net rental and royalty income, Social Security and railroad retirement income, other retirement and disability income, public assistance income, unemployment compensation, Veterans Administration payments, alimony and child support, military family allotments, net winnings from gambling, and other periodic income. Deducted from this total money income are personal income taxes, personal contributions to social insurance (Social Security and federal retirement payroll deductions), and taxes on owner-occupied non-business real estate. Receipts from the following sources are not included as money income: money received from the sale of property; the value of “in kind” income such as food stamps, public housing subsidies, and employer contributions for persons; withdrawal of bank deposits; money borrowed; tax refunds; exchange of money between relatives living in the same household; gifts and lump-sum inheritances, insurance payments, and other types of lump-sum receipts.

**ESTIMATED PERCENT OF HOUSEHOLDS BY
EFFECTIVE BUYING INCOME GROUPS**

2023 Projected Effective Buying Income Group⁽¹⁾	Bernalillo County	Albuquerque MSA Estimated Percent	New Mexico Estimated Percent	United States Estimated Percent
Under \$24,999	19.57%	18.56%	21.8728%	15.97%
\$25,000 - \$34,999	9.96%	9.57%	10.5526%	8.92%
\$35,000 - \$49,999	14.72%	14.56%	15.32%	13.63%
\$50,000 - \$74,999	19.29%	19.71%	19.07%	18.73%
\$75,000 - \$99,999	14.04%	14.77%	13.44%	14.59%
\$100,000 - \$124,999	8.57%	8.77%	7.92%	9.84%
\$125,000 - \$149,999	4.38%	4.47%	3.91%	5.61%
\$150,000 - \$199,999	5.07%	5.15%	4.39%	5.90%
Over \$200,000	4.40%	4.44%	3.53%	6.81%
Estimated Median Household Effective Buying Income⁽²⁾⁽³⁾				
2019 Median				
Household Income	\$47,365	\$47,601	\$43,963	\$52,468
2020 Median				
Household Income	\$46,725	\$46,664	\$43,201	\$54,686
2021 Median				
Household Income	\$47,295	\$46,861	\$43,401	\$56,093
2022 Median				
Household Income	\$55,102	\$56,517	\$50,493	\$63,680
2023 Median				
Household Income	\$56,681	\$58,508	\$52,527	\$64,600

(1) Estimated snapshots of income groups on January 1, 2023.

(2) Annual estimated snapshots of effective buying income on January 1st of each year.

(3) The difference between consecutive years is not an estimate of change from one year to the next; combinations of data are used each year to identify the estimated mean of income from which the median is computed.

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APPENDIX C

FORMS OF OPINIONS OF BOND COUNSEL

May 17, 2023

Board of Education
Albuquerque Municipal School District No. 12
Albuquerque, New Mexico

Re: \$70,000,000 Albuquerque Municipal School District No. 12 General Obligation School Bonds,
Series 2023A

Ladies and Gentlemen:

We have acted as bond counsel to the Albuquerque Municipal School District No. 12 (the “District”) in connection with the issuance of its \$70,000,000 General Obligation School Bonds, Series 2023A (the “Bonds”), dated May 17, 2023, with interest payable on August 1, 2023, and semi-annually thereafter on each February 1 and August 1 until maturity, and being bonds in registered form maturing on August 1 in the years 2023 to 2038.

We have examined the laws of the State and the United States of America relevant to the opinions herein, the transcript of proceedings (the “Transcript”) and other documents relevant to the issuance of the Bonds by the District. As to the questions of fact material to our opinion, we have relied upon representations of the District contained in the proceedings and other certifications furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, and subject to the assumptions and qualifications set forth below, we are of the opinion that, under existing law on the date of this opinion:

1. The Bonds constitute valid and binding general obligations of the District and are to be paid from the proceeds of the levy of ad valorem taxes on all taxable property within the District without limitation as to rate or amount.

2. Under existing laws, regulations, rulings and judicial decisions, interest on the Bonds is excludable from gross income for federal income tax purposes. We are also of the opinion that interest on the Bonds is not a specific preference item for purposes of calculating the alternative minimum tax imposed on individuals under provisions contained in the Internal Revenue Code of 1986, as amended (the “Code”). Although we are of the opinion that interest on the Bonds is excludable from gross income for federal income tax purposes, the accrual or receipt of interest on the Bonds may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend upon the recipient’s particular tax status or other items of income or deduction. We express no opinion regarding any such consequences.

3. The Bonds and the income from the Bonds are exempt from all taxation by the State or any political subdivision thereof.

The opinions expressed herein are based upon existing law as of the date of issuance and delivery of the Bonds. We express no opinion as of any date subsequent hereto, and our engagement with respect to the Bonds has concluded with their issuance. We disclaim any obligation to update this opinion.

The obligations of the District related to the Bonds are subject to the reasonable exercise in the future by the State and its governmental bodies of the police power inherent in the sovereignty of the State and to the exercise by the United States of the powers (including bankruptcy powers) delegated to it by the United States Constitution. The obligations of the District and the security provided therefor may be subject to general principles of equity which permit the exercise of judicial discretion and are subject to the provisions of applicable bankruptcy, insolvency, reorganization, moratorium or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect.

The foregoing opinions represent our legal judgment based upon a review of existing legal authorities as of the date of issuance and delivery of the Bonds that we deem relevant to render such opinions and are not a guarantee of result. We express no opinion with respect to any pending legislation.

As bond counsel, we are passing upon only those matters set forth in this opinion and are not passing upon the accuracy or completeness of any statement made in connection with any sale of the Bonds or upon any tax consequences arising from the receipt or accrual of interest on, or the ownership of, the Bonds except those specifically addressed in Paragraphs 2 and 3 above.

Respectfully submitted,

May 17, 2023

Board of Education
Albuquerque Municipal School District No. 12
Albuquerque, New Mexico

Re: \$42,885,000 Albuquerque Municipal School District No. 12 General Obligation Refunding Bonds, Series 2023B

Ladies and Gentlemen:

We have acted as bond counsel to the Albuquerque Municipal School District No. 12 (the “District”) in connection with the issuance of its \$42,885,000 General Obligation Refunding Bonds, Series 2023B (the “Bonds”), dated May 17, 2023, with interest payable on August 1, 2023, and semi-annually thereafter on each February 1 and August 1 until maturity, and being bonds in registered form maturing on August 1 in the years 2023 to 2029.

We have examined the laws of the State and the United States of America relevant to the opinions herein, the transcript of proceedings (the “Transcript”) and other documents relevant to the issuance of the Bonds by the District. As to the questions of fact material to our opinion, we have relied upon representations of the District contained in the proceedings and other certifications furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, and subject to the assumptions and qualifications set forth below, we are of the opinion that, under existing law on the date of this opinion:

1. The Bonds constitute valid and binding general obligations of the District and are to be paid from the proceeds of the levy of ad valorem taxes on all taxable property within the District without limitation as to rate or amount.

2. Under existing laws, regulations, rulings and judicial decisions, interest on the Bonds is excludable from gross income for federal income tax purposes. We are also of the opinion that interest on the Bonds is not a specific preference item for purposes of calculating the alternative minimum tax imposed on individuals under provisions contained in the Internal Revenue Code of 1986, as amended (the “Code”). Although we are of the opinion that interest on the Bonds is excludable from gross income for federal income tax purposes, the accrual or receipt of interest on the Bonds may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend upon the recipient’s particular tax status or other items of income or deduction. We express no opinion regarding any such consequences.

3. The Bonds and the income from the Bonds are exempt from all taxation by the State or any political subdivision thereof.

The opinions expressed herein are based upon existing law as of the date of issuance and delivery of the Bonds. We express no opinion as of any date subsequent hereto, and our engagement with respect to the Bonds has concluded with their issuance. We disclaim any obligation to update this opinion.

The obligations of the District related to the Bonds are subject to the reasonable exercise in the future by the State and its governmental bodies of the police power inherent in the sovereignty of the

State and to the exercise by the United States of the powers (including bankruptcy powers) delegated to it by the United States Constitution. The obligations of the District and the security provided therefor may be subject to general principles of equity which permit the exercise of judicial discretion and are subject to the provisions of applicable bankruptcy, insolvency, reorganization, moratorium or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect.

The foregoing opinions represent our legal judgment based upon a review of existing legal authorities as of the date of issuance and delivery of the Bonds that we deem relevant to render such opinions and are not a guarantee of result. We express no opinion with respect to any pending legislation.

As bond counsel, we are passing upon only those matters set forth in this opinion and are not passing upon the accuracy or completeness of any statement made in connection with any sale of the Bonds or upon any tax consequences arising from the receipt or accrual of interest on, or the ownership of, the Bonds except those specifically addressed in Paragraphs 2 and 3 above.

Respectfully submitted,

APPENDIX D

FORMS OF CONTINUING DISCLOSURE UNDERTAKINGS

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12 Bernalillo and Sandoval Counties, New Mexico

\$70,000,000 General Obligation School Bonds Series 2023A

CONTINUING DISCLOSURE UNDERTAKING

Section 1. Recitals. This Continuing Disclosure Undertaking (the “Undertaking”) is executed and delivered by the Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico (the “District”), in connection with the issuance of Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico, General Obligation School Bonds, Series 2023A (the “Series 2023A Bonds” or the “Bonds”). The Bonds are being issued pursuant to a Bond Resolution adopted February 22, 2023 (the “Bond Resolution”). Pursuant to the Bond Resolution to allow the underwriters of the Bonds to comply with the Rule (defined below), the District is required to make certain continuing disclosure undertakings for the benefit of owners (including beneficial owners) of the Bonds (the “Owners”). This Undertaking is intended to satisfy the requirements of the Rule.

Section 2. Definitions.

(a) “Annual Financial Information” means the financial information (which will be based on financial statements prepared in accordance with generally accepted accounting principles, as in effect from time to time (“GAAP”), for governmental units as prescribed by the Governmental Accounting Standards Board (“GASB”)) and operating data with respect to the District, delivered at least annually pursuant to Sections 3(a) and 3(b) of this Undertaking, consisting of information of the type set forth in the tables 1 through 14 and Appendix A in the Official Statement. The District will update and provide this information no later than March 31 of each year, commencing March 31, 2024, for the fiscal year ending on the preceding June 30.

(b) “Audited Financial Statements” means the District’s annual financial statements prepared in accordance with generally accepted accounting principles, as in effect from time to time (“GAAP”), for governmental units as prescribed by the Governmental Accounting Standards Board (“GASB”), which financial statements have been audited as may then be required or permitted by the laws of the State.

(c) “EMMA” means the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access System located on its website at emma.msrb.org.

(d) “Event Information” means the information delivered pursuant to Section 3(d).

(e) “MSRB” means the Municipal Securities Rulemaking Board. The current address of the MSRB is 1900 Duke Street, Suite 600, Alexandria, Virginia 22314, phone (703) 797-6600, fax (703) 797-6708.

(f) “Official Statement” means the Official Statement dated April 26, 2023, delivered in connection with the original issue and sale of the Bonds.

(g) “Report Date” means March 31 of each year, beginning in 2024.

(h) “Rule” means Rule 15c2-12 promulgated by the SEC under the Securities Exchange Act of 1934, as amended (17 C.F.R. Part 240, § 240.15c2-12), as the same may be amended from time to time.

(i) “SEC” means the United States Securities and Exchange Commission.

(j) “State” means the State of New Mexico.

Section 3. Provision of Annual Financial Information and Reporting of Event Information.

(a) The District, or its designated agent, will provide the Annual Financial Information for the preceding fiscal year to EMMA on or before each Report Date while the Bonds are outstanding.

(b) If Audited Financial Statements are not provided as part of the Annual Financial Information, the District, or its designated agent, will provide unaudited financial statements as part of the Annual Financial information, and will provide Audited Financial Statements when and if available. The District will timely provide to EMMA notice of failure to provide Annual Financial Information or Audited Financial Statements in the event these items are not available by the Report Date.

(c) The District, or its designated agent, may provide Annual Financial Information by specific reference to other documents, including information reports and official statements relating to other debt issues of the District, which have been submitted to EMMA or filed with the SEC; provided, however, that if the document so referenced is a “final official statement” within the meaning of the Rule, such final official statement must also be available from the MSRB.

(d) The District, or its designated agent, will provide, to EMMA, notice of any of the following events with respect to the Bonds in a timely manner not in excess of ten (10) business days after the occurrence of the event:

(i) principal and interest payment delinquencies;

(ii) non-payment related defaults, if material;

(iii) unscheduled draws on debt service reserves reflecting financial difficulties;

(iv) unscheduled draws on credit enhancements reflecting financial difficulties;

(v) substitution of credit or liquidity providers, or their failure to perform;

(vi) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(vii) modifications to rights of holders of the Bonds, if material;

(viii) bond calls, if material, and tender offers;

(ix) defeasances;

- (x) release, substitution or sale of property securing repayment of the Bonds, if material;
- (xi) rating changes;
- (xii) bankruptcy, insolvency, receivership or a similar event with respect to the District, which shall occur as described below;
- (xiii) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of its assets, other than in the ordinary course of business, the entry into of a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;
- (xiv) appointment of a successor or additional trustee, or the change of name of a trustee, if material;
- (xv) incurrence of a financial obligation of the District, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the District, any of which affect security holders, if material; and
- (xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the District, any of which reflect financial difficulties.

For these purposes, any event described in (xii) in the immediately preceding paragraph is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District. For the purposes of the above described event notices (xv) and (xvi), the term “financial obligation” means a (i) debt obligation, (ii) derivative instrument entered into in connection with or pledged as security or a source of payment for, an existing or planned debt obligation, or (iii) a guarantee of (i) or (ii); provided, however, that a “financial obligation” shall not include municipal securities as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

Section 4. Method of Transmission. The District, or its designated agent, will employ such methods of electronic or physical information transmission as are requested or recommended from time to time by EMMA, the MSRB or the SEC.

Section 5. Enforcement. The obligations of the District under this Undertaking are for the benefit of the Owners. Each Owner is authorized to take action to seek specific performance by court order to compel the District to comply with its obligations under this Undertaking, which action will be the exclusive remedy available to it or any other Owner. The District's breach of its obligations under this Undertaking will not constitute an event of default under the Bond Resolution, and none of the rights and remedies provided by such Bond Resolution will be available to the Owners with respect to such a breach.

Section 6. Term. The District's obligations under this Undertaking will be in effect from and after the issuance and delivery of the Bonds and will extend to the earliest of (i) the date all principal and interest on the Bonds has been paid or legally defeased pursuant to the terms of the Resolution; (ii) the date on which the District is no longer an "obligated person" with respect to the Bonds within the meaning of the Rule; or (iii) the date on which those portions of the Rule which require this Undertaking are determined to be invalid or unenforceable by a court of competent jurisdiction in a non-appealable action, have been repealed retroactively or otherwise do not apply to the Bonds.

Section 7. Amendments. The District may amend this Undertaking from time to time, without the consent of any Owner, upon the District's receipt of an opinion of independent counsel experienced in federal securities laws to the effect that such amendment:

(a) is made in connection with a change in circumstances that arises from a change in legal requirements, a change in law or a change in the identity, nature or status of the District;

(b) this Undertaking, as amended, would have complied with the Rule at the time of the initial issue and sale of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any changes in circumstances; and

(c) the amendment does not materially impair the interests of the Owners.

Any amended operating data or financial information will be explained, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided. If an amendment changes the accounting principles to be followed in preparing financial statements, the Annual Financial Information, and Audited Financial Statements for the year in which the change is made will present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 8. Beneficiaries. This Undertaking binds and inures to the sole benefit of the District and the Owners and creates no rights in any other person or entity.

Section 9. Subject to Appropriation. This Undertaking shall be subject to annual appropriation by the District's Board of Education and shall not be construed as a general obligation of the District.

Section 10. Governing Law. This Undertaking is governed by and is to be construed in accordance with the law of the State.

[Signature Page Follows]

Date: May 17, 2023

BOARD OF EDUCATION OF THE ALBUQUERQUE
MUNICIPAL SCHOOL DISTRICT NO. 12

By: _____
President

ATTEST:

Secretary

ALBUQUERQUE MUNICIPAL SCHOOL DISTRICT NO. 12
Bernalillo and Sandoval Counties, New Mexico

\$42,885,000
General Obligation
Refunding Bonds
Series 2023B

CONTINUING DISCLOSURE UNDERTAKING

Section 1. Recitals. This Continuing Disclosure Undertaking (the “Undertaking”) is executed and delivered by the Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico (the “District”), in connection with the issuance of Albuquerque Municipal School District No. 12, Bernalillo and Sandoval Counties, New Mexico, General Obligation Refunding Bonds, Series 2023B (the “Series 2023B Bonds” or the “Bonds”). The Bonds are being issued pursuant to a Bond Resolution adopted February 22, 2023 (the “Bond Resolution”). Pursuant to the Bond Resolution to allow the underwriters of the Bonds to comply with the Rule (defined below), the District is required to make certain continuing disclosure undertakings for the benefit of owners (including beneficial owners) of the Bonds (the “Owners”). This Undertaking is intended to satisfy the requirements of the Rule.

Section 2. Definitions.

(a) “Annual Financial Information” means the financial information (which will be based on financial statements prepared in accordance with generally accepted accounting principles, as in effect from time to time (“GAAP”), for governmental units as prescribed by the Governmental Accounting Standards Board (“GASB”)) and operating data with respect to the District, delivered at least annually pursuant to Sections 3(a) and 3(b) of this Undertaking, consisting of information of the type set forth in the tables 1 through 14 and Appendix A in the Official Statement. The District will update and provide this information no later than March 31 of each year, commencing March 31, 2024, for the fiscal year ending on the preceding June 30.

(b) “Audited Financial Statements” means the District’s annual financial statements prepared in accordance with generally accepted accounting principles, as in effect from time to time (“GAAP”), for governmental units as prescribed by the Governmental Accounting Standards Board (“GASB”), which financial statements have been audited as may then be required or permitted by the laws of the State.

(c) “EMMA” means the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access System located on its website at emma.msrb.org.

(d) “Event Information” means the information delivered pursuant to Section 3(d).

(e) “MSRB” means the Municipal Securities Rulemaking Board. The current address of the MSRB is 1900 Duke Street, Suite 600, Alexandria, Virginia 22314, phone (703) 797-6600, fax (703) 797-6708.

(f) “Official Statement” means the Official Statement dated April 26, 2023, delivered in connection with the original issue and sale of the Bonds.

(g) “Report Date” means March 31 of each year, beginning in 2024.

(h) “Rule” means Rule 15c2-12 promulgated by the SEC under the Securities Exchange Act of 1934, as amended (17 C.F.R. Part 240, § 240.15c2-12), as the same may be amended from time to time.

(i) “SEC” means the United States Securities and Exchange Commission.

(j) “State” means the State of New Mexico.

Section 3. Provision of Annual Financial Information and Reporting of Event Information.

(a) The District, or its designated agent, will provide the Annual Financial Information for the preceding fiscal year to EMMA on or before each Report Date while the Bonds are outstanding.

(b) If Audited Financial Statements are not provided as part of the Annual Financial Information, the District, or its designated agent, will provide unaudited financial statements as part of the Annual Financial information, and will provide Audited Financial Statements when and if available. The District will timely provide to EMMA notice of failure to provide Annual Financial Information or Audited Financial Statements in the event these items are not available by the Report Date.

(c) The District, or its designated agent, may provide Annual Financial Information by specific reference to other documents, including information reports and official statements relating to other debt issues of the District, which have been submitted to EMMA or filed with the SEC; provided, however, that if the document so referenced is a “final official statement” within the meaning of the Rule, such final official statement must also be available from the MSRB.

(d) The District, or its designated agent, will provide, to EMMA, notice of any of the following events with respect to the Bonds in a timely manner not in excess of ten (10) business days after the occurrence of the event:

(i) principal and interest payment delinquencies;

(ii) non-payment related defaults, if material;

(iii) unscheduled draws on debt service reserves reflecting financial difficulties;

(iv) unscheduled draws on credit enhancements reflecting financial difficulties;

(v) substitution of credit or liquidity providers, or their failure to perform;

(vi) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(vii) modifications to rights of holders of the Bonds, if material;

(viii) bond calls, if material, and tender offers;

(ix) defeasances;

(x) release, substitution or sale of property securing repayment of the Bonds, if material;

- (xi) rating changes;
- (xii) bankruptcy, insolvency, receivership or a similar event with respect to the District, which shall occur as described below;
- (xiii) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of its assets, other than in the ordinary course of business, the entry into of a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;
- (xiv) appointment of a successor or additional trustee, or the change of name of a trustee, if material;
- (xv) incurrence of a financial obligation of the District, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the District, any of which affect security holders, if material; and
- (xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the District, any of which reflect financial difficulties.

For these purposes, any event described in (xii) in the immediately preceding paragraph is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District. For the purposes of the above described event notices (xv) and (xvi), the term “financial obligation” means a (i) debt obligation, (ii) derivative instrument entered into in connection with or pledged as security or a source of payment for, an existing or planned debt obligation, or (iii) a guarantee of (i) or (ii); provided, however, that a “financial obligation” shall not include municipal securities as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

Section 4. Method of Transmission. The District, or its designated agent, will employ such methods of electronic or physical information transmission as are requested or recommended from time to time by EMMA, the MSRB or the SEC.

Section 5. Enforcement. The obligations of the District under this Undertaking are for the benefit of the Owners. Each Owner is authorized to take action to seek specific performance by court order to compel the District to comply with its obligations under this Undertaking, which action will be the exclusive remedy available to it or any other Owner. The District's breach of its obligations under this Undertaking will not constitute an event of default under the Bond Resolution, and none of the rights and remedies provided by such Bond Resolution will be available to the Owners with respect to such a breach.

Section 6. Term. The District's obligations under this Undertaking will be in effect from and after the issuance and delivery of the Bonds and will extend to the earliest of (i) the date all principal and interest on the Bonds has been paid or legally defeased pursuant to the terms of the Resolution; (ii) the date on which the District is no longer an “obligated person” with respect to the Bonds within the

meaning of the Rule; or (iii) the date on which those portions of the Rule which require this Undertaking are determined to be invalid or unenforceable by a court of competent jurisdiction in a non-appealable action, have been repealed retroactively or otherwise do not apply to the Bonds.

Section 7. Amendments. The District may amend this Undertaking from time to time, without the consent of any Owner, upon the District's receipt of an opinion of independent counsel experienced in federal securities laws to the effect that such amendment:

(a) is made in connection with a change in circumstances that arises from a change in legal requirements, a change in law or a change in the identity, nature or status of the District;

(b) this Undertaking, as amended, would have complied with the Rule at the time of the initial issue and sale of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any changes in circumstances; and

(c) the amendment does not materially impair the interests of the Owners.

Any amended operating data or financial information will be explained, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided. If an amendment changes the accounting principles to be followed in preparing financial statements, the Annual Financial Information, and Audited Financial Statements for the year in which the change is made will present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 8. Beneficiaries. This Undertaking binds and inures to the sole benefit of the District and the Owners and creates no rights in any other person or entity.

Section 9. Subject to Appropriation. This Undertaking shall be subject to annual appropriation by the District's Board of Education and shall not be construed as a general obligation of the District.

Section 10. Governing Law. This Undertaking is governed by and is to be construed in accordance with the law of the State.

[Signature Page Follows]

Date: May 17, 2023

BOARD OF EDUCATION OF THE ALBUQUERQUE
MUNICIPAL SCHOOL DISTRICT NO. 12

By: _____
President

ATTEST:

Secretary

APPENDIX E

BOOK-ENTRY ONLY SYSTEM

Introduction

Unless otherwise noted, the information contained under the caption “General” below has been provided by DTC. The District makes no representations as to the accuracy or the completeness of such information. The Beneficial Owners of the Series 2023 Bonds should confirm the following information with DTC, the Direct Participants or the Indirect Participants.

NEITHER THE DISTRICT NOR THE PAYING AGENT/REGISTRAR WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO DIRECT PARTICIPANTS, TO INDIRECT PARTICIPANTS, OR TO ANY BENEFICIAL OWNER WITH RESPECT TO (A) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC, ANY DIRECT PARTICIPANT, OR ANY INDIRECT PARTICIPANT; (B) ANY NOTICE THAT IS PERMITTED OR REQUIRED TO BE GIVEN TO THE OWNERS OF THE SERIES 2023 BONDS UNDER THE BOND RESOLUTION, (C) THE SELECTION BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY PERSON TO RECEIVE PAYMENT IN THE EVENT OF A PARTIAL REDEMPTION OF THE SERIES 2023 BONDS; (D) THE PAYMENT BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY AMOUNT WITH RESPECT TO THE PRINCIPAL OR INTEREST DUE WITH RESPECT TO THE OWNER OF THE SERIES 2023 BONDS; (E) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS THE OWNERS OF SERIES 2023 BONDS; OR (F) ANY OTHER MATTER REGARDING DTC.

General

The Depository Trust Company, New York, New York (“DTC”), will act as securities depository for the Series 2023 Bonds. The Series 2023 Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Series 2023 Bond certificate will be issued for the Series 2023 Bonds, in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.8 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has Standard &

Poor's rating of AA+. The DTC Rules applicable to Direct Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org. The District undertakes no responsibility for and makes no representations as to the accuracy or the completeness of the content of such material contained on that website as described in the preceding sentence including, but not limited to, updates of such information or links to other Internet sites accessed through the aforementioned website.

Purchases of the Series 2023 Bonds under the DTC system must be made by or through Direct or Indirect Participants, which will receive a credit for the Series 2023 Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2023 Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2023 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Series 2023 Bonds, except in the event that use of the book-entry system for the Series 2023 Bonds is discontinued.

To facilitate subsequent transfers, all Series 2023 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2023 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2023 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2023 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

While the Series 2023 Bonds are in the book-entry only system, redemption notices will be sent to DTC. If less than all of the Series 2023 Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Series 2023 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2023 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Series 2023 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the District or agent on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of

DTC, agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Series 2023 Bonds at any time by giving reasonable notice to the District. Under such circumstances, in the event that a successor depository is not obtained, certificates representing the Series 2023 Bonds are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, certificates representing the Series 2023 Bonds will be printed and delivered to DTC.

The information in this Appendix concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District does not take any responsibility for the accuracy thereof.